# Gabriel India (GABRIEL)

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“Gabriel India Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Gabriel India Limited Q4 FY '23 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participants' li nes will be in a listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during a conference call, please signal an operator by pressing star then zero on your touchtone phone .

Please note that this conference is being recorded. I now hand the conference over to Mr. Manoj Kolhatkar, Managing Director of Gabriel India Limited. Thank you, and over to you, sir.

Manoj Kolhatkar : Thank you. Good morning, and a very warm welcome to e verybody present on the call, and thanks for joining. Hope you're all doing well. Joining me today is Rishi Luharuka, our CFO; and Nilesh Jain, our Company Secretary; and our Investor Relations Agency, SGA.

As you all must have seen, we have already uploaded our results for the full year and the quarter 4 and full year and investor presentation yesterday on the stock exchange. Hope all of you had a chance to go through the same. And of course, we did have a special call after our JV announcement in ea rly May on May 10, if I recollect.

So, this is our second call for the full year results. So, I'll give a brief overview of the company's performance and take you along slide by slide on the presentation, and then open it up for any questions and clarificat ions.

So, if you refer to the presentation, I think the first few slides, I think -- straight, you can go to Slide number 5, which captures the quarter performance. We did a sale of INR 737 crores, which has been a healthy quarter. I mean, of course, not as good as Q2. As you all know, Q2 is the festive season quarter that is always the best. Second is this quarter, which is in line with that to INR 737 crores of sales, with an EBITDA of 7.1% and PBT of 6.1%.

If you come to Slide 6, you can see that, again, the same figures here, but just to share that the cash position has now improved to INR300 crores, and the cash flow from operations has improved to INR115 crores as compared to INR3 1 crores in the cor responding quarter last year. We incurred a capex of INR37 crores in the quarter. So, this is for the quarter.

And if you come to the slide -- next slide, which is for the full year, we had, of course, the best year, like many of us in the auto industry bec ause it was a fabulous year for the auto industry as a whole. We did INR2,972 crores. So, we just missed INR3,000 crores by a small margin which is a growth of 27% compared to last year. And EBITDA, we posted a growth of 46% compared to last year and PBT 40.7% growth compared to last year. Again, the cash flow has been good to the tune of INR136 crores compared to INR95 crores in the previous year. Capex incurred for the period is INR106 crores.

Going forward, we are, of course, expecting that we'll deliver a strong quarter again, I mean, in terms of industry. So far as holding on to numbers, there was a bit of concern due to the implementation of OBD -2. However, April and May have been okay, of course, yes, this year



as an industry just to gi ve you perspective, we are expecting it not to be as strong as last year. It will still be a growth year, but more in a single -- as a high single -digit is what is the overall expectation of the industry.

So, we are also happy to announce that the Board has recommended based on the last year's performance , the Board has recommended the final dividen

d of INR1.65 on the face value of
INR1 and this is subject to the approval of shareholders. So, the dividend payout ratio is maintained, in fact, maybe a little much higher at 28%.

Coming to the industry, while I'm speaking on that, there was overall industry growth of 22%. Each segment has done well despite the inflationary pressures and continued semiconductor issues. We still saw good growth because there was good pent -up demand and that still holds on. As you all know, if you go to buy a car today, I think no car comes without a waiting period, and some cars particularly SUVs, come with a waiting period of as high as even 18 months. So even 2 -wheelers did p ost a growth of about 8% to 9%.

Passenger cars did very well in terms of growth compared to last year of 27%, commercial vehicles by 34%. Tractors also had a record year. Of course, we don't supply to tractors, but as form p art of the automotive industry, they also did very well, almost hit 1 million figures in '22, '23. And 3 -wheelers because of the schools opening up and the commuting coming full-fledged after the COVID years, it grew a fantastic 87% year -on-year. And as you all know, Gabriel has a good market share in 3 wheelers .

Overall, the industry sales for passenger cars were almost 3.9 million vehicles, which is the highest ever for the industry. The previous record was -- in '18, '19, which was about -- 3.3 million with significant growth over the highest period which we saw pre -COVID. So that's really a good sign and we surpassed Japan to become the third highest passenger car market in terms of sales.

Again, the various factors did contribute. One was the p ent-up demand following the pandemic. A lot of new models and cutting -edge technology and features being offered by each OEM. So, this really created a lot of interest among the buyers. Improved availability of semiconductors. When I say improved, it 's clear that it is still not behind us. What we hear is the semiconductor chip supply for auto industry will continue to remain a challenge for at least another 2 years. This is what, again, some OEMs shared with us.

And we are also seeing some shifts lik e the entry -level segment is facing a challenge in pa ssenger car, but the higher ticket size cars, especially a SUVs and the premium end models within those are selling much higher and they're growing much higher, which is again good news for us.

In terms of CV last year, we saw, again, a fantastic growth of 34% on the back of the infrastructure projects of the government. And again, we feel the growth will continue, but not at this rate in this year. And the bus segment rebounded ve ry well, which was mainly because of schools opening up, as I mentioned, and 3 wheelers as well. There was some pre -buying that happened in the March due to this OBD -2 norms coming into place and the price hike that



happened in 2 -wheelers and commercial vehicles and passenger ca rs as well. So there are some pre-buying , but nevertheless, demand is still good.

Two-wheelers continue to remain a challenge while we saw good growth. But again, this year, there are some -- as we are reading, there is the El Niño effect which is going to play some role in a little bit below normal ones, while it will still be okay, but it is supposed to be 95%, 96% of the average rainfall. So, we'll have to see how that unfolds. Of course, the price increases that have h appened in 2 -wheelers continue to pull the challenge and of course, add to that the fuel cost increase. So, we'll never see 2 wheelers, but again, the prediction of the industry is, it will be a growth in the range of 7% to 8% for this year.

Exports particu larly in 2 -wheeler, which is a big part of each OEM, also saw a lot of challenge due to some issues in the African continent, which hopefully should ease out in the coming year, and that should s

tart some recovery.

The good part and the bright part are, of course, the EV, the electric 2 -wheelers, 3 -wheelers, and in fact, even passenger cars for that matter. As an industry, we crossed 1 million sales totally in EV. So that's one big milestone to start with. And the sales are continuing to be robust. And I'll, of course, come to the EV story when I come to that slide. So overall, I think it's been a good year.

Now I'll come back to the slides. We are -- right now -- r where we left at. I was at Slide 7 when I got into the overall industry. So, I'll just com e back to the slides. If you come to Slide 8, which is more of a financial track record. Again, the figures are there where you must have gone through the figure. The strengthened net worth, better ROIC and of course, net working capital also improved over FY '21. So that's also good. And ROCE as you see forward, it's almost 31%. That is on the Slide 9, which is slide on which you can refer to that right now. So the ROCE is at 31.5%.

Coming to Slide 10, which is, again, the P&L statement which I already sha red. So I'll move on to the next slide, 11, which captures in summary, all the key financial parameters. I did mention on the ROCE and the improved ROCE. In fact, among the highest ROCE that we have seen in the past, the highest ROCE that we have seen.

EBITDA also, while we have discussed in several calls in the past, and we have been working on several initiatives to improve EBITDA. You can see the trend reversing from the last 2 years, and we are hopeful of maintaining the strength a nd improving it furthe r. Slide number 12 is the key ratios, dividend I already did share. It's totally INR2.65 which is INR0.90, which was declared on the interim and INR1.65, which we declared yesterday, so totally INR2.65, which is a dividend payout of 28%.

In terms of -- again, coming to Slide 13 which is -- we share the revenue mix. The good part is the passenger car has really improved in terms of our sales and overall industry sales. I'll come to the share of business slide later. So, our overall 2 -wheeler share is now at 5 9%. Passenger car is 27% and commercial vehicle is 12%.



In terms of the channel mix, OEs, the demand was very, very strong. So that's why that is 85%. And to that extent, when we had an excellent year in aftermarket as well, we did close to INR380 crores o f sales in aftermarket, which is again record performance and very good growth compared to last year. However, OE demand has been very strong. So that's why you see the channel mix reflecting that.

And now if we come to Slide number 15, and we'll get into each of those areas shown there. So first is the export part. Exports, we once again for the second year in a row, crossed INR100 crores sales. In fact, we had higher export figure is marginally higher, higher growth last year. But the good part is y ou're able to cross INR100 crores.

Why I say it is good is because we -- as you know, we had a challenge that the entire Volkswagen Russia sale has become 0 due to ongoing conflict there. Volkswagen, as you must have read -- Volkswagen has shut shop and sold it to a Russian outlet. So, we are working with Volkswagen on some other export models. But however, that will take some time to fructify.

So, despite this setback on exports, we still did cross INR100 crores. So that's the good part. And comin g to the second part of this business driver is domestic dominance. On 2 -wheelers, as I mentioned, our traction with all players have been increasing, and our market share is now at 32%. The same market share exactly a year back when we did the investor pr esentation after last year's, I mean, '21, '22 fiscal year performance was at 25%. So, we have -- I mean, very clearly gained market share mainly through, of course, our IT engine penetration. And some of our customers is doing extremel

y well, of course, th anks to them, and electric vehicle penetration.

We continue to win good orders in -- with our customers. In fact, currently, as you all know, we had won, and we are currently in the production stage of the Shine 100, the 100cc model, HMSI is getting bigger. So that is currently also getting some good bookings. So, we are hopeful of a good demand out there.

Coming to Slide 19, which shares the EV story, our market share is -- in Q4 has gone up even higher to 80%. And we are there with every top player, Ola of course, as you know, is 100%, because TVS is 100% because Ather, Ampere and Okinawa also. So, all the top players actually have Gabriel suspension. We continue to do extremely well.

And this slide, which is Slide 20, this was new for it. W e have selectively chosen this e -bike because, one, there is a huge growth of e -bikes predicted to happen in the European geography, particularly owing to all the climate activists and more and more sensitization of each and every individual, which is actually a good thing. The growth of e -bikes is supposed to continue at the rate of almost 20% in the European market, which is a very high growth area.

Here, we have developed the first front fork and given it to Hero, the Hero Cycles. And they are exporting it to their German arm. So, we have dispatched the first lot and we are, of course, awaiting the performance and the feedback of the model in the market. And we intend to develop this further and look at some other options as well of supplying to some good e -bike makers. So, this is a good new chapter and ensuring that our portfolio further is diversified and is in line with



the environment initiative. So, we do not miss on bikes, wh ich are growing due to the sustainability improvement that is happening.

Coming to Slide 21, which is passenger cars. Again, here, we saw a market share increase compared to last year. All our SUVs, which we're supplying to Maruti and being shared by Honda, that is doing well. We also have got a good order from Tata Motors. And Volkswagen, we have started supply 100%. So that is also improving. All models of Volkswagen and Skoda , which are being made in India are being supplied by Gabriel now. So, we'll see improved volumes going further. And Mahindra, of course, the XUV700, which is going extremely well in the Thar , both continue to do well.

This is the utility vehicle. This is Slide 22. You can see all the utility vehicles, which are shown as pictured here. The point is our traction in utility vehicle is very strong, and that is a segment that is growing in the passenger car space. So, we are in the right space at the right time. Maruti Jimny has recently been launched. So, the early information that we h ave is the bookings are good. So, we'll have to see how that performs.

Slide 23 is on commercial vehicle, where we are practically the single source to the entire country, and we continue to work with every OEM supply, all the varieties just in time as the OEM desires . And that continues to be a good strong goal for us.

Railways, I always mention that this is -- while the growth is still not there, we are still not back to pre -COVID levels. But the good part is we have now expanded into high -speed tra ins and locomotives where we were not there earlier. So, this is a good development. So obviously, when the volumes do start growing, we are ready for products.

Slide number 25 is in aftermarket. Again, here, I already mentioned on the good growth that we had compared to last year. We are once again kind of relaunching the tire and fuel business. And again, the sales have been good in the past couple of months, so we hope to build on this. The new relaunch that we have done and capture the start especially -- rather mainly in 2 -wheeler and 3 -wheeler segment.

The M&A part, which we have been tellin

g that we are working on a couple of them. One did not come through, but one which is very important and very significant, and a very h igh-growth area has come through, which we already shared on our call on May 10. This is Inalfa Roof Systems, the number 2 player in the world for sunroof systems. We have got the order from Hyundai and Kia. So, we are setting our plant in Chennai. And we a lready have a lot of interest from all the other OEMs to look at developing their sunroof and supply. So yes, we'll have to, of course, first cater to Hyundai -Kia and build on it.

But again, just to mention that it's a right product, and there's only 1 oth er player. So, we have a second more. So, we'll get good traction in this high -growth area.

Then coming to technology, we continue to reinforce our technological development. As you know, we have opened a new tech centre for 4 -wheelers and commerc ial and railway in -- with a small test track as well in in Chakan. So that is doing well. And we also hired a couple of expats who are experts in electronic suspension.



So, we have developed that first electronic suspension semi -actor, which is quite good. I mean, initially, I did drive it myself last week and the response has been really good. I mean the product is really good. We'll be offering it to OEs very shortly. We are expecting some good movement in that space as well, which was not -- which is a blank as regards to product portfolio. Now we filled it up.

We have 60 R&D specialists and we have filed 75 patents. So that's also a very good indicator of our commitment to technology. You also know that we are amongst the highest spenders in R&D within the Indian auto components, and we continue to do so. The Board remains committed towards this initiative .

These are some pictures of -- on Slide 31 and Slide 32, we have already discussed. So, I would end the presentation part he re and we are open to questions and comments on your inputs. So over to you. Thank you so much.

Moderator: Thank you. The first question comes from the line of Mumuksh Mandlesha from Anand Rathi.

Please go ahead.
Mumuksh Mandlesha : Just on the financial f irst. Gross margins were lower sequentially. Any reason for decline, sir, this quarter?
Manoj Kolhatkar : Can you repeat the question?
Mumuksh Mandlesha : Yes. So, the gross margin was lower sequentially this quarter. So, any reason for decline, sir?
Rishi Luhar uka: In particular, it's only some changes in the product mix that causes that decline. But if you look at the overall perspective, including the other income, the profitability is better from the previous year.
Mumuksh Mandlesha : Got i t. I mean there's no major change in R&D costs, right, in terms of increasing RM costs?
Manoj Kolhatkar : Increasing which costs?
Mumuksh Mandlesha : RM?
Manoj Kolhatkar : No, no, no.
Mumuksh Mandlesha : And sir, how do you see the demand impact on the E 2-wheeler volumes post this same subsidy reduction. Any indications from the OEM, how they plan to -- I mean, look at the production numbers?
Manoj Kolhatkar : Well, I mean, obviously, there'll be a little bit of correction. But what we already have spoken to O EMs. In fact, many of them have already -- like is only logical, you cannot make your business case purely on subsidies. So, everybody has actually -- everybody knew that the subsidies at some points of time are going to be tapered down and even at some stag e withdrawn .
So, I would say that Ola is definitely -- that's 1 OEM that we had have feedback. They said that they've seen it earlier only, and they don't see any change in demand as far as their product is concerned, and you can see by the numbers t hat they continue to do well.


Because it's finally -- even at that price, it's still a compelling pr

oposition as more and more
people use EVs, the shared comfort, the low cost, 0 maintenance, and the features, they become so compelling that the people will only shift and gravitate towards more and more EVs. Cost becomes -- is not a key driver. Cost is surely a driver when it comes to rural segment. Anyway, in rural segment, the EV traction is yet to pick up under the high-speed wheelers. So, I don' t see any big -- there'll be some immediate reaction, but I don't see any big change in terms of the demand.
Mumuksh Mandlesha : Got it, sir. This is related to sunroof and the initial investment which we are making. So, what are the components initially companies will be localizing? And what would be procured from the other suppliers? And related to that, just to get a sense on the sunroof industry. Like how many OEMs would be currently importing this sunroof? And will this be supplied by the cu rrent local supplier?
Manoj Kolhatkar : I didn't get your first part of the question. Can you repeat that first part?
Mumuksh Mandlesha : So, I mean, related to the sunroof investment which we are making initially, which part of sunroof we would be localizing by yourself? And what would be procured from other suppliers?
Manoj Kolhatkar : So yes, so sunroof, of course, we have made, again, a detailed pan of localization. The glass, of course, we'll be buying from the local glass makers. So that's 1 big part that we'll be localizing soon. And yes, there is also a value addition that is done in -house in terms of the PU encapsulation. So that -- for that, the machine is already ordered, and it should come in the month of July or August. So that will also be good value addition, which is localized. And it will be a localization as far as the OEM is concerned naturally, there will be significant items, A category items being localized.
Your second question was how OEMs are currently buying it. Many are still import ing. There is only 1 player, Webasto of Germany who has a shop -- I mean who has a plant in Pune. They also are opening a plant in Chennai. So, we will be the second player who will be opening up the sunroof systems in India. So, the demand is very good. The traction you know that people want only the high end with the sunroof as far as the ir SUV is concerned. So, we see enough and more demand and OEMs very keen to localize this part.
Moderator: Next questi on comes from the line of Priyar anjan from HDFC A MC. Please go ahead.
Priyaranjan: Congrats, Manoj and Rishi. So, my question is 2, 3. One is on the market share front. So, 1 is you have gained meaningful market share in 2 -wheeler. And what do you see the scope if the electrification continues to ramp up and with the new order wins, et cetera. So, in next couple of years, where do you see the market share in 2 -wheeler, 3 -wheeler as well in passenger car segment goin g forward?
That is my question number 1. Question number 2 is on the suspension pa rt on the technology front. So are we looking more for, say, predictive suspension and all with the more electronics and motors controller, etcetera. Is that one of the areas where we should focus on? Or is the company at least looking at those areas to for ay into going forward? And third part is, if you --

I mean third question is mostly on the you have mentioned about the core 90 cost reduction program. So, if you can highlight some of the features and the outcome you expect out of that?
Manoj Kolhatkar : Okay. Thanks. Firstly, thanks Priya ranjan for the compliment. Thanks to the entire team of Gabriel. So, coming to your question on market share, we've seen some good improvement as I shared with you with the figures in the slides.
Two-wheelers, we are at 32% so we would -- I mean, this is also a mix of electric vehicles , but within electric vehicles, which is a high -growth area, and we are at 80

%. Yes, obviously,
retaining 80% market share is going to be a challenge -- naturally being the first move r we have this advantage now. So, we are working on continuously looking at some even technology improvements within this space so that we are able to give some unique USP to the EV and sustain this market share going forward.
In ICE engines 2 -wheelers, I think in 2 -wheelers, we were rather our key customer HMS I -- I mean, it has a very good relation and impression with Gabriel. We won their award recently in the vendor meet -- in fact, we were also asked to present to the entire vendor forum in the vendor meet this time. So just to say that the relationship is very strong. So, they have given us this motorcycle model of 100 cc, which is a commuter segment high volume segment for HMSI on 100% share of business basis. So, this is the fir st time that they're doing 100% business share. And TVS also is going strong, similarly. So, Suzuki also is doing well. We have recently won the Suzuki Electric 2 -wheeler business, a new model that they're going to launch in 2024. For that they've already n ominated us. So that will improve our EV traction further. So overall, yes, this market share from what we are at 32%, including EV can go more towards 40 -plus percent. And coming to passenger car we are at 23%, and we have clear plans of going to 30% plus in the passenger car as well. 3 -wheelers, we continue to be a dominant player -- and it's a preferred -- it's a very strong brand in the market. So there, again, I would say, more or less 60% market share in 3 -wheelers, in ICE as well as in EV , we are already with Kinetic , we are already with Bajaj, and we are already with Mahindra Treo , we are already quite well entrenched even in the EV 3 -wheeler space. So that's on the market share. Your second question was on the technology. So good question. So, in fact, we are right now working on semi -active. So semi -active is as far as the industry is concerned, the semi -active itself is a very good proposition and a big cost increase compared to year passive .
Fully predictive is a long way away. Fully predictive is offered in very, very limited models even in Europe, which is the most develope d market in the world. Just to share, if you see, let's say, the Mercedes GLE the SUV over a INR1 crores . There you get a fully active suspension even in Germa ny at an additional cost of EUR 5,000. So . you have to pay an additional premium when you book your car if you want to fully predictive suspension.
So, it's a very high-ticket item. I don't think that will be coming to India. So, while it's a good technology to have, and we will look at developing, but it's not -- as far as the immediate plans are concerned. We are developing our semi -active, which is, as I already mentioned, is going on the right part. And we expect to introduce in some of the OEs at the earliest in India.


Now your third part was Core 90. So, I’ll let Rishi respond to the Core 90 initiative .
Rishi Luharuka: Hi Priyaranjan, good to talk to you . So again, Core 90 being something of 2 prongs. One is to sustain the kind of cost that we have and in order to sort of match the inflationary pressures of salary increa ses and other cost increases, we have to do the year on it, maintain the efficiency of that. So previous year, went into maintaining that. This year, we are targeting a little more aggressive in terms of our core 90 program and which is in line with our double -digit endeavour . So broadly speaking, we are looking at 0.5%, 2% or a little more than that as well under the Core 90 program this year.
Priyaranjan: And just an extension of the previous the technology part. So, if you go from a semi active, I mean from the normal suspension to semi active and then predictive. So, what is the kind of the content increase happens for the OEM

or the pricing of the cost? In terms of percentage, not
maybe in the absolute number.
Manoj Kolhatkar : Well, it's a big figu re. The figure is -- I mean it is actually several times, I'm not able to share the figure right now because it might depend on scope depend on the number of sensors that the

OEM wants, they want your EC or their EC usage the configuration also differs. It's difficult to answer that question.

But suffice to say that it is in multiple of the passive suspension. In that -- I mean, getting -- I mean the semi -active was introduced in models is going to put a lot of cost press ure. So, it's not going to be a high volume. But yes, it's a good technology, which is expected, and that's why we're developing this in our product bouquet.

Priyaranjan: Sure. So globally, have you seen the excess semi active is more on say, INR30 lakhs, INR40 lakhs of car or it's more of an upward of that?

Manoj Kolhatkar : Yes, it's totally on -- I mean, I would say 30-plus range of price. So, you can see, even if you see the car being offered to the high -end, let's say, the starting of high -end, delivery of the A class, the C class, and for the BMW 3 series. BMW 5 Series, Audi Q3 and A3, A4, none of them are semi -active.

Priyaranjan: Got it. And just coming to the Sunroof part. So -- now you have got the customer as well, so -- and you have got the technology partner as well. So, have you started the discussion with other OEMs? I mean, because now this is one of the must -to-have kind of features in most of the cars. And I think the penetration from the 20%, it will keep going up. I mean, some forecast is talking about 40%, 50% penetration in 3 years' timeline. So, what is the receptiveness of the other customer beyond, I mean, there exist ing orders? If you have spoken with them .

Manoj Kolhatkar : Very interested is all I can say.

Moderator: The next question comes from the line of Nikhil Rungta from Nippon India Mutual Funds. Please go ahead.

Nikhil Rungta : A few of my questions have been answered. Just quickly, if you can also share, I mean, say, 3 year down the line, what type of targeted share of revenue you are looking for from passenger



cars and then 2 wheeler, 3 -wheeler and then from CBR? I mean this is inclusive of we said that we'll be starting sunroofing as well. So , 3 years down the line, where do we see our presence.

Manoj Kolhatkar : Your voice was a little feeble, couldn't get you. Can be a little louder.

Nikhil Rungta : Is it better?

Manoj Kolhatkar : Yes, yes, yes.

Nikhil Rungta : So, sir, I wanted like, say, 3 years down the line, where do we see ourselves in terms of share of various segments, basically passenger car and then 2 -wheeler 3 -wheeler and CVR?

Manoj Kolhatkar : In terms of our segment mix.

Nikhil Rungta : Yes.

Manoj Kolhatkar : Okay. So, if you see this quarter, like I mentioned, we are at roughly 59, 27 and 12 is what at Q4, we were. So going forward, I would say it will be more towards yes, in 55, 30 between passenge r car and 2 -wheeler in that range.

Nikhil Rungta : 55 and 30 basically 55% would be passenger and 2 -wheeler mentioned.

Manoj Kolhatkar : It was 2 -wheeler and 3 -wheeler. We report these...

Nikhil Rungta : Two and 3.

Manoj Kolhatkar : Two and 3 -wheelers . And hopefully, we should be adding a little small bar on the bicycles, e - bicycles also. Of course, numbers are too early to say, but hopefully, yes, we should be able to add some.

Nikhil Rungta : Okay. Okay. And sir, we have also started focusing on inter national geographies. So, in terms of export and OEM as well, if you can give what type of share you are looking at, say, 3 years from now?

Manoj Kolhatkar : Export right now, we've like -- if you talk of Gabriel exports, we are doing just about 4% as a total -- so we have always told that we want that to be in double digit 10%. So,

we are working on the technology, the semi -active which we are developing, obviously, will be more and more traction might be there in developed markets. So, we still maintain that is our aspiration and target of getting to that figure.

It will take time, though. I mean, do export breakthroughs take -- will take some time.

Nikhil Rungta : Got it. Sir, last question, if you can just throw some light on railways part as well. I mean how is it moving now. Last quarter, you indicated that things are moving slow. But how is it now and where do you see?

Manoj Kolhatkar : What part?

Nikhil Rungta : Railways.

Manoj Kolhatkar : Railways. It has improved. I mean -- but the recovery is st ill -- and the figures are still not near the pre -COVID levels. I mean still there is a very small growth that we are seeing there.
Nikhil Rungta : Okay, okay. So, it won't become a big share in our revenues.
Manoj Kolhatkar : We don't expect that. But yes, we now also have the developed the locomotives, which were not with us. So that should add, of course, some time, yes.
Moderator: Next question comes from the l ine of Chetan Gindodia from AlfA ccurate Advisors. Please go ahead.
Chetan Gindodia : Hello, sir. And congratulations for a very good set of numbers. I just wanted to understand last 2 years, we have seen very sharp improvement in market share and thereby very strong growth ahead of the industry volumes -- so going ahead also, given that we have higher share in the leading models of Maruti and also Volkswagen and Mahindra and also good share in, should we see mid -single, mid double -digit kind of sharp outperformance over the underlying industry volumes?
Manoj Kolhatkar : Again, so yes, we are seeing that improvement we are basically, as I said, coming to passenger car, we had the right products in the SUV segment, and which is growing. So that is helping us. Yes. So, I mean, clearly, we -- the target is to out perform the industry ahead of the industry in 2-wheelers to improving our market share in EVs, which is happening in PC through SUVs and also getting into EVs. We still are not on EV at first. EV in passenger car is the Citro, you know, EC3, whic h has been launched. And we are also working on a model with Tata Motors for an EV platform, which will be in 2025. So, with that even our passenger car market share will at least continue to be ahead of the market is what is the plan.
Chetan Gindodia : And sir, on the margin side, we are aspiring to be double -digit margin. And then you had also alluded in the last call about increasing competitive intensity also -- so even all these scenarios out, should we expect improvement in our EBIT DA margin going ahead into next medium -term? And what are your aspirations about it?
Manoj Kolhatkar : For sure, I mean that's the plan I shared that Rishi also shared on the Core 90 and several things that we are doing. So, a clear plan is to improve EBITDA going forward in this year itself -- and aspiration is yes to move into double digits that may take some time. But in this year, itself, we are working to improvement of EBITDA for sure.
Chetan Gindodia : Okay. So, we should see a 50 to 100 basis point impro vement, that is what might be our expectation.
Manoj Kolhatkar : Sorry but likely I've always said we won't give that specific guidance, but yes, I can tell you on improvement, yes, you will see that.
Moderator: Next question comes from the line of Viraj Ka charia from SIMPL. We have lost the line. Next question comes from the line of Mr. Pankaj.


Pankaj : First thing, I just wanted to know the order book for Vande Bharat is out and we've been the market leader in the suspension. And as I understand, Vande Bhar at train costs around INR120-odd crores as per the tender. And this the railway minister has

time and again showed the efficacy of the suspension, which has been implemented in the train. And as we have 80% plus market share in railways . Are we a vendor to these, I mean, railways or the companies which are developing these trains? And secondly, in the same the cost is INR120 crores, and you had earlier mentioned that each train, whether in LHB bogies , which we used to supply, there used to be 16-odd the suspensions instead of 4 -odd which were used by -- in earlier trains. So just wanted to understand what is the total addressable market for us and whether we are present with these producers or manufacturing of the tr ain or not ?
Manoj Kolhatkar : So just to answer your question, so on the railway, we have 2, got our 3 new orders that we've got. But these are development orders. We still do not have the bulk order that will come through once the development orders got i t and performs well, which is what I mean, we are expecting should not be a problem. After LH B, which had 18 shocks, 18 Shocks per coach, we have now in -- train 18 we are also into the electric locomotive, and we are in the Vande Bharat. So, all these 3 are ne w additions for railway family.
And each of this has 20 dampers to a coach or even to a locomotive . So, there are 20. So, the figure of 18 becomes 20. So, to that extent, there is increased content per coach. Now the tendering we're still not in the production space. So, we -- I do not give a figure of that as of now. But on the tendering part, it is again shared betwee n various players. That's how it will go.
Pankaj: Sir, if 1 train cost around INR120 crores, there are 16-odd coaches in each train. So can I -- and that does the value of each coach would be around INR7.5 crores to INR8-odd crores. So can we assume as and when it is manufactured, can you assume -- and this suspension being a critical part of the right quality out there. So can we assume substantial share of the INR7.58 crores per coach as a sort of addressable market share for suspension maybe, say, around 50 lakhs to a 1

crore per coach.
Manoj Kolhatkar : Certainly no. The biggest ticket size in a coach is the rolling stock and then the braking system, and then the electricals that are there and o f course, the air conditioning and the door system. So largely the big-ticket items are these. The suspension is not in the space. But yes, the value per coach of a suspension is significantly higher compared to, let's say, wh at we give in passe nger car, et cetera.
No doubt about that, but it is nowhere near crores or something that you mentioned. While it brings a good bottom line, but a volume point of it still very small. And now that we gave this almost 3,000 crores, it still is a very small part. So, we that we don't even report it in the segment. It's quite small.
Pankaj: Second question regarding the margins. If you compare our top line somewhere in FY '18 or '17, I suppose. We had a top line of INR1,500 -odd crores and PAT of around INR156-odd crores. Over a period of time, you have practically double the top line, but our PAT has just grown by 33%. And in this period , we have implemented the Core 90 program. It seems that the whole program, though it was a success, but it has not contributed anything to the bottom line.


Manoj Kolhatkar : It is a good observation, but like we told you the commodity increases have taken away even if we do a simple, even if we get our full compensation, they have taken it almost 2.5% arithmetically . If you look at that in terms of the growth. So, figures, if we had not done the Core 90, figures could have been much adverse. The Core 90 has never helped in terms of not slipping. And like I mentioned, now we are looking at programs to improv e margins, which we are seeing for the last 3 years there is an improvement at the total year if you see. So that should conti

nue.
Pankaj: So, can you expect anything in the near -term?
Manoj Kolhatkar: Yes, like I mentioned in this year itself, while we don 't give any guidance on figures, but there will be an improvement in EBITDA for sure.
Pankaj: And my last question, if I can, if I may, please. Why are we entering the ty res and tube segment? I mean this is another commodity, which I think we are dilu ting the value of Gabriel brand by entering this segment.
Manoj Kolhatkar : Contrary to that the brand is -- that's why if you see, we have not selectively chosen the segment. We're not going into the commercial vehicle and the passenger car, okay? So, we are only going into 3 -wheelers and 2 -wheelers. Particularly 3 -whee lers where our brand name is extremely strong.
So, in fact, it adds to the dealer overall product basket. And they have a wider range to offer as far as Gabriel is concerned. And tire also has been chosen because it is around the suspension. It's a part wh ich is distant from suspension, it's an adjacent part and both kind of play a role in each of this performance. So that's why tyre certainly does not dilute the brand. We have selectively chosen this segment, and the pull from the customer also is good.
The other part is this is the only part a tyre that is sold over the counter. It's not like you have tire sales shops only doing that, like passenger cars. Over the counter any retailer is free to sell and recommend the brand. S o that's why we have chosen this segment . And as I said, it's doing well. So, the idea is we have a strong brand name. We need to leverage the brand name. Again, carefully choosing not bringing everything and maintaining the quality. Your qu estion is very right. When it comes to maintaining the quality, so we have carefully chosen the supplier, we do quality audits. We have engaged advisers who have been from the tyre industry, very, very seasoned people to ensure the quality is maintained.
Pankaj: So how much is the capital employed for the same?
Manoj Kolhatkar : Practically zero, this is a very no minal for the t yre model, but practically 0. So, ROC point it's an excellent quality.
Moderator: Next question comes from the line of Dhiral from PhillipCapital.
Dhiral Shah : So, my question is, again, regarding to the Core 90 program. How much of the benefit of Core 90 initiative, according to you, is reflected in FY '23 margin?
Rishi Luharuka : It's 1% to 1.5%.


Dhiral Shah : Okay. And sir, how much of the cost inflation you are able to pass on to the customer, as MD sir said that we have been impacted by almost 2%, 2.5% because of the rise in the cost of raw material. Sir, how much we have passed on to the customer? And how mu ch you are expecting in FY '24?

Rishi Luharuka : Commodity pass -through is almost 95% in our case.
Dhiral Shah : So, we have fully passed on whatever the cost in flation we have seen until date?
Rishi Luharuka : If you do the calculation, the mathematical impac t of commodity in the previous year is almost 1%. Even if we do 100% pass -through, the margins would go down because of the mathematical denominator effect of 1%.
Dhiral Shah : Okay. Okay. And sir, on the sunroof business side, as MD sir said that we are lo oking to localize A categories of item. So how much this contribute to the total RM basket?
Manoj Kolhatkar : So, you're talking about sunroof, right?
Dhiral Shah : Yes, sir.
Manoj Kolhatkar : So obviously, I'm certainly not able to disclose that, but we are going by first, the glass because logistically it's also a big item. Cost -wise also it's a big part of the RM. So, it makes sense to localize the glass first and some other parts. And we have drawn a detailed plan of localization in over the next 3 years because we have done in phases. There is validation also. So that's what it is.
Dhiral Shah : Okay. And sir, what is the c

apex for FY '24 as our business as a whole?
Rishi Luharuka : We targeted 150 -- cash flow should be in the range of 100 to 150.
Dhiral Shah : Sir, this includes this sunroof also, or you're talking about Gabriel only stand -alone?
Rishi Luharuka : Excluding sunroof.
Moderator: Next question comes from the line of Shashank Kanodia from ICICI Securities. Please go ahead.
Shashank K anodia : Just wanted to check, are we present with Simple Energy, which launched electric 2 -wheeler yesterday evening?
Manoj Kolhatkar : Simple Energy, I don't think so. I don't think so what -- actually, we keep tracking. I'll come back on that because there are so many 2 -wheeler EV manufacturers. So -- over 200 of them. So, we are actually carefully choosing the ones that we actually devel op, because we also do kind of check on the -- I mean, kind of due diligence also on the makers. Otherwise, there is a huge amount of development effort that goes. So Simple Energy -- we are making samples for them, but I don't know that's -- in the model that has been shared yesterday.
Shashank Kanodia : Okay. And secondly, sir, early in the calendar year, there was Mint articles mentioning about the front forks taking a knock off at Ola electric scooters. So just wanted to check, are we at fault


by any cas e? And Ola has offered to replace it free of cost for the customers. So , are there any financial implications for us?
Manoj Kolhatkar : If you read the article, it came -- there's a clarification also which came in Mint , so it has clearly said that the fork a rm is what that failed. It is not the front fork suspension. Unfortunately, when we talk about fork, everything comes to a front fork. So, it's a casting, which connects the front fork with the wheel, which is bought directly by Ola. We don't supply this pa rt to them or to anybody. It's not our scoop.
Shashank Kanodia : Understood. So, we are not at fault by any chance.
Moderator: Next question comes from the line of Devang Patel from Sameeksha Capital. Please go ahead.
Devang Patel : Sir, my questions are arou nd capex . What is our peak revenue potential from current capacity? And for the next 2 years, what kind of brownfield or greenfield expansion we need to do, which will give us what kind of asset turns?
Manoj Kolhatkar : So, we're planning some brownfield bot h in Khandsa and Chakan, getting some minor expansions. I mean these are maybe this INR20 crores odd, INR20 crores, INR30 crores odd. But in terms of capacity in machines as well as also increas ing the store area, LG area, et cetera. So, increasing the land and the building because we already have land. So, these are the things that we are planning in terms of brownfield.
Greenfield, yes, looking at the growth, we surely will have to add a plant in the right geography. We are evaluating the geography, but let's say, in south, while we are in wholesale, we don't have anything in Chennai region. So that is one area. And we are also in the Sanand Gujarat area. We had a plot of land in Tata Motors vendor park. So, we are also now taking in the adjoining plot as well. We are in discussion with Tata Motors based on the business that they offered. That will be some additional, you call it, well it's brownfield or greenfield. It's an additional plot, so adjoining plot, yes.
Devang Patel : So, what is our peak revenue potential from current capacity?
Manoj Kolhatkar : Well, from the current capacity, we easily -- I mean, it's close to INR4,000 crores, a little less than INR4,000 crores. And this is not including the sunroof. Sunroof is different.
Devang Patel : This new g reenfield, we'll get what kind of asset turns from that? And what would be the tentative size?
Rishi Luharuka : So, Devang, again, the asset turn in the first year, obviously, is going to take a little bit of a hit as compared to 6.6 that you see curre

ntly. But with its peak utilization, I would safely assume
that in the range of 6 an asset turnover should be a healthy one.
Devang Patel : Okay. Sir, and secondly, on negotiating with our OEM partners for price increases. Now we've already hit 31%, right, in FY '23. Does that somehow dilute our negotiation efforts?
Rishi Luharuka : Devang, we didn't get the question. If you can repeat.


Manoj Kolhatkar : What about 31%? It's a...
Devang Patel : We already have reached 31% ROIC with these margins. Does that somewh ere hinder our negotiation with OEMs on getting price increases?
Rishi Luharuka : Yes, that's still especially, we have got price increase back -to-back on the RM. So, most of that is done and concluded, practically everything. So, we are also, of course, looking at some process cost increase because everything has gone up, including power, fuel, I mean, wage costs, etcetera, the minimum wages, et cetera. So, we're also looking at some process cost increase with OEMs. Those discussions are still in pr ocess.
Devang Patel : Okay, sir, and on Sunroof, what will be our outlay in terms of equity? And when do revenues from that JV start?
Rishi Luharuka : The revenue is proposed to start from the first quarter of the next calendar year, which is the Q4 of the current financial year. In terms of the share capital, we are looking at in the range of INR50 crores to INR60 crores.
Moderator: Next question comes from the line of Viraj Kacharia from SiMPL. Please go ahead.
Viraj Kacharia : Yes, so basically, first question is on the gross margin. Now if you look at our mix broadly in terms of business, say aftermarket or the export piece or even the CV , railway . These are typically in terms of margins hierarchy; these are the highest margin businesses for us. And in the year, they have done quite good. In terms of share increases also, there's been a healthy increase.
Similarly, in terms of EV, in, say, 2 /3 wheelers, where the value addition or the margin structure is really, better . That's also seen a really, healthy flow for us. But when you look at the gross margin for the year and especially, if I say even in Q4, we'r e still around that 2 3.5%, 24% band. So, I understand the numerator -denominator element.
But just purely in terms of the margin structure, when you say that 250 basis points is the gap, what will drive that gap? Because the mix is already in your favour incrementally for the last few quarters, we're already seeing the RM softening or stabilizi ng. So, from a contribution margin perspective, how should we understand the journey of say 250 or 300 basis points increase? And what will that entail for us?
Rishi Luharuka : So, there are good question. To sort of summarize it in a simple form, let's look at 80 to 100 basis points on the operating leverage and the remaining should come from the gross margins.
And gross margins will have various levers, including Core 90, which is renegotiating with suppliers, renegotiating with customers on some price increases.
It's also to do with some softening of commodity, having a full year effect now given that last year does not have the softening for the full year, and we still saw a lo t of increases coming through. To the extent of 0.8% last year, the commodity impact was there on account of denominator. And around 0.2% on account of under recovery because of the other businesses where there is no 100% indexation.


So those benefits are going to come in this year as well as we are looking at some product mix changes as well, which will help us support the improvement in the gross margins.
Viraj Kacharia : Just to add further on this now, if you look at our localization, say, in the passeng er vehicle segment or a 2 -wheeler. And this is in relation to -- if you look at the contribution

margins,
which some of the other competitors stay on, say, in a PV by Tenneco, or you have other 2 - wheeler MNC and local payer. Even after this improvement, wh ich we're expecting, it will still be a sizable amount of gap versus what they earn and what we earn. So, is it -- is this scope in terms of further localization, increasing the value addition in the existing business structure? So how are we thinking on th ose lines?
Rishi Luharuka : On the -- see on the passenger car side, we are competitive . If you were saying about Tenneco, we are aware of the numbers to some extent. Again, everything is known to us. But -- and we compete in the same market. So, we are fairly aware of what kind of numbers do they work with. And I must say that we are better than that. Yes, in terms of 2 -wheeler, 3 -wheelers, 2 -wheelers, especially, we have some scope of improvement, and that's where we're going to sort of look at

maybe a backward integration in order to reduce our overall cost.
Viraj Kacharia : Okay. So, in terms of the base margin, I'd say, the contribution level for this business -- suspension business for us, after all the initiatives and if RM prices remain stable, th en that should be somewhere around, say, 25%, 26% level. I mean, indicatively, I'm not saying by then or it also depends on a lot of other elements. But generally, in terms of -- if I have to just understand the base margin in this business for us, given t he mix and everything...
Rishi Luharuka : Viraj, again, we answered this question already, given that we are looking at 2%, 2.5% and of which, say, assuming 0.5% to 1% operating leverage, the remaining should come essentially from gross margin.
Viraj Kachar ia: And second question is on the capex , which you said is around INR150 crores for this year. Correct me if I heard it wrong. That will be including the INR50 crores investment, which we'll be making in the JV, right, sir?
Rishi Luharuka : No, that is excl uding that.
Viraj Kacharia : Okay. So, this INR150 crores is primarily towards what major buckets? I mean if you can provide some perspective.
Rishi Luharuka : Give and take, we do INR30 crores to INR40 crores on routine maintenance capex . Remaining will be i n the field of technology, number one. Number two would be automation. Number three will be backward integration. And number fourth would be the capacity announcement as and when required for specific programs.
Viraj Kacharia : Okay. So even in this year, I think there was some INR13 crores of purchase of intangibles. So, from -- I'm assuming there is pertaining to the tec hnology, which we have acquired?
Rishi Luharuka : It's not technology acquired. It is towards the technology that we are developing.


Viraj Kacharia : Okay. So, post these investments, in the past, we talked about having some gaps in terms of technology versus, say, some of the MNC competitors. So, post these investments, would we, by and large -- how should we look at our overa ll portfolio coverage versus some of these competitors?
Manoj Kolhatkar : Yes. So, it will -- definitely, as far as technology is concerned, we will close the gap on semi - active, but having said that, we also -- the passive suspension also still remains the main scale business. We'll have to continuously keep working on newer technologies, like we introduced the FSD on Mahindra XUV 700, which has been received very well. We're going to continue to work on passive.
And the second part is, while we will fill up this technology gap, the important gap to be filled also is with respect to global business is getting -- acquiring global customers, which is why we are also investing in hiring of expats. We already done that. With that, we'll open up some global custom ers as well. So, we'll then close both the technology gap and global customer relationship gap.
Viraj Kacharia : Okay. And

last question was on the cash part. So, despite the capex or the investment, which we'll be putting in the JV, the cash position will ju st keep on building up. Any thought process on how we are looking to use that? Any thoughts on the buyback or the distribution, dividend distribution policy?
Rishi Luharuka : Look, Viraj, we've been wanting to have the inorganic fees come liv e, which we have now done with one of the JV. The target is to pursue this journey further, which is the largest utilization of the cash balance, we may need to even lever if the target size is big. Second is on the organic growth that we already have, inc luding backward integration. Certainly, the cash flow generation for the year would be utilized towards that. The way I see it, from this build -up is going to be healthy in terms of giving us an opportunity to look at a bigger ticket size in terms of organic.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. Manoj Kolhatkar for closing comments. Please go ahead.
Manoj Kolhatkar : Thank you. So, thank you once again for those interesting questions, and feedback and some compl iments as well. So, we will continue to, of course, increase and improve our market share to stay ahead of the market, in summary. And glad to, of course, share the new diversification that we have done in sunroof. We are all very excited about it. Clearly, this gives a whole n ew energy in the entire system.
And just to say that we have -- this is the first significant move that we have done, and we will continue to scan for a positive. It's not this is one -off, but this is part of a larger strategic plan. And we will continue to work on this, and hopefully do come up with one more in this fiscal year or next fiscal. So that's on the diversifi cation part.
As regards to the industry, I've already shared this year will be little more muted than what we saw, I mean, the high growth year last year. Nevertheless, it's a growth year. And overall, the

economy of the country is in good hands and looks to be on the path of growth only. So, we


don't have any immediate reason to worry as regards to the overall economy. So, look forward to a good year and your support, as always. Thank you so much, and that's all from my side.

Moderator: Thank you. On b ehalf of Gabriel India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

# Call: May 2023



"Gabriel India Limited
Business Update Call "
May 10, 202 3

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MANAGEMENT : MR. MANOJ KOLHATKAR – MANAGING DIRECTOR – GABRIEL INDIA LIMITED
MR. RISHI LUHARUKA – CHIEF FINANCIAL OFFICER - GABRIEL INDIA LIMITED



Moderator: Ladies and gentlemen, good day and welcome to the Business Update Call of Gabriel India Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company, as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

Also, please note that since we have recently ended the quarter, the company shall discuss any questions related to quarter at the time of results declaration. Request the participants to limit their questions only related to technical collaboration and alliance with Inalfa Roof Systems for manufacturing sunroof for the India automotive market.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj K olhatkar, Managing Director from Gabriel India Limited. Thank you and over to you, sir.

Manoj Kolhatkar : Thank you. Good aft ernoon, everybody, and a warm welcome to this special investor call that we have arranged. Firstly, I am extremely happy to share that Gabriel India has taken its first step towards diversification into a product beyond the core, which is the suspension sy stems. As you all know, we have a leadership position in the suspension systems, supplying and catering to all segments, right, from two -wheelers, three -wheelers, to passenger cars, commercial vehicles, and railways. And we have been at some acquisition op portunities, as I had mentioned in the previous calls as well. We had looked at a couple of them in the past, however, they were not up to the mark, so we did not fruitify .

And we also, in the meanwhile, were identifying products which could be of i nterest. And, of course, the focus was if the product is agnostic to the powertrain technology, which is, IC engine or electric vehicles, and also it's a high -technology product , so obviously, this was one product that we identified, which is Sunroof, a very high -tech, aesthetic, high customer perception value product.

So, I'm very, very happy to share that we have found a great partner in Inalfa of Netherlands. They are the world's number two in this Sunroof systems, and I'm sure you must have read a ll the press releases. We had a press conference yesterday. We had the formal approval from the board and all the regulatory approvals, so that's very briefly to introduce about today's call. And, yes, as always, we are keen to listen to you and get your f eedback and your suggestions and your comments on this major, as you say, new chapter in Gable l's future.

So, thank you and over to you. Yes, so over to the questions now.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. Our first question comes from the line of Akash Pawar from Sahasrar Capital. Please go ahead.

Akash Pawar: Yes, hi. Good afternoon. Thanks for taking my question. I just had a few questions. First one being, if you could help us understan d, like, in general, what is the cost of sunroof per car? I know it may vary from car to car, but on a blended basis, if you could give us a sense on that. Second one being, who are our major competitors in this segment? And third one, what is the opportun ity size, like, total addressable market for us? Thank you.
Manoj Kolhatkar : Akash, sorry, your voice was a little unclear, but could you repeat the last question? I got the first two. The third question?
Akash Pawar: Third one was, wha

t is, like, what's the opportunity size for us in this segment?
Manoj Kolhatkar : You're talking about growth opportunity?
Akash Pawar: Yes, addressable market, total addressable market for us.
Manoj Kolhatkar : Okay. All right, so, yes, so just to start with your first question, which is, of course, the cost per car. As I said, we are just getting on to this new business. Obviously, we are unable to share or divulge any details of the cost per product but suffice to say that it's a very high -value product in a car. You should understand that, the product is a very highly aesthetic product. It's actually the part of the car, if the sunroof is actually, it is otherwise, if it was in the body, it would have been made by the OEM themselves. This is a part of the car whi ch is being manufactured by a supplier, so it's a high -value product, obviously.
The second question was on competitors. So, here, I'll start with a maybe global perspective that, there are, of course, quite a few players. I would say mainly five or six ke y players. The world's number one is a German company called Webasto, and number two is Inalfa Roof Systems with whom Gabriel has tied up. So, in India, there is only one player currently, which is Webasto, which I just mentioned, who have already set up t hrough a 100% subsidiary in Pune. They have a plant in Pune, and they have also announced a plant in Chennai. So, this is what is the competition currently in India. There are plans of maybe another player coming in, but I'm not entirely sure about that.
And third question was growth opportunities. So, this product goes into the sunroof, and mainly the take rate, as they call it, is very high in the SUV segment, and as you know, the SUV segment is now growing at a very rapid pace. In fact, the highest growt h in the passenger car growth story over the last couple of years has been in the SUV segment, and SUVs now form over 50% of the passenger car market in terms of sales. And in SUVs, the percentage of the sunroofs is very high. In fact, in some models, it i s as high as 70% , in some other models, it is 50%. So, I would say it is safe to state that in SUVs, it is about 40% of penetration of sunroofs or 40% of the SUVs made will have a sunroof in India. And the sunroofs are also there on the sedan and hatch back. Now, even a small hatchback like the Hyundai i20 also has a sunroof. So, it is now starting at that level, but there is a smaller sunroof. However, the SUVs have typically what we call the panoramic sunroof, which is a higher content per car. I hope I've answered all three questions, Akash.


Akash Pawar: Yes, that was helpful. Just one question from my side. At present, what is the cost of sunroof as a percentage of total vehicle costs, like if we say in SUV segment?
Manoj Kolhatkar : Difficult to state that, Akash. I mean, whether I give you a percentage or -- but I can tell you it's definitely an A category item.
Akash Pawar: Okay. Sure, sure. Thank you.
Moderator: Thank you. Our next question comes from the line of Viraj from S IMPL. Please go ah ead.
Viraj: Yes. Hi. So, just a few questions. First is, if we can just talk a bit in a little more detail, one on the JV partner and on the product itself. Globally, in the press release, you said that, they have a close to 25% share. But, what is their s trength? And generally, in this particular product, it seems that there are just five or six major players globally. So, what are the barriers to entry? I mean, how does one really differentiate one from the other? And in that sense, what does a JV partner bring to the table? So, that is one.
And second is, if we can talk a little bit more in detail on the unit economics for the product? So, typically on a steady state basis, what is the kind of margin or return this business, generally does? So, these are two questions to start w

ith.
Manoj Kolhatkar : Yes, Viraj. So, first on the Inalfa side, as I said, they are the number two player with almost 25% market share. So, they started the journey in the 1940s. And from there on, they have been supplying to absolu tely the who's who of the automotive industry across the continents. So, their key customers, just to name a few, in Europe, they are supplying to the Jaguar Land Rover, the Rolls Royce, the Bentleys, the super luxury segment. They're supplying to Scania, Saab, Volvo,

Mercedes, Audi, BMW, Opel, Porsche. So, these are the kind of brands. So, they're all absolutely marquee labels.
And in Asian side, they're supplying to Hyundai, Kia, Samsung, Mitsubishi, Renault, Nissan, Honda, Nissan I already mentioned. These are customers. On the US side, General Motors, Ford, of course, in addition to the global players, like I mentioned, of Mer cedes, Audi, BMW, etcetera. So, their customer spread is really absolutely, top class. That is on the Inalfa customer profile.
And the strengths of Inalfa is, of course, because of these customer relationships, they understand the product very well. And li ke I mentioned, this is a skin panel. I mean, it's part of the body and styling of the car.
So, it is highly, highly valued and highly, I mean, very close to the perception of a quality of a car of the OEM. And the demands of the customer are very high. M ainly, the demands are in terms of one is aesthetics. Second is, there should be no noise. Third is, there should be no dust and water entry inside. Even if there is a sunroof, even if it slides and opens, and then it has to keep doing that function repeat edly over the life of the car. So, it is a very intricate, very high technology, high quality product.
So, which leads us to the second question, which is, the unit economics. It was asked by Akash also. So, you can, that's why I said the value of the prod uct is quite high. It is definitely far more than our suspension system. Several times our suspension system that we supply for a car. In


terms of the steady state operations, we are looking at margins which are, I mean, EBITDA margin s definitely in decensing double digits. So, that is what we are looking at. So, it is definitely a much higher product value as well as margin product compared to our traditional suspension. Mainly because, as I said, it's a high value product in terms of the customers, taking order.
Viraj: Okay, just two more questions and I will come back in queue. One is, you, in the press release also, the interview which we gave in the press, we talked about an aspiration of INR1,000 crores sales by 2030. And that's also looking to spend, INR170 -odd crores over the next three years. So, in terms of the current market structure, say for sunroof India, except for the largest player who has their own facility, is bulk of the market largely catered to by imports? And in t hat sense, when we look to commission our own facility, say Q1 of CY '24, would the scale -up be much faster because there will be import substitution happening, is that the right way to think about it?
Manoj Kolhatkar : Yes, absolutely, Viraj. You are right on the spot. It will be a rapid ramp -up. So, the first order is from Hyundai. And Inalfa, Korea is supplying to Hyundai already. So, we are going to get all the support from Inalfa Korea. In fact, there will be expats also in our, sitting along with us in our new factory site in Chennai. So, we already located the site. And the ramp -up is going to be pretty fast. Our delivery date is also decided based on the localization of Hyundai. It's a high product. So, obviously, localization is very impor tant.
Second, logistically also, it's a very big product. So it makes sense to localize it at the earliest. So, that's how it is. So, it's very much in the line of, as we discussed, the Atmanirbhar and Make in India mi

ssion, where we'll be helping OEMs wi th localization of their very high -value key product.
Viraj: And just last question was in terms of value addition, what will be the value addition in India? So, why I'm asking is, when you say, the sunroof system, the glass, everything, is there the local sources available or? So, in that sense, if you can explain, what will be the value addition we would be doing? And when we say double -digit EBITDA margin, that is after considering the royalty payment to Gabriel India or even to the parent of Gabriel?
Manoj Kolhatkar : Yes, absolutely. It's after everything. I'm talking about EBITDA after everything, every cost has been considered. That is what it is. And in terms of value addition, or I'll put it the other way, I mean, I can't share the value addition, bu t I can tell you that the glass, which is needed, is being localized. We also made a plan, very clear plan for localization already. We have started work on localization. We identified suppliers. In fact, we are in the midst of negotiation with suppliers. However, this will take some time because there will be a validation from the customer as well. But localization of the individual parts will be key. That will happen over a phased manner.
Viraj: Okay, I'll come back in queue. Good luck.
Manoj Kolhatkar : Thank you.
Moderator: Thank you. Our next question comes from the line of N. Puranik from Enam Securities. Please go ahead.

N. Puranik: Yes, I have a question on what's the arrangement you have with Inalfa in terms of technology and in terms of marketing arrangement? What are the markets that you can focus on in any specific segments of the market?
Manoj Kolhatkar : Mr. Puranik, we have a technology agreement signed with them, obviously. Supplier of the technology, developing the product from scratch. They , of course, bring their global customer base, which is how we are getting the Hyundai and Kia orders. In terms of marketing, we have a mixed arrangement because the Indian OEM relationships, as you know, Gabriel are very strong. So, we will be bringing in the Indian customers. We have already discussed with customers in private and I can only tell you that there has been a very, very encouraging response with regard to this product and the need of OEMs to localize this product at the earliest. And the need for a good, reputed player like Inalfa and support ed by Gabriel to cater to this market.
N. Puranik: If you can give a background to the selection of the partner and, more importantly, the product. Why did you choose this product? Is it that this will giv e you significant growth advantage or will it also give you enough and more cross -selling advantage in growing your current businesses? Will there be opportunities that will come by?
Manoj Kolhatkar : Yes, Mr. Puranik, good question. So, why we chose this p roduct? As I already told you, we are looking at a high -technology, high -value product which is agnostic to the powertrain because there is so much of change happening. Everybody is unsure what happens to EV, what happens to the battery, whether there will be a hydrogen -powered fuel cell, whether there will be a hybrid, whether it will be a flex fuel with ethanol. So, there are a whole lot of combinations available and some products will change which are directly dependent on this powertrain.
Sunroof, fortu nately, is one such product which is absolutely completely insulated from this. And, in fact, it lies in the area of Blue Ocean kind of strategy because there is only one player, number one. And, number two, the Indian buyer is now becoming more -and-more a spirational. And if you see, this is mainly in the SUV segment where, as I mentioned, the price elasticity of a customer who is going for SUVs is actually quite high. They are willing to expand and expand a bit in terms of their ticket

size to meet their a spiration. They will not compromise.
Just to validate this fact, I can tell you, and then you can do your, you can in fact check it out yourself, but probably you may also have done the same. Most of the bookings happen in the highest variant of the model. I mean, the fully loaded version sells the most. That is what is a clear trend, particularly in SUVs. Whereas in entry hatchback, it may be different because that is a very cost -driven proposition. But this product is in an area where there is very high g rowth and further huge scope available for high growth as more -and-more adoption and penetration of sunroof happen in this segment.
N. Puranik: And in terms of market geography, which markets will be focusing on apart from India?
Manoj Kolhatkar : India. We have clearly defined the territory as India. But however, the way, of course, the Indian market is exciting. There's enough and more opportunity which is available in India. It's the highest growth market. We are all seeing that. So, I don't see till 2030 that there will be any dearth of demand in India.


N. Puranik: And how big is Inalfa by revenue and profits?
Manoj Kolhatkar : Inalfa is about 2 billion euros .
N. Puranik: 2 billion euros . And very profitable?
Manoj Kolhatkar : Yes. Yes.
N. Puranik: 15%-20% EBIT kind of margin?
Manoj Kolhatkar : Yes, it's not a listed company. That could be difficult to share. They are present in 15 countries globally. They are very widely present. And in terms of engineering centers as well, there are five engineering centers all over the globe. Ye s. And, they have almost some 800 odd patents in the year 2021 itself. Almost 5,500 employees globally. And they do manufacture all kinds of sunroofs.
N. Puranik: So, what other opportunities this agreement provides? Any development contracts? Any other product development contracts with them apart from marketing to Indian customers?
Rishi Luharuka : To answer your question, anything which is required to b e supplied in the Indian country is part of this agreement. A customer may be global, a customer may be Indian. Depending upon the volumes and the economics of it, the decisions will be taken. Indian customers obviously is a good opportunity because the de cision making happens largely in India in those cases. In case of global, their relationship will help us get the business. If the supplies are to happen to the same customer in India. For example, Hyundai is just one of them.
N. Puranik: Excellent. It's g oing to be a big focus for growth. Yes. Going forward. Yes. Excellent.

Rishi Luharuka : In fact, just one more question. Currently, Hyundai and Kia are not Gabriel customers. So, this opens up that customer to us.
N. Puranik: So, enough and more cross -selling opportunity for you.
Manoj Kolhatkar : Absolutely.
N. Puranik: Excellent.
Manoj Kolhatkar : Thank you.
Moderator: Thank you. Our next question comes from the line of Chetan Gindodia from Alfaccurate Advisors. Please go ahead.
Chetan Gi ndodia: Hi, sir. Thank you for the opportunity. Sir, I wanted to understand the capex that we are putting for the plant. I am flushed. So, what can we expect from this plant?
Manoj Kolhatkar : Even your voice was cracking. So, you can just…
Chetan Gindodia: Yes. Sir, I just wanted to understand the 170 crores of capex that we are doing initially for the plant. What kind of asset turn can we see on this?


Rishi Luharuka : So, look, because it's a new entity, some of these capexes are not necessarily machines. So, if we take those, obviously, some pre -operative expenses as well. So, let's go with a number of INR150 odd crores towards productive machines, which are going to be used in the production facility. That, the capacity is around 200,000 units. So, as of now, dependi

ng upon the customer's per unit rate, we'll be in a position to in terms of assets, it's better once we have the first set of numbers out.
Chetan Gindodia: Okay. So, the capacity is currently for 200,000 units?
Rishi Luharuka : Yes. That's the first line of assembly.
Chetan Gindodia: Okay. Got it. Got it. Sir, are there any aspirations you can share with respect to going ahead? What kind of, even further capex that you are looking to make for the en tity? Like 4 -5 years kind of, if you can share, what is your outlook in terms of revenue targets for this new venture?
Manoj Kolhatkar : Yes. So, we, as you must have read in the press release, we expect to hit, INR1000 crores, if all goes well, by 2030. An d for that, we'll have to add, top it up in the current INR170 crores, we'll have to top it up by another INR100 crores -INR1 20 crores.
Chetan Gindodia: Okay. Got it, sir. Thank you. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Dhiral with Phillip Capital. Please go ahead.
Dhiral: Yes. Good afternoon, sir. Thanks for the opportunity. So, what kind of revenue do you foresee that will come to P&L during the first year of operation? That's the next year?
Rishi Luharuka : So, we will, again, these questions are all going to answer the per unit first, the revenue part. But the first year of operation, 2023, is largely going to be setting up the facility. We begin sales in 2024. So, anywhere between INR300 crores to INR400 crores. And we are targeting, again, hopefully, to break even in the first year itself.
Dhiral: First year of sales, yes. Okay. So, when you talk about double -digit margin, so does it mean that, after achieving certain scale, we wil l try to achieve that? Or maybe this will come, from the first year of operation?
Rishi Luharuka : The double -digit steady state is from the second year of operations.
Dhiral: Yes. Okay. And, you also have orders in hand from Hyundai and Kia, right? So, have you also started talking to other SQV majors like, M&M or Tata Motor or even Maruti?
Manoj Kolhatkar : Yes. Dhiral, I forgot to mention earlier, we also, when we did the, well, I think it was Mr. Puranik who asked, why this product? Whi le this product was, of course, meeting all the criteria. Another thing was, the voice of the customer. So, we have been talking to customers regularly over the last couple of years and advancing our interest to the customers that we are willing to look at some new products in Gabriel. So, one product that, came as a suggestion from most of the customers was actually Sunroof. So, we have been in discussion with them, with all the key QEMs, and I can only say the response from them was very encouraging. We'v e already got,


based on yesterday's press release, many of them have actually voted back to me already, stating their best wishes.
Dhiral: Okay. Thank you so much, sir.
Manoj Kolhatkar : Thank you.
Moderator: Thank you. Our next question comes from the line of Dharmendra Grover from Helios Capital. Please go ahead.

Dharmendra Grover: Yes. Good afternoon, Mr. Kolhatkar. Can you hear me?
Manoj Kolhatkar : Yes, Dharmendra.
Dharmendra Grover: Yes. Hi. So, this is the first serious attempt from Gabriel to go beyon d ride control. So, is it a more strategic thing in nature, and will there be more forays that we can expect like this?
Manoj Kolhatkar : Yes, absolutely. So, that's why we made it clear. This is, you rightly said, this is the first, first big step in our d iversification strategy. And, Dharmendra, actually, we have been, working at it for some time. There were some targets which we had evaluated, which, of course, did not come through.
However, the good part is this one, which is really – we are all really e xcited about the product because, as I said repeatedly, because of its real high value. This has

come through with, the world's number two. So, it august's very well. And this is the start of our diversification strategy. And we will certainly be looking at more opportunities for sure.
Dharmendra Grover: And in this joint venture, did you go out and seek the JV partner or did they come and seek you in India?
Manoj Kolhatkar : Well, it was actually a mix of both. A mix of both and also with, the kind support of the OEM.
Dharmendra Grover: So, it has kind of – so, once you heard what the OEMs were saying, they put you on to the JV partner?
Manoj Kolhatkar : Yes. And we were also reaching out to – we had identified Sunroof as a category. And we were also reaching out – already had reached out to several Sunroof makers. And, the customer definitely here, did help us a lot.
Dharmendra Grover: Sure. And can you give us any timelines as to what other forays and by when we can hear something about it?
Manoj Kolhatkar : Well, this is the first one. So, we need to, of course, get this off the block and digest this. So, but yes, I mean, it would not be out of place to say that hopefully within this fiscal itself, we may look at another one.
Dharmendra Grove r: Okay. Ye s. Thank you.


Manoj Kolhatkar : Thank you.
Moderator: Our next question comes from the line of Pratik Banthia from Girik Capital. Please go ahead.
Pratik Banthia: Yes. Hello, sir. Sir, just to understand, so for Inalfa, this will be the – it will be like, are they already supplying in India or it will be the first time they will be doing?
Manoj Kolhatkar : They are supplying. Currently, Inalfa Korea supplies to both Hyundai and Kia from Korea.
Pratik Banthia: Okay. So, the 7 lakh market size wh ich you expect for 2023, it includes the sales which is going to be under the joint venture now?
Manoj Kolhatkar : Yes. Ye s.
Pratik Banthia: Okay. What sort of market share are we eyeing over the next three -year period?
Manoj Kolhatkar : The market share, I mean, obviously, we are looking at, I mean, being in the top two, I mean, yes, Webasto has the first move advantage here. So, it would be difficult for us to tell about, whether we can be number one. But definitely, as I said, in the top two, we shou ld – we are in for that.
Pratik Banthia: Okay. So, you mentioned Webasto has put up 100% subsidiary and there is one more company of CIE Group, CIE Goldie, having a plant in Pune. Yes. So, are they also big and serious competition to us?
Manoj Kolhat kar: CIE Goldie also is a supplier of sunroofs, yes, globally. But as I said, in terms of global pecking order, they would be number four, number five.
Pratik Banthia: Okay. And that would be the case in India as well, I mean, as per your competition?
Mano j Kolhatkar : Yes.
Pratik Banthia: Got it. Okay.
Manoj Kolhatkar : In terms of technology, I think Inalfa and, very honestly, even the leader, which is Webasto , both share a very comprehensive technology basket of products and, spreading across the whole range of sunroofs.
Pratik Banthia: Okay. And if I heard you correctly said eyeing INR400 crores sales in two years. Is it correct?
Manoj Kolhatkar : Yes.
Pratik Banthia: Okay, sir. Thank you very much.
Moderator: Thank you. Our next question comes fro m the line of Chirag Shah with Whitepine. Please go ahead.
Chirag Shah: Yes. Thanks for the opportunity. Sir, my first question is quite a different one. Why this acquisition happened in a listed company? Because if you look at the Anand Group, it is not t hat

they have many businesses in the ancillary space which are not a part of subsidiary. This is the
first time, in fact, a single company will have more than one business.
If you look at the structure of the group, there is a separate company for each lin e of business,
broadly speaking, except for one or two excepti

ons. So, is there a change of thought process
from the promoter and can we expect a consolidation happening in the existing list of companies
also?
Manoj Kolhatkar : No, it's only that we, as, I mean, as Gabriel as a company, we were too dependent on a single
product, which is suspension, where we have made, a good mark and we have attained the
leadership position. So, it was always in our radar to diversify into products. We were only
debating wh ich product. So, Sunroof today is the right product. You know, maybe even one year
back, it would have been even better. Before, for example…
Chirag Shah: The voice is cracking actually.
Manoj Kolhatkar : Is it any better now?
Chirag Shah: Yes.
Manoj Kolhatkar : Yes. So, what I was telling is Sunroof, makes sense, more sense today. But let's say four years
back, just before pre -COVID period, the penetration of a Sunroof in passenger car was hardly
2%-3%. You know, so it did not make much sense then, but today it is certainly making huge
sense because the penetration now, people have got taste of the product and it is, increasing.
That's why, we narrowed down on this product. And Gabriel has always been, what I told earlier,
maybe my voice was cracking, b ut what I was mentioning earlier was that Gabriel was dependent
on only one product, the suspensions. And in suspensions, it has achieved, I mean, thanks to all
the customers, we have achieved the leadership position in India.
And if you have seen in our v ision also, clearly we have stated M&A as a clear pillar of our
strategy. So, it was always on the cards. We were only waiting for the right product. And I think
there couldn't have been a better product than this Sunroof for us to take this first step.
Chirag Shah: No, it's a great product, good choice actually according to me. Because when you look at the
presence of the Anand Group, this is a big deviation done by them where they are having two
products or two different type of joint venture or technology arrangements in a single company
in that sense. Otherwise, they have a separate company for a separate product slash company.
Manoj Kolhatkar : That's right. See, finally, we have to see how to create value for the shareholder, right, I mean,
continuously. So, that was the driving force and which we have been, as I said, we have been
working at it for some time. Today, it has come to fruition. And this is just the beginning yet.
Chirag Shah: The second question is that your thousand crore revenue expectation that you indicated over
2030, by 2030, what kind of market share you are assuming that you will have to have that
number? Is that Hyundai, Kia with 60% -70% penetration with them will help you to achieve this




number or this assumes more than one OEM? If you can just highlight, how do you think about
this INR1,000 crores number in terms of how it will come across?
Manoj Kolhatkar : So, Chirag, ye s, you're pretty much right. You know, the major customer would be Hyundai,
Kia. But yes, defin itely, we will be looking at other customers. You are very well aware of the
deep relationships we have with, all the OEMs, but in particular Tata's, Mahindra's, Maruti,
Suzuki, Toyota, for sure, within them, within these four or five customers that I spok e, we are
talking about 90% of the market.
Chirag Shah: 90% market.
Manoj Kolhatkar : So, ye s, right.
Chirag Shah: I presume the business model would be like, there would be one key supplier who would have
maybe 60% -70% of the share of business and there co uld be a number two supplier for strategic
returns by OEM, right? That is the way to think about it. So, for example, Hyundai, Kia, you
may be 80% of the partner ultimately of their requirement and 20% would be somebody else.
That would be the business mod el that would evolve in the industry or it will be more like
suspension where it could be re

asonably distributed into a market share?
Manoj Kolhatkar : No, I mean, from what we have learned from Inalfa, the pattern is more there's one, I mean, a
dominant su pplier and then there's a second supplier.
Chirag Shah: So, in case you are able to make a breakthrough with other OEMs, you could be among the
dominant suppliers. That would be the aim over a period of time?
Manoj Kolhatkar : Yes. And the second point is, just to make it clear, here there is no dual sourcing. You know, if
one model is one, it is only with that because it's just too expensive.

Chirag Shah: Yes. Precisely. From that perspective and given the platform sharing nature, it is actually more than one model, act ually?
Manoj Kolhatkar : Yes. And also, it depends upon the kind of sunroof that is required. For example, it may be a single glass, small, what we call as TVS or it may be a panoramic sunroof, the one we are planning to have. That will also determine as to which sort of segment in the model that you want to go for.
Chirag Shah: Let me clarify, you are only looking at panoramic or you are also looking at TVS?
Manoj Kolhatkar : We are looking at others, but at the moment, we are beginning with panoramic.
Chira g Shah: You are beginning with panoramic. Okay. So, even in Hyundai, for example, something like i20, you may not be supplying, but you may be supplying to say Creta. Just as an example, I am saying?
Manoj Kolhatkar : Precisely. Creta does have a panoramic sunroof.


Chirag Shah: Yes, while i20 doesn't have a panoramic sunroof. It has a normal TVS sunroof?
Manoj Kolhatkar : Yes. And, Chirag, panoramic is a much higher value than a TVS sunroof.
Chirag Shah: Yes. It is. Okay. Last question, if I can just squeeze in one more question. If you can help us understand the different components of the raw material basket. Ye s. If you can, in terms of percentage, I don't want absolute value, but between glass and other parts, how that structure would be. If the raw material basket is INR100, how the broad breakup is. And I presume you are looking to localize most of the things in first year itself?
Manoj Kolhatkar : Chirag, so we have, as I said, we have a clear localization plan, drawn . However, I will not be able to share the details. You should understand that we also have a partner here. So, the details would be right now. We are unable to disclose with you. But ye s, localization plan is a strong pillar of success.
Chirag Shah: Thank you. It's a last clarifi cation. When I read it, when I read the press release of today, it indicated you ultimately have 49% and 51% will be with Inalfa. First, we are acquiring 100% and then there is some rearrangement where Inalfa we will have 51% stake . Is that th e understanding correct?
Manoj Kolhatkar : Yes, I'll give the reasoning for that. See, we have got this order as a localization plan for Hyundai. Right. So, there is a clear target that they have in terms of meeting the timeline. Now, while we have applied for the GAV, the requisite approvals are under process. We don't want to stop the proceedings. So, we have entered into a TA so that we can start, we can hit the ground immediately from today onwards since we have made it public yesterday. And meanwhile, t he processing of the application is going on. So, we will have no delays.
Chirag Shah: But why are you not adding 51%? Is it a requirement coming from Hyundai itself that they will…
Manoj Kolhatkar: That's a discussion, of course, with the partner and the partner brings in technology, the partner brings in customer relationships, global customer relationships.
Chirag Shah: Okay. Okay. And export can be an area of opportunity or it's too early to even talk about it?
Management: Well, it can be an… I mean, why not? I mean, you know, everybody who's here has got to explore with sunroof. It might be a bit of a cha

llenge in terms of the logistics. But ye s, we, you know, we'll have to see as we, you know, mature into the alliance.
Rishi Luhar uka: Yes. The country was importing. Exporting also is just exactly the reverse part of it. So, it can happen.
Chirag Shah: Fair point. Thank you very much on all those.
Manoj Kolhatkar: Thank you.
Moderator: Thank you. Our next question comes from the line o f Divyansh Gupta from Taxila Investments. Please go ahead.


Divyansh Gupta: Most of my questions were answered, but there are a couple of questions that are left. So, in the previous quarter's con call, you had mentioned that you had a plan of 150 crores of capex for the year. So, is it a fair assumption that, let's say, this capex for the JV is going to happen in parallel with the earlier planned capex , or there is some postponing of that capex ?
Rishi Luharuka : No, Divyansh, you are right. This is absolutely separate from what we have spoken in the previous investor call. Divyansh?
Moderator: Management members, the line of Divyansh Gupta has dropped from the question queue. We

move on to our next question, which is from the line of R iddhesh Gandhi from Discovery Capital. Please go ahead.
Riddhesh Gandhi: Hi, sir. You know, we are sitting on a reasonable amount of net cash, and obviously generating also a reasonable amount of free cash flow. Are there areas except of this, because you had indicated on your last con call that there are advanced discussions happening on potential acquisitions. Is this what you are referring to, or are there other discussions also ongoing at the moment?
Manoj Kolhatkar: Yes, it was this. In fact, it was on e of the two opportunities we have foreseen. As I said, the other one has not come through for valid reasons, but this is the one that has come through. So, clearly, when we spoke about acquisition, it was clearly this one that we spoke of.
Riddhesh Gandhi : Got it. And what I want to understand is that, you know, what is the plan of the use of the free cash flow? Because even with this incremental capex which is there, given the amount of free cash flow which we generate, what we already have on book, what is this sort of plan with regards to the deployment and the capital allocation?
Manoj Kolhatkar: See, one, as we had mentioned in earlier calls, you know, last year we had made an intervention to increase our backward integration and augment our casting ca pacity, aluminium casting which is needed for the front fork. So, we took a clear objective of reducing our imports from China. That is how we enhanced that capacity. And this year also, we are doing the second phase of enhancing the capacities on the same aluminium casting. So, clearly, there is some part of backward integration, some part of regular capex, and yes, this new, you know, JV that we announced. And as I said, this is not the end. Obviously, we will be looking at more going in the future.
Riddhesh Gandhi: Got it. And just the last question is with regards to what is the internal hurdle rate we use with regards to capital allocation, either in terms of, I mean, equity IRR, steady state ROC, or how are we looking at it? On the payback period , how are we looking at it?
Rishi Luharuka : So, it all depends upon the kind of investment that we are looking at. For example, something which is towards ESG will be looked very differently as compared to a capacity enhancement, as compared to a quality enhancement for that matter. An investment of this kind into a joint venture is also having its own hurdle rates. And, you know, we have spoken about this in the past. In the range of 20 odd percent is what we typically like to look at in les s than five years.
Riddhesh Gandhi: Got it. Understood. Thank you and all the best.


Moderator: Thank you. Our

next question comes from the line of Jinesh Gandhi from Motilal Oswal Financial Services Limited. Please proceed.
Jinesh Gandhi: Hi, sir. Congrats on this, JV. A couple of questions from my side. One is with respect to the current import levels of Sunroofs. Would it be fair to say that import levels are upwards of 50% in Sunroofs, or how that would be?
Manoj Kolhatkar: We lost you, Jinesh. Can you repeat that?
Jinesh Gandhi: In terms of level of imports today in Sunroofs, would it be very high?
Manoj Kolhatkar: Yes, yes. Obviously, it will be very high to start with. But the bigger commodities like the glass is what we are targe ting.
Jinesh Gandhi: My question is about the Sunroof system, the current imports in the industry. Would it be very high? I'm not talking about the localization part of the inputs to do with the Sunroof systems for the industry today.
Manoj Kolhatkar: Yes, the import content is high for Sunroofs. And as I said, we have planned a localization of the key parts over a phased manner. Of course, it will take two to three years.
Jinesh Gandhi: Okay. No, sorry. My question was, the Sunroofs which are being used to day in India, are largely imported or it's being assembled in India or made in India that way?
Rishi Luharuka : Jinesh, apart from Webasto, there is no other competition or there is no other supplier in the country. Let's say 200,000 to 300,0 00 is the sort of Webasto supply. So, remaining everything is an import in the country.
Jinesh Gandhi: So, you said Webasto has 200,000 to 250,000?
Manoj Kolhatkar: For sure, but that's what the Chennai plant operations states, the press release.
Jinesh Ga ndhi: Okay. And for us, when you're saying 1000 crores , it effectively means that we have to double our capacity from 200,000 today to achieve that 1000 crores. That again would be fair?
Manoj Kolhatkar: Yes, that's right. We'll kind of have to double the capacity.
Jinesh Gandhi: Okay. And lastly, for the future product categories which we'll be looking at, so how are we evaluating it, especially considering that within the group also there are various businesses and growth plans at their end. So , how are we looking at and evaluating those categories in terms of approach to that, understand eventually something will materialize and something won't materialize?

Rishi Luharuka : So, in terms of the overall group, again, when any produc t or any category is looked at, it's not from a company's lens that is looked at. So, once the product is looked, its numbers are evaluated, the challenges are looked at and then obviously which is the best place to be in terms of its synergies , in terms of the bandwidth which is available, in terms of customer connect, in terms


of the product alignment, those are the decision makers as to which company will it be sort of anchored with.

Jinesh Gandhi: Okay. Got it. Great. Thanks in all the best.

Moder ator: Thank you. Our next question comes from the line of Pankaj with Affluent Assets. Please go ahead.

Pankaj: Thank you a lot for taking my question. So, I just wanted to understand, as you mentioned that you developed the product from roof system, as you mentioned in your introductory remarks that it is part of the vehicle. So, would that mean that it would be customizable, customized product for each and every OEM and for each and every model? So, I just wanted to understand the stickiness of the client.

Manoj Kolhatkar: Yes. It will be totally customized because it has to meet the body styling, you know, the A surface of the car body, right? So, it will be totally customized.

Pankaj: So, you are in alpha would be the ODM manufacturer of the product, right? System. Design and Development would be done by your company.

Manoj Kolhatkar: Yes.

Pankaj: Accordingly, the margins will be better.

Manoj Kolhatkar: Yes.

Pankaj: S

econd thing, you also mentioned that you are looking for developing or indigenization of the part which goes into the system. So, do we mean to say that we will be also supplying the parts to the leading manufacturers?

Rishi Luharuka : No. So, if your question is that if we are able to develop a part will be supplied to Webasto, is that the question?

Pankaj: So, my question is since you will be looking for indigenization of the part of the system. Okay.

Moderator: Dear management members, Pankaj has left the question queue. We move on to our next question, which is from the line of Viraj. We move on to our next question, which is from the line of Viraj from S IMPL. Please go ahead.

Viraj: Thanks for the opportunity. Just a few questions. First is on the, you know, this whole arrangement of JV. And, you know, if you look at the approach typically with Hyundai and its vendors, you know, they typically go with a, you know, own setup kind of approach. So, even with the JV partner, the kind of scale has, one would logically think they could have easily set up the shop on their own, you know, just like how Webasto did in India. So, you know, what is the thinking behind choosing or getting into JV and that too with Gabriel? So, that is the first question.


Manoj Kolhatkar: Okay. So, I mean, of course, you know, the JV part, I mean, let's say a global player is always on the lookout for, you know, a good, reliable Indian partner because India is, you know, that very complex country. And they would definitely, you know, benefit from, you know, deep relationships of, you know, Star groups in India, particularly who ar e known for, who stand for their governance for ethics versus ESG policy and philosophy, you know, and so on and so forth. So, and of course, quality and delivery standards, the market reputation. So, they also look for, you kn ow, reliable partners in Indi a.

Everything can be done 100%, but then it's a mix of both, you know, both strategies. It's very difficult to say which one is the right strategy, right? So, I mean, they also did their, obviously, due diligence with the OEMs and the market. And obviously, Gabriel and Anand did, you know, stand out as a good, reliable partner.

And even from our side, when we met them, you know, their customer centricity, their people orientation, their high ethical standards, governance standards, what we saw in I nalfa also was a very good value match with regard to our own values at Anand Group. So, that's how, you know, we have gone for this JV. And it's, I mean, it's not one, you know, one size fits all. So, some may go for 100%, some may go for a partnersh ip.

Viraj: Okay. And second question is, you know, if you look at the market currently, as you said, it's close to 5 lakh unit market in terms of demand. But in terms of, just want to understand a little

bit on the market structure. So, if you look at Weba sto, you know, they had close to 2 lakh, 5 lakh unit and they just recently expanded and doubled their capacity to 5 lakh. And we are looking to set up a 2 lakh unit and looking to capitalize first with Hyundai and Kia.
So, in terms of opportunity to say scale up to other OEs, X, outside Hyundai, Kia, is it that, you know, they already have those relationships with the parent companies, you know, at the global level, I can say with Suzuki or, you know, other major players. And hence, you know, that is what driving a faster scale up for them. So, just trying to understand, you know terms of opportunity for growth, X of Hyundai and Kia for us.
Manoj Kolhatkar: I mean, Hyundai and Kia is something where Gabriel did not have a relationship, while Anand Group de finitely has. So, that's one plus that we got by this JV. They have a very, very strong relationship in Inalfa Korea. But now, now that we are in a JV, Anand and Gabriel, I mean, Gabriel brings to

the table the deep relationships with Tata, Mahindra, you know, and of course, Maruti Suzuki. So, naturally, we will be able to, and as I said, we have already got a lot of interest from these OEMs, regards to this JV. So, we should be able to definitely expand beyond and that's the whole part of it. Expanding beyond just two customers.
Viraj: Okay. And just one last question. In terms of the royalty and the fee p ayment, typically, what range that could be for the JV?
Rishi Luharuka : See, broadly, the shareholders, eventually, the range of 4 -5% is the payout, depending upon which stage of the JV they are in.
Viraj: Okay. Thank you.


Moderator: Thank you. O ur next question comes from the line of Devansh Gupta with Taxila Investments.
Devansh Gupta: So, you mentioned that in the first year, you are planning to break even and then the steady state margins are expected in the subsequent year. So, let's say by 2 025, right?
Manoj Kolhatkar: Yes.
Devansh Gupta: But you had also mentioned that the localization is planned over two to three years. So, that should further expand the margin, right? So, is it fair to state that two to three years down the line, the actual full -fledged higher margins will show up for the product?
Rishi Luharuka : That's what it looks like at the moment. There would be inflationary pressure as well on the business that we will have to see as the year progresses.
Devansh G upta: Got it. Got it. And Inalfa , when you had mentioned the range of clients that it serves, right? In Europe, you mentioned all the luxury car customers like Range Rover, Mercedes, Audi. So, is it... And while in India, they are doing Hyundai and Kia, which might be more economy, but is the product more suitable for, let's say, a high ticket size price vehicle and will require a lot of customization in India to, let's say, price it down for the Indian ticket size?
Manoj Kolhatkar: No, Devansh. I m entioned a whole host of customers, including Volkswagen. Why I mentioned the luxury brands is they have that technological competence to even meet exacting standards and demands of these high -value luxury brands. And they also serve BMW, Ford, Volkswagen, Saab, Renault, Nissan, and of course, Hyundai, Korea, Mitsubishi, Honda.
Devansh Gupta: So, operate across the ticket size.
Manoj Kolhatkar: That's why one reason why I selected the partner also was their really strong technical expertise and this value o ffering cutting across the entire product portfolio from an entry -level sunroof to a really fully loaded sunroof, which goes into, as I said, a Bentley.
Devansh Gupta: Got it. Understood. And just last question. It might have been answered. I got disconnected. The earlier plan of 150 crores of capex is still on, right? Well, it's not that it's going to get delayed.
Rishi Luharuka : No. Ye s, you're right. It's not impacting the plan for Gabriel India.
Devansh Gupta: Got it. So, funding for this will lead to some external debt borrowing, given, let's say, cash balance and capex for two years and cash flow management, cash flow from operations expected?
Rishi Luharuka : Well, while we would not need it, but just to maintain a healthy debt equity as well as leveraging levels for the entity, we would be doing a mix of both equity and debt for the new entity.
Devansh Gupta: Got it. Got it. Understood. Thank you and all the best.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Manoj K olhatkar for closing comments.


Manoj Kolhatkar: Thank you so much, everybody. You know, so we are, as I said, we are really excited and I could also see from many of your questio ns and reactions and, you know, comments that you also share the excitement that we have in terms of taking thi

s, you know, really big step into diversification strategy, which will clearly, you know, spell better and higher value for the shareholder. This is what is our endeavour . And choosing, you know, when we choose partners also, you know, we keep in mind that the partner has to be among the best, which is the same philosophy we have applied here.

We have chosen a really top class partner with top clas s products and deep expertise in this product. So, we are sure, you know, that we will, you know, taste success in this and on our journey, you know, pursuing excellence in the core product suspension, which definitely remains the mainstay. Our vision ther e continues to be the same in being the top five globally in the suspension systems. And this, of course, adds on, you know, to expand our portfolio and thereby, you know, mitigate our risk in terms of a company. So, thank you. Thanks, everybody. Well, we'll, of course, meet again on the call after the May results.

Moderator: Thank you. On behalf of Gabriel India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Aug 2023



“Gabriel India Limited
Q1 FY '2 4 Earnings Conference Call ”
August 16 , 202 3

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Moderator: Ladies and gentlemen, greetings and welcome to the Gabriel India Limited Q1 FY24 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions, and expectations of the compan y as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
Currently , all participants are in a listen -only mode. A brief question and answer session will follow the formal presentation. If anyone should require operator assistance during the conference, please press star and zero on your telephone keypad. As a reminder, this conference is being recorded. It is now my pleasure to introduce your host, Mr. Man oj Kolhatkar, Managing Director from Gabriel India Limited. Please go ahead, sir.
Manoj Kolhatkar: Thank you. Good afternoon, everybody. This is Manoj Kolhatkar. And along with me, I have Rishi Luharuka , our CFO, and Nilesh Jain, our Company Secretary, a s well as our Advisors , SGA, joining on this call. So, I hope you're all doing well, and you have had a chance to go through the results that we published on our board meeting day on 14 of August. And I'll just give a brief overview of the company's operations and take you along the slides of presentation.
So, starting with slide number five, which is the financial highlights slide. I'll just read the title so that we are all on t he same page. This is financial highlights of the first quarter, April to June 2023. We had a revenue of Rs. 805 crores, which is the highest ever in a quarter that we recorded. This is of course, in the back of some good overall automotive industry volumes. And I'm glad to sh are that we did EBITDA of 8.6%.
We'll come to that later, but we have taken the EBITDA upwards, as we have been discussing on several calls in the past. And obviously, the PBT has the same impact of improved EBITDA. So, year on year, if you see, the revenue grew by 11% and the EBITDA grew by over 30%. So that is the kind of cost control that we have been able to do, mainly through, as we had discussed in several calls earlier, through our CORE 90 program, which is a cost reduction 90 days program.
The PV, just to talk on the different segments, the passenger car segment witnessed a 9% year on year increase in sales during the first quarter. The quarter continues to see strong order book on inquiries, improvements due to, you know, obviously seen in the semiconductor suppl ies as well. Though not entirely gone away, but there's a clear improvement. So that's why, you know, the volumes are more predictable as well in the passenger car segment. And of course, the introduction of many n ew mod els that we have seen.
Further, due to a favourable monsoon condition, still so far, I understand that, you know, this last week has been a little low in terms of Monsoons , but there is still time to go. But overall, this has increased the farm income and rural demand for PV has also increased noti ceably.
Coming to commercial vehicle segment . Sales in commercial vehicles fell by 3% in the quarter. This could be attributed to many people doing a pre -buy because in the month of April, we all know that we had to implement the BS-VI phase 2 regulations and the OBD2.

So, both the two -wheelers and the passenger cars were smaller extent because they were already geared up for OBD2, On-Board Diagnostics 2 . But commercial vehicle did have an impact, so there was a kind of pre buy that happened in the previous quarter. That's why we are seeing a little bit dip in this quarter. But despite this, the commercial vehicle remains optimistic with growth expected to continue. This is bolstered by the ongoing infra development in the countr

y and robust economic activity.

Further advances in Last Mile connectivity and improved e -commerce are expected to strengthen the commercial vehicle supporting future demand. So, this we are clearly seeing more demand in the higher tonnage vehicles and on the other side the smaller comme rcial vehicles due to mainly the Last Mile connectivity and e -commerce you are already now. Our two-wheeler sales increased by 11% in Q1 compared to the same quarter last year. So tha t is some good news, of course.

Although the sales are nowhere near what we did in 18 -19, or let's say the best year. I mean, that was the best year, 18 -19. But there are indications of a resurgence in rural demand, aided by the availability of more accessible financing options, introduction of new vehicles, and all these pri ce increases having been, to some extent, digested by the market. And we are also seeing a very good growth, particularly in the premium category, and a robust replacement demand.

A key catalyst driving a recent momentum in EV was the FAME subsidy, we all know, which resulted in a huge surge, particularly up to the month of May. And in June, we saw the subsidy being taken away. So obviously, in terms of electric two -wheelers , this did impact the industry and the volumes fell by 50%. Of course, here again, May was a pre -buy story, so people did buy over a lakh of two wheelers, but in June and July, the volumes have dropped to almost 50,000.

We'll have to see how this pans out, but yes, the OEMs are taking this challenge and introducing newer models which are more cost efficient. We have seen some of those launches already. The three -wheeler has increased tremendously due to opening of the entire economy, opening the country, if you ask me, opening up our own minds to shared public transport. So, we have seen 89% increase in three wheelers . In Q1, this segme nt had its third highest sales. This is again mainly due to the short distance commuting , which you all know. And the electric mobility in this space, again, has seen a great traction. And that continues to grow, as was seen even last year.

With the new launches planned, we are seeing strong growth in ICE segm ent. While there's a lot of talk on EV, rightfully so, but even there are some good ICE products being introduced and conditions being launched by OEMs. Gabriel is well positioned to meet the rising demand for all these products.

Our R&D invest ment prioritizes new products and portfolio expansion. We are committed to increase market share to gain new customers and will be sharing when we come to that slide. Customer satisfaction and adaptability continue to drive our outperformance in th e auto industry.



Having said, given this brief backdrop of the industry, I'll get back to the presentation, to slide number six, titled Financial Highlights. The revenue, I already mentioned, grew by 11.8% year-on-year, and even on the quarter -to-quarter, it grew by almost 10%, and EBITDA grew by 35.7%, so almost 36% on a year -on-year basis.

And if you see on a quarter -to-quarter, it grew by 32%. The balance sheet position also is healthy. We have a net cash of INR323 crores. And capex, which we incurred, w as almost INR14 crores, mainly towards R&D investments and some capacity increases. And this is the main capex that we incurred. Also, for some technology improvement that we did in our process like installing or increasing our robotization in one of our p lans.

Coming to slide number seven, which is the track record, it's pretty much the same figures in a different format, so I'll not spend time on that. Slide number eight is the quarterly performance trend, so you can see the margin uptick in the last, Q1 data point. And ROC also on an annualized basis is, anything as high as 40% currently.

Coming to slide nine, again, it's the P&L sta

tement, so we have already discussed that. I'll
move to the trend charts on slide number 10, which are key ratios. Slide 10 is again, 10 and 11 are the key ratios, so I'll skip that as well. But coming to slide number 12, which shows the revenue mix. So clearly, we have seen improvement in the passenger car portfolio. It has gone to 24%, two -wheeler at 61%, and aftermarket at 1 3%. Which is good news. This balances the portfolio a bit better.

This is mainly due to many of our passenger car launches now, seeing production, so like we have seen the Maruti Jimny, we have seen the, of course, earlier Alto, the new Alto of Maruti, then we have seen also, you know, the Mahindra models doing very well, and a huge waiting list even now, as we speak. So, this has really helped us improve our passenger car share in the portfolio. In terms of channel mix, it's, I mean, of course, OE is 83%.

Aftermarket did improve. I think we have been pushing continuously both the core products, as well as we have tried to put some energy into pushing our tyre and tube sales, which are mainly two -wheeler and three -wheeler segment. So that has also done reaso nably well. And exports continue at 4%.

Coming to slide 13 and 14, mainly again on cash flows. We already discussed that. Now I'll skip the earlier slides. I'll come to slide number 20. Our mission, I mean, the vision remains the same of being the global t op five. Now, coming to slide 20, which talks about the performance segment wise. So, the first segment I'll brief you about is the two -wheeler and three -wheeler segment.

So here we have seen 61% of total sale and 32% market share is what we command now. So again, many new launches and we continue to get a good healthy business pipeline going forward. EV, I'll come to that later. But you saw the latest launch yesterday made by Ola, so I'm happy to share that all the models shown, including the motorcycle, is with Gabriel.



So, if you come to slide 21, which is the story on EV, we are seeing 73% share of business in EV two -wheelers and three -wheelers, of course. 3W also we continue to supply to th e top leaders in the segment, Mahindra, Bajaj and Kinetic Green. And in two -wheelers, we are there on Ola, Ather, Ampere, TVS, of course Okinawa and Simple Energy as well. This while we have seen a couple of months which are low, our Ola volumes are strong, and we continue to see good pull by the customers. And these new models which we saw yesterday, one model being launched at less than Rs. 80,000. So, we are seeing a lot of push and a lot of pull coming from the customer on this front. Slide 22 is on the new product that we introduced. This is, I shared last time that this is the front fork for the e -bicycles, which are a huge trend in particular Europe, because they're highly environmentally conscious. And this also actually offers a very good way of tran sport, especially if your infrastructure is safe and good, which is what we see in Europe.

So, there's a tremendous demand of this segment. So, we had exported our first, this is done along with Hero Cycle, so under the name of SPUR . So, they had expo rted the first thousand pieces and the feedback has been good. Performance feedback has been good. There is feedback on some weight reduction that we have to do, which we're working on. And we will probably look at, again, pushing this and trying to get more customers in, at least get some orders in the next quarter.

We also got in touch with some Indian key bicycle manufacturers, while this is mainly export focused, but we're also looking at, to increase our business within, or at least have Indian custo mers also buy these products from us now that we make this product.

Coming to slide 23, this is on passenger cars. I already shared that 24% market share is what we have gained now. So Maruti Suzuki Jimny, which again h

as had a good response. And now
we are happy to share that we are already on the E KUV of Mahindra, which did not do very well, but we are now on the Stellantis E Citroen C3. So, this is the second electric passenger car that we have got in our portfolio now.

And in terms of future developments, we have the new platform of Volkswagen. Currently, what we are seeing is the Volkswagen Virtus, Taigun, and Skoda, Kushaq and Slavia. So, these volumes are now doing very well, and the entire business is with Gabriel. And we a lso already got the business for the new platform, the MQB 2.5.

Now coming to the slide 24, you can see the pictures of all the SUVs that Gabriel is supplying to. And SUV is the growth story, as you all know. Over 50% sale in the passenger car segment is SUVs , and we are well entrenched there. So, you can see the Volkswagen, Skoda, the Toyota H yryder and the Suzuki Grand Vitara, the Suzuki Brezza, the Mahindra Thar, XUV700, Jimny and of course, you know, what is called as the world -class Mahind ra Bolero. So, all this continues to be the portfolio from service by Gabriel. So, it is a strong story.

Coming to slide 25, commercial vehicles. Yes, our market share continues to be almost 90%. Business pipeline also is good. Our story with DA F on exports is extremely well as I shared last time. I'm not sure if I shared, but we got the quality award second year in a row. They have a 10 PPM Award in the PACCAR world, and we have been recognized for that. So that is opening new doors for us, for sure, in the PACCAR world.

But it's been a very good success story as far as DAF is concerned. And now we are working on some, as the Indian CV makers also move or evolve towards higher tonnage vehicles with better comfort, we are also seeing a new requirement for high damping force dampers, which we are already supplying to DAF from Tata Motors as well, and we are currently in advance discussions to close this business order as well.

Slide 26 is on railways. We always tell that this is a very s mall portion, but again, we are proud that we are the only Indian supplier that has been approved for Vande Bharat. We also added electric locomotive to our portfolio. We have our presence on every product that Indian Railways has, from LHV coaches to Shatabdi, Duranto, Vande Bharat, Train 18 and the locomotives. We are there on the entire spread and we are also exploring now, as we speak, some opportunities for exports. We will have to see how this pans out, but we are putting in focused efforts towards exploring markets overseas for railways.

Slide 27 is aftermarket, which has seen an inching up in terms of the overall size. We are at 14% of the total sales for this quarter. W e have been pushing this in B&C class town. We are adding new products. As I said, a specific push was, you know, put on the tyres, and tubes, which is doing well. We are also looking at opening some more new geographies particul arly in the Latin America region. And let's see how that goes. But aftermarket continues to be a strong pillar of our overall sales.

Slide 29 is our new company, new JV, which we started with TA as we did mention last time, after our call for the sunroofs. So, Inalfa sunroof, I'll come to the picture, but plant is almost ready. The demand is very strong from the customers. I already shared that we've got the order for Hyundai and Kia, but we already met Mahindra, Tata, Maruti Suzuki, Renault, and MG. In fact, all the customers, and there's a very high level of interest. We had tech shows in Mahindra as well as Maruti recently at the group level, where we had demonstrated this product as well.

we are seeing a lot of interest from customers on the sunroof business , because obviously the demand for sunroofs, panoramic sunroofs in every SUV are almost nearing 70 -80%. In some models, they have been sayin

g that customers are wanting 100% sunroof. So really a very,

very good product to be. And now we are focusin g on getting the plant started. The machines will start arriving in the month of September. They've already been dispatched. So, we'll see the plant filling up in the next month. And starting of the trials also should happen from the end of Septem ber for the lines.

And some production we'll see, early trial production, of course, in the month of October itself. Just the pictures of the plant, you can see it's 1,70,000 square feet facility in the Kunnam village of Chennai, which is clo se to Hyundai. So, you can see it's practically ready to receive



the machine, the assembly line and the machine that will be coming at the end of this month or the beginning of next month.

Also, one more important event, milestone that we had was opening of the Gabriel European Engineering Centre . This we have been working for some time now. As you know, we have already inducted the CTO, Mr. Koen Reybrouck , who's from Belgium, an expert in suspension, especially active suspension, for over 30 years. As he's a CTO, and we have been working with him to open a European Tech Centre , because tremendous competence exists in this region and in Europe overall because the customers are demanding these kind s of products more and more in that region. So, we have opened this up near Brussels. This is a facility in Ghent very close to the earlier port plant.

In fact, it is very close to the port proving grounds. So that also helps us in doing our trials very quickly. You can see the pictures of the office that you see on the centre left, is a picture of the actual office that we have currently rented. And we'l l be moving to a workshop in the

same building. This is the actual picture of the building.
This is not a renting; this is the actual picture. With the blue circle you can see, that is where we'll have the factory. Not factory, it's a workshop. It's c alled facthory , something to do with that nomenclature, but it's not a factory. It's going to be a workshop, so it will house our office, our engineers, and our test equipment, the hydraulic force to lift the car and fit our suspension, etcetera. from here, we intend to clearly go for the best produ ct in suspension, not only in active, but also in passive suspension.
We are working on next generation evolving technology in close collaboration with global experts in this area. So, it will be a kind of a, co -creation of this, new generation evolving technology with help from the best in the field. This is the picture of our tech centre in Chakan , which is fully functional. You can see, it's state-of-the-art tech centre . And I'm happy to share that, this has been rated platinum as far as the green building is concerned. So, we have a complete solar panel on top.
That's everything about this building. We have ensured that this meets the platinum requirements of a gr een building company. And this is the way going forward. We had already mentioned about Sanand plant . All our new plants, our office s that will come up, we have decided that we will go for a green building certification. Our Sanand plant is already at a silver. It was a Brownfield plant, which we got a silver rating, and here we got a platinum rating. So, this is our focus on ESG, as you all know. This is a very important part of Gabriel as well as the ANAND group.
We have a formal mission to be carbon and water neutral by 2025 with zero waste to landfill. And I'm happy to share again that five of our locations out of seven are already zero waste to landfill. And we are doing well on the carbon and water neutrality as well, with renewable energy b eing almost 20% of our total energy consumption. In this annual report, we of course have the BRSR report, which we already published.
I'm sure you must hav

e had a chance to go through our annual report as well as the BRSR report. So that's very quickly, w hat I have to share as far as our presentation is concerned. And



now I would be keen to hear from all of you on the questions and suggestions or any inputs. So over to you, thank you.
Moderator: Thank you. Our first question comes from the line of Jay Kale with Elara Securities. Please go ahead.
Jay Kale: Yes, thanks for taking my question and congratulations team for a very good margin performance. My first question is on the margin side itself. If we see both Y -o-Y and Q -o-Q, a large part of your margin data has come from gross margin expansion. If you just throw some light on what has led to how much of it comes from commodities, how much from mixed change, because if I see a mixed change on a Y -o-Y basis, you have your passenger vehicle contribution going up, but on a Q-o-Q basis, your two -wheeler contribution has moved up. So just trying to get some flavour , how much of it is because of mixed change versus commodities, that would be my first question?
Rishi Luharuka : Thanks, Jay, for asking that questi on. So, the gross margin expansion is on two folds. One is on the raw material side and the other is on the price recovery side. You have a specific question about the commodity, the net impact as compared to Q4 on the commodity side including the denomina tor effect, which by the way is now playing positive in our case of reducing commodity cycle is roughly 1.5%. On the mixed side, it is in the range of 0.5% to 0.7%. And the remaining part of that is either through a better realization or through some of the settlements with the customer for price changes.
Jay Kale: Okay, understood. My follow -up question is on the railways side. What is your outlook over there in terms of railways, given that recently there has been also news flow of some bit of PLI also be ing talked about for railway components. What is the input content in your type of product currently in railways? Any scope of expanding? And you mentioned that you are also looking at exports currently, but wouldn't the domestic opportunity be enough for you to kind of utilize your capacities or you're seeing some competition also coming in on the railways side in your products ?
Manoj Kolhatkar: Yes, on railways, like we always mention, it's a tender based business. If you get some entries, there is always somebody who develops the product. It's a catch up. The only thing is we have moved fast. We have been the first supplier to be on boarded for the Vande Bharat. And railways, again, the pace is very slow. So, the numbers are very small. So, it's not going to, we can change in a big way, even though the PLI is announced or whatever, by the time it sees the light of the day in terms of the actual business, it takes a lot of time.
But the good part is, now we are there on everything that railwa y has to offer. So, we see some

improvement. But again, repeating that the top line is a very small fraction of, and as we keep on growing, the rest of the industry is growing at, as we know in the last year, passenger cars over 22%, commercial cars at 40%. So, railways are totally different story.
Jay Kale: Understood. My next question is on the sunroof side. You did have, you've mentioned about the sunroof penetration of panoramic sunroof versus TVS normal sunroof systems. How much is it of imported sunroof today and what is the ki nd of price value proposition you all get by


localizing the entire sunroof in India? Is it 10% - 20% cheaper than the imported sunroof? That is one.
And second, between the normal sunroofs and panoramic sunroof, what is the kind of price difference? Is it, again, panoramic sunroofs are double the price of normal sunroofs, or how does that equation go??
Manoj

Kolhatkar: Yes, so panoramic sunroofs, the normal sunroof what you are speaking of, just to clarify, it's called the TVS, the small sunroof, ri ght? That's what you mean, right?
Jay Kale: Correct. TVS normally.
Manoj Kolhatkar: So that's called the TVS, so its small in slide, and the bigger is the panoramic sunroof. So yes, typically what you guessed right, it's almost a figure of double. The siz e also is double, and the price also is almost double. That's with regard to the last part of the question and the first part you said about in terms of localization benefits and how many of it is right now imported. So right now, many of the su nroofs are still imported, though as you know, Webasto has already set up facility.
So still many of the sunroofs continue to get imported. So, in fact, Hyundai Kia is almost, other than a few TVS , the smaller sunroof models, it's all imported, which is where we are doing the localizing. The localization benefits right now are still small because the supplier base or the supplier ecosystem for it is yet to mature. This is the first time Webasto h as set up, Kia is set up, and we are setting up. So now, obviously the supplier ecosystem will also start getting more mature and evolved and set up.
So, the localization percentage or location content of the sunroof will continue to inc rease. Right now, glass has been localized largely, plus some other components, but I would say still a long way to go in terms of more localization to happen in the sunroof category. But yes, right now the imports would be to the tune of, I would say, alm ost 50% .
Jay Kale: Understood. Just last question. It's heartening to see our share of business being higher in the UV side at around 35% versus 24% on blended market share. But in terms of your new products, you mentioned, we are seeing a lot of EV launches coming in from the UV players. How are we positioned in terms of Maruti, Mahindra, Tata, EV products coming in? How are our orders based on that? Because probably in the next three years, there will be a whole host of EV products launche d. You mentioned in your slide that M&M you have one product over there. Is it an ICE product or an EV platform of theirs?
Manoj Kolhatkar: Yes, the M&M product is the eKUV, which is eKUV is a very small product. Earlier it was the E Verito as wel l. We were there on that too. But that is not a big runner. The key thing would be to get on board for the new EV SUV products, mainly. So, what we are looking at is this tech centre that we have put up both in Chakan as well as in Europe, exactl y is to develop the latest technologies in terms of the semi -active suspension.
So, our first model, working prototype, fully functional prototype model, we test drove in all the customer's spaces and the feedback has been very good. So, we intend to start getting into


manufacturing phase somewhere in the end of ‘24. That will position us well as per a semi - active requirement is concerned. But having said that, there's a lot of passive suspension requirement as well. So, we are there on the E -C3, which is t he Citroen EV.
And we are in advance discussions for one of the Tata models coming up, which will be the Harrier EV. And in addition, of course, you saw the new car yesterday launched, the EV not launched. The model was showcas ed in Cape Town. So, we'll be also discussing on that with Mahindra.
Jay Kale: Understood. Great. Thanks, and all the best, and we wish you a sustained marginal performance. Thank you.
Manoj Kolhatkar: Thank you.
Moderator: Thank you. Our next question comes from the line of Mumuksh Mandlesha with Anand Rathi.

Please go ahead.
Mumukesh Mandlesha: Congratulat ions on the good results and markets share gained in the PV segment in this quarter and also the interest shown by new customers for the sunroofs. Can you indi

cate overall at the group levels, what are the broader product areas where you're s eeing the opportunities, where the global NCs are looking out for partners like ANAND Group to localize a product in India?
Manoj Kolhatkar: Well, Mumukesh, there are a lot of discussions with many OEMs, of course with Gabriel and ANAND Group for new products. So, as you know, in terms of sunroof, we already got it on board. And then there are several other product portfolios which our partners do have, as far as ANAND Group is concerned. This is not Gabriel, but our partners do have a wi de product portfolio.
We're introducing them to, as I said, these tech shows that happened recently. We did display them even in Auto Expo. So, we are continuously looking and scouting for new opportunities through the product portfolio offered by our cust omers globally. So that continues. I don't know if I answered your question.
Mumukesh Mandlesha: So, my perspective was like, Gabriel also looking at the tech agnostic areas. So, I just want to understand, where you are seeing opportunities, broade r areas, where you're seeing that global entry looking for partners?
Manoj Kolhatkar: Yes, so that's the length that we're looking at in terms of agnostic areas. So, there are quite a few areas right now, obviously we cannot disclose, there are a lot of agnostic areas which are in high growth and, particularly in UV segment. So, we are scanning, right now, we've got this sunroof now in our city and the important th ing is to see that this starts off well and its production is well. , Our energies are focused on it as of now. Having said that, we are looking and scouting for more opportunities as well.
Mumukesh Mandlesha: Right, sir. Coming to Sunro of, sir, I mean, there are only two Sunroof suppliers who have set up the plant in India. Would Webasto and Gabriel capture most of the opportunity as the Sunroofs are localized and kindly, broadly, indicate who are the other players, who are importing the Sunroof in Indian market?


Manoj Kolhatkar : Okay. So, right now, many of them, Hyundai and Kia do import, Mahindra does import, there is a little bit of import by Tata Motors as well. Maruti, since they have introduced only in the new models that is localized, these are the main players who are offering a sunroof in their product. So, this is the overall scenario of where the import stands today. And as far as the market is concerned, I already mentioned there are three players today. I mean, Weba sto, CIE and Gabriel. So, there are three players in the market. And yes, I mean, a huge scope for everybody here.
Mumukesh Mandlesha: Right sir. So, what has been the capex done for the Sunroof till now? And in the conte xt of the Sunroof, what could be the value addition? And what's the status of JV formation and what would be the valuation for the Inalfa acquiring the stake in the JV?
Rishi Luharuka : So, currently we are in the nascent stage. the amou nt that has been invested till 30, June is small . It's in the range of INR 9 crores. A large part of that is still lying as cash in their books. Total commitment of share capital we've shared earlier also is INR 60 crores, which will be shared by the two JV partners. The remaining part of the capex will be handled through the funding, which the entity can do itself. In total, Inalfa is going to own 51% and Gabriel is going to own 49%. Regarding the status of the application called Press Note 3 application, (PN-3), Inalfa has globally already applied for that, and it's currently with the authorities, and they are reviewing the same. There has been some development on that, but small .
Mumukesh Mandlesha: Right, so just one last question. Are we continuing to be a single source supplier for Ola Electric, sir?
Manoj Kolhatkar : Continue to what?
Mumukesh Mandlesha: Ola Electric. For the n

ew models as well.
Manoj Kolhatkar : Yes, yes. All the four models that were discussed yesterday and the motorcycle model, we are single source on everything.
Mumukesh Mandlesha: Okay. And just on the new models launched by the Triumph and the Harley, have we got any traction for those models, sir?
Manoj Kolhatkar : No, Hero we do not have any business so far, Hero obviously not and with Triumph also we do not have that piece of the business. However, we are w orking on some new platform with TVS for an advanced suspension.
Mumukesh Mandlesha: Got it, sir. Thank you so much for the opportunity.
Manoj Kol hatkar : Thank you.

Moderator: Thank you. Our next question comes from the line of Viraj with SiMPL. Please go ahead.
Viraj: Yes, hi. Just two questions. First is, on the EV part, what you said for four -wheelers that we have back for Thar and then for Harrier EV variant. But just to get a perspective, in two -wheeler and three -wheeler, we got a quite a head start, vis -a-vis the competition in terms of getting a higher share of the EV startups and maybe some incumbent. But when we look at the


passenger vehicle EV, what is the sense in term s of the -- our overall play in the pipeline? So, any perspective you can give in terms of share what we would probably be looking at vis -a-vis say the current leader ICE, really?
Manoj Kolhatkar : Yes, so, Viraj it’s like this, that th e current leader -- in the stories in EV, two -wheeler and EV passenger car are totally different, right? In EV passenger car, it still is the legacy players. You know, we must note that big shift in dynamics. In two wheelers, it's all the challengers , as we call them, who are leading the pack. So, what happens is, in passenger car now, almost 80% of the market share is Nexon, the Nexon EV. Now, Nexon EV, classically, it's an ICE platform. So that platform was not with us. That platform is the comp etition.
Now when that got converted to EV, obviously OEM will go to the existing current provider of suspension and not change the suspension, only retune the suspension. The suspension largely remains the same. So that's why obviously we are not there on the EV a s we speak today. But going forward, as I said, with Harrier EV, we are in advanced discussions. Similarly with Mahindra, we are in discussions for the EV. So that picture will change .
Having said that, again, the EV penetration in India in terms of passenger car is not going to be, even now it's only at 1%. The optimistic estimate, you would know better, even by 2030, for a passenger car is, at best 20%, which also looks like very optimistic. So yes, in terms of volumes, it m ay not impact much, but however, definitely we need to have a larger play in EV and we are focusing our energies to ensure that we get more EV platforms, both in India as well as overseas.
Coming to overseas, we are in discussions with, I would say, at le ast two global players, which is a platform which is shared for EV as well as ICE engines. So how that goes, we'll have to see, but we are in discussions with them.
Viraj: Okay, second question is largely in terms of the new opportunities which we have. So, the ebike you talked about us probably looking at new orders in the coming quarter. Can you just give more perspective into the size of the business this can be in the next two years, three years? And similarly on the railway export part, how big the mar ket opportunity is?
Manoj Kolhatkar : So, coming to the first question, which is on the EV 2-wheeler , it is a very interesting product. It is a very good value proposition as well. And we are looking at it mainly from the perspective of exports, because this market developed in India will take a lot of time. So, the market is huge. The market of e-bicycles in Europe is almost 30 million by 2030 and the growth rate is almost 20 -plus perc

entage. And with more -and-more push coming on climate
change and more environmental consciousness, getting into people, particularly in Europe, this will only increase.
So, we are seeing a very good possibility, that's why we address this. We had about eight years back, we had ventured into the normal bicycle suspension. It was more of an innovation exercise, but that did not have a great value proposition for us. But this surely is very exciting, both in terms of value and in terms of technology. And , as I had mentioned last time, we would not wa nt to take it to at least the size of in the range, at least close to a INR100 crores business.


Manoj Kolhatkar : Yes, we have to , sorry, I forgot to answer on the railways part, you talked about exports. So there, again, we have done some exports in the past to Sri Lankan railways. We have formally engaged a consultant to help us find new markets, pa rticularly in Russia, in Turkey, and in some Eastern European countries, and possibly African countries. Again, the size will not be very big, but yes, it will be exports, and hope that we'll get a good margin as well.
Your second question which you asked, I couldn't get it. If you can repeat that?
Moderator: Sir, Viraj has left the question queue. I will move on to our next question, which is from the line of Harshil Shethia with AUM Fund Advisors. Please go ahead.
Harshil Shethia: Sir, I w ant to understand what kind of size of businesses do you expect in the Sunroof JV? And going ahead in terms of railways also, what kind of the size of business do you expect to ramp -up in the next three years to five years, if possible?

Manoj Kolhatkar : So, in terms of sunroof, we did mention, of course, it's an estimate, but by 2030, really the market potential going by, let's say even if we take a, I would say a modest estimate of 35% penetration, the market size of total sunroof would be almost INR4,500 crores. That is the estimate that we have done. In fact, the market share in SUV is even higher. So, it can even go higher than this.
Harshil Shethia: Okay. And what kind of market share are you expecting to capture in this INR4,500 crores market?
Manoj Kolhatkar : With the current line that we did this -- currently, we are putting up two lines, and going forward we may add, definitely we'll add more. So, we are looking at hitting, within four years to five years, almost a INR1,000 crores. And by 2030, this figure will be, in terms of market share, yes, I mean, we look at 40%.
Harshil Shethia: Okay. Sir, with the current two lines, how much capex has been put up to set up t he Chennai plant for Sunroof businesses? And what is the maximum, so what kind of asset turnover do you envisage from the same?
Rishi Luharuka : So, roughly, the turnover would be 4.5x, 5x. And the current capex, including building and long-term l ease-related projects and other things, and the first -time investment cost of first - year installation would be in the range of INR120 crores to INR130 crores.
Harshil Shethia: And will it be the same margins as it is with the existing shock absorbers business, or the margins would be higher?
Manoj Kolhatkar : No, higher margins.
Harshil Shethia: Okay, higher margins. Okay, sir, and secondly, you said that there is a strong order inquiry in the railways business. So, can you just quantify what kind of order inquiries are we participating in and what kind of business ramp -up do you see in the next t wo years to three years in the railways end?


Manoj Kolhatkar : Well, Harshal, we mentioned that railway revenue size is not much. So, we are currently looking at a very small number. And that, I mean, in terms of our total sale s, it's not even, it's just about 1%. You know, a little more than 1%. So even if it grows, it won't make an

y big
change in terms of top line.
Harshil Shethia: Okay. Sir, my last question would be on the exports, and you said it is currently 4% of sales as of today. Where do you plan to take it up to in the next three years to five years in terms of percentage of sales or an absolute number if you can give? And what kind of margins do we see in the export business compared to our domestic businesses ?
Manoj Kolhatkar : Yes, so our clear target has been to get to double digits in exports. So, we have maintained that. We want to hit the first 10%. Things were shaping well. But we all know some political issues that happened, like our exports to Russia were completely nullified due to the ongoing conflict. So otherwise, our export would have bee n much better, but our target remains 10%.
Moderator: Thank you. We move on to our next question, which is from the line of Amit Hiranandani with SMIFS Limited. Please go ahead.
Amit Hiranandani: Thanks, team, for the opportunity and congrats for the good operation performance and new order, sir. First on the GM gross margin side, basically I wanted to understand how do you see input cost for balance part of the year and sustainability of the current EBITDA margin in this fiscal year?
Rishi Luharuka : So, Amit in the previous discussion also in the quarter we had mentioned that we are taking measures in terms of improving our margins. So, our endeavour would be to sort of either continue here or further on improve.
Amit Hiranandani: And sir, ca n you give the capex outlook for FY'24 and '25, including Inalfa?
Rishi Luharuka : Including Inalfa, it should be in the range of INR160 crores roughly.
Amit Hiranandani: It is for FY'24, right?
Rishi Luharuka : 23, '24, yes.
Amit Hiranandani: Okay. And sir, next is basically, how is the traction of FSD, any new model addition for this tech?
Manoj Kolhatkar: Sorry, got dropped off for some time. But yes, comi ng to FSD, a very good attraction, I would say, luckily in our first model XUV700 is being appreciated very well right. Clearly, is different and much more comfortable. So, we already have two other OEMs where we are demonstrating this product to them on their models. Well, we'll have to see how it goes from there, but certainly, a good traction .
Amit Hiranandani: Also, sir, Gabriel now started derisking and diversifying from shock absorbers. So, directionally, which new product the company is planning to enter and how many more new products we can expect in the next 5 years, 7 years now?

Manoj Kolhatkar: Okay. That's a good question. As I did mention, we have done the first one. So, we'll continue on this agnostic theme or any product where we see very strong demand because it's not that the IC engi ne is going away completely , in India it is going to coexist for a long time and for the globe India is very likely going to be the last man standing when it comes to IC engines. So, we're not completely closed on that. But yes, the key blank will be agn ostic products. We are scanning those. And at least our plan is to come up with one more in the coming fiscal, one more acquisition and 5 years to 7 years, well, we can see at least 1 to 2 more.
Amit Hiranand ani: Okay. Sir, just last question. Can you share the average realization of your segments like two - wheeler passenger, commercial?
Manoj Kolhatkar: Amit , sorry probably difficult question. But no, we cannot .
Amit Hiranandani: Okay fine. Tha nk you so much.
Moderator: Thank you. We move on to our next question, which is from the line of Devang Patel with Sameeksha Capital. Please go ahead.
Devang Patel: Sir, our share in 2 -wheelers is down from 80% in Q4 FY23 to 73% in Q1FY24 . And you said earlier, will sustain that market share, but any reason you could describe for this drop Q -o-Q. Is it because subsidy was ended?
Manoj Kolhatkar: No

, some of the players, let's say , Okinawa, which we are supplying our volumes have come down significantly. So, there's a little bit of change in arithmetic mainly. And like we said 73%, it would, in fact, be a little higher if we come to exact number sometimes, it’s difficult to get the exact number as well. But no, it's not that we are not sustained. We certainly are sustaining what we have got, and we continue the business with all OEMs. It's nothing that we have lost. So, it's only a mix of the overall price.
Devang Patel: Okay. Sir, secondly, in the presentation capex of INR13.6 crores as mentioned for Q1, what is the standalone capex and does this include Inalfa. And if you can just repeat those numbers again for the full year, what is our capex for sunroofs and what is the capex in standalone?
Rishi Luharuka : Yes. So, Devang the number that you mentioned is for standalone only. The capex for Inalfa is INR 10 crores. It's not capex it is a share capital reduction. Now coming to the overall outlook, we are looking at INR160 crores, INR280 crores of cash outflow, including in Inalfa .
Devang Patel: So already a lot of shared work and etcetera, is done. So, there must be some capex alrea dy done for Inalfa in Q1?
Rishi Luharuka : Today, we are in August, the numbers I'm talking to you is of 30th June. So yes, you're right. And Devang, it's a leased facility.
Moderator: Thank you. Our next question comes from the line of Jayesh Gandhi with Harshad Gandhi Securities. Please go ahead.



Jayesh Gandhi: So, first congratulations for a good set number . My question is again relating to Inalfa . –Since, we already did a presentation to Mahindra, Maruti, Tata Motors. If you have any feedback, can you just share or what kind of feedback have you received from them.
And the other question is since we are looking at if I heard you correct our vision by 2030, we take 40% of market share in sunroof , which is like closer to according to you, INR4,500 crores. And asset turnover is like 4 times to 5 times. So, I think we should have a gross -- closer to INR500 crores and currently, we are sitting on some cash, which again I think we are going to deploy for another acquisition.
So, from the current fixed assets or gross block of sales of INR420 crores, are we thinking of moving to somewhere closer to INR1,500 crores, INR1,600 crores in the next 7 years?
Manoj Kolhatkar: Okay. Now coming to your first part, you asked about Mahindra, Tata, and your customers. So, I think we launched new JV on May 9 that's, let's say, 3 months back less than 3 months back maybe. Within that, we have already -- after meeting this, we have got one R FQ, which we have responded. We have got two RFIs request for information and the NDAs have been signed with two customers. So, that's at least good initial moment within a short time of a couple of months.
So, I would say leave it at that. Of course, for the business translation, it will take some time. But yes, at least there's been -- compared to our other experience on other products etc. we have been positive in this. This turnaround in terms of getting RFQs , getting RFI, it's fast. So, obviously, there will be good conversion of this request for information .
Your second part Yes , we are going to put INR170 crores and then in this JV. And obviousl y, we are very clear that we'll have to augment the lines, probably put up a facility in different

geography as well to meet customer demand based on the huge interest that we are seeing. So, yes, surely, we'll be looking at adding at least another INR100 odd crores in terms of investment to augment capacities for Sunroof going forward.

Rishi Luharuka : So, Jayesh. if I got your data points correctly, in terms of photo what you say is making, is it correct. But let's remember that it's a JV. So, it's a 51% stake is yet to come i

n the country.

Once the PN3 approval comes the capital investment from share capital perspective will be co - shared and this entity is profitable as well as a good cash generator from its first y ear of operations. So, our plan is not to induct too much of share capital, but to leverage the entity assets itself for its operations.

So, broadly INR60 crores to INR100 crores, maybe INR120 crores, INR150 crores is what total share capital int roduction from both the parties is envisaged, remaining will be debt.

Jayesh Gandhi: One last question since we are thinking of deploying this cash and also adding one or two more products in next 5 years to 6 years. What is generally our thinking wh ile we choose a product in terms of ROE, ROCE or ROA whatever, is it going to be on similar lines, or you don't mind diluting on margins or can you just throw something on that?



Rishi Luharuka : So, Jayesh, it's an important aspect of any capital investment that we are looking at. There are a few hurdle rates. So, payback, IRR, these are the standard ones. In terms of ROS as well, it should be margin accretive to what Gabriel is currently. Now, when it comes to the return on investment on a long -term basis, it should be in the range of 20 -plus percent is what we essentially look at.

But it all depends upon what kind of synergy that the target and can have with us and where we can take the entity once we have acquired the stake. So, while we have our hurdle r ates, we also evaluate each case -to-case basis.

Jayesh Shah: That’s all from my side. Best of luck.

Manoj Kolhatkar: Thank you Jayesh.

Moderator: Thank you. Our next question comes from the line of Viraj with SiMPL. Please go ahead.

Viraj: Yes. I just hav e two questions, three questions. First, is on the export piece. We talked about Fuso Japan as a new customer for future development. So, just to get a perspective in terms of the size of the business, if you have to compare say to the PACCAR Gr oup or DAF, what will be the present opportunity here for us ? And with regards to the PACCAR Group or DAF what will be your share now based on the orders we already have?

Manoj Kolhatkar: So just to clarify, Viraj you said Fuso, right, Japan?

Viraj: Yes.

Manoj Kolhatkar: Well Fuso and DAF business, I mean, the size is not too big, but what we are hinging our exposure i n this is more on one big passenger car order coming through because its volumes are much higher. And in terms of DAF, we are only on the cabin dampers, but we have now got that axle dampers RFQ as well, so that the strategy is playing out right. We have demonstrated a good quality and consistent supply to them who are having one award, twice in a row. Now the exte nt to the other damper and also excellent RFQ, there is excellent business to Brazil, they're expanding RFQs to PACCAR world as well.

So, clearly, in terms of the share, it is increasing, well, I do not have a number to share in terms of what is our exact market share in DAF. But we will try to revert on that separately. Fuso is still early stages and Fuso or for that matter Daimler also we are speaking to. And with this China plus One getting more and more real, we see a lot of scope, but yes, we have to note that the pricing of China is really cutthroat .

Viraj: Okay. Second question is on the margin front, if I look at last year 2023, and if you look at the Annual Report, we had a negative impact of around INR51 crores from the price change. So, I understand we seen an expansion in gross margin. But for this aspect , do we see bulk of that benefit flowing to us in 2024, given that RM prices are now trending downwards?

Rishi Luharuka : Viraj you need to clarify me this INR51 crores where you have been and how have you computed?



Viraj: So, in the Annual Report if

you see there's a revenue as per contract and other than the discount part, there's a price change gain to customers, so...

Rishi Luharuka : No, that is not the case. This amount is basically the unbilled part of it. So, it's only a reflection on the year end what is outstanding. So, in the previous year to give you a perspective, we've had almost close to 95% recovery in t erms of all commodities . What impacted us was the denominator effect and the aftermarket piece, which obviously cannot be increased in line of the market.
But now with the downward cycle, for example, in this quarter, we've already seen a 0.1% denominator positive effect as well as the commodity effect of 0.1%. So, currently, with the downward cycle, we will be facing -- will be seeing benefits coming out of that. But given that we have a proper approval mechanism in books, none of the benefits or the losses of previous year, if any, are expected to be recovered in this year other than commodities of the market.
Viraj: But just a further question on this, if we have already provided for the unbilled part in '23 was maybe for the '24, if I got it this right. Then in '24, the margin expansion should be even better, right, because the provision has already been made?
Rishi Luharuka : No. So, commodity is a quarterly settlement, for example. , whatever is the movement on account of com modity multiply with the quantity in that quarter , that is only accrued. The future never gets accrued either case, right? Whatever is going to be the movement , we are going to flow with that movement, either upward or downward cycle as the case maybe.
Viraj: Okay. And just one more question was on the sunroof part. I think when we were starting out, we were looking at initially setting up one line and what we understand that we are now looking at two lines. So , what is driving this change? Is it that the volume expectation from existing two customers itself is more and that is what driving an expansion. So, any perspective if you can share?
Rishi Luharuka : Yes., we had always mentioned that our plan is for two lines, and we begin with one line and the expectations from the two customers is going to be meet towards with these two lines itself.
Viraj: Okay. the total capacity from two lines will be close to 4 lakh units, right?
Rishi L uharuka : Little less than that, but around that number.
Viraj: Okay and the investment of INR170 crores, which we talked about. So, if I would look at '24, that bulk of that investment, so the equity part of INR60 crores, INR100 crores, INR120 crores, that purely would be initially from JV and the rest will be funded?
Rishi Luharuka : The INR60 crores is the share capital till the time span you mentioned. This is till we get the PN3 approval. Obviously, because ther e is a government authority involved here, we have no certainty as to when it can happen. So, if it happens in Q4 the capital investment from the JV partner will come in, and our stake also will get diluted.


Viraj: Okay. Sir, total capex standal one would be INR160 crores in this year. In addition, we would have another 60 to 120 that's our investment.
Rishi Luharuka : Standalone is INR120 crores.
Viraj: Okay. So, when you say INR160 is already included the same part?
Rishi Luharuka : Yes, that is what the question was.
Moderator: Thank you. Our next question comes from the line of Ravi Purohit with Securities Investment Management. Please go ahead.
Ravi Purohit: Most of my questions have been answered. Just want ed to know the -- I think on the balance sheet, we have this 2% management fee that gets charged every year. Has there been a change in that in this quarter or this year or that continues to be remaining at 2% in future.
Manoj Kolhatkar: No, there's been n o change in that, it continues for the same.
Ravi Purohit: So, there is no num

erical value that there is a cash book where you have to kind of go back to shareholders to get a clear, it's just like a formula 2%, whatever the revenue we see.
Manoj Kolhatkar : Yes, sir we just tested out on an arm's length basis, and we have done benchmarking. All the studies we have shared. So, it continues to be 2 percentage.
Ravi Purohit: Thank you. I will come back in the queue.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now hand the conference over to the management for their closing comments.
Manoj Kolhatkar: Thank you all for your inputs and your complement as well. As I did mention , we will continue to focus on susta ining the margins and in fact even improving them. The next quarter is lookin g good. It's a festive quarter.
So, the best part of for the entire industry, we hope that we will be able to meet all the demands of all the customers. And while doin g that also ensure that we maintain our efficiencies. Our focus clearly remains , to sustain the EV two-wheeler market share and make some inroads in EV passenger cars thought it is still a small part of the whole overa ll business.
And yes, one more clear focus area this quarter, we'll be getting those machines unloaded and

commissioned in our Sunroof venture in Chennai. So, that's a very key activity that we are really focusing on this coming quarter. So, with that, I wish everybody a very, very happy festive seasons and because we're meeting only actually after the festive season is over in November, so thank you, and all the best to everybody.

Moderator: Thank you. The conference of Gabriel India Limited has now concluded. Thank you for your participation. Y ou may now disconnect your lines.

# Call: Nov 2023

Date: November 09 , 2023

BSE Limited
25th Floor, P. J. Towers,
Dalal Street,
MUMBAI – 400 001

(Company Code: 505714) National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
MUMBAI – 400 051

(Company Code: GABRIEL)

Subject: Intimation under Regulation 30 of the SEBI (Lis ting Obligations and Disclosure Requirements) Regulations, 2015 - Written Transcript of Earning Conference Call for Q 2 & H1 FY24.
Dear Sirs,

In reference to Earning s Conference Call with the investors and shareholders held on Friday, November 03 , 2023, at 04:00 PM to discuss operational and financial performance in Q2 & H1 FY24, we would like to inform you that the written transcript of the said call has been uploaded on the Company's website. This can be accessed via the following link under 'Investor Information' – 'Written Transcript' tab on the Company's website:
Link: https://www.anandgroupindia.com/wp -content/uploads/2023/11/SGA -GabrielIndia -03Nov -2023.pdf

We request you to take the above information on record and acknowledge the receipt.

Thanking yo u,

Yours faithfully,

For Gabriel India Limited

Nilesh Jain
Company Secretary

Email Id: secretarial@gabriel.co.in

# Call: Feb 2024



“Gabriel India Limited
Q3 FY '2 4 Earnings Conference Call ”
February 09, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 09th February 2024 will prevail.

MANAGEMENT : MR. MANOJ KOLHATKAR – MANAGING DIRECTOR – GABRIEL INDIA LIMITED
MR. RISHI LUHARUKA – CHIEF FINANCIAL OFFICER – GABRIEL INDIA LIMITED
MR. NILESH JAIN – COMPANY SECRETARY – GABRIEL INDIA LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to the Gabriel India Limited Q3 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Kolhatkar, Managing Director of Gabriel India Limited. Thank you, and over to you, sir.

Manoj Kolhatkar: Thank you. Good morning, everybody, and a very warm welcome and before I start, a very, very Happy New Year to everybody, happy 2024. Joining me today on the call is Rishi Luharuka, our CFO; Nilesh Jain, our Company Secretary; and SG A, our Investor Relations Adviso rs. We have reported results after our Board meeting yesterday. I hope you've had a chance to glance to them. I'll, of course, take you through the presentation as always.

So, what I'll do is, in fact, straight away going to the presentation. So, if you all are referring to the presentation, I'll straight go to Slide number 5, where it shares the highlights of the quarter, Q3 that went by.

So, revenue was INR 814 crores. So, it was a reasonably good third quarter. As you all know, third quarter typically for the industry is cyclically low, Diwali being in that month and the year ending December month so obviously, it's always a little low. Despite that, we had a 14% year - on-year growth. And this growth extended 9 months to 11.1% increase in revenue, taking the total 9 months to INR 2,484 crores. In Q3, what is more heartening was that our EBITDA margin stood at 8.8% compared to 7.2% in Q3 FY23 , which is clearly a significant i mprovement. And as we have been sharing for several calls, we've been working on improving the margins. I mean based on feedback from all of you as well. So, this, we have been able to do. So, 8.8% EBITDA margin for Q3. As you can see -- again, on slide 5, from Q4 FY '23, it is 7.1%, then to 8.6%, then to 8.7% and now at 8.8%. If you now move to the next slide, which is Slide 6. Again, the same figures in a different format.

Now I'll come to the industry dynamics. So in terms of passenger car in Q3, there was the total industry sale of INR 11 lakhs i.e. INR 1.1 million, again, which is higher as compared to INR 10.86 lakhs in Q3 FY '23 , about 4.79 million passenger vehicles wa s sold in last calendar year, which is an increase of around 7.7% with sales of 4.43 million in 2023, I'm talking of the calendar year. Mainly, we are seeing a wide adoption of sport utility vehicles and electric vehicles. However, electric vehicle penetra tion impacting it still remains very low at just about 2% to 3%. But nevertheless, the numbers are increasing, in fact, on a monthly basis, now we are seeing electric vehicle sales crossing 8,000 in terms of passenger cars.


Passenger car grew in Q3 FY '24 , mainly due to robust economic growth, new launches, which happened typically during Diwali and then in December, the year -end discounts offered the automakers. Out of the total PV sold, UVs accounted for 58%. So, this -- we have been seeing this trend fo r several quarters now. But now it's peak that almost 58% of the total sale of PV is utility vehicles. So, SUVs are really gathering a lot of momentum. And this momentum will continue in 2024, yes, while ther

e is the election here. So, the growth may not be as robust as
what we have seen in the past 2 years, but it will still be a decent growth that we are all expecting in 2024 as well.

Coming to commercial vehicles. Commercial vehicle production stood at 2.5 lakhs. So, we are well on track for 1 million commercial vehicles for the year. So, the industry -- I mean saw a 3% increase year -on-year. This is much lower than what we saw in the earlier years where we had very significant growth in commercial vehicle. But now this is tapered do wn that expectedly.

So, if you remember right, in the start of the year, we had predicted CV sales to be in just about double digits, which is what we are seeing. And this will definitely get affected in the coming year, going to the elections. That again , is based on the cyclical study that we have done over several past election cycles, where we see a little muted growth in commercial vehicles because the CapEx decisions as far as government is concerned, it takes some time. However, having said that, I think we all know the Indian economy trend and the strong foundation that it is on. So we have nothing to worry at all in terms of the longer -term outlook.

Coming to 2 -wheelers and 3 -wheelers, this has been encouraging that we have seen a notable recovery in 2-wheeler segment after the festive demand. The favorable momentum extended to Q3 with sales volumes reaching 55.88 lakh units, which is a year -on-year growth of 19%. The upstream is attributable to various factors, including festive season, elevated r ural sentiment. As you know, the sentiments were very depressed post-COVID, but they are slowly changing, thankfully. The wedding season, of course, also played a part in this growth in the 2 -wheeler sales.

In the electric vehicle segment, the sales surge d by 34%. So this, of course, is much less than expected. I mean when we envisaged EV sales pre the benefit is going away in June. So, after that, obviously, we have seen a speed breaker in electric 2 -wheeler sales. So, we are seeing only a 34% growth with the same figure in the previous years used to be 200%.

So, this is likely to get some flip, we'll have to see as to what the government is stand on this. We all know also that the FAME 2 the end date is March . So we'll obviously how this pans out in terms of the government policy. The total domestic sales reached 2.61 million units reflecting substantial overall growth of 14%, domestic demand is robust across variants, particularly electric mobility.

Coming b ack to the slides, of the presentation. If we go to Slide 7, this is a 9 -month performance, where I already shared that we did INR2,484 crores for the 9 months so far with EBITDA of 8.7% and PBT of 7.2%. Balance sheet cash position of INR214 crores, cash f low from operations to the tune of almost INR100 crores compared to INR21 crores inflow in 9 months. And capex , we incurred about INR50 crores during the period. Slide 8 is, again, the financials in a different


format. We already discussed that, so I'll mo ve to Slide 9, which is the trend. So, as you can see, the good part is ROCE continues to be strong at almost 32% and margins, the improving trend is very, very linear.

I then move to Slide 11, which again tracks year -on-year performance for the past almo st a decade. And you can see again the trend of EBITDA margin improving, the ROCE at 32%. And moving to Slide #12, again, several ratios here, which, again, I'll not spend time on.

Coming to Slide 13, which is the revenue mix slide. You can see that 2 -wheelers is now 61%, passenger car is 24%. Obviously, we are also seeing increased diversion passenger car. And of course, in terms of both Gabriel business as well as the overall passenger car industry which we just discussed. Channel mix remains largely the same. 86% being OE, 12% is af

termarket and
2% is exports.

Slide #16 is the Core 90 initiative, which we have been continually discussing with you , which

has been the basis and the foundation on which we are trying to drive the margin improvement.
Slide 17 shares our vision, which we have defined pre -COVID that's why you'll see still a vision 2025. We do not want to change the date. We all know COVID took away 2 years, but we said we'll be among the top 5 shock absorbers in the world as manufacturin g is concerned, which is based on 4 cornerstones, exports, domestic dominance, M&A and technology. So, I'll spend a little time on each of this as to where we are.
Exports, we did about INR23 crores in the quarter which is flat. But however, here, we are working on big order as far as passenger car is concerned for exports, not yet finalized. In addition, we also have some 2 -wheelers -- 2-wheeler orders from 2 European customers, which we are working on. These are in final stages, so we are not yet able to share a firm LOI, but hopefully, in the next quarter, we should be able to share that, and we'll be able to convert that into a firm LOI as far as exports is concerned, in 2 -wheelers.
Coming to Slide 20, which is the domestic dominance pillar. Here, I'll come to the individual segments. This is on Slide 21, which you can refer to, which shows the performance on 2 - wheeler and 3 -wheeler. So here again, we have had a 32% market share. We have also got some good new orders. We have won on a TVS new platform. We've also launched in the last quarter the Aprilia RS 440, which is with the inverted front fork. So this is a mass production vehicle with inverted front fork by Gabriel. We also are working on a semi -active suspension with TVS. We have had several trial s overseas as well as in India. And we have also won new EV platform from TVS. Here again, in 2 -wheelers, I'm glad to share that in Bajaj, we have won Platina business, which we were not there earlier, and we are also working on some other, let's say, marq uee brands of Bajaj for some possible new orders as well.
Going to Slide 22, which is the EV. It continues to be strong. I mean, our business is quite strong on this front. And we have won new orders, as I said, about TVS new EV platform, we already got that. We have won the Suzuki EV platform, which will be launched towards the end of the year, Suzuki 2 -wheelers. The OLA motorcycle, of course, we are on that as well. So our EV penetration hopefully should continue and sustain at the good levels that we ha ve seen so far.


Coming to Slide 23, which is passenger cars. So we have a 24% market share. Our market share which Maruti increases every quarter. And we are also happy to share that we have won the Swift platform as second source for Maruti , just to share that Gabriel has never been on this platform, the Swift and Dzire platform, which is a very high -volume platform for Maruti. But now finally, we have been able to break through as a second source. But nevertheless, we have a good opportunity to increase our relationship with Maruti Suzuki. We also have one Tata Motors Curvv EV platform. That is the first EV platform that we'll be working on Tata. We are also working with Tata Motors on another EV platform, but hopefully, that we'll be able to confirm in the next quarter because the discussions are yet in the final stage.
We also have won the MQB 2.5, which is a new platform of Volkswagen. Currently, the vehicles that you see is in MQB 2.0. I mean the Kushaq , Slavia and Taigun. These are the MQB 2.0 platform. So, we have also won the 2.5 platform.
Slide '24, that shows pictures of the SUVs. We just disclose that SUVs form 58% of the market now. So here, I'm happy to share that Gabriel is very well entrenched with all the SUVs. You can see right from the Skoda Kushaq, Volkswagen Taigun, Toyota Hyryder, wh

ich shares the
platform with Suzuki Grand Vitara, the Suzuki New Brezza, Mahindra XUV, Mahindra Thar, Mahindra Bolero and Suzuki Jimny and of course, the Citroen PSA C3 as well. Coming to Slide number 25. This is on CVs. Yes, we continue to have a dominant market share of almost 90%. So we are on all platforms that are being produced in India by India OEMs.
And also, as far as the DAF Netherlands is concerned, we are already work ing on axle dampers. We were only on the cabin dampers. Now that business has grown based on the confidence and the delivery from us because we are a Zero PPM supplier, we have won the award, two years in a row. In fact, this year also we should get the aw ard. So based on that, they extended us to the axle dampers, which is under development right now.
Slide number 26 is the railways. As I always say, the volumes are small, but we have had a good growth build on, of course, recovery of the railway producti on and share of business is going up, I mean, to a mature stage. So, our growth in this has been almost 40% compared to the quarter last year.
Aftermarket continues to be strong. We did about INR104 crores of sale in aftermarket in Q3. So, we'll continue the good work here. We have already launched several new projects, new products as well in this and we'll continue to do so going forward.
Coming to M&A. We all know, I mean, the Inalfa, we have tied up with them. We announced this on May 9, and I'm happy to share that in December, we delivered the first production sunroof

to Hyundai. And in fact, in the month of January, we have started production at full scale level. So that's really record of getting the plant up to scale and up to speed. We are supplyi ng for the Hyundai new CRETA, which you have seen that got launched in the month of January.
This is a, I must say, a very satisfying ramp -up that we have done. Thanks to the team and great support from Inalfa. –If you refer Slide number 30, you can see the pictures. We have shown the plan view. This is how the plant looks as of last week and the internal view as well as how the


assembly line and the polyurethane line. So, we are producing here almost at the rate o f 300 to 400 per day. This will only keep going up.
And lastly, on the technology. We have started the tech center in Belgium in Genk. We have now moved to a larger premise, which also can develop as our workshop. Earlier, it was only an office. Now it's an office plus workshop. So, we can do some trial and treatment as well. We have now in addition to the CTO, I mean who is Mr. Ko en Reybrouck group and Expat, we have also added one more person expert in the suspension field. We'll also work with Formula 1 racing teams. He is also onboard, and we operate sort of Belgium. Coming to the tech centre , if you refer Slide number 34, we have seen the picture of the new tech center in 4 -wheeler as far as Chakan is concerned, we've also done a small facelift of our Hosur tech centre , which we had inaugurated in December 13. So, we decided that we should also do a refresh and renovation of the tech center. So that is complete now. So not only have we done a facelift in terms of aesthetics, but we've also increased spa ce inside and added some more validation equipment where we can meet the market demands much faster. So that's about the 2 -wheeler tech center.
And just if you go to Slide number 36, we won the Bajaj award, Platinum Rating Award for two of our plants, both Chakan and Nashik both the supplying plant won the platinum award which we are very proud of.
At the CI convention in Hyderabad, we won the Manufacturing Champion Award and I'm happy to share the Sustainability Champion. The sustainability is, of course, very, very dear to us as a company as employees and as a group as well, we continue leading a lot of efforts in this aspect and looking

at every investment that we do or every product that we make with the lens of sustainability. So, I'm glad to share we got our industry recognition for the sustainability.
We already had an award from Royal Enfield for sustainability. So , we'll continue our efforts to improve our journey on sustainably. And just to share, we have just released our ESG report, which will b e on the website very shortly. We already finalized the report, and you will see it on the website very shortly. So that's quickly about the quarter that went by. And you know that I have shared with you.
So, I would now end my address here and going to li sten to your feedback and your suggestion. Now thank you. Over to you.
Moderator: The first question is from the line of Mumuksh Mandlesha from Anand Rathi.
Mumuksh Mandlesha: Congratulations on the healthy margin performance, market share gains and the robust order bills and getting the sunroof plant ready in a short period of time. Sir, my question is on the sunroof division. Can you provide more update in terms of new orders or RFQ bills from the Korean and other OEMs? And, the first model, which we are supplying is seeing a robust demand in the market. So how do you see the revenue in the first year? And lastly, can you also update on the status of JV formation?
Manoj Kolhatk ar: Okay. Thanks, Mumuksh for having your appreciation. Coming to sunroof, your question specifically in terms of orders for Korean. So , as I said, we are supplying for the CRETA facelift . And we already got the order for a new Kia platform, which we're wo rking on. The effect of that


will be in 2025, early 2025. So that is what we have in hand right now. In addition, we have got RFQs , because this product, of course, we can get only when completely new vehicle comes on the planning space as far as the OEM i s concerned.
So, we're working on RFQs from 2 other OEMs right now in advanced stages. So, we'll have to wait for maybe a month more for before we can confirm anything on that front. So, a very good interest from all OEMs in terms of extending RFQs or sho wing their interest. Yes. And in terms of your last question of what could be a likely order and you know, Mumuksh that we do not share any guidance in terms of revenues. I really can't do that. But happy to share that the sunroof plant has started produci ng at a, as I said, currently at almost a level of 300 to 400 per day.
So, JV formation, to your question. Yes. I mean the file is moving from its move from the

Ministry of External Affairs to MHI heavy industries, it has been cleared by both. Now as we going to the next stage. So, I think quite surely, the next quarter, we'll be able to share something positive on this. But however, as we have discussed, we have a PLA with Inalfa till the time the JV is formed. And I must say that getting -- I mean, excel lent support from Inalfa, Korea and in Inalfa, Netherlands as far as this business is concerned and in fact, it kind of SOP ramp -up will not have app, they have very strong support. And how the expat operating from Chennai plant. And now yes, I'm happy to share that most of the expats have left, and it is the Indian team largely that is now delivering this stable production demand.
Mumuksh Mandlesha: Got it, sir. So, can you also provide an update on the new product line opportunities which we are scanning and when we can see the next coming, sir?
Manoj Kolhatkar: Yes. I think we are working on, I mean, a couple of them right now as we speak. And as we have discussed, the coming financial year, our target is to announce at least one more. I mean that we are working towards that target. But right now, I can only share that we have proactively working on two opportunities.
Mumuksh Mandlesha: Got it, sir. Sir, on the EV side, you're seeing the E2 -wheeler, E3 -wheeler revenues growing 40% to 6

0% growth. Can you indicate how you're seeing the key customers like OLA, TVS from Ather and a planning to ramp on EV production in next 1-to-2-year perspective? And how are you seeing the getting orders from Bajaj for the EVs and the super -premium motorcycle?
Manoj Kolhatkar: What is your question of Bajaj?
Mumuksh Mandlesha: How you are seeing the getting orders for the Bajaj EV models and the super -premium motorcycle models, sir?
Manoj Kolhatkar: Okay. Yes. So, in terms of EV business, I think all the OEMs the top ones, given a robust order book for us. TVS is ramping up, Bajaj is ramping up, so we don't suffer to Bajaj EV. But Bajaj also has first plans of ramping up. OLA is not only ramping up you're seeing that in terms of their market share, and we continue to be number one. Ather also given demand projections. So, we are seeing overall a good demand projection.



But yes, as I said, we, of cours e, have to see what happens after March because while we had done the same prediction earlier. But after June, we saw things change. So , if there is no change in terms of the benefits being extended by government as far as FAME 2 or if there's any FAME 3, we don't know how it goes. We'll have to wait and watch.
But the good part is the battery prices have come down. Lithium prices have come down. So , you've already seen some correction in particularly the passenger vehicles. I mean yesterday, MG Motors dro pped the price by INR1 lakh, over INR1 lakh. So , we see that if that continues, then even if the benefit goes, the demand for EVs will continue to grow. So that is -- that's on the EV front.
And in terms of Bajaj, I mentioned they are planning to ramp up t he EV, but we are not on Bajaj EV, on the Chetak, I mean. While we are discussing something, but we are not on Chetak right now. As far as the motorcycle is concerned, we have got the Platina, and we are working with them on some premium models as well.
Mumuksh Mandlesha: Got it, sir. And just to Rishi sir, can you say the capex guidance for FY24 and '25 for the stand - alone and the JV? That's all for my side.
Rishi Luharuka: Sure. The usual number of INR120 -odd crores is what we are planning for this year, while we have not formulated our budget, closing that in March. But we see at this point in the 2 programs depending upon the LOIs, we would be investing. But as of now, Rs. 80 crores of investments have gone into the JV.
Mumuksh Mandlesha: You mentioned INR80 crores, right.
Rishi Luharuka: Yes, INR80 crores.
Moderator: The next question is from Nihar Shah from Enam Investments.
Nihar Shah: And great to see the margin and new orders coming through. Just had one clarification that I wanted on the expansion plan that you mentioned. Slide talks about the electrodynamic damper. Can you just throw some light on if this is a new product or a new type of suspension that we're developing or is this already been in production? And how do we see the future with this?
Manoj Kolhatkar: Are you talking about the adjustable electronic hydraulic damper, right? That's what you are referring to?
Nihar Shah: Yes. So basically, you mentioned electrodynamic dampener on slide 14. So just wanted to check if that the earlier adjus table dampener or is this something that's developed new by Gabriel ?
Manoj Kolhatkar: No, it's actually -- this is the capex. This is not a product. So, what we have listed in 14 is the capex for FY '23. So it's a electrodynamic damper testing machine. But if you raise the question on the electronic damper, we are fine -tuning the final round of fine tuning for XUV we are doing,

which is a demonstration product mainly from Mahindra. We have already done that and shown to the Mahindra tech team, including the CTO. The initial feedback was good.



But now

we are refining that in Europe. And on the 2 -wheeler front, there has been, I must say, surprisingly very good interest in this product. And we had a joint tuning exercise with TVS came in Belgium. They came to Belgium to do their right tuning themselves and check it out. And now we are also develop ing the same thing in India, so that we can do more testing here in Hosur. So let's see how it goes. It's early days for 2 -wheelers, but I must say, we are surprising ly and pleasantly quite happy with the traction it has seen in 2 -wheelers.

Nihar Shah: Got it. That's great. Also, a couple of questions on the order wins that you mentioned. So one is on the Swift platform, right? And that saw a big volume at platform. Wh at is the typical share that the second source gets in these kinds of products ?

Manoj Kolhatkar: Typically, it's -- we operate on a 70 -30. So I can source, it's 30%.

Nihar Shah: Understood. And is anything changing from Bajaj Auto side, typically in a lowe r shelf business with them. Is something changing in terms of other than on the Platina or the premium side that you're discussing with them?

Manoj Kolhatkar: No, I think the only thing as you saw, we got 2 awards, and we've been getting this platinum excellence awards for quite some time now. So as far as our quality is concerned, we are quite well rated in Bajaj. So I think it's somewhere -- when you start delivering a good product consistently. Obviously, you have to show some results, positive results, I mean. That's what we are seeing. Hopefully, we should convert this opportunity. So Platina is a good start, and I'm sure we'll be able to do something more.

Nihar Shah: Got that. And the last question from my side is recently, we've had a couple of exchange filings regarding a lot of management reshuffle that happened in Gabriel . Can you just talk about the transition that's happening and how they are going about that and any changes to the structure?

Manoj Kolhatkar: Yes. I mean, these are regular changes that we do, not only Gabriel but even at group level, where it's career planning of individuals. So this is, in fact, as you know, this is one of the strengths of ANAND Group. So we have got like my sunroof plant head is and the deputy CEO is from ANAND Group company because we wanted a resource who could come on board without affecting the Gabriel team. So we got from ANAND Group as a career planning for this is on sake. Similarly, Atul Jaggi was our Deputy Managing Director, he will be moving to Mahale Filters to head that business as MD which is our JV with Mahale Germany for air filters, oil filters and fuel filters and some more air intake manifold and some new EV products, which the partner has. And Puneet, who was heading the 2 -wheeler also m oved on to other smaller JV of ANAND, which is with Haldex exterior in the commercial vehicle space. So we already replaced that. So we had a fair bit of planning done. So we are happy that Anand Sontakke who headed both business development and sourcing i n Mahale Thermal Systems. And then we moved to Mahale Filters as Head of the PNL and he had moved out of the group, and he has joined us back, a very seasoned professional and proven track record.

So he's joined us as the head of 2 -wheeler business. So th ese are changes, but happy to share that we were able to attract one of our good talent back into the group. So he will take over the 2-wheeler business. But rest remains the same. There is one more change that Vijay, who was



our Head of Quality , he attain ed superannuated, we had extended by 6 months. So we had planned that and we moved one of our resources called up a named Abdul Wahid, who was earlier in supplier quality and again, a very good performer. We have moved him into the place of Vijay as part o f the succession planning.

Moderator: The next question is from t

he line of Viraj Kacharia from SiMPL.

Viraj Kacharia: And congratulations on good set of numbers in such a challenging environment. A couple of questions. Firstly, if you can just give some p erspective in terms of the share of Gabriel, the premium motor secular premium 2 -wheeler space. And similarly, in the higher ticket space in PV? So based on the pipeline and the order wins we have currently, how our share would have changed?

Manoj Kolhatka r: Thanks for this. It was nice meeting you at the Bharat Mobility show.

Yes, we did discuss on the sidelines as well on several aspects. So this particular question on the

share in premium, we don't have it off hand right now, but we can revert back to y ou. But just to share that in the premium segment in terms of the passenger car, we just shared the picture of the SUVs that we are there, which is a high -growth area. So they're not premiums SUV but the higher -end SUVs, which are sold in India.
So right from the Suzuki Grand Vitara and Toyota Hyryder offered in the hybrid version. You know the demand is very strong there with a huge waiting list. The Skoda Kushaq, the Volkswagen Taigun, the Mahindra XUV, Mahindra Thar and the Suzuki Jimny. So these are al l, I must say, they are on the higher end of the SUVs. So if you can refer to Slide 24, you can see that our share is 35% on the utility vehicles. Yet premium vehicles this, in fact, will be even better. But let me revert back to you on these points afterw ards.
Viraj Kacharia: Sure. Now just on the initiatives in export and aftermarket, right? I mean some time back, we said the aspiration of more than 20%, 25% of revenue from these 2 segments put together. Exports, we earlier talked about us engaging in adv ance stage that with respect to VW and other few other OE for supply. Any update you can give in terms of export, if any of those has materialized on the PV side.
Manoj Kolhatkar: Yes. So I can tell you that -- and I have already shared that it takes time , but both 2 key OEMs is that we have had -- we have had one very important visit last week, one of the OEM who is a global purchase head –of OEM for the entire globe as far as this commodity is concerned. We had his visit, and it was a very, very positiv e visit. And he's assured that we will look at opportunities globally. So it's a good breakthrough. And the second OEM, which we are discussing with, they are visiting us in the next week, not next week, on 23rd to be precise. So again, the head of that co mmodity globally, she is visiting. So that will also be an important thing, which will pave a new way as far as our exports with these 2 globally large OEMs are concerned. So I can only share this right now, both are on positive. We have been working on both of this. So it's on the right track. Yes, it will take time.


One of them will materialize faster surely. I can say, I mean we can get an order in the next, hopefully, in the next 3 months. The other one will take a little more time. But yes, positive developments on both the OEMs, which we have been working with.
Viraj Kacharia: Okay. But these are typically single model, single plant order or when you're interacting at the global level, these are more spread across plans for more of capacity transacti ons?
Manoj Kolhatkar: Geographies.
Viraj Kacharia: On the -- just two questions. In the past, we talked about pricing as a strategy to gain share back in PV. And last few calls, we've been talking about recovering the pricing piece. So in terms of the prof itability in the PV, the thinking was to bring it to a normalized level as what you see in 2-wheelers and others. So in that journey, where would we be now? And incrementally when we're getting these new orders or the bidding for new pipeline, is that stra tegy still by and large there or now we have more evolved in terms of the overall of

fering or solution and that's our
early here?
Rishi Luharuka: Viraj, Rishi here. Your question had the answer . 2-prong strategy broadly. One is where we require a customer penetration or a model penetration where the strategy of price may be required. Having said that, the Core 90 program thereafter kicks in to ensure that the profitability is normalized. Happy to share that YTD December has been very heartening in terms of the profitability margins per passenger car.
Are we there where we want to be? The answer is, no, there is still some scope of improvement there, but we've seen a significant improvement in the volumes of passenger cars.
Viraj Kacharia: Okay. Just two las t questions. One is from a...
Moderator: Mr. Kacharia, Maybe request you to rejoin the queue. As there are more participants. Thank you. The next question is from Shashank Kanodia from ICICI Securities.
Shashank Kanodia: I just wanted to check on the sunro of part, sir. In one of your comments, you mentioned that the wrap -up of this facilities dependent upon the new model launches because I think the initial standing was that it's an import substitution product and ready market given by Kia and Hyundai. So if you could please clarify.
Manoj Kolhatkar: Yes.. Shashank, let me clarify that this is an import substitution, of course, like this this new Creta that has been launched. So it's an import substitution from them. In fact, we have some import stocks, whi ch we'll get over this month, and it will be a complete switch over to localized production by In alfa Gabriel Sunroof Systems . Similarly, Kia EV is the same. But in terms of new models, I mean, obviously, that's now when they develop a new model, it will b e from day 1 with the localized sunroof.
Shashank Kanodia: Right sir, would you still be qualifying the supply to existing Hyundai and Kia models, right?
Manoj Kolhatkar: It could have a supplier Kia completely.

Shashank Kanodia: Right. And sir, since you mentioned that you already operate in roughly 400 units to a day. So by FY '26, we should expect this plan to wrap up to full capacity of 2,00,000 -odd units?
Manoj Kolhatkar: FY '26.
Shashank Kanodia: Or do you expect that to happen in '25 itself?
Manoj K olhatkar: Again, do you are subject to volume OEs, mean, naturally, as I said, this is on a single store basis. So whatever the OE makes will be with our sunroof insurance that we have. But in terms of how their volumes as far as the end market is concerne d, we can't take a guarantee based on the volume indications that we have, FY '26 should be close to our capacity.
Shashank Kanodia: Sir, at that peak capacity of in FY '26, what is the EBITDA margins and PAT margins that we intend to clock?
Rishi Luharuka : The double digit is what we are targeting with 2 lines and like 80% capacity utilization.
Shashank Kanodia: Right. And sir, one thing on the 2 -wheeler's front. So the CV and the PV guys have largely alluded to some amount of demand slow down. But 2 -wheel er space is picking off well. So your assessment of the 2 -wheeler industry and with all this market share growth, are we supposed to be in double -digit in FY '25 in terms of revenues?
Manoj Kolhatkar: You mean revenue growth?
Shashank Kanodia: Yes, sir.
Manoj Kolhatkar: Well, again, I said we can't share. But yes, I mean, that's the idea. Over the past, we can see over the past several years, we've been trying to stay ahead of the market growth, which we have done. Yes, that will be endeavor, for sure.
Shashank Kanodia: Right. And sir, any aim for double -digit margins in terms of timeline , let's say, 2 years, 1 year, anything you can quantify?
Manoj Kolhatkar: Well, as we have put this year. So we certainly will go to 9 -plus-percentage. So double digit would be one more year.
Shashank Kanodia: Okay. So FY'26...
Manoj Kolhat

kar: I won't specifically say a year but, yes, that's the idea.
Moderator: Next question is from Arkopratim from Sanjay Agarwal Broking.
Arkopratim: Okay. Based on your latest result, wha t is the corresponding volume growth rate? And additionally, how much does the price decrease or increase in that quarter?
Moderator: Can you repeat your name? I couldn't get your name.
Arkopratim: My name is Arkopratim and I'm calling from Sanjay Agarwal Brokings.



Manoj Kolhatkar: Arkopratim, so your question is also, can you repeat your question?
Arkopratim: Yes, yes, sure. Based on our latest result, what is your corresponding volume growth rate? And additionally, how much does the price decrease or incr ease in that quarter?
Rishi Luharuka : So also essentially a large part of the reduction in sales as compared to the second quarter is going to be decrease in volume. There is a reduction in the commodity prices to the extent of INR8 crores to INR10 crores, which have also reduced the value of sales that you see for quarter 3.
Arkopratim: Okay. And one thing I want to ask is that what relates to the increase in operating margin? Could you please elaborate on any potential changes in OPM that might be anticip ated for this current quarter?
Rishi Luharuka : A lot of things here. We've been speaking about this in all the investor calls that we have a Core 90 programs. Largely, it takes care of all the heads of P&L and the working capital management. We have dedica ted groups which work on that throughout the year in order to reduce the cost or improvement in margins. It includes customer price correction. It includes reduction of wasteges . It also includes a digitization and an automation journey for improvement in the operating efficiency. So these factors, we have been doing it for the last couple of years, and the results of which are now visible in a quarter where the volumes were lower, and yet we could maintain our EBITDA margin.
Arkopratim: Okay. And my last question is, what is your expectation about the demand scenario of the current and coming quarter compared to last quarter?
Manoj Kolhatkar: Typically, also, the last quarter is robust . Jan, Feb, March is, I would say, it would be, if you want a comparison , it will be more like Q2, not as good as Q2 because Q2 has a festive season thing, but somewhere in between Q3 and Q2.
The typical cycle that the industry follows. So I don't see any issues with that. And going forward

from next year as an industry due t o election here, we won't see as good a growth as we saw in FY'24. There is -- certainly, there will continue to be good growth in terms of 2 -wheelers and passenger cars, but maybe CVs may see a little bit of a flattish growth. That's what's we are expecti ng.

Moderator: The next question is from Viraj Kacharia from SiMPL.

Viraj Kacharia: On aftermarket piece -- so if you look at the presentation, I think a majority of the business is still driven by shock absorber and related product. And so, I want us to u nderstand the growth in terms of, say, product or distribution both in India and across, what will drive the growth in this business? So last few years, we had a very good execution and growth seen in the business, but just want to still look next 3, 5 yea rs, what are the drivers of business?

Manoj Kolhatkar: Viraj, the vehicle part only continues to increase. While we have seen the same growth in passenger cars and 2 -wheelers as far as region is concerned. But if you see, particularly in



passenger cars, th e second -hand car sale has been the highest ever. So, if you add that, there has been a huge increase in overall purchase of cars.

And when you buy second -hand cars, obviously, there is scope for some more aftermarket parts getting into because people wou

ld want to refurbish the cars. And I don't think this will change.

As long as the vehicle part goes on increasing, which is increasing both in terms of the new car sale and second -hand sales. So we see the aftermarket demand continuing to hold on to contin ue to improve.

Viraj Kacharia: So what are we asking in terms of item on the same gaps in the portfolio or any other new products you would like to add on even by the distribution, right, in India or a piece of view? Do you still see gaps or compared to wh ere the potential would be, just trying to understand in that sense.

Manoj Kolhatkar: We are adding new products. In fact, in next year, we have already identified a couple of new products to be added to our kitty in terms of the aftermarket. So we are, on e we do is scanning horses and we are in touch with our dealer and distributor network as well as to what they would want us to add because we also have to be allowed to their needs and requirements. So we keep doing that and we should be adding a couple o f products next year where aftermarket kitty.

Viraj Kacharia: In terms of second question on JV piece. The understanding was that in addition to CRETA, there will be an import substitution of the new Seltos as well. So initially, we will start with 2 model s and then further ramp it up in terms of new wins.

Manoj Kolhatkar: No, no, no. I think this is not understanding. We have clearly stated that we have got the localization of the new CRETA, which is what is currently in production. And the second, we said was a new platform of Kia, not the replacement of Seltos.

Viraj Kacharia: So if you look at for example , on the Kia, Hyundai and portfolio in India for now. What are the models they would be supplying? And if one has to think in terms of, say, import subs titution of those over the next two, three years, what can come to us in terms of a JV?

Manoj Kolhatkar: Yes. So CRETA is one, which is a major platform. And in fact, the CRETA, the new CRETA face lift also, which is planned maybe a couple of years down th e line, even that is very likely to come our way. Obviously, Kia, this new platform is there, and we are working on something new with Kia as well. There are some platforms which we are not there currently.

Rishi Luharuka: I'm correct in your understandin g, Inalfa currently does not apply to any OEM in India other than for Hyundai CRETA program. And thus, the input substitution in the JV was meant for CRETA only. The rest of the programs are all that we will win in the JV itself.

Viraj Kacharia: Okay. I un derstand. On margin, when you say double -digit EBITDA margin for a JV, based on the order which you're seeing right now, the daily run rate already at the healthy utilization. So this margin is based on the assembly setup which we have currently right . But as we kind of see improvement in scale and increased localization, on a mature basis, what is the margin in this business ?



Rishi Luharuka: We don't give the guidance, Viraj, so unfortunately, difficult to fathom. But to tell you that because it's the localization of a line or a product that is already there with Inalfa in Korea, there is not a very steep improvement in margins because of operating efficiency coming around. So the volumes will also drive additional cost of capex and overheads as well.

Moderator: The next question is from Jyoti Singh from Arian Capital. Please go ahead. Jyoti Singh from Arian Capital, you may go ahead with the question. There seems to be no response from the line

of Jyoti Singh. We move to the next question. Next questio n is from the line of Priyaranjan from
HDFC Asset Management. Please go ahead.
Priyaranjan: Just two questions. What will be the EV sales in our total revenue right now? And secondly, on the electric suspension -- electronic suspension side, what will be t he kind of ASP in

crease if we go for the electronic suspension from the conventional one? What can be the ASP increase you can invest? And when do we expect that at least a couple of these models have been in 2 -wheeler and 4 -wheeler, we will start SOP?
Man oj Kolhatkar: So I mean as far as your EV share in our business right now, the sales is roughly -- it's growing, but it's roughly about 5%, which is pretty similar to the market penetration that you are seeing in India, it's 5%. Yesterday's article I read was 5% penetration. So we are at pretty much at the same level. That is what we are seeing. And your second question was on the semi -active suspension?
Priyaranjan: Yes.
Manoj Kolhatkar: So there, yes, there is a significant bump up in terms of price. The price will go to almost 3x. Whatever is the price today, it will be almost 3x that price for the semi -active suspension, right? Now your last question about when would be the likely SOP. For TVS, it's right now, even they have to get continued the product in the concept. And yes, also the price will have to be absorbed by the customer. So I don't think it will happen before at least under 2 years, not before '26.
Priyaranjan: Okay, okay. And when we talk about the new products, so one product which we have got the sunroof, which is we have gone through the joint venture route. So next 2 products, which I think you are actively looking at. So will it be like a similar joint venture kind of arrangement or it can be within the company as well, some product line , which you can develop on your own?
Manoj Kolhatkar: Yes, it could be a mix of both, yes, absolutely. And even if we do an acquisition, it might very likely be with a majority.
Moderator: Next question is from Alisha from Envision. Please go ahead.
Alisha: Two questions. First, in terms of margin side, the aspiration is to go to double digits, so over the next 1 to 2 years, a large part of cost saves from Core 90 has already led to 150 basis points improvement from last year. Going forward, like you said, mix shifting to PV, they will be slightly opportunistic as it get negated by an incremental savings from Core 90. So what's the incremental levers you have for another 150 basis point expansion to move to double digit?


Rishi Luharuka: So the way I se e this panning out is that the cost reduction drive also has to continue in order to maintain the inflationary pressures and the salary increases that we are expecting in the next year, that's one. Second is that there are still opportunities in terms of r educing the overhead by effective utilization of the operational efficiency. And in that journey, digitization should and will play a big role.
The third piece is with regards to the raw material cost and its stabilization there, including commodity index ation. So that's -- while that's an ongoing exercise, the endeavor here is also to start looking at more prongs in terms of make and buy if that will help us improve on the improvement. Fourth is with regards to the geographical spread that we have. So if -- given the endeavor that we have on exports and aftermarket, increase in the export is, we should be also getting some additional benefit in terms of profitability from that. So that's broadly what I envisage the journey to a double d igit.
Alisha: On 9 -month basis, the 2 -wheeler, 3 -wheeler revenue seems to be down by more than 25%. Is this largely because of slow down on the EV 2 -wheeler side? Or reduction in contribution of that led to this decline? And how well could I understand thi s?
Rishi Luharuka: No, the cyclicity of the quarter is what is driving the volume down.
Alisha: I'm comparing 9 months.
Rishi Luharuka: The commodity reduction cycle impacts the overall pricing, but in terms of volumes, we are higher than previous year.
Moderator: Thank you very much. Due to time constrain

ts, we'll have to take that as the last question. I would now like to hand the conference back to Mr. Manoj Kolhatkar for closing comments.
Manoj Kolhatkar: Thank you. Thank you for all your queries. I mea n we -- as I said, hopefully, in the next quarter, we should be able to share, not hopefully, for sure, the numbers of the sunroof in terms of the volume that we did but it's going very well. And also some additional news on the exports.
If I said those d iscussions rectified. But now to that, we look forward to a very good year next year as well and continue to put our efforts in improving the including and sustaining the margin improvement that we have done. So thank you, and I look forward to the next ca ll. Wish you all again, a very happy new year.

Moderator: Thank you very much. On behalf of Gabriel India Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

# Call: Feb 2024



“Gabriel India Limited
Q3 FY '2 4 Earnings Conference Call ”
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Moderator: Ladies and gentlemen, good day, and welcome to the Gabriel India Limited Q3 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manoj Kolhatkar, Managing Director of Gabriel India Limited. Thank you, and over to you, sir.
Manoj Kolhatkar: Thank you. Good morning, everybody, and a very warm welcome and before I start, a very, very Happy New Year to everybody, happy 2024. Joining me today on the call is Rishi Luharuka, our CFO; Nilesh Jain, our Company Secretary; and SG A, our Investor Relations Adviso rs. We have reported results after our Board meeting yesterday. I hope you've had a chance to glance to them. I'll, of course, take you through the presentation as always.
So, what I'll do is, in fact, straight away going to the presentation. So, if you all are referring to the presentation, I'll straight go to Slide number 5, where it shares the highlights of the quarter, Q3 that went by.
So, revenue was INR 814 crores. So, it was a reasonably good third quarter. As you all know, third quarter typically for the industry is cyclically low, Diwali being in that month and the year ending December month so obviously, it's always a little low. Despite that, we had a 14% year - on-year growth. And this growth extended 9 months to 11.1% increase in revenue, taking the total 9 months to INR 2,484 crores. In Q3, what is more heartening was that our EBITDA margin stood at 8.8% compared to 7.2% in Q3 FY23 , which is clearly a significant i mprovement. And as we have been sharing for several calls, we've been working on improving the margins. I mean based on feedback from all of you as well. So, this, we have been able to do. So, 8.8% EBITDA margin for Q3. As you can see -- again, on slide 5, from Q4 FY '23, it is 7.1%, then to 8.6%, then to 8.7% and now at 8.8%. If you now move to the next slide, which is Slide 6. Again, the same figures in a different format.
Now I'll come to the industry dynamics. So in terms of passenger car in Q3, there was the total industry sale of INR 11 lakhs i.e. INR 1.1 million, again, which is higher as compared to INR 10.86 lakhs in Q3 FY '23 , about 4.79 million passenger vehicles wa s sold in last calendar year, which is an increase of around 7.7% with sales of 4.43 million in 2023, I'm talking of the calendar year. Mainly, we are seeing a wide adoption of sport utility vehicles and electric vehicles. However, electric vehicle penetra tion impacting it still remains very low at just about 2% to 3%. But nevertheless, the numbers are increasing, in fact, on a monthly basis, now we are seeing

electric vehicle sales crossing 8,000 in terms of passenger cars.


Passenger car grew in Q3 FY '24 , mainly due to robust economic growth, new launches, which happened typically during Diwali and then in December, the year -end discounts offered the automakers. Out of the total PV sold, UVs accounted for 58%. So, this -- we have been seeing this trend fo r several quarters now. But now it's peak that almost 58% of the total sale of PV is utility vehicles. So, SUVs are really gathering a lot of momentum. And this momentum will continue in 2024, yes, while ther

e is the election here. So, the growth may not be as robust as what we have seen in the past 2 years, but it will still be a decent growth that we are all expecting in 2024 as well.

Coming to commercial vehicles. Commercial vehicle production stood at 2.5 lakhs. So, we are well on track for 1 million commercial vehicles for the year. So, the industry -- I mean saw a 3% increase year -on-year. This is much lower than what we saw in the earlier years where we had very significant growth in commercial vehicle. But now this is tapered do wn that expectedly.

So, if you remember right, in the start of the year, we had predicted CV sales to be in just about double digits, which is what we are seeing. And this will definitely get affected in the coming year, going to the elections. That again , is based on the cyclical study that we have done over several past election cycles, where we see a little muted growth in commercial vehicles because the CapEx decisions as far as government is concerned, it takes some time. However, having said that, I think we all know the Indian economy trend and the strong foundation that it is on. So we have nothing to worry at all in terms of the longer -term outlook.

Coming to 2 -wheelers and 3 -wheelers, this has been encouraging that we have seen a notable recovery in 2-wheeler segment after the festive demand. The favorable momentum extended to Q3 with sales volumes reaching 55.88 lakh units, which is a year -on-year growth of 19%. The upstream is attributable to various factors, including festive season, elevated r ural sentiment. As you know, the sentiments were very depressed post-COVID, but they are slowly changing, thankfully. The wedding season, of course, also played a part in this growth in the 2 -wheeler sales.

In the electric vehicle segment, the sales surge d by 34%. So this, of course, is much less than expected. I mean when we envisaged EV sales pre the benefit is going away in June. So, after that, obviously, we have seen a speed breaker in electric 2 -wheeler sales. So, we are seeing only a 34% growth with the same figure in the previous years used to be 200%.

So, this is likely to get some flip, we'll have to see as to what the government is stand on this. We all know also that the FAME 2 the end date is March . So we'll obviously how this pans out in terms of the government policy. The total domestic sales reached 2.61 million units reflecting substantial overall growth of 14%, domestic demand is robust across variants, particularly electric mobility.

Coming b ack to the slides, of the presentation. If we go to Slide 7, this is a 9 -month performance, where I already shared that we did INR2,484 crores for the 9 months so far with EBITDA of 8.7% and PBT of 7.2%. Balance sheet cash position of INR214 crores, cash f low from operations to the tune of almost INR100 crores compared to INR21 crores inflow in 9 months. And capex , we incurred about INR50 crores during the period. Slide 8 is, again, the financials in a different


format. We already discussed that, so I'll mo ve to Slide 9, which is the trend. So, as you can see, the good part is ROCE continues to be strong at almost 32% and margins, the improving trend is very, very linear.

I then move to Slide 11, which again tracks year -on-year performance for the past almo st a decade. And you can see again the trend of EBITDA margin improving, the ROCE at 32%. And moving to Slide #12, again, several ratios here, which, again, I'll not spend time on.

Coming to Slide 13, which is the revenue mix slide. You can see that 2 -wheelers is now 61%, passenger car is 24%. Obviously, we are also seeing increased diversion passenger car. And of course, in terms of both Gabriel business as well as the overall passenger car industry which we just discussed. Channel mix remains largely the same. 86% being OE, 12% is af

termarket and 2% is exports.

Slide #16 is the Core 90 initiative, which we have been continually discussing with you , which

has been the basis and the foundation on which we are trying to drive the margin improvement.
Slide 17 shares our vision, which we have defined pre -COVID that's why you'll see still a vision 2025. We do not want to change the date. We all know COVID took away 2 years, but we said we'll be among the top 5 shock absorbers in the world as manufacturin g is concerned, which is based on 4 cornerstones, exports, domestic dominance, M&A and technology. So, I'll spend a little time on each of this as to where we are.

Exports, we did about INR23 crores in the quarter which is flat. But however, here, we are working on big order as far as passenger car is concerned for exports, not yet finalized. In addition, we also have some 2 -wheelers -- 2-wheeler orders from 2 European customers, which we are working on. These are in final stages, so we are not yet able to share a firm LOI, but hopefully, in the next quarter, we should be able to share that, and we'll be able to convert that into a firm LOI as far as exports is concerned, in 2 -wheelers.

Coming to Slide 20, which is the domestic dominance pillar. Here, I'll come to the individual segments. This is on Slide 21, which you can refer to, which shows the performance on 2 - wheeler and 3 -wheeler. So here again, we have had a 32% market share. We have also got some good new orders. We have won on a TVS new platform. We've also launched in the last quarter the Aprilia RS 440, which is with the inverted front fork. So this is a mass production vehicle with inverted front fork by Gabriel. We also are working on a semi -active suspension with TVS. We have had several trial s overseas as well as in India. And we have also won new EV platform from TVS. Here again, in 2 -wheelers, I'm glad to share that in Bajaj, we have won Platina business, which we were not there earlier, and we are also working on some other, let's say, marq uee brands of Bajaj for some possible new orders as well.

Going to Slide 22, which is the EV. It continues to be strong. I mean, our business is quite strong on this front. And we have won new orders, as I said, about TVS new EV platform, we already got that. We have won the Suzuki EV platform, which will be launched towards the end of the year, Suzuki 2 -wheelers. The OLA motorcycle, of course, we are on that as well. So our EV penetration hopefully should continue and sustain at the good levels that we ha ve seen so far.


Coming to Slide 23, which is passenger cars. So we have a 24% market share. Our market share which Maruti increases every quarter. And we are also happy to share that we have won the Swift platform as second source for Maruti , just to share that Gabriel has never been on this platform, the Swift and Dzire platform, which is a very high -volume platform for Maruti. But now finally, we have been able to break through as a second source. But nevertheless, we have a good opportunity to increase our relationship with Maruti Suzuki. We also have one Tata Motors Curvv EV platform. That is the first EV platform that we'll be working on Tata. We are also working with Tata Motors on another EV platform, but hopefully, that we'll be able to confirm in the next quarter because the discussions are yet in the final stage.

We also have won the MQB 2.5, which is a new platform of Volkswagen. Currently, the vehicles that you see is in MQB 2.0. I mean the Kushaq , Slavia and Taigun. These are the MQB 2.0 platform. So, we have also won the 2.5 platform.

Slide '24, that shows pictures of the SUVs. We just disclose that SUVs form 58% of the market now. So here, I'm happy to share that Gabriel is very well entrenched with all the SUVs. You can see right from the Skoda Kushaq, Volkswagen Taigun, Toyota Hyryder, wh

ich shares the
platform with Suzuki Grand Vitara, the Suzuki New Brezza, Mahindra XUV, Mahindra Thar, Mahindra Bolero and Suzuki Jimny and of course, the Citroen PSA C3 as well. Coming to Slide number 25. This is on CVs. Yes, we continue to have a dominant market share of almost 90%. So we are on all platforms that are being produced in India by India OEMs.

And also, as far as the DAF Netherlands is concerned, we are already work ing on axle dampers. We were only on the cabin dampers. Now that business has grown based on the confidence and the delivery from us because we are a Zero PPM supplier, we have won the award, two years in a row. In fact, this year also we should get the aw ard. So based on that, they extended us to the axle dampers, which is under development right now.

Slide number 26 is the railways. As I always say, the volumes are small, but we have had a good growth build on, of course, recovery of the railway producti on and share of business is going up, I mean, to a mature stage. So, our growth in this has been almost 40% compared to the quarter last year.

Aftermarket continues to be strong. We did about INR104 crores of sale in aftermarket in Q3. So, we'll continue the good work here. We have already launched several new projects, new products as well in this and we'll continue to do so going forward.

Coming to M&A. We all know, I mean, the Inalfa, we have tied up with them. We announced this on May 9, and I'm happy to share that in December, we delivered the first production sunroof

to Hyundai. And in fact, in the month of January, we have started production at full scale level. So that's really record of getting the plant up to scale and up to speed. We are supplyi ng for the Hyundai new CRETA, which you have seen that got launched in the month of January.
This is a, I must say, a very satisfying ramp -up that we have done. Thanks to the team and great support from Inalfa. –If you refer Slide number 30, you can see the pictures. We have shown the plan view. This is how the plant looks as of last week and the internal view as well as how the


assembly line and the polyurethane line. So, we are producing here almost at the rate o f 300 to 400 per day. This will only keep going up.
And lastly, on the technology. We have started the tech center in Belgium in Genk. We have now moved to a larger premise, which also can develop as our workshop. Earlier, it was only an office. Now it's an office plus workshop. So, we can do some trial and treatment as well. We have now in addition to the CTO, I mean who is Mr. Ko en Reybrouck group and Expat, we have also added one more person expert in the suspension field. We'll also work with Formula 1 racing teams. He is also onboard, and we operate sort of Belgium. Coming to the tech centre , if you refer Slide number 34, we have seen the picture of the new tech center in 4 -wheeler as far as Chakan is concerned, we've also done a small facelift of our Hosur tech centre , which we had inaugurated in December 13. So, we decided that we should also do a refresh and renovation of the tech center. So that is complete now. So not only have we done a facelift in terms of aesthetics, but we've also increased spa ce inside and added some more validation equipment where we can meet the market demands much faster. So that's about the 2 -wheeler tech center.
And just if you go to Slide number 36, we won the Bajaj award, Platinum Rating Award for two of our plants, both Chakan and Nashik both the supplying plant won the platinum award which we are very proud of.
At the CI convention in Hyderabad, we won the Manufacturing Champion Award and I'm happy to share the Sustainability Champion. The sustainability is, of course, very, very dear to us as a company as employees and as a group as well, we continue leading a lot of efforts in this aspect and looking

at every investment that we do or every product that we make with the lens of sustainability. So, I'm glad to share we got our industry recognition for the sustainability.
We already had an award from Royal Enfield for sustainability. So , we'll continue our efforts to improve our journey on sustainably. And just to share, we have just released our ESG report, which will b e on the website very shortly. We already finalized the report, and you will see it on the website very shortly. So that's quickly about the quarter that went by. And you know that I have shared with you.
So, I would now end my address here and going to li sten to your feedback and your suggestion. Now thank you. Over to you.
Moderator: The first question is from the line of Mumuksh Mandlesha from Anand Rathi.
Mumuksh Mandlesha: Congratulations on the healthy margin performance, market share gains and the robust order bills and getting the sunroof plant ready in a short period of time. Sir, my question is on the sunroof division. Can you provide more update in terms of new orders or RFQ bills from the Korean and other OEMs? And, the first model, which we are supplying is seeing a robust demand in the market. So how do you see the revenue in the first year? And lastly, can you also update on the status of JV formation?
Manoj Kolhatk ar: Okay. Thanks, Mumuksh for having your appreciation. Coming to sunroof, your question specifically in terms of orders for Korean. So , as I said, we are supplying for the CRETA facelift . And we already got the order for a new Kia platform, which we're wo rking on. The effect of that


will be in 2025, early 2025. So that is what we have in hand right now. In addition, we have got RFQs , because this product, of course, we can get only when completely new vehicle comes on the planning space as far as the OEM i s concerned.
So, we're working on RFQs from 2 other OEMs right now in advanced stages. So, we'll have to wait for maybe a month more for before we can confirm anything on that front. So, a very good interest from all OEMs in terms of extending RFQs or sho wing their interest. Yes. And in terms of your last question of what could be a likely order and you know, Mumuksh that we do not share any guidance in terms of revenues. I really can't do that. But happy to share that the sunroof plant has started produci ng at a, as I said, currently at almost a level of 300 to 400 per day.
So, JV formation, to your question. Yes. I mean the file is moving from its move from the

Ministry of External Affairs to MHI heavy industries, it has been cleared by both. Now as we going to the next stage. So, I think quite surely, the next quarter, we'll be able to share something positive on this. But however, as we have discussed, we have a PLA with Inalfa till the time the JV is formed. And I must say that getting -- I mean, excel lent support from Inalfa, Korea and in Inalfa, Netherlands as far as this business is concerned and in fact, it kind of SOP ramp -up will not have app, they have very strong support. And how the expat operating from Chennai plant. And now yes, I'm happy to share that most of the expats have left, and it is the Indian team largely that is now delivering this stable production demand.
Mumuksh Mandlesha: Got it, sir. So, can you also provide an update on the new product line opportunities which we are scanning and when we can see the next coming, sir?
Manoj Kolhatkar: Yes. I think we are working on, I mean, a couple of them right now as we speak. And as we have discussed, the coming financial year, our target is to announce at least one more. I mean that we are working towards that target. But right now, I can only share that we have proactively working on two opportunities.
Mumuksh Mandlesha: Got it, sir. Sir, on the EV side, you're seeing the E2 -wheeler, E3 -wheeler revenues growing 40% to 6

0% growth. Can you indicate how you're seeing the key customers like OLA, TVS from Ather and a planning to ramp on EV production in next 1-to-2-year perspective? And how are you seeing the getting orders from Bajaj for the EVs and the super -premium motorcycle?
Manoj Kolhatkar: What is your question of Bajaj?
Mumuksh Mandlesha: How you are seeing the getting orders for the Bajaj EV models and the super -premium motorcycle models, sir?
Manoj Kolhatkar: Okay. Yes. So, in terms of EV business, I think all the OEMs the top ones, given a robust order book for us. TVS is ramping up, Bajaj is ramping up, so we don't suffer to Bajaj EV. But Bajaj also has first plans of ramping up. OLA is not only ramping up you're seeing that in terms of their market share, and we continue to be number one. Ather also given demand projections. So, we are seeing overall a good demand projection.



But yes, as I said, we, of cours e, have to see what happens after March because while we had done the same prediction earlier. But after June, we saw things change. So , if there is no change in terms of the benefits being extended by government as far as FAME 2 or if there's any FAME 3, we don't know how it goes. We'll have to wait and watch.
But the good part is the battery prices have come down. Lithium prices have come down. So , you've already seen some correction in particularly the passenger vehicles. I mean yesterday, MG Motors dro pped the price by INR1 lakh, over INR1 lakh. So , we see that if that continues, then even if the benefit goes, the demand for EVs will continue to grow. So that is -- that's on the EV front.
And in terms of Bajaj, I mentioned they are planning to ramp up t he EV, but we are not on Bajaj EV, on the Chetak, I mean. While we are discussing something, but we are not on Chetak right now. As far as the motorcycle is concerned, we have got the Platina, and we are working with them on some premium models as well.
Mumuksh Mandlesha: Got it, sir. And just to Rishi sir, can you say the capex guidance for FY24 and '25 for the stand - alone and the JV? That's all for my side.
Rishi Luharuka: Sure. The usual number of INR120 -odd crores is what we are planning for this year, while we have not formulated our budget, closing that in March. But we see at this point in the 2 programs depending upon the LOIs, we would be investing. But as of now, Rs. 80 crores of investments have gone into the JV.
Mumuksh Mandlesha: You mentioned INR80 crores, right.
Rishi Luharuka: Yes, INR80 crores.
Moderator: The next question is from Nihar Shah from Enam Investments.
Nihar Shah: And great to see the margin and new orders coming through. Just had one clarification that I wanted on the expansion plan that you mentioned. Slide talks about the electrodynamic damper. Can you just throw some light on if this is a new product or a new type of suspension that we're developing or is this already been in production? And how do we see the future with this?
Manoj Kolhatkar: Are you talking about the adjustable electronic hydraulic damper, right? That's what you are referring to?
Nihar Shah: Yes. So basically, you mentioned electrodynamic dampener on slide 14. So just wanted to check if that the earlier adjus table dampener or is this something that's developed new by Gabriel ?
Manoj Kolhatkar: No, it's actually -- this is the capex. This is not a product. So, what we have listed in 14 is the capex for FY '23. So it's a electrodynamic damper testing machine. But if you raise the question on the electronic damper, we are fine -tuning the final round of fine tuning for XUV we are doing,

which is a demonstration product mainly from Mahindra. We have already done that and shown to the Mahindra tech team, including the CTO. The initial feedback was good.


But now

we are refining that in Europe. And on the 2 -wheeler front, there has been, I must say, surprisingly very good interest in this product. And we had a joint tuning exercise with TVS came in Belgium. They came to Belgium to do their right tuning themselves and check it out. And now we are also develop ing the same thing in India, so that we can do more testing here in Hosur. So let's see how it goes. It's early days for 2 -wheelers, but I must say, we are surprising ly and pleasantly quite happy with the traction it has seen in 2 -wheelers.
Nihar Shah: Got it. That's great. Also, a couple of questions on the order wins that you mentioned. So one is on the Swift platform, right? And that saw a big volume at platform. Wh at is the typical share that the second source gets in these kinds of products ?
Manoj Kolhatkar: Typically, it's -- we operate on a 70 -30. So I can source, it's 30%.
Nihar Shah: Understood. And is anything changing from Bajaj Auto side, typically in a lowe r shelf business with them. Is something changing in terms of other than on the Platina or the premium side that you're discussing with them?
Manoj Kolhatkar: No, I think the only thing as you saw, we got 2 awards, and we've been getting this platinum excellence awards for quite some time now. So as far as our quality is concerned, we are quite well rated in Bajaj. So I think it's somewhere -- when you start delivering a good product consistently. Obviously, you have to show some results, positive results, I mean. That's what we are seeing. Hopefully, we should convert this opportunity. So Platina is a good start, and I'm sure we'll be able to do something more.
Nihar Shah: Got that. And the last question from my side is recently, we've had a couple of exchange filings regarding a lot of management reshuffle that happened in Gabriel . Can you just talk about the transition that's happening and how they are going about that and any changes to the structure?
Manoj Kolhatkar: Yes. I mean, these are regular changes that we do, not only Gabriel but even at group level, where it's career planning of individuals. So this is, in fact, as you know, this is one of the strengths of ANAND Group. So we have got like my sunroof plant head is and the deputy CEO is from ANAND Group company because we wanted a resource who could come on board without affecting the Gabriel team. So we got from ANAND Group as a career planning for this is on sake. Similarly, Atul Jaggi was our Deputy Managing Director, he will be moving to Mahale Filters to head that business as MD which is our JV with Mahale Germany for air filters, oil filters and fuel filters and some more air intake manifold and some new EV products, which the partner has. And Puneet, who was heading the 2 -wheeler also m oved on to other smaller JV of ANAND, which is with Haldex exterior in the commercial vehicle space. So we already replaced that. So we had a fair bit of planning done. So we are happy that Anand Sontakke who headed both business development and sourcing i n Mahale Thermal Systems. And then we moved to Mahale Filters as Head of the PNL and he had moved out of the group, and he has joined us back, a very seasoned professional and proven track record.
So he's joined us as the head of 2 -wheeler business. So th ese are changes, but happy to share that we were able to attract one of our good talent back into the group. So he will take over the 2-wheeler business. But rest remains the same. There is one more change that Vijay, who was


our Head of Quality , he attain ed superannuated, we had extended by 6 months. So we had planned that and we moved one of our resources called up a named Abdul Wahid, who was earlier in supplier quality and again, a very good performer. We have moved him into the place of Vijay as part o f the succession planning.
Moderator: The next question is from t

he line of Viraj Kacharia from SiMPL.
Viraj Kacharia: And congratulations on good set of numbers in such a challenging environment. A couple of questions. Firstly, if you can just give some p erspective in terms of the share of Gabriel, the premium motor secular premium 2 -wheeler space. And similarly, in the higher ticket space in PV? So based on the pipeline and the order wins we have currently, how our share would have changed?
Manoj Kolhatka r: Thanks for this. It was nice meeting you at the Bharat Mobility show.
Yes, we did discuss on the sidelines as well on several aspects. So this particular question on the

share in premium, we don't have it off hand right now, but we can revert back to y ou. But just to share that in the premium segment in terms of the passenger car, we just shared the picture of the SUVs that we are there, which is a high -growth area. So they're not premiums SUV but the higher -end SUVs, which are sold in India.
So right from the Suzuki Grand Vitara and Toyota Hyryder offered in the hybrid version. You know the demand is very strong there with a huge waiting list. The Skoda Kushaq, the Volkswagen Taigun, the Mahindra XUV, Mahindra Thar and the Suzuki Jimny. So these are al l, I must say, they are on the higher end of the SUVs. So if you can refer to Slide 24, you can see that our share is 35% on the utility vehicles. Yet premium vehicles this, in fact, will be even better. But let me revert back to you on these points afterw ards.
Viraj Kacharia: Sure. Now just on the initiatives in export and aftermarket, right? I mean some time back, we said the aspiration of more than 20%, 25% of revenue from these 2 segments put together. Exports, we earlier talked about us engaging in adv ance stage that with respect to VW and other few other OE for supply. Any update you can give in terms of export, if any of those has materialized on the PV side.
Manoj Kolhatkar: Yes. So I can tell you that -- and I have already shared that it takes time , but both 2 key OEMs is that we have had -- we have had one very important visit last week, one of the OEM who is a global purchase head –of OEM for the entire globe as far as this commodity is concerned. We had his visit, and it was a very, very positiv e visit. And he's assured that we will look at opportunities globally. So it's a good breakthrough. And the second OEM, which we are discussing with, they are visiting us in the next week, not next week, on 23rd to be precise. So again, the head of that co mmodity globally, she is visiting. So that will also be an important thing, which will pave a new way as far as our exports with these 2 globally large OEMs are concerned. So I can only share this right now, both are on positive. We have been working on both of this. So it's on the right track. Yes, it will take time.


One of them will materialize faster surely. I can say, I mean we can get an order in the next, hopefully, in the next 3 months. The other one will take a little more time. But yes, positive developments on both the OEMs, which we have been working with.
Viraj Kacharia: Okay. But these are typically single model, single plant order or when you're interacting at the global level, these are more spread across plans for more of capacity transacti ons?
Manoj Kolhatkar: Geographies.
Viraj Kacharia: On the -- just two questions. In the past, we talked about pricing as a strategy to gain share back in PV. And last few calls, we've been talking about recovering the pricing piece. So in terms of the prof itability in the PV, the thinking was to bring it to a normalized level as what you see in 2-wheelers and others. So in that journey, where would we be now? And incrementally when we're getting these new orders or the bidding for new pipeline, is that stra tegy still by and large there or now we have more evolved in terms of the overall of

fering or solution and that's our
early here?
Rishi Luharuka: Viraj, Rishi here. Your question had the answer . 2-prong strategy broadly. One is where we require a customer penetration or a model penetration where the strategy of price may be required. Having said that, the Core 90 program thereafter kicks in to ensure that the profitability is normalized. Happy to share that YTD December has been very heartening in terms of the profitability margins per passenger car.
Are we there where we want to be? The answer is, no, there is still some scope of improvement there, but we've seen a significant improvement in the volumes of passenger cars.
Viraj Kacharia: Okay. Just two las t questions. One is from a...
Moderator: Mr. Kacharia, Maybe request you to rejoin the queue. As there are more participants. Thank you. The next question is from Shashank Kanodia from ICICI Securities.
Shashank Kanodia: I just wanted to check on the sunro of part, sir. In one of your comments, you mentioned that the wrap -up of this facilities dependent upon the new model launches because I think the initial standing was that it's an import substitution product and ready market given by Kia and Hyundai. So if you could please clarify.
Manoj Kolhatkar: Yes.. Shashank, let me clarify that this is an import substitution, of course, like this this new Creta that has been launched. So it's an import substitution from them. In fact, we have some import stocks, whi ch we'll get over this month, and it will be a complete switch over to localized production by In alfa Gabriel Sunroof Systems . Similarly, Kia EV is the same. But in terms of new models, I mean, obviously, that's now when they develop a new model, it will b e from day 1 with the localized sunroof.
Shashank Kanodia: Right sir, would you still be qualifying the supply to existing Hyundai and Kia models, right?
Manoj Kolhatkar: It could have a supplier Kia completely.

Shashank Kanodia: Right. And sir, since you mentioned that you already operate in roughly 400 units to a day. So by FY '26, we should expect this plan to wrap up to full capacity of 2,00,000 -odd units?
Manoj Kolhatkar: FY '26.
Shashank Kanodia: Or do you expect that to happen in '25 itself?
Manoj K olhatkar: Again, do you are subject to volume OEs, mean, naturally, as I said, this is on a single store basis. So whatever the OE makes will be with our sunroof insurance that we have. But in terms of how their volumes as far as the end market is concerne d, we can't take a guarantee based on the volume indications that we have, FY '26 should be close to our capacity.
Shashank Kanodia: Sir, at that peak capacity of in FY '26, what is the EBITDA margins and PAT margins that we intend to clock?
Rishi Luharuka : The double digit is what we are targeting with 2 lines and like 80% capacity utilization.
Shashank Kanodia: Right. And sir, one thing on the 2 -wheeler's front. So the CV and the PV guys have largely alluded to some amount of demand slow down. But 2 -wheel er space is picking off well. So your assessment of the 2 -wheeler industry and with all this market share growth, are we supposed to be in double -digit in FY '25 in terms of revenues?
Manoj Kolhatkar: You mean revenue growth?
Shashank Kanodia: Yes, sir.
Manoj Kolhatkar: Well, again, I said we can't share. But yes, I mean, that's the idea. Over the past, we can see over the past several years, we've been trying to stay ahead of the market growth, which we have done. Yes, that will be endeavor, for sure.
Shashank Kanodia: Right. And sir, any aim for double -digit margins in terms of timeline , let's say, 2 years, 1 year, anything you can quantify?
Manoj Kolhatkar: Well, as we have put this year. So we certainly will go to 9 -plus-percentage. So double digit would be one more year.
Shashank Kanodia: Okay. So FY'26...
Manoj Kolhat

kar: I won't specifically say a year but, yes, that's the idea.
Moderator: Next question is from Arkopratim from Sanjay Agarwal Broking.
Arkopratim: Okay. Based on your latest result, wha t is the corresponding volume growth rate? And additionally, how much does the price decrease or increase in that quarter?
Moderator: Can you repeat your name? I couldn't get your name.
Arkopratim: My name is Arkopratim and I'm calling from Sanjay Agarwal Brokings.



Manoj Kolhatkar: Arkopratim, so your question is also, can you repeat your question?
Arkopratim: Yes, yes, sure. Based on our latest result, what is your corresponding volume growth rate? And additionally, how much does the price decrease or incr ease in that quarter?
Rishi Luharuka : So also essentially a large part of the reduction in sales as compared to the second quarter is going to be decrease in volume. There is a reduction in the commodity prices to the extent of INR8 crores to INR10 crores, which have also reduced the value of sales that you see for quarter 3.
Arkopratim: Okay. And one thing I want to ask is that what relates to the increase in operating margin? Could you please elaborate on any potential changes in OPM that might be anticip ated for this current quarter?
Rishi Luharuka : A lot of things here. We've been speaking about this in all the investor calls that we have a Core 90 programs. Largely, it takes care of all the heads of P&L and the working capital management. We have dedica ted groups which work on that throughout the year in order to reduce the cost or improvement in margins. It includes customer price correction. It includes reduction of wasteges . It also includes a digitization and an automation journey for improvement in the operating efficiency. So these factors, we have been doing it for the last couple of years, and the results of which are now visible in a quarter where the volumes were lower, and yet we could maintain our EBITDA margin.
Arkopratim: Okay. And my last question is, what is your expectation about the demand scenario of the current and coming quarter compared to last quarter?
Manoj Kolhatkar: Typically, also, the last quarter is robust . Jan, Feb, March is, I would say, it would be, if you want a comparison , it will be more like Q2, not as good as Q2 because Q2 has a festive season thing, but somewhere in between Q3 and Q2.
The typical cycle that the industry follows. So I don't see any issues with that. And going forward

from next year as an industry due t o election here, we won't see as good a growth as we saw in FY'24. There is -- certainly, there will continue to be good growth in terms of 2 -wheelers and passenger cars, but maybe CVs may see a little bit of a flattish growth. That's what's we are expecti ng.

Moderator: The next question is from Viraj Kacharia from SiMPL.

Viraj Kacharia: On aftermarket piece -- so if you look at the presentation, I think a majority of the business is still driven by shock absorber and related product. And so, I want us to u nderstand the growth in terms of, say, product or distribution both in India and across, what will drive the growth in this business? So last few years, we had a very good execution and growth seen in the business, but just want to still look next 3, 5 yea rs, what are the drivers of business?

Manoj Kolhatkar: Viraj, the vehicle part only continues to increase. While we have seen the same growth in passenger cars and 2 -wheelers as far as region is concerned. But if you see, particularly in



passenger cars, th e second -hand car sale has been the highest ever. So, if you add that, there has been a huge increase in overall purchase of cars.

And when you buy second -hand cars, obviously, there is scope for some more aftermarket parts getting into because people wou

ld want to refurbish the cars. And I don't think this will change.

As long as the vehicle part goes on increasing, which is increasing both in terms of the new car sale and second -hand sales. So we see the aftermarket demand continuing to hold on to contin ue to improve.

Viraj Kacharia: So what are we asking in terms of item on the same gaps in the portfolio or any other new products you would like to add on even by the distribution, right, in India or a piece of view? Do you still see gaps or compared to wh ere the potential would be, just trying to understand in that sense.

Manoj Kolhatkar: We are adding new products. In fact, in next year, we have already identified a couple of new products to be added to our kitty in terms of the aftermarket. So we are, on e we do is scanning horses and we are in touch with our dealer and distributor network as well as to what they would want us to add because we also have to be allowed to their needs and requirements. So we keep doing that and we should be adding a couple o f products next year where aftermarket kitty.

Viraj Kacharia: In terms of second question on JV piece. The understanding was that in addition to CRETA, there will be an import substitution of the new Seltos as well. So initially, we will start with 2 model s and then further ramp it up in terms of new wins.

Manoj Kolhatkar: No, no, no. I think this is not understanding. We have clearly stated that we have got the localization of the new CRETA, which is what is currently in production. And the second, we said was a new platform of Kia, not the replacement of Seltos.

Viraj Kacharia: So if you look at for example , on the Kia, Hyundai and portfolio in India for now. What are the models they would be supplying? And if one has to think in terms of, say, import subs titution of those over the next two, three years, what can come to us in terms of a JV?

Manoj Kolhatkar: Yes. So CRETA is one, which is a major platform. And in fact, the CRETA, the new CRETA face lift also, which is planned maybe a couple of years down th e line, even that is very likely to come our way. Obviously, Kia, this new platform is there, and we are working on something new with Kia as well. There are some platforms which we are not there currently.

Rishi Luharuka: I'm correct in your understandin g, Inalfa currently does not apply to any OEM in India other than for Hyundai CRETA program. And thus, the input substitution in the JV was meant for CRETA only. The rest of the programs are all that we will win in the JV itself.

Viraj Kacharia: Okay. I un derstand. On margin, when you say double -digit EBITDA margin for a JV, based on the order which you're seeing right now, the daily run rate already at the healthy utilization. So this margin is based on the assembly setup which we have currently right . But as we kind of see improvement in scale and increased localization, on a mature basis, what is the margin in this business ?



Rishi Luharuka: We don't give the guidance, Viraj, so unfortunately, difficult to fathom. But to tell you that because it's the localization of a line or a product that is already there with Inalfa in Korea, there is not a very steep improvement in margins because of operating efficiency coming around. So the volumes will also drive additional cost of capex and overheads as well.

Moderator: The next question is from Jyoti Singh from Arian Capital. Please go ahead. Jyoti Singh from Arian Capital, you may go ahead with the question. There seems to be no response from the line

of Jyoti Singh. We move to the next question. Next questio n is from the line of Priyaranjan from
HDFC Asset Management. Please go ahead.
Priyaranjan: Just two questions. What will be the EV sales in our total revenue right now? And secondly, on the electric suspension -- electronic suspension side, what will be t he kind of ASP in

crease if we go for the electronic suspension from the conventional one? What can be the ASP increase you can invest? And when do we expect that at least a couple of these models have been in 2 -wheeler and 4 -wheeler, we will start SOP?
Man oj Kolhatkar: So I mean as far as your EV share in our business right now, the sales is roughly -- it's growing, but it's roughly about 5%, which is pretty similar to the market penetration that you are seeing in India, it's 5%. Yesterday's article I read was 5% penetration. So we are at pretty much at the same level. That is what we are seeing. And your second question was on the semi -active suspension?
Priyaranjan: Yes.
Manoj Kolhatkar: So there, yes, there is a significant bump up in terms of price. The price will go to almost 3x. Whatever is the price today, it will be almost 3x that price for the semi -active suspension, right? Now your last question about when would be the likely SOP. For TVS, it's right now, even they have to get continued the product in the concept. And yes, also the price will have to be absorbed by the customer. So I don't think it will happen before at least under 2 years, not before '26.
Priyaranjan: Okay, okay. And when we talk about the new products, so one product which we have got the sunroof, which is we have gone through the joint venture route. So next 2 products, which I think you are actively looking at. So will it be like a similar joint venture kind of arrangement or it can be within the company as well, some product line , which you can develop on your own?
Manoj Kolhatkar: Yes, it could be a mix of both, yes, absolutely. And even if we do an acquisition, it might very likely be with a majority.
Moderator: Next question is from Alisha from Envision. Please go ahead.
Alisha: Two questions. First, in terms of margin side, the aspiration is to go to double digits, so over the next 1 to 2 years, a large part of cost saves from Core 90 has already led to 150 basis points improvement from last year. Going forward, like you said, mix shifting to PV, they will be slightly opportunistic as it get negated by an incremental savings from Core 90. So what's the incremental levers you have for another 150 basis point expansion to move to double digit?


Rishi Luharuka: So the way I se e this panning out is that the cost reduction drive also has to continue in order to maintain the inflationary pressures and the salary increases that we are expecting in the next year, that's one. Second is that there are still opportunities in terms of r educing the overhead by effective utilization of the operational efficiency. And in that journey, digitization should and will play a big role.
The third piece is with regards to the raw material cost and its stabilization there, including commodity index ation. So that's -- while that's an ongoing exercise, the endeavor here is also to start looking at more prongs in terms of make and buy if that will help us improve on the improvement. Fourth is with regards to the geographical spread that we have. So if -- given the endeavor that we have on exports and aftermarket, increase in the export is, we should be also getting some additional benefit in terms of profitability from that. So that's broadly what I envisage the journey to a double d igit.
Alisha: On 9 -month basis, the 2 -wheeler, 3 -wheeler revenue seems to be down by more than 25%. Is this largely because of slow down on the EV 2 -wheeler side? Or reduction in contribution of that led to this decline? And how well could I understand thi s?
Rishi Luharuka: No, the cyclicity of the quarter is what is driving the volume down.
Alisha: I'm comparing 9 months.
Rishi Luharuka: The commodity reduction cycle impacts the overall pricing, but in terms of volumes, we are higher than previous year.
Moderator: Thank you very much. Due to time constrain

ts, we'll have to take that as the last question. I would now like to hand the conference back to Mr. Manoj Kolhatkar for closing comments.
Manoj Kolhatkar: Thank you. Thank you for all your queries. I mea n we -- as I said, hopefully, in the next quarter, we should be able to share, not hopefully, for sure, the numbers of the sunroof in terms of the volume that we did but it's going very well. And also some additional news on the exports.
If I said those d iscussions rectified. But now to that, we look forward to a very good year next year as well and continue to put our efforts in improving the including and sustaining the margin improvement that we have done. So thank you, and I look forward to the next ca ll. Wish you all again, a very happy new year.

Moderator: Thank you very much. On behalf of Gabriel India Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

# Call: May 2024



"Gabriel India Limited Q4 FY24 Earnings Conference Call"

May 24, 2024

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MANAGEMENT : MR. MANOJ KOLHATKAR – MANAGING DIRECTOR , GABRIEL INDIA LIMITED
MR. RISHI LUHARUKA – CFO , GABRIEL INDIA LIMITED



Moderator : Ladies and gentlemen , good day and welcome to Gabriel India Limited Q4 and FY24 Earnings Conference Call .

This conference call may contain forward -looking statements about the company which are based on the beliefs , opinions and expectations of the company as on date of this c all. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questio ns after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Kolha tkar – Managing Director of Gabriel India Limited. Thank you and over to you sir.

Man oj Kolhatkar : Thank you. Good morning , everybody and very warm welcome to the call.

In fact , this call is for the year that we ended , I must say quite well , the year 2023 -24. Joining me today on call is Rishi L uharuka – our CFO and Nilesh Jain and our Investor Relations Advisor s, SGA. So , you must have seen the results that we uploaded yesterday post our board meeting on the stock exchanges as well as the co mpany website and hope each one of you has had the chance to go through the same. I will give a brief overview of the company's operations and take you through the presentation briefly and also share our views on the market for the last year as well as wha t we see for the year going ahead as far as the industry is concerned.

To start with, I am pleased to announce that the board recommended a final dividend of Rs. 2.5 per share. So , taking the total to Rs. 4 per share which is a payout of almost 31% . Coming to our presentation ; if we go to Slide # 6 and #7 which basically highlights the quarter and the yearly performance . We can see that we had a strong quarter. Our operating revenue for Q4 surged 16.5% to Rs. 859 crores and this growth of course extende d to FY24 and FY24 for the full year was 12.5% growth and we posted Rs. 3,343 crores as a sale which is of course the highest ever for Gabriel in its history. The good part is in Q4 , we reached the EBITDA margins of 9% compared to 7.1% in the similar compa rable quarter last year which is thanks to our continuous focus on the margin improvement which we have shared all along in the calls , our initiative of CORE 90 to drive cost control relentlessly all through the year across all our locations and in

fact de partments as well.
Now let me get down to the industry dynamics ; starting with passenger car ; in Q4 FY24 sales of passenger cars reached 13 lakh units marking a year -on-year growth of about 9%. For the full year FY24, hit a sale figure of almost 4.8 milli on, which is the highest ever for the industry. In fact, if we add exports the production figures are even higher. The significant growth in passenger car can be attributed to various factors such as improved rural demand , favorable model mix , introduction of many new models , enhanced supply dynamics meaning we came out



of the supply constraints which we have been seeing post Covid for almost more than 2 years , better road infrastructure and a strong demand in the SUV segment. Specifically , the total PV sales during Q4 FY24 amounted to almost 1.3 million , showing an increase of 9.4% compared to the previous year of 1.2 million. The SUV s now account for more than 50% of the total PV sales in Q4 and this will be the trend going forward where we will see SUV's may reach even to the levels of almost 60% as their share of passenger car vehicles. Looking ahead to FY25 which is ‘24-25, the passenger vehicle segment is expected to gro

w at a single digit rate in the range of
while the figures vary but as of now th e industry opinion is that they should be in the range of 6% to 7% , mainly one due to the high base effect of the past year. Plus , obviously we had several good years year after year post Covid , there's expected to be some moderation in demand this year.
On the commercial vehicle front , in fact , we saw a decline in the Q4 with sales dropping 2.8 lakh units from 3 lakh units in Q4 FY23 and the FY24 sales were at a million compared to almost the same figure in the past year. So , it's been a flat year as far a s commercial vehicle is concerned. And here clearly going forward for the year FY24-25, we see that there will be a little slowdown in demand , mainly on account of elections which are currently underway and it will take some time for the CAPEX cycle to res tart. So , the expectation is that post the monsoon this should come back to a healthy growth figure. But till then clearly the industry feels that there is going to be a slowdown in demand as far as commercial vehicle is concerned.
Coming to two -wheelers , three -wheelers. This is the bright spot. We saw 26% growth year -on-year as far as Q4 sales is concerned. So , we reached 5.4 million for the quarter which is very heartening to see that we are if you an nualize this , this is more than 20 million for the year which is where we were before ‘19-20 when the two-wheeler industry was doing extremely well. So , let's hope this continues. The market sentiment is favorable obviously , people have taken in the impact of all the price increases that have happened and the rural sentiment also has improved to a large extent and we also are seeing I mean at least we have read that the monsoon is going to be above normal. So , all this augurs well for the two-wheeler demand. So , we hope this should be in double digit growth as far as the year ‘24-25 is concerned.
Now we of course cannot not discuss EV. This has of course been the talk of the town. But yes , last year we definitely saw a bit of slowdown in E V. The growth rates earlier were 10 0%-200%. So, that is clearly not happening now , particularly in the two-wheeler segment because of the FAME policy change. We clearly saw a slowdown. And in the month of March , we saw a peak demand. But then again in the month of April this year we are see ing the demand dropping down. So, for the two-wheeler it's around the 60,000 to 70 ,000 mark. But we clearly hope that this should pick up . On passenger car EV , we are seeing a flattish demand. It's about 7 ,000 to 8 ,000 range per month with Tata models leading the pack here , almost garnering 70% of the market share. And in two wheelers , yes, Ola leading the pack with very robust sales all through the year.
Now if we move on to Slide # 16 on the revenue mix which you can see here . For the full year we had a two-wheeler mix of 61% , passenger car of 25% and commercial vehicle of 12%. In terms of channel mix for the full year 86% of OEs and 11% of aftermarket. And we have also



grown very well in the aftermarket in the past year and that continues to be our fo cus area as always.
Moving on to the next ; I will take you through the individual BUs, this is Slide # 21 which talks about two-wheeler and three -wheeler segment . Here our market share in the last year was 32%. So, now we are looking at a slight drop 31%. But definitely this should improve because we have had an improvement in share of business at some of our key customers plus some new models as well coming our way. And our traction in EV continues to be strong. We are almost on 100% basis with almost all the top customers. Ola , Ather , TVS and Ampere of course is with us. So, that definitely holds us very well in this segment .
Coming to motorcycles , we have won the Pi aggio RS 457, the very good motorcycle laun

ched
by Pi aggio which is the Aprilia brand. Here we are a single source and it's an upside down fork , the new inverted front fork technology which we have successfully commissioned and launched on a production basis . And in three -wheelers , we continue to remain strong wi th our customers mainly being of course Bajaj , TVS and Atul Auto and as well as in electric vehicles we are there with Mahindra, which is the leader in the segment .

Coming to passenger cars, which is on Slide # 23. Our m arket share is more or less flat but as shared last year we are there on the Jimny platform and electric Citroen C3. We have also won some new programs from Tatas , three of them are on the electric platform. And we also won the new MQB 2.5 platform of Volkswagen and one platform of Stellantis which I've already shared. So, this should definitely help us improve our market share for passenger vehicles. As you've seen there's a shift now , our passenger car percentage in terms of the total pie is 25% which used to be 23% in FY23. So , all those ef forts that we took in terms of building the business pipeline is now yielding fruit and we'll continue to work on this.

If you see Slide # 24, the utility segment which is growing , here our share of business is quite strong , 35% of the market share is with us. So , in the growth segment we are doing well as far as passenger car is concerned . On commercial vehicles , yes, the market chain remains absolutely solid. So , we are looking at exports in this segment . We are developing some new products , our story with DAF as regards exports is doing well. We have been given two new dampers. Earlier we were only in the cabin dampers. Now we have been given the R FQ and the business is under finalization for the axle dampers as well. This should help us get a much larger share with DAF of the land and then based on this we expect to lea pfrog to other global CV customers as well.

In the railways I had shared last time that we are present on each and every requirement of the Indian Railways , right from the coa ches to the electric locomotives. Also , now we have won the Siemens loco where they are going to make the locomotives for the Indian Railways .

Aftermarket , I did mention that we had a good year. We crossed Rs. 400 crores for the first time in the aftermark et.

Coming to Slide #30 where we are sharing some pictures of our sunroof plant. You can see this is in the Oragadam region of Chennai. The plant as you can see is looking beautiful now. In fact ,



we are doing a lot of greening now. There are some pictures of the SMD line as well and the polyurethane molding line and we are currently doing almost 10 ,000 sunroofs per month from this plant. Glad to share that we had a very good ramp up from zero to S OP and that we are. We had also a fairly good quarter , the first quarter where we did almost Rs. 58 crore s of sale with a positive E BITDA. That's the good news. So, that's actually quite a good record in terms of getting off the blocks.

The other important thing is on Slide # 32 where we had shared that we started a European engineering center in Belgium. We have now taken a bigger workshop space and we are doing our experimentation as well as fitting a new vehicle which currently I can't name , a European vehicle with our semi -active suspension. And the trials will be done in the month of June, and we should be able to offer the first concept to a European customer in the month of July. The order, however, will take some time but at least our concept will be definitely ready for a European customer. And for Mahindra , we are demonstrating the revised prototype version in the month of June. So , this is very quickly on the year that went by.

We will now open it up to questions and look forward to hearing from all of you. Thank you s o much.

Moderator : Thank yo

u very much . We will now begin the question -and-answer session. The first question is from the line of Amit Hiranandani from S MIFS Limited.

Amit Hiranandani : I will club my question is on the sunroof side first. Please correct me if I am wrong. The sunroof production started from January 2024. If yes , then in total how many sunroof units sold in Q4 ? Any new order wins apart from Kia and continuing with the sunroof by when the sunroof business need to incur CAPEX for adding new production lines by which year I mean and possible to generate mid-teens EBITDA margin in the sunroof by FY26? So, this is my first question.

Manoj Kolhatkar: Sunroof, we have made in the first quarter , we made an average of roughly about 23,000 sunroofs and now the hit rate is in fact 10 ,000 per month. And your second question was on whether we have got any more customers. So , we have Hyundai and Kia , and I am glad to share that in fact , last week we are also winning a new program from Hyundai further to what we have. And our Kia SOP which is going to start from January of 25 , the customer has already indicated a significant improvement in volume offtake. So , with this we are actually loo king at adding some CAPEX and in terms of a new line and a molding machine towards the end of this fiscal year itself.

Amit Hiranandani: How much addition would there be after this CAPEX ? Currently i ts 2 lakh units per annum ,

right?
Manoj Kolhatkar: So, that will be almost doubling.
Amit Hiranandani: Is it possible to generate mid-teens EBITDA margin by FY26?

Rishi Luharuka: Before that , that's the target.
Amit Hiranandani: My second question is basically on the two-wheeler side. So, can you just elabor ate what is the reason for drop in ICE and electric two-wheeler market share? I mean as Bajaj auto has been growing faster , so want to understand how much of this market share is sustainable. And just continuing with this , Gabriel supplies product to how many models of Ola Electric?
Manoj Kolhatkar: We supply to all models of Ola Electric. And in fact , we'll also be on the Ola motorcycle. So, with Ola, it's really a very strong relationship . The market share of course if yo u can see , the growth has been pretty good as far as Hero MotoCorp is concerned for the past year . Hero MotoCorp had really taken a beating earlier post Covid. So, now they have picked up quite well. And as you know we are not there with Hero. So , in fact we have already started our engagement with Hero and we are in discussions where we have got at least a couple of RFQ s from Hero MotoCorp. Thats all I can share at this moment. So, that’s the main reason for the little drop in the market share. Otherwise w ith our engagement with TVS, with Bajaj , with Honda motorcycles , the three big players as well as Suzuki continue to be very strong, and we keep getting new orders from them.
Amit Hiranandani: How much was the revenue from electric two -wheelers in FY24?
Manoj Kolhatkar: Electric two -wheelers , the total revenue was roughly in the range of Rs. 150 crores.
Amit Hiranandani: Your outlook on the t wo-wheeler EV industry after the subsidy cut for the next 2 years .
Manoj Kolhatkar: Very difficult to focus Amit because right now of course there is a drop due to the subsidy cut but the policy we all know can undergo changes. It's pretty clear. So , we will have to wait. So , it's very difficult to take a guess. The government is clearly pushing electrification so t his I think is more of a temporary setback. The other thing is that the lithium prices are also down , so, the battery prices are coming down whereby the ticket size of electric two -wheeler which is one of the biggest impediments is also coming down very cl osely in line with IC E engine. And the running cost economics we all know are far better. So , this two -wheeler

bump which we are
seeing in terms of EV sales is very likely to be overcome this year once there’s a clearer policy on this. So , it's difficult t o take a call right now .
Amit Hiranandani: Any new wins for the FSD technology?
Manoj Kolhatkar: For the FSD technology no , we have shown the model to two other OEM s but still it is not translated into a win. There is a lot of interest for sure but not yet translated into a win.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: So, just want to understand this Hyundai new order win. Congrats on that sir. When that order would start and what kind of volumes they're talking about ?

Manoj Kolhatkar: Those numbers I really cannot share right now because it's a program of our customer, but this will be in the year 26 -27. Okay.
Mumuksh Mandlesha: As you mentioned Kia order seeing a significant volume higher outlook for the model. So , can you share what kind of revenue for sunroof we can see for this year and next year based on these two ord ers?
Manoj Kolhatkar: Mumukh we don't share the outlook generally. Right now , I can't but I can only say that the model that we w on, they are also planning to introduce an electric model on the same platform. So, that's how the numbers have increased as far as our business is concerned for Kia . The SOP work for which will start in the last quarter of this fiscal.
Mumuksh Mandlesha: What would be the royalty charged by Inalfa for the sunroof business for this quarter?
Rishi Luharuka : Those are sort of confidential document where we don't have an understanding with the JV partner to share it with you. But broadly both the partners once we have formed the JV, currently it is not formed the JV. We are still the 100% subsidiary of Gabriel. Once we formed , it's in the range of 5% to 6% for both the parties total.
Mumuksh Mandlesha: I want to check on the progress on the new product line business expansion. And is it fair to say the focus would be on the tech agnostic area and we would look into new products where there would be large revenue potential opportunity like what we did for sunroof. Can you share any update on the new product business?
Manoj Kolhatkar: So, on the new product line there are two things. One is within the domain that we operate in terms of suspension. So, here as I had mentioned , we are exploring very deeply for two new

applications. They are not new products, but they are two new applications , wholly new applications. One is the e -bike and the second is the solar dam per. Our team was in Taiwan for the e -bike exploration. So , we are engaging some experts to help us guide because there is an area which is not present in India. We are already engaging a couple of experts to guide us in this space. We have developed the p roduct. It has come out well and is appreciated by the customers. And the second part is the solar dampers which is needed for the solar panel trackers. So, even that we had a customer visit , the first customer visit in this business and a lot of interest shown by them. So , these are the two new applications as far as suspension is concerned. However , in terms of that getting translated into revenues for this year is difficult. We are still targeting some very minor sales this year for these two products. Now the second part is the product diversification like we have done for sunroofs. So, yes, you rightly said the diagnostic is the lens that we are looking at. And we are still exploring even in suspension space we are exploring some targets to add to our technology bouquet and augmenting our technology strength from some experts in this field. So , these as of now we don't have anything to share but hopefully in I would say in this year definitely , we will be able to share more details

on the same.

Mumuksh Mandlesha: Rishi sir, can you share the CAPEX output for FY25 for standalone and cons ol?



Rishi Luharuka: So, Mumuksh, standalone we are looking at Rs. 100 to Rs. 120 crores. Usually , we do 30 crores of routine CAPEX. Ap art from that there will be capacity enhancement CAPEX for debottlenecking and there will be some on the digitization and the IoT this year. And for Inalfa well we have yet not formed up. Looking at the orders , we will have to decide when do we put the lin e. But give and take Rs. 40 odd crores would be sort of the expense on capacity enhancement for one more line.

Moderator: The next question is from the line of Nikhil from SIMPL .

Nikhil: Nikhil here in place of Viraj. First on the base business , if we look at our gross margin profile it's still in the 24 %-25% range. Even though two-wheeler which is a better margin business as contribution has increased. So, how should we look at this margin profile improvement. Even the product mix is improving w hile the gross margin is still the same. So , if you can just share any thoughts over there ?

Rishi Luharuka : So, Nikhil again you've already seen improvement in gross margins in this quarter. Two prongs to that. One is the sales mix within the segment as we ll. So, premiumization is definitely going to help us. And to that extent the new orders that we are winning will help us improve that piece. While you are right that overall, two-wheeler business is better in terms of margin that improvement in margins of passenger car will also improve the overall numbers. And having said that the cost reduction program CORE 90 that we run year -on-year, we have identified several opportunities which we have already kick started this year. And we still stand to what we had shared last time in terms of moving into a double digit margin .

Nikhil: And on the export part , on the e -bikes you mentioned that we are still developing the product and probably the revenue kicking will not happen this year. But on the DAF, I think the additional orders we've been talking about for last two -three quarters in terms of new products which we have won. So, where are we in t urn? What is the status over there and when do they start commercializing , some idea like is it this year , next year?

Manoj Kolhatkar: Which one you're talking of the e-bikes ?

Nikhil: The DAF exports .

Manoj Kolhatkar: We are already exporting to them. we are selling cabin dampers to Europe and now they extend us to Brazil as well. So, that is happening. Now we were alwa ys looking at adding a new product which is the main damper in the truck, which is the axle damper. So, even that is now they have already sent us the RFQ, and we have almost finished our commercial discussions. So, that SOP will definitely not happen next year, but it will be in ‘25-26. And as far as e-bike is concerned , you should understand this it's a totally new area , so there's no commonality of customers or commonality of markets for us. So, it's a completely what do you call a new area for us. So, that's why we have now narrowed down on some global experts who have been in this business. We have finally located a couple of them, and this should help us streamline our efforts and



convert our product into actual sales . That we are targeting some sales this year , some marginal sales to just kick off the journey.

Nikhil: And last question from my side. So , our stated ambition was to reach that double digit margin. And now if you look at the auto industry growth , the numbers are more like gradual versus what we've seen in last 2 years. Would you say that there is still lot left in our P &L to move to the double -digit margin or is it we have to sustain at 15 %-18% growth to move to that double digit margin? So, is i

t more operating leverage driven or do you have enough lever to pull probably and reach closer to that double digit margin. So, how should one u nderstand?
Manoj Kolhatkar: So, one thing of course in Nikhil is that if you look at the sunroof business , clear ly it is going to be margin accretive. So, that is as far as sunroof business is concerned. But now on the core business and on the suspension itself , there are several levers like exports and aftermarket which we are pushing. And yes , you have seen the im provement. Now we come to 9% . Obviously, tailwinds and let us say leverage based on volumes will help. But nevertheless, we are looking at improving our own efficiencies through automation through the CORE 90 program and take this up further. So , we are no t telling that we are stopping here as far as EBITDA , our commitment remains on double digit margins.
Moderator: The next question is from the line of Nishant Chauhan from Elara Capital.
Nishant Chauhan: I just wanted one clarification. So , did you call out the revenues for sunroof business in this particular quarter? Because I think I missed that number.
Manoj Kolhatkar: We said it's about Rs. 60 crores for the quarter that went by , Q4.
Nishant Chauhan: So, 60 crore s revenue in Q4 and a p ositive EBITDA is what you mentioned?
Manoj Kolhatkar: Yes.
Moderator: The next question is from the line of Abhishek Jain from Alfaccurate Advisors Private Limited.
Abhishek Jain: You have won the business for the New Swift where your S OP is around 30 %. So, how much incremental revenue are you able to generate in FY25? And will it help to increase your market share in the passenger vehicle which is now around 24%?
Manoj Kolhatkar: So, definitely the New Swift we have got the business which traditionall y has been our competitors. So , we have got the business as a second source. The SOP is to start in the next fiscal , not in this fiscal , somewhere in Q 2 of next fiscal. And we are expecting close to almost Rs. 90-100 crores of sale from this.
Abhishek Jain: In the sunroof you have mentioned around Rs. 58 crores revenue. So, how much volume did you supply in the 4th Quarter ?
Manoj Kolhatkar: 23,000.



Abhishek Jain: And this business is right now under 100% subsid iary and later it will be under JVs. So , what would be the stake in the JV s and CAPEX?
Manoj Kolhatkar: Can you repeat the last part? What would be what?
Abhishek Jain: What would be your stake in JV and what would be the CAPEX?
Rishi Luharuka : So, we are waiting for some approvals post which th e partner can induct the capital in the entity and then the JV will get formed. As of now it's difficult for us to target a date. And the next question was CAPEX. CAPEX a s we mentioned we would be looking for a new line end of this year, early part of next year , the estimated CAPEX would be around 40 crores.
Abhishek Jain: Sunroof you told about that this quarter volume was 23 ,000 units. But you are saying that the monthly r un rate would be around 10 ,000 in the coming quarter. So , I am not able to understand that.
Manoj Kolhatkar : 23,000 is for the quarter . In fact , not for the quarter to be precisely , we started SOP in the month of December. So , about 23 ,000 from December which was a very nominal figure. But Jan -Feb-March of 24. But we were hitting a production of 8 ,000 per month in Feb and March. Now that has gone up to 10 ,000 because the Hyundai , New Creta is doing well. So, that's how it's 10 ,000 number now.
Abhishek Jain: And at a full capacity of the 2 lakhs , what would be EBI TDA margin and R OCE?
Manoj Kolhatkar: We don't share that but clearly this is EBITDA accretive. So , we will have a clear double digit EBITDA margin at the full sales.
Abhishek Jain: My last question is how much current content per vehicles in the Ola and ho w much sh

are of business with them?
Manoj Kolhatkar: Again, we don't share the figures of content per vehicle. But suffice to say that Ola, I mean both the front fork and the shock absorbe rs 100% with Gabriel.
Moderator: The next question is from the lin e of Kunal Sabnis from Nine Rivers capital.
Kunal Sabnis: On the sunroof , the first question on sunroofs translates to about 25 ,000 per unit , the numbers you've shared . And you are running at about 60% capacity. I mean 10 ,000 run rate per month and a 2 lakh sort of capacity currently. By w hen do you expect to hit based on your expectations , when do you expect to hit full capacity on the first line?
Manoj Kolhatkar: Once we have this Kia platform starting in Q4 of this year , we should be somewhere near hi tting our capacity.
Kunal Sabnis: And that should translate to about Rs. 500 crores of revenue run rate going forward from there

if you hit like 2 lakh units.

Manoj Kolhatkar: I mean the pricing again while you did some quick back of the envelope calculations. So, pricing is not exactly that. And there are obviously some considerations of the customers based on property gains etc . But would again as is obvious the guess would be Rs. 400+ crore s.
Kunal Sabnis: And how much time will you take to add the second line?
Manoj Kolhatkar: One year.
Kunal Sabnis: One full year you will take to just add the line.
Manoj Kolhatkar: Yes.
Kunal Sabnis: And secondly , on the margins bit , so you're at 9%. It's a great scale up from what we have seen a year or two ago. And with the two-wheeler mix going up you have sunroof margins which will be accretive a nd TVs margin improving? Is it a good expectation that you'll do sort of 10% EBITDA th is year?
Manoj Kolhatkar: Well , I can say it's a good expectation. Yes.
Moderator: The next question is from the line of Mahesh At al from At al & Associates.
Mahesh Atal: My question would be on your a xle damper , what's the kind of market size in that particular space which is a future product? I think you have mentioned it as a future development in your presentation.
Manoj Kolhatkar: The axle damper opportunity that we are discussing is not a very big one. But yes, looking at the commercial vehicle it definitely is significant. So , it's almost Rs. 25 crore s per year in sales that we are looking at. But the important thing there is that we are not looking at only this. This will open up the axle damper as a product for us for global customers. So , it's more important from that point of view.
Mahesh Atal: And my second question is on railways , I think when you in the last phone call I remember that you told that the top line is not that great but it adds to the bott om line. So, how are we looking at railways hitting our top lines going ahead? Because there's a lot of traction coming from railways I feel. So, how do you see railways panning out for you?
Manoj Kolhatkar: So, railways definitely. I mean we still mainta in that while top line is not very good and the growth while it has been good last year , post Covid there has been some recovery as far as production is concerned. But these are , Indian R ailways being a government entity the rate of growth is very slow. If you talk about the coaches , LHB coach production which last year was about 5000 , in this year it's 5600 . Total coaches is going from 7000 to 7600 or 8000. The rate of growth is not , the absolute size also is not very big. But yes , as I already shared the good part is that we are now there on LHB , we are there on E MU, we are there on loc o, we are there on Vande Bharat. So , every need of Indian Railways is catered to by Gabriel. And this is a tendering business. So, yes, obviously we cannot expect more than 25% share becomes difficult.

Mahesh Atal: And co

ming to sunroof, s o basically when you say that you're already in Cr eta now. Are we also targeting other brands? Like why are we waiting till our 4th Quarter just to I mean when the Kia's electric whatever version is going to come or you had a word with them whatever it is. So, why are we not targeting other brands when the capacities are already in line and why to wait till 4th Quarter ? Because I think you are the one Indian player, I think. And who are you competing with in India, if you can throw some light on that particular segment?
Manoj Kolhatkar: So, the first player in sunroof actually is Webasto of Germany. They have fully owned subsidiary in Pun e and they have put up a plan in Chennai. And the second is Golde , was earlier C IE Golde . We are the third player and second, even if we wish to we have to wait for the customer to launch the product. So , we have won the business of Kia. Now the SOP of the customer is in the month of January. So, obviously we'll have to wait till then. Now the other part is yes , with regard to other customers we have already had very detailed discussions and meetings with all our customers because as you know we have excellent relationships with Tata , Mahindra , Volkswagen , Maruti and all customers. We already had several discussions. The good part is we received RFQ from almost all of them for a new program. But yes , the start of production dates were completely impos sible , so we obviously could not meet them. But yes , this is just a start. We will definitely be there for the next RFQ. That point is made and we will hopefully see us winning business beyond Hyundai and Kia in other customers somewhere in this fiscal. Part of production we have to depend on the customer, I mean their SOP.
Mahesh Atal: My last question would be , if we are looking at getting good business in this sunroof segment. And when you say that it will take you one year time for a new CAPEX to come in. So, why are we not looking at because you said that there is only 120 crores of outlay of CAPEX this year ,

so don't you think it's good for us to look into the expansion side also from now because over the time I think will be off your capacities.
Mano j Kolhatkar: So, let me explain. What is more important in this is to ensure that we have a facility which can accommodate two lines. So, that is what we have done. That's why we took a facility which is pretty big , 1,70,000 square feet where we had only one line, but we have provision for more. So, that we have already done. Now coming to the other part , the manufacturing of these lines , these lines are imported. Even the machine is imported. There is a lead time for that. T hat is why I said we have already taken the decision and we will be going ahead with the expansion to new lines this year itself. But the ordering and the physical line to come will take one year.
Mahesh Atal: So, basically , what I understand is that you will be placing an order, but the delivery will be after a year , what you say , if my understanding is right ?
Manoj Kolhatkar: That's right.
Moderator: The next question is from the line of Akshay from Anand Rathi.
Akshay: It is heartening to see margins inching up to double digit instead of less than 10%-11% in the next couple of years. Clearly , the trend of minimization has helped and you in your opening

remarks you mentioned about the European business that you would be selling that would be commencing by the month of July. So, just wanted to know who is the customer for the same , what type of volume they're expecting ? Also , in the earlier comments you talked about the 26 crore s revenue that you would be generating from the FSD dampers. So, just if you could talk about this business.
Manoj Kolhatkar: Akshay, there's some confusion. So , what I mentioned was Rs. 25 crores revenue , we are
expecting from the D AF Netherlands which is a leading commercial vehicle manufacturer of Europe and the wor ld. That for the new product that we are discussing , the SOP for which will happen in early ‘25 that will be about Rs. 25 crores peak annual sales per year. Not in the month , there is some confusion.
Akshay: What would be the European business . the OEM th at we would be selling to? And if this translates to better margins , similarly you would be developing the same for M &M. So, how would this work out for the domestic markets and for the European markets? What type of business you would be expecting from th e long-term exports ?
Manoj Kolhatkar: Our exports is just about Rs. 100 crores. So, yes, while this figure could have and should have been much better which we have been telling all along . But a positive way of looking at it is the upside is much higher and with this axle dampers , we will open up a new product line. So, that will be very important as far as commercial vehicle is concerned. We are in discussions with two other global passenger car OEM s. I mean when I say discussions , advanced discussions of getting some new business and new opportunities as fewer exports. But that will fructify in terms of getting the order , we expect them to fructify in this fiscal. But the sales will be at least 2 years from now.
Akshay: My second question on the sunroof part, again in the earlier comments you mentioned that the by F25 post Kia coming up with better volumes , so we can expect revenues around Rs. 400 crore s for F25 or was it spread over the next 2 years in the program?
Rishi Luharuka: Yes we're talking abou t FY25 annualized. So , you can take 25 -26.
Moderator: The next question is from the line of Amit Hiranandani from S MIFS Limited.
Amit Hiranandani: Can you please explain more about the new upcoming product which is solar dampers , the market size and who is currently making it the revenue and margin potential for this ?
Rishi Luharuka: Amit, I will just start there a s Mr. K olhatkar will come back. So, essentially this product , what happens in the western world is that with the changing sun direction the solar panels also need to be aligned to it , so as to get better utilization of the heat. Now to do so , there is a damper that is being put which effectively helps in the movemen t from left to right or from bottom to up. Now in that situation these are large dampers much bigger in size and while the utilization during the day is smaller but the weight that they carry is pretty high. The closest product for us would be sort of a ra ilway damper. So, we have looked at the market , we have looked at who are the

people who are buying. They are largely those who are doing the installations of these panels in the country and outside. The question was with regards to solar damper , the marke t size.
Manoj Kolhatkar: It's a very big market size in terms of solar dampers and a good I must say good price product as well . Margins also we expect to be quite good. This is quite similar to our railway dampers. So, that's why it gives us an edge to a ctually meet the customer requirements.
Amit Hiranandani: Any new order wins in the railway business , so how much railway is now contributing within

that CV and railway segment?
Manoj Kolhatkar: We shared last time; we are there on all platforms so there is no particular new order win. But yes, we won the order from Siemens for the loc o where they have got a contract to manufacture the electric locomotives. So , we have won 50% of the business from Siemens.
Amit Hiranandani: And how much it is contributing now to the CV and railway segment ?
Manoj Kolhatkar: Again, this SOP will start later in ‘25-26, it's not now and the size of this is still nowhere near what we are. It's a decent size but not very large.
Amit Hi

ranandani: I mean my question is basically how much railways revenue is as a percentage of your CV and railway segment?
Manoj Kolhatkar: Of CV and railway segment. That's still a small , I would say .
Rishi Luharuka: Because it's a small number we usually give a spli t of commercial vehicle and railways. Sorry we will not be able to share that.
Amit Hiranandani: My second question is on the aftermarket business. So , from where the growth will come in this business for the coming 2 to 3 years and are we still aiming fo r the mid-teens growth in the aftermarket?
Manoj Kolhatkar: Yes, certainly. So , the growth will come by penetration into all the interiors. India is a vast market and yes , definitely there's a good I mean good offtake of aftermarket products. We are also launching new products . We had launched over the last 2 years the tyres and the brake pads , we have also launched cone-sets, we launched bush kits , several products that we are launching and continuously adding to this basket whereby we leverage the Gabriel brand. So, that way we will be able to definitely stay in double digit margins as far as growth is concerned.
Rishi Luharuka: And if I can just add , with improvement in the overall passenger car sales and the models therein there is going to be a cascading effect in the aftermarket piece as well.
Amit Hiranandani: Just last quick small two questions. Just on the export side , it has been degrowing on a Y OY basis since last three quarters. And secondly on the margin side basically on a Q -on-Q basis we have seen EBITDA margin has improved. So , what has led to that and how confident you are to take this margin to low er double digit by F Y26?

Rishi Luharuka : Two parts of the question. First is that while mix plays an interesting role , it is not the leve r that we were banking on. These were tangible cost reduction and profit improvement projects and we have not fallen short of the forward -looking projection internally in terms of export. So, that was already baked in . In terms of being confident , yes we have stated this during the course of the whole year and we've delivered the Quarter 4 results and we are fairly confident of continuing this and taking it to the double digit.
Amit Hiranandani: And on the export side its year-on-year degrowing since l ast three quarters.
Rishi Luharuka: So, one obviously , the Russia p iece has played out from the previous year to this year. But if you look at the numbers , the numbers are almost flattish for the last three quarters. But yes , some impetus on DAF that we h ave mentioned and some improvement in the aftermarket exports is certainly going to help.
Moderator: The next question is from the line of Mamuksh Man dlesha from Anand Rathi Institutional Equity.
Mumuksh Mandlesha: I just want to understand next t wo ord ers what type of sunroof will be? It will be panoramic or TVS for next t wo orders.
Manoj Kolhatkar: It's currently both panoramic .
Mumuksh Mandlesha: And just want to understand on industry you mentioned three players. So, broadly what kind of market share would the other three players would have in the market?
Manoj Kolhatkar: Webasto is number one clearly because they were the first mo ver advantage , so, they clearly are number one. And I would say in terms of volumes with Hyundai and Kia , we should become number two.
Mumuksh Mandlesha: Is sunroof now fully localized in India now with the three players or there is still a lot of imports happening ?
Manoj Kolhatkar: It’s a long way for localization. So, localization levels a re still very low. But it will definitely improve over the next 2years.
Moderator: The last question is from the line of Nikhil from S IMPL .
Nikhil: Just two clarification s, one is on Inalf a, the current quarter margins which we have reported is after the payout

of the royalty or as of now we are not paying ?
Rishi Luharuka : It is after the payout of the technical assistance fees.
Nikhil: And secondly Rahul you mentioned that we should be able to reach double digit margins Inalfa . Would it be even at like 60 %-65% utilization which we are running currently or would that Kia order and everything comes in at optimal utilization we should be re aching th ere?

Rishi Luharuka : With the Hyundai program itself we should be able to reach th ere.
Moderator: Thank you. As there are no further questions , I would now like to hand the conference over to Mr. Manoj Kolha tkar for closing comments.
Manoj Kolha tkar: Thank you. Thank you once again for all the questions. Clearly , we are seeing a lot of interest in sunroof which is very good to know. And hopefully as I said as we go along this year , we definitely hope to add some more interesting news as well. And yes, nevertheless thanks once again for the support and for the year that went by and look forward to an equally exciting year and good pick up post the elections. So , thank you and all the best to everybody.
Moderator: On behalf of Gabriel India Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Aug 2024



"Gabriel India Limited
Q1 FY '2 5 Earnings Conference Call "
August 16 , 202 4

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th August 2024 will prevail.

MANAGEMENT : MR. MANOJ KOLHATKAR – MANAGING DIRECTOR – GABRIEL INDIA LIMITED
MR. RISHI LUHARUKA – CHIEF FINANCIAL OFFICER – GABRIEL INDIA LIMITED
MR. NILESH JAIN – COMPANY SECRETARY – GABRIEL INDIA LIMITED
SGA – INVESTOR RELATIONS ADVISORS – GABRIEL INDIA LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to Gabriel India Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements a re not a guarantee of future performance and involve risks and uncertainties that are difficult to predict .

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Kolhatkar, Managing Director of Gabriel Limited.

Thank you, and over to you, sir.

Manoj Kolhatkar : Thank you, and again, a warm welcome to everybody present on the call. I hope my voice is clear. Joining me today on the call, we have Rishi Luharuka, our CFO; Nilesh Jain our Company Secretary; and our Investor Relations Advisors, SGA. So , we are joining from different locations. So, we have uploaded the results and the investor presentation for the first quarter of this fiscal on the Stock Exchange and the company web site. I hope all of you had a chance to go through the same.

I'll give a brief overview of the company operations and take you along through the presentation so that, I mean, we understand more in detail, and I'm going to give some commentary, and then we will open it up for questions as always later.

So, coming to the presentation, if we refer to Slide 5 and 6. Slide 5 is the top line numbers. I mean the revenue, we had again a good quarter of INR864 crores of sales with an EBITDA of 9% and PBT of 8%. Comi ng to Slide 6, where you can see the comparative. So , the revenue growth Y -o-Y is 7.3%. However, EBITDA growth continues to remain better than the top line growth.

So, we did 13% growth on EBITDA terms compared to same comparable quarter in the last year. And similarly, you can see for PBT as well, it's almost a 20% growth. The net cash position is almost INR 330 crores, including the company loan to our Sunroof Venture and capex that we incurred is INR30 crores in the quarter.

The next slide is Slide number 7, which again puts all the figures in a competitive format -- in a tabular format, which you must have had a look, so again, here, you can see that the revenue grow th has been healthy and the EBITDA growth has been better. And gross margin, in fact, if you see, even on a Q -o-Q basis, the gross margin, there is a slight improvement. Y -o-Y, of course, we did mention there's an improvement in EBITDA and PBT, but even on a gross margin basis, Q -o-Q, there is an improvement of 0.3%.

And then we go to Slide 8. This is, again, a quarterly performance. So, we are sustaining the 9% EBITDA margins, which have been doing literally every quarter over the past almost 8 quarters. So, you can see that on the graph, very well here.

Slide 9, which is again the P&L statement, we have been through the this let's skip this and move to Slide 10, which shares the segment mix and the channel mix. So , as you can see, the segment mix remains m ore or less the same. Two Wheelers still constituting the major portion, which is almost 63%, Passenger car 24%, CV of 11%. And in terms of channel, we had direct Auto OEM sale of 87% and a replacement market channel of 13%.
Here, I just want to point out a small mistake in the presentation, the last line which says aftermarket has decreased, that should be read as commercial vehicle has decreased. So, the CV has decreased from 13% in Q1 last year compared to 11% for Q1 this year. The reason, of

course,
we all know that CV is facing a little bit of uncertainty, which happens during every election year, which is what we are seeing and which is what was expected as well. So that's why the CV portion has declined slightly.
Going to Slide 11, which basically cap tures our vision 2025 , which is being among the top five shock absorber manufacturers of the world based on four pillars of exports, domestic dominance, M&As and technology.
Slide 13 is exports. Yes, we have had a bit of a challenging exports owing to a li ttle bit of slowdown that we saw in Europe where we export to DAF of Netherlands and also due to the Red Sea crises, there has been a little lower offtake s because they had challenges from other components as well. Also there's a bit of slowdown in Colombia, which is also a big export market for us. But yes, both these will, for sure, will pick up, we're confident and you should see that in the coming quarter as well.
In terms of the domestic market pe rformance, Slide 15, which talks about the 2 and 3-Wheeler including aftermarket, of course. So , there's a market share, there's a slight dip of from 31% in Q4. I mean the last quarter, trailing quarter to this quarter, 30%, just a small change which happe ned because the motorcycle -- I mean, Bajaj sold more motorcycles of the competition compared to us because ours are mainly going to the export model.
And as you know, the export is still not fully taken off as far as Bajaj is concerned, especially in the African countries. Here within these we have had some good launches with TVS iQube ST, Ather Rizta, the new model, the Apache 160 -Black Edition and our pipeline continues to be robust. I'll come to the electric market share, which actually improved further , which you can see on Slide -- please move to Slide 16, yes, you can see the Slide 16.
So, in Slide 16, we can see that our market share has now grown to 87% with respect to EV 2 -wheelers. So , EV 2 -wheelers as you all know, had slowed down, they're doing almost 1 lakh a month, they've dropped down to almost to levels of 70,000 per month now. We know that the FAME -III, the EMPS, the electric mobility promotion scheme also will be ending in September. But what we hear is the FAME -III, which is in the draft stage, so I'm sure something will come up. I mean that's the expectation of it and hopefully, we can see numbers we get further. But as of now, it's about give or take 70,000 per month of which, I mean, 87% share is by Gabriel.



And I'm glad to also share that yesterday, there was Ola vendor conference, the first time, they gave out awards and Gabriel got an award for the fastest development from Ola. That's heartening news for all of us.
Coming to Slide 17. We have the passenger car picture here, where the market share has improved slightly, 1%, 24% from 23%, we have won two new programs which are in the launch which are in the production stage. One is the Tata Motors' Curvv EV.
So, as you remember, I had mentioned that we were working on an EV platform with Tata, so this was the platform and it has been launched now. I mean the response is good and Stellantis, the Citroen Basalt vehicle which also is a good vehicle at a good price. Both these are supplied 100% by Gabriel. As far as market is concerned, we saw a healthy increase of passenger vehicles in Q1, almost 6%, why I say healthy because the base is high, but still we grew.
We are expecting -- I mean, the industry is expecting t hat there will be, of course, as a little bit of a moderation here, but it all depends on how the festive season goes. The inventory levels are high, which you may be again reading in the papers, but we expect that it should be in the range of between 4% t o 6% by the end of the year. So, growth is still, of course, welcome based on the high growth that we have seen over the past 3 years.
Comin

g to Slide 18. This is a utility vehicle, which is what is the happening area as far as the passenger car is concern ed. And here, I'm glad to share that we have 35% of the market share in utility vehicles and most of the top and sort of UVs are serviced by Gabriel.
Slide 19 is commercial vehicle. We continue to be strong, in fact, even Ashok Leyland market

share has, in fact, all improved further and we are almost over 90% as far as market share is concerned for all commercial vehicles in India. So , we are looking to export that we have broken through.

We are also talking to Fuso which is again part of Daimler, so throu gh Daimler India, we're working on development of Fuso, which is of Japan and also some other customers, and we're also in discussions with Volvo. I mean, I'm talking of Volvo Global, we're already almost 100% with Volvo Eicher in India. Through that, we a re discussing on Volvo Global as well. DAF, we already mentioned in the last call that we had the RFQ for the axle dampers and we are working on the same currently.

Slide 20 is the railway presence, which is unchanged because, of course, as mentioned earli er, we're there on every product that Indian Railways has in the market on the rails. So we are there . Even the Siemens E Loco, we have got the LOI, so we are working on this. It's a small volume nevertheless, but it's a good breakthrough because this is n ot exactly in Indian Railway, this is Siemens E Loco. This also opens up doors for us as far as the new customer is concerned, which is Siemens.

Slide 21 is the aftermarket where we continue to grow. We almost hit INR420 crores last year and even the first quarter has been good at almost INR120 crores, of course, there is pressure in the aftermarket segment as well, but Gabriel being the leader and a very well -known brand name and through our new products which we launched in this -- we have launched many new product



lines, the latest of which is the alloy wheel rims, we are able to get a good growth in the marketplace.

Slide 22 is the M&A. This is the actual picture of the , Inalfa Gabriel Sunroof Systems , plant in Chennai, in Santhavelur , you can see the exterior of the plant in the picture. This is Slide 23 . The picture of the assembly line and the polyurethane line , so state -of-the-art plant and very well maintained with all the production metrics or the KPIs being really among the best that Inalfa has seen globally.

So as far as the consol P&L is concerned, maybe I'll hand over to Rishi. Rishi, if you can just explain this slide.

Rishi Luharuka : Yes. Thank you. S o overall, in terms of the Inalfa ’s profitability, we closed the quarter with INR82 -odd crores of sales which was more than 5% over and above our target number that we were anticipating at the beginning and with the 14% healthy EBITDA, we've mentioned that it is in the double digits and that's what this entity is c urrently turning out to be.

As we've shared in the past, this is a cost plus R&D tech center while for the purpose of consolidation there is a revenue from operations being shown, but ultimately in the consolidation, it gets knocked off and is a part of my capital work in progress in the stand -alone entity of Gabriel. Here, we are handling the new generation of technologies for suspension. That's all . Over to you.

Manoj Kolhatkar : Okay. T hank you, Rishi. So Slide 26 is a picture of our European te ch centre . I mean this is the overall building of the facility that we have tried to show in a small circle where our office and we also have a workshop, not only office, but we have some workshop to do our trials, do fitments and test our vehicles in the adjoining racetrack.

The next slide, Rishi. Yes. I think this is -- so this is the standard deck which all of you are aware , so I'll go back -- we can now stop as far as the slide

s are concerned. I think that's been the overall picture of the first quarter. We just started off well. I mean, honestly, our expectation for sales was a little higher. But as you can see, the industry is looking at a little bit of moderation because you had some excellent deals as far as t he numbers are concerned for the industry.

So yes, we are, of course, treating the period ahead with caution and ensuring that we have a strong control on costs and we continue on our EBITDA improvement journey as we have done for almost eight quarters. So with this, I'll end my address at this start and keen to look forward to all the questions that you have. Thank you. Over to you.

Moderator: The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesh a: Congratulations on the solid margins. Sir, firstly, just can you update more on this Inalfa TLA which has now shifted to -- from JV to TLA? A nd on this particular thing, will any royalty be changed since there is no JV now, the royalty currently Inalfa charges will remain same or that may change in the royalty rates?



Manoj Kolhatkar : Okay. Thanks for the compliment s on the good set of numbers. Coming to the TLA, yes, we did come up with a notification as soon as we got it from the government from DPIIT. So yes, we'll continue now through the TLA or TCA as we call it, -- both the partners right at the inception itself had thought that this will be a good way to go ahead because of, of course, foreseeable challenges.

And this is a long -term TLA. And this is -- so we will continue as strongly as we have so far. There's a statement that we hav e released yesterday again, which is backed up by Inalfa as well that their commitment to India market is very strong, and we will continue to work towards seeking support of the government and working out on options. So as far as royalty is concerned, the royalty percentage in the terms of the agreement which are, as you know, confidential so we are held by the confidentiality agreement. So we will not be able to say more than that, unless Rishi, do you want to add something to this?

Rishi Luharuka : Only o ne point , Mumuksh, that the current construct of 5% royalty that we've shared is between both the JV partners, and that construct will continue until the resolution of the PN3 approval comes through.

Mumuksh Mandlesha : Great, sir. Sir, continuing on the su nroof side, can you update on any new order win, sir ? And on the sunroof margins, sir, whether this kind of margins will be sustainable and also we get them improved due to localization and volume, sir?

Manoj Kolhatkar : Yes, Mumuksh. So the margins, are definitely good. Rishi has said it those margins as well -- EBITDA margins. And with localization, the -- I mean, currently localization percentage is still low. But as we go into each and every program , like I had mentioned, the Kia program, which will start production from January, the localization is even little better. And as the overall ecosystem of the sunroof as a system improves , the supplier ecosystem, this would only keep on improving like we have seen in so many other products as well. So with that, the margins will improve. But yes, obviously, we will have to share some of the improvements with the customers. So fair to say that I think we should be able to sustain the margins for sure.

Mumuksh Mandlesha : Got it, sir. Any update on new or der wins, sir?

Manoj Kolhatkar : On new order win s, we are discussing with Hyundai and Kia both. There are a lot of discussion happening . As of now, we are not able to share more, but yes, definitely some positive discussions going on. And even with non -Hyundai and Kia customers, we have had very advanced discussions with -- we are in advanced discussion phase with Stellantis and with Skoda , Volkswagen. In th

e new platforms, definitely, we have an understanding that we will be getting the RFQs . So yes, all in all, I think a very good order book . I don't see a concern on that front.

Mumuksh Mandlesha : Just on this space, sir, recently some peers have announced sunroof plants and I think one particular one with a partner of the Japanese market leader and this seems to be close to Japanese customers like Maruti and Toyota. So just on the Maruti entry, because currently they would have a few models with sunroof , but going ahead they would add up more models. So how do you see the M aruti opportunity for us and also the competitive intensity in this space?



Manoj Kolhatkar : Yes. So see, the competition intensity was expected to go up, because it's really a blue ocean when we started. We are only the second or third player . So yes, it's a very attractive segment. And fortunately, there is room for everybody because the growth has been terrific.

The SUVs are growing, SUVs are coming with bigger and bigger panoramic sunroof s, the traction in the SUV segment as far as sunroof penetration is concerned is in some models as 100%. So there is definitely a scope for many things . Yes, the competition, as I say, you know, is always, always good for the end customer and for u s as well, because we all remain sharp. So, we'll have to see.

As far as your specific question on Japanese, there's an announcement that's a Japanese JV. But we, again, as you know, we have very strong relations with Maruti Suzuki, with, in fact, the entire Indian auto component industry. In fact, Hyundai and Kia have got added as a new customer to us. We were never there in Hyundai -Kia. We had a Santro model for suspension long, long back. After that, we have not been a customer to Hyundai -Kia.

But now through this, we have got entry in Hyundai -Kia. The other customers, any which way, we have excellent relations. So, yes, you know, it's, as I said, it's a free market. So, we'll have to see. I think only the best person will be in the business. So, I don' t think it's that, you know, any particular business is not going to be with you because of some alignments.

Mumuksh Mandlesha : So, broadly, I mean, we should be at least over medium to long term among the top two players.

Manoj Kolhatkar: Yeah, that's clear. Absolutely. That's clearly our vision. Inalfa is number two, globally number two. And, you know, they continue to support us strongly on all fronts, even in new businesses. So, yeah, I mean, why can't we, you know, continue with number two status in India? I mean, that's clearly what we are also going for.

Mumuksh Mandlesha: Got it, sir. Sir, this is for Rishi sir. Just on this sunroof business, how much has been the

investment till now, sir? And also, can you mention the loan gi ven to subsidize or quantify the loan, sir?
Rishi Luharuka: So, Mu muksh, the outstanding loan currently in the books of Inalfa as on first quarter end is Rs. 60 crores, Rs. 59.5 to be precise. And in terms of total investment that we have put in, that's close to Rs. 90 crores.
Mumuksh Mandlesha: And other Rs. 40 crores we are putting for the phase two expansion.
Rishi Luharuka: That co uld be an additional line, yes.
Mumuksh Mandlesha: And, sir, lastly...
Moderator: I'm sorry to interrupt, sir. Mr. Mumu ksh, could you please fall b ack in the question queue? Thank you. The next question is from the line of Viraj from SIMPL. Please go ahead.
Viraj: Yeah, just three questions. First is on sunroof. The 14% margin which we did is after the 5% royalty payout. Is that correct? And when you say the royalty payout is between two partners, I think the earlier communication was that it will be between three partners, one being the parent



entity of KBA, second being Gabr iel, and third bei

ng Inalfa. So is there a change now? How's the distribution of that royalty, if you can share?
Rishi Luharuka: So, Viraj, first question, 14% is after the royalty payout. Second question is that the royalty split is between two entities. One is Gabriel and the other is Ina lfa, parent entity. And the third part that you mentioned, that's the management fee. So the 14% is after the management fee as well.
Viraj: So you mean after the management fee, which the subsidiary would pay to the parent of KBA?
Rishi Luharuka: Correct. The parent of Inalfa.
Viraj: Parent of Inalfa or parent of KBA?
Rishi Luharuka: Parent of IGSSPL, which is Gabriel.
Viraj: Right. So when you look at standalone numbers, where does the royalty get reflected?
Rishi Luharuka: The royalty is a part of the, you're saying in my standalone results, right?
Viraj: Yes.
Rishi Luharuka: Yes. So royalty is on the sale part. Give me a second, I'll answer you that question.
Viraj: Yeah, see, I am asking this is, you know, if you see this quarter, communication in the past has been aftermarket, and even two -wheeler, they are the highest margin products for us, or category for us. Now, aftermarket is weak, CV declined. Two -wheeler we have seen relatively low growth compared to industry.
Now, still, despite all these hig h margin categories doing okay or not great, we're still on similar gross margin and similar EBITDA margin. So I'm just trying to understand what explains this better performance for us.
Manoj Kolhatkar: Okay. So, Viraj, while Rishi comes back to the figur es, of course, yes, we always maintain that IGSS is going to be an EBITDA accredited business for us. That was the plan and it's going as per plan, number one.
Number two, while you said, you know, that everything is under pressure, in fact, two -wheeler is doing well, you know, aftermarket continues to, while under pressure, it continues to do well. And, you know, we, as you remember, we have something called core 90, which is to ensure that we, you know, we continuously look at each and every element of cost and keep driving it down. So even that has helped in our sustaining this margin.
So there's a play from all sides. It's not that, you know, the core business or the components of the core business are under pressure. Even there, we have been able to, you know, incrementally keep on improving.
Viraj: No, so to put it differently, you know, you talked about incrementally demand being relatively weak in PV. PV, so far, has been weak. So if one has to just understand, say, internally and get



it standalone , what levers do you think you would have to further improve the profit margin? So if volumes were to be muted, how should one understand the drivers of margin improvement?
Manoj Kolhatkar: So, yes, I mean, in terms of aftermarket, for sure, you know, the railway business is improving, you know, while it's a small part of our revenue, but, you know, it's a good healthy margin business and that's improving. I mean, it was low after the COVID for at least two years. So that's picking up.
In addition, you're pursuing exports on a more long term. Right now, while exports are due to reasons, it's down. Exports will also be our lever to improve our margins going forward. And in addition to that, yes, we definitely are looking at some other products. As you know, we are looking at, you know, some e -bicycle product, front fork, which should be at a good margin. So, yeah, so there are several fronts.

And then there's IGSS, of course. So Viraj I mean, you can't pinpoint, you have to take a host of actions, right? B ecause things can happen in different segments differently. The good part is we are a company which is always very well balanced as far as portfolio is concerned in segments, as far as suspension is concerned. And now we have this additional s

unroof busine ss as well.
So, from that perspective, yeah, I think well -positioned is all I can say.
Viraj: Okay. You know, the quantum of royalty, if you can share. And this last thing, on the two - wheeler segment growth for us, you know, if I compare it to end industry growth, we seem to have underperformed. So, anything to read there in terms of, has there been any loss of business or?
Manoj Kolhatkar: No, there is no loss of business, Viraj. As I said, it's a very marginal change that has happened. It's due to the product mix. It's mainly due to the product mix. Some of the models, as I said, particularly Bajaj, our product, actually their sale went down because it's mainly exports to Africa. And you know the reason there.
But it will surely come back. Yeah. A nd also while we speak, I am again glad to share that we have been able to get business from Bajaj on models of Pulsar and Dominar as well now.
Viraj: Okay. On the royalty amount, sir?
Rishi Luharuka: Viraj, this is a part of the sales of services grouped under the revenue from operations.
Viraj: The quantum for the quarter?
Rishi Luharuka: Sorry?
Viraj: What will be the quantum for the quarter in standalone?
Rishi Luharuka: That would be, you know, I'll end up sharing the percentage sharing, which I'm not able to currently.
Viraj: Okay.

Manoj Kolhatkar: Thank you, Viraj.
Moderator: Thank you. The next question is from the line of Ami t Hiranandani from SMIFS Limited. Please go ahead.
Amit Hiranandani: Yeah, thanks team for the opportunity and congratulations for a decent set of numbers . Sir, I just need some clarification on the sunroof JV. So , after going through the latest press release, so is our understanding correct that now instead of making a JV, now the subsidiary format will continue and Inalfa will take some share in this subsidiary? I mean, is our understanding correct?
Rishi Luharuka: Sorry, can you please repeat that Amit once?
Amit Hiranandani: Yes, yes, sir. Basically, after going through the latest press release, so wanted to understand that our, you know, instead of making a JV now, the subsidiary format will only continue and Inalfa will take some equity share in this subsidiary. Is this understanding correct?
Rishi Luharuka: No, let me take it from the top, Ami t. So the intention was always to form a joint venture, right? Because of the government regulations of Press Note 3, because we were waiting for the equity infusion to happen.
At this point in time, it is a 100% subsidiary of Gabr iel. The PN3 approval right now has had a bump, which was already taken into consideration when we were forming the TCA. So at this point in time, the current construct, which is 100% subsidiary with the TCA with Inalfa Netherlands, that will continue.
Amit Hiranandani: So are we still, you know, reapplying for the JV? So if yes, then how will be the arrangement? How much Gabriel will own in that JV?
Rishi Luharuka: So yes, we would be looking at various options. And at this point in time, we are not in a position to share the cons truct or what are the various proposition we might have.
Amit Hiranandani : Okay. U nderstood. And sir, just on the -- continuing with the su nroof side, so most of the questions on the sunroof is answered, just wanted to know that we sold roughly about 23,000 units in Q4 and how many units sold in Q1 FY '25?
Manoj Kolhatkar : Well, Amit, we are actually constrained on to give the numbers as far as the exact number is concerned, but our daily production rate is actually much better than what we saw in Q4 of last year.
Amit Hiranandani : Fair enough, sir. Sir on the FSD Tech -- any new order wins FSD?
Manoj Kolhatkar : Not yet, but we recentl y had a d iscussion with Maruti where t hey are interested in one particular vehicle, but they have actually now changed it to another

upcoming vehicle where we will
demonstrate the concept to them. So then definitely there is interest from them as well as from Tata Motors both, two customers that I can think of immediately as far as FSD is concerned.
Amit Hiranandani : Okay. And sir, on the stan dalone EBITDA margin. So basica lly, it's Q -on-Q it's 9%. There is improvement despite increase in the revenue and better mix towards 2 -wheelers and stability in

the commodity price s, so our target was to hit double digit label, so by when we can expect this, sir?
Manoj Kolhatkar : So if you recollect we have told that I mean our target was to get into double digits in 2 years' timeframe, that was what we're planning to. So to put i t very precisely it is somewhere in the next year is what -- next fiscal is what we're planning to, at least we try to end the year with that double digit.
Amit Hiranandani : I mean, exports is presently weak and aftermarket is also in -- some gray market is emerging back again. So despite these headwinds, are we confident of hitting double digit?
Manoj Kolhatkar : Well, yes, I mean you can take some confidence from the way we have continuously increased. So as I said, it can't happen in a jiffy. It has to be a journey and a slow and steady and creeping increase is something that is actually sustainable in my view, a flash in the pan is always very difficult. So which is the road that -- which a journey we've adopted and we'll continue on this improvement part and yes we target to be there at double digit certainly.
Amit Hiranandani : Any new product launch is planned ahead, sir?
Manoj Kolhatkar : So two products that we had mentioned last time is in suspension category itself. One is the e - bike. So we recently were there in the e -bike show in Europe in Frankfurt. So we had some discussions there. So we're looking at engaging some expert who was from this field because the customers here are completely new to us, but very exciting market. And I was there in the show myself and really absolutely exciting market that is one.
And the second is the solar damper which is used for damping the solar rays in the solar farms. So that discussion is ag ain in a very advanced stage with one pl ayer as of now. They have had visits, they have been very satisfied with what we had to show, our design capabilities, our testing facilities. So yes, these are the two new ones.
Amit Hiranandani : Sir, these are the applications but basically -- product -- anything new, just like sunroof anything new we're planning?
Manoj Kolhatkar : Product d ivers ification you mean. So there as I said, we are looking at options. I mean scann ing opportunities in the market. A s of now I can't share more on that front.
Amit Hiranandani : And lastly, if you can throw some more light on the solar dampers side because this is a new product for us. How is the traction or the realization, broad market size potential, any competitive landscape i f you can throw some highlight on this?
Manoj Kolhatkar : So the market is huge, and it's only going to keep on increasing because of the overall push by the world on renewable energy, so clearly it's a big market. The numbers are significant, difficult for me to right now share offhand, b ut the margin is again there I mean would be slightly better than what we are doing.
Amit Hiranandani : Okay sir. All the best. Thank you so much sir.
Moderator: The next ques tion is from the line of Abhishek Jain from AlfA ccurate Advisors . Please go ahead.

Abhishek Jain : Thanks for opportunity and g reat set of numbers. Sir, my first question on the sunroof side. Last year your volume was around 23,000 units, and that was early in the quarter 4. What is your target for FY '25 in terms of the volume of sunroof?
Manoj Kolhatkar : Well, Abhishek, as you kn

ow, we don't share the numbers as far as the targets are concerned, but like I answered earlier our daily production rate of the sunroof is definitely much better than what it was in the Q4 of FY '24.
Abhishek Jain : Okay. So in quarter 4 it was around 8,000 s o most probably that we are able to achieve the 10,000 to 12,000?
Manoj Kolhatkar : Yes, it's almost close to that, yes.
Abhishek Jain : And sir, in this quarter we have seen a very impressive margin of around 14% on sunroof. Is it after factoring royalty of 5%?
Manoj Kolhatkar : Yes, Abhishek. It's after factoring of royalty.
Abhishek Jain : So most probably as the scale will increase in the coming quarter and because you will be able to do volume of around 180,000 to 200,000 units. That means that with the increase in the volume, margin will improve further?
Rishi Luharuka : So the operating leverage should kick in, but there would be other cost pressures as well, so it's a new entity at this point in time. So we are targeting to -- around the margins that we have currently reported.
Abhishek Jain : Okay. And what would be the total investment under sunroof plant if you invest solely?
Rishi Luharuka : So as of now, as we answered to Mumuksh we've done INR86 crores of total CAPEX and the current loan outstanding f rom Gabriel to Inalfa is at INR 60 crores.
Abhishek Jain : So total investment would be around INR 140 crores, right?

Rishi Luharuka : At this point in time, the total investme nt of one lin e that we have put in is at INR 86 crores.
Abhishek Jain : And for the second line, what would be?
Rishi Luharuka : Another INR 40 crores.
Abhishek Jain : And total investment would be INR 120 crores, INR130 crores, right?
Rishi Luharuka : Yes, for two lines, yes, that's the number.
Abhishek Jain : Okay, sir. And my last question is on the 4 -wheeler side. Basically, as you mentioned that there will be gro wth of 5%, 6% for industry, but also won the new business for new swift and that's why that incremental revenue will come in thi s -- in this year of around INR10 0 to INR120 crores. So can we expect that you will outperform industry growth and you would be able to achieve a growth of 17%, 18%, at least?



Manoj Kolhatkar : So your voice was not -- Rishi could you...
Rishi Luharuka : I think the question was around 2 -wheeler growth coming forward.
Abhishek Jain : 4-wheeler growth, sir. What would be the 4 -wheeler growth in FY '25?
Manoj Kolhatkar : 4-whee ler growth , I said it will be around 4% to 5% give or take. That's what we had started with, but there are views currently whi ch we are -- again, I'm going by what we have read in the papers from several OEMs that it may actually turn out to b e a flat year, it all depends on how the festive season pickup goes.
July, fortunately, the month of July as far as the industry is concerned there was a 13% growth in PC compared to same month last year. So that is good news. In fact, 2 -wheeler also grew almost 17%, 18%. But passenger cars grew by 13%. So we'll have to see how we -- I mean, as I said, how the pickup is in the festive season, but I would say 5% growth is a good thing to expect.
Abhishek Jain: But what is your growth in the business in 4-wheeler.
Moderator: I am sorry to interrupt Mr. Abhishek. Could you please call back in the question queue for further questions?
Abhishek Jain: Okay thanks.
Moderator: Thank you. The next question is from the line of Mahesh from Atul Investor Advisors . Please go ahead.
Mahesh: Sir, just view on the Inalfa thing that we are briefing, c an you please tell, I mean, this could give you -- I mean, because we are about to grow and we were about to go for another line. So does this mean that Inalfa now will be like looking, I mean, tak ing a step back and seeing whether this growth should go ahead or not because the technology has b

een shared by them, right? So does this give a picture t hat the growth might will be on the sunroof side, we might see a -- there might be some delay on that, if you could please throw some light there?
Manoj Kolhatkar : Mahesh, no, not at all. I mean that's why immediately, after this, PN3 approval which did not come through that’s why we came up with the statement based on our discussion s with Inalfa themselves, they've clearly reiterated with commitment to India as their key growth market . It is not, and they're committed to Hyundai and Kia globally. So it's not that India is one market only where they have Hyundai -Kia.
They have a huge exposure to Hyundai -Kia globally, as well as, of course Volkswagen is a key customer, Mercedes is a key customer. There's so many, I mean they supply to the entire auto industry. And India is, as the only growth market curren tly in the g lobe.
So they stand committed and they have stated that they'll continue to seek the support from the government to find options and we've written very clearly being fully committed to supporting IGSS through the T CA. So absolutely no change in direction, change in the push or change in the plans as far as IGSS is concerned, as far as investment is concerned, support is concerned, new customer acquisition is concerned or any such front.



Rishi Luharuka : Also to add, Mahesh, the situation, this outcome also envisages one of the options. And while the TCA was drafted and executed between both the organizations, it was taken into consideration the long term commitment and the continuity of the business here. And also the fact that Hyundai is a global customer t o them.
And to that extent, servicing the customer is extremely essential. And as far as capital adequacy is concerned, currently, we've put in the money on their behalf, as far as the equity is concerned. And going forward for all kinds of expansions, Ga briel stands committed to put the money to infuse over and above the internal accruals of the organization.
Mahesh Atal: But I just want to know what option could be possible? Because it gives the picture that like, wherever they go in Inalfa they just have a major share in the JV. That's their thing, wherever they go. So, in this JV also, we were thinking of giving them a 50% stake, if I'm not wrong. So,

what options are there on the table? I mean, like, because right now the government has disallowed.
So, what options are there? I mean, because it gives a question mark like, the growth trajectory might be little delayed, it seems like that currently. I mean, I'm not aware of all the things but still, if you could tell us some options what? Because Gabriel, as such, is a technology taker from them, right? So, you're always on the second step. So, what, I mean, I just, that's a question mark, if you could answer that.
Rishi Luharuka : Mahesh , as we've stated in the previous discussion at this po int in time sharing the various options would actually be in violation of the confidentiality clause. So, we are not in a position to share that but at the same time, we are actively evaluating the various options and discussing as to what would be the way forward. But certainly, one thing is for sure that the commitment towards the entity, the customer and the growth plan that remains rock solid.
Manoj Kolhatkar: Yes, Mahesh, just to add Inalfa is world's number two, and they have formally, you put it, I mean, obviously, if it comes from such a big company that they are reiterating their commitment to India as a growth market, and that they'll continue to support. So, I think, yes, I mean, and like Rishi said, this situation was kind of envisaged as well, because of obviously.
Mahesh Atal: Yes, so, but when do you see the output, I mean, when that option will go on, by what time?
Manoj Kolhatkar: I mean, it's

very difficult, because this itself took almost a good one year.
Mahesh Atal: I understand, ye s, that's the reason. The thing is that, I know that the talks will go on and you'll find some options but is there any timeline that you have formulated, like we'll see?
Manoj Kolhatkar: So, Mahesh, the thing is, it's not between us and Inalfa, where the coope ration remains absolutely strong. There is, I mean, of course the government also, who has their own process and time, which is what we cannot just cannot regard in this.
Mahesh Atal: Yes, because my, why I'm asking you this thing is because this wa s a growth engine for us and there's it feels as if there's a vent. So, I just want to clarify.

Manoj Kolhatkar: No, I would not, I mean, absolutely. Well , I completely would not second that.
Mahesh Atal: All right. I think we'll look forward to have some the next phone call or maybe we may get more updates, I think. So, looking forward to that. All the best.
Manoj Kolhatkar: Sure, Mahesh. Thank you.
Moderator: Thank you. The next question is from the line of Aabhash Poddar from Aonis Alpha Investment Manag ement. Please go ahead.
Aabhash Poddar: Yes, hi. Thanks for the opportunity and hope I'm all right. Firstly, congrats on a good set of numbers for both the domestic and Inalfa business as well. So, just again, sorry to harp again on the sunroof side . So, y ou said that you are clearly you expected this and it's obvious that the situation may arise and you may have to go this route. So, does this need to deter you from finding some businesses or diversifying the production in a certain manner now? Are you mor e careful post this, or no?
Manoj Kolhatkar: Sorry, are you holding the mic too close? It's a lot of, I don't know boom that I'm hearing. I don't know.
Rishi Luharuka: Yes, same at my end, Abbas. There's a lot of air that is flowing into the mic. Can you please…
Moderator: Sorry to interrupt, sir. The current participant has been disconnected. We will move on to the next question from the line of Shashank Kanodia from ICICI Securities. Please go ahead.
Shashank Kanodia: Manoj, one question to you, sir. So, your name has been taken Shashank in the name of Gabriel India right? And maybe we are hearing you for the last time with Gabriel call. So, sorry, it might sound personal but if you can, I just wanted to check, are you moving for a better or a bigger role in Gabriel group, sir or are you moving out of the group?
Manoj Kolhatkar: Pardon? Can you repeat it, Shashank?
Shashank Kanodia: Are you -- I just wanted to check, so, are you moving to a bigger role than the Gabriel group or are you moving out of the group?
Manoj Kolhatkar: Yes, thanks for the question. No, I mean, of course, ye s, I have actually decided to move on outside the group. I've been here for 13 years. So, that's, I mean, my personal reasons are set completely, my own decision after a really, really wonderful period, which I treasure and ye s and I'm sure it's absolute solid footing. Ye s. So, maybe we can discuss later.
Shashank Kanodia: And secondly, on the Vision 2025, sir, so, I think M&A and some sort of that sort was expected from us to take us to the next league. So, it's been quite some time, we have not been hearing anything on that front. So, if the team can, no?
Manoj Kolhatkar: No. So, we had told clearly, if you remember that we are working on a couple of them and we had told them in this fiscal, which is 2024 -25, we should be able to, I mean, that was our target, that we do at least one. And all I can say is, yes, we are working on in advanced stages with a couple of them.

Shashank Kanodia: Yes. Thank you so much. And thank you, Manoj.
Moderator: The next question is from the line of Aabhash Poddar from Aionios

Alpha Investment . Please
go ahead.
Aabhash Poddar: Yes, sorry, the line got dropped off. So, first off, congrats set of numbers for Inalfa and for the standalone business as well. So, one, just wanted to quickly understand, since we envisaged this issue earlier, does this create a challenge for us for our product diversification or merger & acquisition, whatever we are looking for in the future?
And two, just to understand, have some clarity on the margin fund for Inalfa in the first quarter, if you hit 14%, I mean, not for a near -term target just in terms of North Star, because there will be a lot of push and pulls now with the margin with ASPs going lower but at the same time, localizations are sort of improving.
So, how do we on a year basis, on a year or two out, how do we think of margins? Is it we can reach from 14% to, say, 18%, 20%? Or you would like to maintain where you are at the moment and pass on the benefits to the customers? So, just wanted to understand just your thoughts on this, please.
Manoj Kolhatkar: Okay, Aabhash . Yes, now your voice is clear. So, I'll take the second question, which is on the margin front . So, ye s, you rightly said as of now, it's a growing margin. Yes, for sure. We can see maybe a little bit improvement as well, if things go well.
But there is , due to added competition going to be, I mean, I can't be completely, what do you call blind to the market developments that are happening. So, there's going to be a little bit of push on the pricing side. And like, again, you rightly pointed out the supp ly ecosystem will develop and our efforts you identified some localization opportunities already will fructify and that will help us offset to some extent these pressures that we are seeing that we may see on the selling price. Again, we don't know whether we will see but we may see. So, ye s, I think we should be able to sustain and if at all even improve it marginally, yes. And then we'll add new products, new technology products on the sunroofs. So that will help us take it further ahead as well.
Aabhash Poddar: Perfect. And just on the part where this -- the JV or whatever challenges that we face now, does it impede our ability to figure out new ideas, find new acquisitions or Just your thoughts on that?
Manoj Kolhatkar: Absolutely no. I mean, not at all. I'm sure, we'll find an engineer's way out, I mean, out of this. It is not totally unexpected. We'll find a way and if it does not dent or affect any of our plans as far as any other, I mean, activity is concerned, for sure, no. And yeah, we have he althy cash balance, and the clear focus from the Board and from the Company is to look at new opportunities. And something like this would be, of course, most welcome, which is a good idea.
Aabhash Poddar: Perfect. That's very clear. Thank you and all the best to you too, Manoj, for your future. Thank you so much.
Manoj Kolhatkar: Thanks a lot.

Moderator: The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.
Sunil Shah: Yes. Thanks for the opportunity. First of all, thanks so much, Mano j sir, for taking -- coming to these great levels. All the very best for the future endeavours for you at a personal level. Sir, my question is on the company front, really, I want to know when the per centage terms in of the content per vehicle.
So in the four -wheeler segment, when we are doing the shock absorber and the dampener business versus the sunroof business in percentage terms, let's say, hypothetically, as shock absorbers as a content per veh icle is roughly, say, INR10,000 and – sunroof is like, let's say, 10 times of that.
So if a percentage on that in the four -wheeler space and give me the percentage in two wheelers for the new alloy wheels which we are talking about. I mean, not the absolu te rupees but in percen

tage terms, how much is the content per vehicle going up, if you could kindly let me know?
Manoj Kolhatkar: Okay. So, Sunil, thanks for your wishes. Now coming to -- content per vehicle, yes, sunroof is definitely among the highest c ontent per vehicle commodity in a car. So give or take, I mean, while we can't share the exact figures, but I mean, I'm sure you'll know from the market research. But the content of vehicle of sunroof depends, it's very difficult to give -- one brush to the whole thing. But let's say, 4 times to 5 times -- suspension content per vehicle.
Now, that's as far as passenger car is concerned. Two is a very different ballgame, commercial

vehicle is a different ball game. So -- but as far as pas senger car is concerned, that is more or less broadly the ratio. And your second question on the two wheeler alloy wheel range, as we have started that in the aftermarket, of course. It's not our OE offering, but we have started in the aftermarket

Again, there the content is -- two wheelers again, front forks and shockers are there so they're totally different pricing as far as both these are concerned. So alloy wheel rim will fall somewhere in between.

Sunil Shah: So, sir, –alloy wheels, when we kind of look at OEM supplies, is that your internal thing through your journey?

Manoj Kolhatkar: Well, Sunil, to be honest, it's an interesting commodity. For one thing -- it fits into the digital frame of agnostic products -- because like shock absorbers or sunroof, it is agnostic to the powertrain. Similarly, the wheel rim will also remain agnostic to powertrain, and there's a huge and growing demand in the aluminum regions. So, it's an interesting product, but yeah, we are tied up wit h somebody right now, where we are buying from him and selling it as aftermarket product, and we'll evaluate as we go forward.

Sunil Shah: Sure. One more point, which is -- we have launched these two new products alloy wheels, which we have kind of traded, and of course, the sunroof where we are in the JV. So what is kind of group companies point of view? My thoughts are like, in product development, like we as a company, Gabriel believe?





And -- the fear as an investor, which I have is cannibalizing these product in our group companies or how have the new product launches happened in the other group companies over the last, say, 2 years , 3 years? Anything on that through your recent past or maybe the future direction? product development, yes .

Manoj Kolhatkar: No. So Sunil, you can see that there is actually absolutely no cannibalization that happened in the past as well -- other than one small part of the portfolio of Mando, of shock absorbers, which is mainly for getting to Hyundai and Kia so we have never had any conflict which is what we ensure similarly from the other side also, Gabriel also -- we also ensure that there's no conflict of a new product when we introduce with any of our partners.

So from both ways we do this sanity check . But no fear on that front at all of cannibalization. It's one group, and Gabriel -- if at all, Gabriel is the flagship company, will remain a flagship company, and the only listed entity. So I think you can take confidence from that.

Sunil Shah: So, sir, m ostly the word cannibalization my thought was the new product launches which have happened in the other group companies in the recent past. Has anything developed there in products which they hav e come out absolutely just like...

Manoj Kolh atkar: So, absolutely. We work – as we have shared. We have the vertical called ANEVOLVE , which we launched in the auto store in 2023, which -- where they are selling motors, two -wheeler motors, in both hub motors are center motors, and chargers. Again, two wheeler chargers. So we -- and the battery controller module, so BCM. And this -- these are three products that they

have introduced as far as EV two wheelers is concerned. So that's only on the EV side, specific EV products.

Other than that, in terms of -- we are, I mean, at the group level, through ANEVOLVE , we are looking at -- options in, let's say, even in -- hydrogen fuel cell . we're looking at developing our own control modules for charging. So those are things that are happening as far as new p roducts are concerned. But there is no -- just to repeat, there is no product that will eat into or cannibalize our conflict with shock absorbers or dampers or sunroofs for sure.

Moderator: Thank you. Ladies and gentlemen, due to time constraint that was t he last question for today's conference call. I would like to hand the conference over to Mr. Manoj for the closing comments.

Manoj Kolhatkar: So thank you. Thanks, everybody, for your comments as always and inputs as always. I know there's a lot of what y ou call interest in what is the development post, so we had to share this as a movement as it came from the DPIIT, from the Government of India. And as me and Rishi have continuously reiterated, we continue to remain in a strong cooperation between us and Inalfa as far as sunroof is concerned.

And we will work on finding ways to find some innovative solution to this. Nevertheless, our plans as far as growth, technology, new products, customer acquisition any other development will continue as strongly or e ven more going forward, which you will see, hopefully , by the next con call as well.





As regards the core business of suspension, there are some interesting new products which are shared. And yes, we all remain hopeful of a very good festive season to take -- to bring back the little moderation that has happened to the market overall, particularly in commercial vehicle and passengers cars.

Two-Wheeler is strong which is the best part. So which is 63% of our portfolio. So yes, I mean, our balanced portfolio always holds us in good stead. And as I see, we will continue to -- continue the journey of constant EBITDA improvement and of course, overall growth. So thank you once again, thanks for all the cooperation and we wish you all a very, very happy festive s eason. And I must say that I'll be signing off but yes, the team, we have a very, very strong team which will take you to the next level for sure. Thank you so much.

Moderator: On behalf of Gabriel India Limited, that concludes this conference. Thank you f or joining us and you may now disconnect your lines. Thank you.

# Call: Oct 2024



“Gabriel India Limited
Q2 FY25 Earnings Conference Call”
October 24 , 202 4

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 23rd October 2024 will prevail.

MANAGEMENT : MR. ATUL JAGGI – MANAGING DIRECTOR – GABRIEL INDIA LIMITED
MR. RISHI LUHARUKA – CHIEF FINANCIAL OFFICER – GABRIEL INDIA LIMITED
MR. NILESH JAIN – COMPANY SECRETARY – GABRIEL INDIA LIMITED



Moderator: Ladies and gentlemen, good day and welcome to Gabriel India Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opin ions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conf erence is being recorded.

I now hand the conference over to Mr. Rishi Luharuka, CFO, Gabriel India Limited. Thank you, and over to you, sir.

Rishi Luharuka: Good morning, and a very warm welcome to everyone present on the call. Joining me today, we have Atul Jaggi our Managing Director; Nilesh Jain our company Secretary and our IR Adviso rs, SGA. Let me begin with introducing our newly appointed M anaging Director, Mr. Atul Jaggi .

Mr. Jaggi holds a Bachelor degree in Mechanical Engineering from Thapar Instit ute of Engineering and Technology; a Post Graduate Diploma in Business Administration from IMT Ghaziabad and a Masters in Quality Management from BITS Pilan .

Additionally, Mr. Jaggi is a certified Six Sigma Black Belt and has completed prestigious leaders hip programs including the VLFM program me, The Advanced Management Program from MIT Sloan and the Oxford Strategic Leadership Program from University of Oxford. With 25 years of rich and diverse experience, Mr. Jaggi has led key areas like maintenance, sup plier development, corporate quality and manufacturing excellence. Over the years, he has played a pivotal role in numerous initi atives within both Gabriel India and ANAND Group, like Quality Circles, VSME.

Under his leadership, Gabriel India's 2 -wheeler BU and CVBU divisions have grown significantly over the last few years. These businesses have earned numerous accolades at national and global platforms while building a strong business pipeline and implement ing robust manufacturing and quality systems. Before handing over the call to Mr. Atul Jaggi to discuss financial performance and industry highlights, I would like to extend my heartfelt thanks to Mr. Manoj Kolhatkar whose outstanding leadership as MD has been instrumental in shaping Gabriel India's future and journey to his current standing.

On behalf of the Board of the Directors and entire organization, I express my deep gratitude for his dedication and wish him all the very best in his future endeavors . With th is, let me invite Mr. Atul Jaggi to discuss the performance highlights for the quarter and for the half year ended September 30th .

Atul Jaggi: Good morning, everyone present on the call. Thanks, Rishi, for the warm introduction. So I would like t o walk you through the Q2 FY '25 business performance along with the industry highlights. We have uploaded our results and investor presentation for the quarter ended 30th of September 2024 on the stock exchange and company website. I hope each one of you had a chance to go through the same. I'm also pleased to announce that the Board of Directors have declared an interim dividend of INR1.75 per share, having face value of INR1 each.
I will now give a brief overview of the company's operation and take you along the presentation. We had another strong quarter in the Q2. Our operating revenue for the previous quarter increased by 6.9% year -on-year reaching INR924 crores. This growth is mainly a ttributed towards improvement in the 2 -wheeler and the EV 2 -wheeler sales. EBITDA margins

for Q2
FY '25 remained stable at 8.7% as compared to Q2 FY '24. PAT stood at INR53 crores, showcasing a 12.2% Y -o-Y growth.
Let me give you some highlights on the ind ustry dynamics, starting with the passenger vehicles now. In Q2 FY '25, passenger vehicle sales volume reached 12.5 lakh units, marking a slight decline of 0.6% Y -o-Y. This indicates softer demand in this segment. However, in the UV category, the utility v ehicle category, it continues to perform well achieving the 12.3% growth during the same period, driven by the customer preference for SUVs and multifunctional vehicles.
This contrast reflects the mix demand pattern within the overall passenger vehicle se ctor, influenced by the environmental, economic and market -specific factors. With the sales figures for the first half of fiscal year was slightly below expectations, the outlook for the second half remains optimistic, particularly, with the upcoming festi ve season. However, despite the expected uptick the short -term outlook for automobile retail is cautiously optimistic.
Coming to the commercial vehicle side. In Q2 FY '25, the commercial vehicle sector saw a Y -o-Y degrowth of 9.2%. While exports in the CV sector exhibited strong growth of 16%, but the overall domestic demand remained weak existing a t 11% decline. The overall dip in the demand was largely attributable to extended monsoon delays and unfavorable climatic condition which disrupted the market activity. Additionally, reduced spending on infrastructure projects significantly impacted the growth in this particular sector.
Looking ahead, the CV segment expects improved performance in the coming months, driven by new product launches and anticipated sales growth in the rural market. Better agriculture conditions following a good monsoon season are expected to boost the demand in this particular area. Now on the 2 -wheeler and 3 -wheeler segment, we saw an impressive growth of 13.1% Y -o-Y with scooters leading the way at 16.7%, followed by the motorcycles and mopeds which grew by 11.3% and 17.9%, respectively.
The 3 -wheeler segment also showed a positive trend reaching 2.9 lakh units in sale, representing a 4.7% Y -o-Y increase. This robust growth in 2 and 3 -wheeler underscores rising demand for affordable and fuel efficient transportation, especially in the rural and the semi -urban area s. The strong performance in this segment contrasts with the challenges f aced by the passenger vehicle market, showcasing a clear shift in the consumer preference.


On the EV side, now at a global level, we are looking at around 85 million electric vehicles on the road and India already clocking 500,000 EVs in the same time fram e this year primary driven by the various government initiatives. The ongoing growth driven by robust consumer demand increasing preference for the 2 -wheelers especially again in the rural area suggests that the industry is heading for a record -breaking ye ar. If this continues, FY '25 could see the 2 -wheeler industry is setting a new benchmark in the automotive -- India's automotive sector.
So I would also like to reiterate that as we navigate the evolving automotive landscape, our company remains committed to innovation and adaptability. We take pride in being a market leader across the 2 -wheeler, 3 -wheeler, EV and the other key segments. Our active expansion of the product range reflects our dedication to meet diverse customer needs.
As the industry contin ues to advance, we expect our performance to grow in alignment with a robust focus on research, innovation and quality. We aim to deliver solutions that will not only meet , but exceed the expectations driving a sustainable growth. Our commitment to excelle nce reinforces our position as a trusted partner empowering our customers to thrive in the dynamic auto sector.
On that note, I come to the end of

my opening remarks. I now request the moderator to begin
the Q&A session.
Moderator: Thank you very much. We will now begin the question and answer session. The first question i s from the line of Viraj from SI MPL. Please go ahead.
Viraj: Yes, hi. Thanks for the opportunity and c ongratulati ons on your new role and wish you many success in the future. Just a couple of questions on the business. One is on the overall strategy. So what do you understand you've been with Gabriel for a very long period of time. Y ou know the company quite well, b ut broadly into the strategy and portfolio and including new product initiat ives, is there any rethink or is there any change in strategy you're looking at?
And just to add to it, what will be your top five priorities you're looking at in terms of the business . So that is the first question?
Atul Jaggi : Okay. Viraj, thanks for al l the good wishes. See, as you rightly mentioned, I have been with Gabriel for no w more than 24 years. So as far as the overall strategy is concerned, I was involved even in the last strategy cycle that we have built for the next 3 to 5 years. So I don't s ee a dramatic sort of a shift in the overall strategy that we have built. But yes, in certain areas, definitely, some renewed focus and for a little bit of extra push, we'll definitely be there.
Like just to name a few, say the export segment is one area where we would like to sort of expedite and push certain initiatives to meet our aspiration and our target on the export. This is one area and which will obviously impact the overall growth of the organization. Second area is on the margin improvement. So this is another area where I would like to sort of continue the push and maybe sort of rejuvenate and strengthen the Core 90 program that we -- I think we have been successfully running maybe with a little bit of peak as I get more into the nitty gritty.


Another area of focus is technology because, again, it is clearly -- it will clearly reflect the pace of growth that we are looking at. So these two will go hand in hand together. The fourth area is where I think we have been talking about it for quite som e time. We were successful in with th Inalfa sort of expansion of the product portfolio. And I would like to definitely continue to push on the organic side to see what best can be done at a much faster pace.
So I think these are primarily the areas where I would like -- and I think most of them have been a part of the strategy. But yes, in certain areas, more focus, more resources is something that I'm looking at, at this stage. So while I get into -- I am able to spend more time. I think in our future interactions one -on-one meetings, I think I'll be able to share more.
Viraj : Sure. Look forward. Just a few questions on the subsidiary business. So is there now any -- I think post the decision by the government, we were looking at revisiting the terms in terms of royalty, tech license fee. So any update you can give? Has there been any arrangement, which has bee n entered into now with Inalfa
And similarly, will this continue to re main a wholly owned subsidiary o r in the future, we may look to kind of -- if there's any opportunity comes, we may look to kind of convert this into a JV structure?
Rishi Luharuka : Viraj, thanks for that question. Our approach to this remains similar than what we had spoken last time. See, this is a strategic partnership, and the idea here is to be a part of the growth market. And both Inalfa and Gabriel, along with ANAND, we stand committed to making more head base. We have the tailwind with us with regards to being first few players in the country. And with our deep relationship with Hyundai, we certainly are working towards our plans.
Now coming to your PN3 application aspect, yes, we have had several rounds of conversations and discuss

ions along with Inalfa. We are evaluating various propositions with which we can probably re -approach the government in terms of a fresh approval. But the contours of that are still in making. So we will be able to share it once we have revised our application.
Coming to your subsidiary part, till, I think, we received the PN3 approval. It will cont inue to remain Gabriel's 100% subsidiary. And -- but again, the -- whether we are subsidiary, whether we are holding, whether we have majority, those are aspects that are to be taken into consideration within the governing rules and regulations of the coun try. Having said that, the endeavor is to ensure that the business is properly and adequately funded, and all the growth plans that we have are being catered to. So that's the put as of now, we will come back with more details as and when we develop on thi s topic.
Viraj : Okay. Just two questions on this subsidiary. If you see the realizations in Q2 of this quarter versus Q1 or even Q4, there has been a very material increase in realizations -- unit realizations for the subsidiary. And similarly the gross ma rgin has also moved up. So w hat explains the realization in the margin jump?
Rishi Luharuka : So interestingly, we had the SU2i which is the Creta platform which we have begun the operations with. In the last quarter, we have started supplying the Ps7i whic h is the Alcazar platform. And largely owing to that increased volume, we've been able to demonstrate some

amount of operating leverage. Also, some benefits have flown in because of a little better localization of this product as compared to the Creta plat form. But I would not read too much into the growth as of now. With some more time knowing the pressures of the market, we will see how the margins pan out.

Viraj : Sir because the same platform Creta also has other model variants. So one you talked about Alcazar and then you have Venue and other, so since you are a sole supplier of Creta and I'm assuming even for Alcazar, does that kind of naturally translate into an opportunity to cater to for the other model variants as well ?

Rishi Luharuka : So interestin gly, Viraj, in the sunroof business, no two platforms have the same sunroof even if the chassis remains the same. So for example, the Ps7i Alcazar is a much bigger sunroof as compared to the Creta. Venue is a smaller sunroof. And as far as supplier synergy is concerned, that can be achieved. But other than that, it's -- these programs are absolutely brand new from its inception of design itself.

Viraj : Okay. Just last question and I'll come back in queue. See, we talked about setting up a second line at a capex of INR40 crores -50 crores. And the current and the new lines, I'm assuming they will be fungible. So given Creta, given the volumes it is doing, we will be -- maybe at the year - end, we will be doing around 1.2, 1.3 lakh units. And even with the Kia mo del which we're expecting, the peak utilization would still will be probably a year away for the first line. So when we're looking at adding a second line when the lead time also is quite less, maybe less than a year. So how are you looking in terms of pr oduct or customer mix as a nd what is driving the decision on the second line?

Rishi Luharuka : Viraj, a couple of data inputs. One is that Alcazar volume needs to be taken into consideration, one. Second is that Creta, the volumes are growing bigger in term s of the sunroof penetration. What we began with and now what we supply, there is already an uptick there. Third is that we already have a program Kia which we have won, which will start in mid of next year. That obviously would need capacity given the vol umes that we have.

We've also won one -- a small volume platform, which is interestingly one of the first export programs that we have. Now our assessment is that by mid of nex

t year, we will be completely out of capacity. And for us to develop the line an d the model on that line for the businesses that we have in the pipeline in terms of discussion, we would need the second line. We have planned a small capacity enhancement on the existing line to meet the current capacity itself.

And once the second line is there, we are in a -- our safe assumption on the volumes is that we will be able to utilize that line also by end of 2026 completely.

Viraj: Now can I come back in queue. Thank you.

Moderator: Thank you. T he next question is from the line of Mumuksh Ma ndlesha from Anand Rathi Institutional Equities. Please go ahead.



Mumuksh Mandlesha: Thank you so much. H appy festive season to the management and congratulations and all the best to Atul, sir, for the new role. And good to see the continuing solid revenues and margins for the sunroof business, sir. Sir, on the -- firstly, on the last previous question on the sunroof side, sir. So you expect, sir, next year by itself the second phase also to get fully utilized led by this upcoming Kia model. That's r ight, sir?

Rishi Luharuka : 2026, Mumuksh -- good to hear your voice.

Mumuksh Mandlesha: Yes, 2026, calendar year 2026, you're saying.

Atul Jaggi : The installation will happen in '25 and the utilization will start in '25, but full utilization will be by 2026.

Mumuksh Mandlesha: Okay. This is calendar year?

Atul Jaggi: Yes.

Mumuksh Mandlesha: Got it, sir. And sir, also just on the -- any new further additions in terms of order wins, sir? In the sunroof side, we were in advanced talk with the Citroen, Skod a, Volkswagen and even the Hyundai model, new model. Just any update on the confirmation on this, sir?

Rishi Luharuka : Yes. So as I mentioned to Viraj as well, Mumuksh, we have got one order, which is the first export order out of this entity. It's a small volume program, but there is also an EV platform that is supposed to be built in, which we are hoping to get. And probably in the next quarter, we'll be able to share that as well. So now -- but that customer also is -- this is all Hyundai and Kia only.

Mumuksh Mandlesha: Okay. And also, sir, even the Creta EV also would get added, right, sir?

Rishi Luharuka : That's right.
Mumuksh Mandlesha: Sir, secondly, on the -- any update on the new expansions in terms of M&A and the partnership model? How are you see ing the opportunity there, sir? And in the recent interviews, even Mahindra sir had talked about new opportunities in these areas. So how do you see that flowing to people, sir?
Rishi Luharuka : Mumuksh, our approach towards the partnership piece remains where it is. We are looking at inorganic pursuits in order to achieve our vision. And as we had updated the previous quarter, we are in active conversations on those as well. We will be able to update when those fructify.
Mumuksh Mandlesha: Got it, sir. Si r, coming to on the central side, sir, in terms of financial numbers, this quarter in stand alone numbers, Q -on-Q employee costs saw about 13% jump, which led to a margin decline on the standalone numbe rs. So any one -offs there, sir o r how do you see the ru n rate for the employee cost line?
Rishi Luharuka : For the sunroof business, Mumuksh ?
Mumuksh Mandlesha: This was standalone, sir.



Rishi Luharuka : Standalone. Okay. Yes. So there was -- there's not a one -off. There has been some revisions in the wages of t he operating engineers, which we have. Also because of the cyclicity of the -- and the seasonality of the business, we've added some workforce, which has resulted into a mismatch between the revenue and the cost. So that's what probably is the reason why y ou're seeing the manpower cost a little higher than the previous quarter.
Mumuksh Mandlesha: Got it, sir. Si

r, in last quarter, you mentioned about the 2 -wheeler side, we lost some market share due to Bajaj exports not picking up. But now how you see going ahead, how their volumes are shaping up? Do you see the traction for the export volumes, sir?
Atul Jaggi : So specifically to Bajaj, yes, we are seeing better export volumes coming back to us in this particular -- starting October, which is the third quart er. So we'll have to see how they continue, but at least the projections are much better than the second quarter, what we saw in the second quarter.
Mumuksh Mandlesha: And sir, generally, we see that last -- first half has been broadly in line with the und erlying industry i n terms of growth for the stand alone business. So I just want to understand more how do you see the content per vehicle increase happening? How is the areas like Inverted Front Fork, FSD doing well, sir?
Atul Jaggi : So yes, definitely, I think the more we will continue to get into the products like the inverted front forks or the mono shocks or the gas canisters or the FSDs, the content per vehicle would continue to improve there. So there are certain programs in the pipeline where I think we are moving away from the conventional front forks to the inverted front forks. So definitely, the content per vehicle is expected to be better.
But yes, as you know, this is a growing market. There -- while multiple developments are going on, multiple discussions are going on with the customers. But obviously, you will -- over a period of time, we will see a good substantial number on the roads, the vehicles with these kind of sort of front forks and these kind of products.
Mumuksh Mandlesha: Got it. W as there any element of deflation in this quarter due to steel prices coming down, sir? Any pass -through of that happening, sir?
Rishi Luharuka : Mumuksh, the impact of -- on the RMC on the commodities, what you're asking?
Mumuksh Mandlesha: Yes. So basically, I mean, if steel prices have come down, so is there any pass -through of that happening to the OEM side?
Rishi Luharuka : Yes. So it's a back -to-back arrangement that we have, 95% to 98% is the pass -through that we have. And to that extent, roughl y around 0.1% to 0.2% is the impact of the commodities going down.
Mumuksh Mandlesha: Got it, sir. Sir, just lastly, this quarter, we saw a very good pickup in export side for the suspension business. What has led to that pickup? And just on -- lastly, on the tax rate for the consol e on the sunroof business sir, expected rate?



Atul Jaggi : On the exports with both the Latin America business that we have with GDC and DAF in Europe, we saw a much better number as compared to the first quarter. So that is the r eason for a healthy second quarter in terms of the exports.
Rishi Luharuka : Mumuksh y ou asked me for...
Mumuksh Mandlesha: Yes. Tax rate, sir.

Rishi Luharuka : Tax rate. So 25% for Gabriel and 15% for Inalfa.
Mumuksh Mandlesha : Got it sir. Thank you so much for this opportunity.
Moderator: The next question is from the line of Amit Hiranandani from SMIFS Limited. Please go ahead.
Amit Hiranandani: First of all, congratulations to the MD, sir, for the new role at Gabriel India. Best wishes. Sir, as the new Managing Director, can you throw some numbers on the next 5 years, specifically where do you aim to take the consolidated top line margins and prospects for the new client additions and specifically on the road map for the new product introduction, please?
Atul Jaggi : Amit in terms of the -- anyway, thanks for the good wishes. So in terms of the numbers, at this stage, I will not be in a position to share any sort of forward -looking number. But as I mentioned, I think the key focus areas where definitely I would like to focus more and to see how we can sort of speed up and do better is definitely on the overall growt

h, where special focus would be there on exports, both on the OE as well as the aftermarket side.
And also our continuous focus on sort of impr oving the profitability bottom line. And again, technology is going to be an important enabler. So I think these are the focus areas, as I mentioned earlier. But one, it is sort of too early to get into the numbers as just -- I think the third day today in office there. But Again, I can only assure you of focus on these particular areas at this moment of time.
Amit Hiranandani: Sure. Sir, are we on track to achieve a double -digit EBITDA margin for the standalone business by FY '26?
Rishi Luharuka : Well, sub ject to obviously commodity or other aspects, the endeavor continues.
Amit Hiranandani: Okay. Sir, any updates on why to understand the FSD technology wins because we are supplying to XUV700, but any other new wins here?
Atul Jaggi : No firm sort of LOIs as of now, Amit, but there are a couple of discussions going on, on the POCs, the proof of concepts with customers. So hopefully, I think in the coming few months, I see a possibility of converting that into an LOI. But in hand, as of now, nothing beyond tha t.
Amit Hiranandani: Sure. On the sunroof side, sir, presently, can you just clarify which all models we are currently supplying the sunroof and what all new models are in the pipeline?
Rishi Luharuka : Creta and Alcazar is what we supply currently, Amit. A nd there is an unnamed model called AY from Kia that the SOP is going to happen soon.


Amit Hiranandani: Okay. And sir, regarding the royalty side, so Gabriel pays about 5% to Inalfa and 2% of the sunroofs revenue as a management fees to ANAND Group. I mean , is this understanding correct?
Rishi Luharuka : So 5% is paid by Inalfa Gabriel to both Inalfa and Gabriel stand alone.
Amit Hiranandani : Okay. So it's in total 5% you pay?
Rishi Luharuka : That is right.
Amit Hiranandani : Okay. Understood. Okay. Sir, on the unit -- sunroof unit side, so how many units were produced in H1?
Rishi Luharuka : We do not share volumes and realizations for sunroof, unfortunately, Amit.
Amit Hiranandani : No problem. Sir, lastly, are we receiving any income tax benefits on the sunr oof business given the very low effective tax rate in Q1 and Q2?
Rishi Luharuka : It is a 15% entity and that is how it will remain.
Amit Hiranandani : So this will continue for the coming years as well?
Rishi Luharuka : Yes.
Amit Hiranandani: Great. All the best sir. Thank you so much.
Moderator: Thank you. T he next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead. Sorry to interrupt the current participant has been disconnected. We will move on to the next participant. It's from the line of Abhishek Jain from Alfaccurate Advisors . Please go ahead.
Abhishek Jain : Thanks for opportunity. S ir, my first question on the sunroof side. So basically, we have seen a very impressive performance on the margin side in last two quarters. So what is the reason of such a strong margin performance despite that royalty of around 5%? And this margin will be sustainable in the coming q uarters?
Rishi Luharuka : Abhishek we are not able to hear you. Your voice is too muffled. You will have to be a little away from the speaker and again ask the question, please.
Abhishek Jain : Are you able to hear me now?
Rishi Luharuka : A little better, ye s.
Moderator: Mr. Abhishek sir, could you please use your handset.
Abhishek Jain : Okay. Hello.
Management: Yes Abhishek. We can hear you.

Abhishek Jain: Sir, my question on the sunroof margin. We have seen very impr essive performance in the last two quart ers and margin has gone up to around 18% now. So is this margin sustainable on the sunroof side?
Rishi Luharuka : Abhishe

k, it's an evolving business. It's too early for us to comment on sustainability of this margin. Having said that, because of the compet ition also coming in and also the composition of sunroof between Panoramic and TVS, these margins will sort of see some changes for sure. So that's what I had mentioned to Viraj as well. We should not look at -- look too much into this quarter in terms of margins. Our endeavor would remain to be in the range of 12% to 14%.
Abhishek Jain : 12% to 14%. And how much the import content in subsidiaries business, sir?
Rishi Luharuka : In the sunroof, you're saying?
Abhishek Jain : Yes, sir.
Rishi Luharuka : So curren tly, we have 60% broadly the import content.
Abhishek Jain : So is this margin performance in the last 2 quarters is the -- in the region of the -- any fall in the raw material prices or something?
Rishi Luharuka : No, sunroof, there is no commodity impact.
Abhishek Jain : Okay. And sir, how much is the current run rate of the production of the sunroof?
Rishi Luharuka : We are currently doing close to 10,000 to 12,000 of sunroofs per month.
Abhishek Jain : And what is your target for FY '26 to...
Rishi Luharuka : Target for?
Abhishek Jain : FY '26, sir, on a monthly basis?
Rishi Luharuka : The volume, no, we don't give forward -looking guidances for volumes. We've shared in the past that we are looking at INR400-odd crores this year. And our target would be to achiev e INR800 crores to INR1,000 crores in the next 5 years.
Abhishek Jain : Next 5 years? Hello?
Rishi Luharuka : Yes, next 5 years.
Abhishek Jain : Okay. And sir, in this first half, how much the revenue secured from the EV business?
Rishi Luharuka : So broadly, we -- our EV business is 2% to 3% of our total top line.
Abhishek Jain : 2% to 3%. And my last question on that, what is the reason of the underperformance in the 4 -wheeler segment despite that new volume started from the New Swift?



Atul Jaggi : So on the 4 -wheeler side, I think there are a couple of factors. One, the overall industry, I think in the last quarter has not done so well. And now within that, it is a model mix issue. So a couple of our models have done relatively lesser number than the models whe re we were not -- we are not present. So it is a mix issue. I think that has impacted the UV side actually.
Abhishek Jain : But you are targeting the higher revenue from the New Swift business around incremental revenue of the INR100 crores in this year. Wh at happened there?
Atul Jaggi : You're talking of the Swift?
Abhishek Jain : Yes, sir.
Rishi Luharuka : So Swift, I think as would have been -- would have shared earlier, I think Swift is a platform where we are working on. But I think we are little away right now from the SOP. So it has not got into the production. We are right now in the development stage of that model.
Abhishek Jain: Okay sir. Thanks. That's all from my side.
Moderator: Thank you. T he next question is from the line of Jyoti Singh from A rihant Capital Markets. Please go ahead.
Jyoti Singh : Thank you for the opportunity. My line got dropped. Sir, just wanted to understand on the FCD side, like if you can update on the Maruti and Tata Motors regarding that adoption.
Rishi Luharuka : You -- Jyoti you mentioned FCD or...
Jyoti Singh : Yes, sir. FSD, sorry.
Atul Jaggi : FSD. Okay. So I think I mentioned this earlier on the FSD in terms of the vehicle on road and in production, the XUV7 for Mahindra is going on. There are a couple of other customer s platforms where we are working on the proof of concept right now. I would not be able to sort of name the platforms because the discussions are going on. We don't have a firm LOI on this, but we are looking forward to converting maybe one of them or both of them into a firm LOI. So once that happens, we will be able to share more information on that.

Jyoti Singh : Okay. And sir, with the LOI from the Siemens for e -Loco, what are Gabriel next step in the

expanding beyond Indian Railway? And do you foresee s ignificant growth in this segment in the near term?
Rishi Luharuka : Jyoti, good question. So yes, there are opportunities outside the country in terms of railways. We are trying to map that at this point in time. We don't have a number which we have casted out in terms of growth potential outside the country. But once we have a development, we would share it.
Jyoti Singh : Okay. And sir, like earlier participant also asked on the sunroof side. But my question on the localization process for the sunroof busin ess for the Kia program? And what will its impact on margin be like going forward?


Rishi Luharuka : See, I think localization should be looked at from a supply chain disruption point of view rather than looking at improvement in margins because at the end of the day, these do get transferred to the customer in terms of price reduction. Currently, we are working at a 60% localization. There are critical components which are being imported, which we'll have to be very sensitive about in terms of localizing it.
Having said that, we have a plan. So the idea broadly would be to sort of bring it down to 40 %-odd is what Mr. Kolhatkar had also shared. We are working on that plan for the subsequent platforms. But given the entity ha s just begun and there is only two programs, we want to also understand the product and the nuances of it before we start doing other localization.
Jyoti Singh : Okay, sir . And sir, can you share a timeline for the plant 400 million for the Phase 2 expansion like what kind of capacity increases are you expecting?
Rishi Luharuka : Okay. So we already have one line ballpark 150,000 to 180,000 sunroofs. We are planning for another line which is going to have a similar capacity. And thereafter, it will depend upon the model, whether it is a panoramic or a TVS as to what we will look for further expansion.
Jyoti Singh : Okay. Sir, just last two questions. One on the CV side, like when we're expecting better growth in that segment? And on the demand scenario side, how we are seeing further for the rural and urban both, if you can give some highlights?
Atul Jaggi : Yes. So on the CV side, as far as the domestic market is concerned, I think you are aware that we have practically more than 80% to 90% market share. So obviously, with that kind of a market share, we continue to perform exactly in sync with the market. And the fi rst half in the commercial vehicle side was not so great, okay, while we are expecting a better H2.
So I think the focus for us on the CV side is primarily looking at exports market. And this is where we are concentrating and we would like to sort of expa nd the portfolio beyond what we are doing -- what we started doing a couple of years back with DAF.
So I think this is the focus area as far as the CV is concerned. So because in terms of share of business, there's now very little that we can do beyond wha t we already have. And within that also wherever the opportunities are there to get into some products or the sub products where we are not there, we are already working with customers. So in terms of new programs, the Mahindra UPP is one platform that is there and then a couple of Tata Motors platforms where we are working on.
Jyoti Singh: Okay. Thank you so much sir.
Moderator: Thank you. T he next question is from the line of Aditya from Skill Ventures. Please go ahead.
Aditya: Hi, sir. Thanks for the op portunity. Sir I have been tracking your company since 2017. And if I look at your past commentary we have always mentioned that we aspire to do double -digit margins in our standalone business. So there have been periods where the commodity cycle was not in our favor, while there have been

period when it has been in favor as witnessed in the last


year. We had also implemented our Core 90 initiative where we have undertaken a lot of cost initiatives.
But sir, in spite of various initiatives and the market c ycle also in our favor, we have been unable to achieve those double -digit margins. So if you could just hel p us understand, does the stand alone business have the capability to do double -digit margins? And if yes, so what would lead to the same? And in what time frame do we aspire to achieve the same?
Rishi Luharuka : Aditya, I understand your perspective, and that's a similar perspective, which was shared when we had also talked about our margin expansion initiatives. We clearly demonstrated that from a 7.1% , we moved down to now the 8.5% to 9% trajectory. So there is an improvement there for sure. Now if you look at this journey is going to be incremental and this journey is going to

obviously expect certain amount of non -issues like commodity for sure.
Having said that, the endeavor of moving to double digit continues for us. The Core 90 program is not an event, but a journey, and we are aggressively pursuing it. Now with Atul coming on board, we will also be reenergizing it with more valor and rigor. We continue to be committed to moving to the double -digit margin for the standalone business by 2026.
Aditya: Understood. So this is not an aspiration, but we have a clear road map to achieve the double -digit margins ?
Rishi Luharuka : Yes, we've spoken at len gth on what the Core 90 program is. It includes every single facet of the income statement as well as the balance sheet. And there is a team -- there are a set of teams which drive these cost as well as income aspects. And there is a clear -cut road map, ac tion plan and a review mechanism which is already in place, which is driven at the top most level by the MD and myself.
Atul Jaggi : So just to add to it, I think I see two positives in the recent few quarters as compared to the previous time line that you mentioned. I think one is I think we have been able to be more stable in terms of our performance, I would say that. And secondly, there is a clear shift like Rishi mentioned from 7%, 7.1%, 7.2% range to now between 8.5% to 9%. So definitely, I think this means that whatever we have been doing, whatever this initiative we had looked at I think it is helping us to move in the right direction.
Time to time, we keep tweaking it to bring new energy to it, to bring new aspects to it because as you look at thing s differently, you come across various opportunities. And this supported with more focus on exports, is supported with more focus on the product mix, I'm sure would help us to achieve that number, b ut we are completely committed towards that number. And I' m very hopeful that we will be able to deliver it within the time frame that Rishi mentioned.
Rishi Luharuka : Aditya, just to add to what Mr. Atul mentioned, the sustenance of improvement in the margin is also very critical. So it's always good to put in s ome actions, be it sustained, then move into another set of actions and that's how you are seeing the margins pan out.
Aditya: Understood sir. Thanks for the detailed replay and sir we were looking to introduce one more new product by the end of this year. So what is the status of the same?


Rishi Luharuka : We are in advanced discussions on that. Unfortunately, we won't be able to share much details, but we are hopeful of closing the same.
Aditya: Understood. And sir, the royalty income, which the stand alone business receives from a subsidiary. So is it accounted in our revenue o r is it part of our other income?
Rishi Luharuka : Other income.
Aditya: Okay sir. Thank you sir for answering my questions.
Moderator: The next question i s

from the line of Viraj from SI MPL. Please go ahead.
Viraj : Yes. So just two questions. Hello.
Rishi Luharuka : Viraj again your voice is muffled, little away from the speaker please.
Viraj: Yes. So just two questions. One is on the standalone business, we are a supplier to Thar. So even for the Roxx , have you won the business for that?
Rishi Luharuka : No. We are not there on the Roxx platform, Viraj.
Viraj : Okay. And second is on the sunroof business, you talked about us looking to cater to an export opportunity. So the arrange ment with Inalfa, does that kind of give us a play to eventually also tap into some of their home markets or other markets? Or how is the arrangement when it comes to outside India market play?
Rishi Luharuka : Great question there, Viraj. So see, at the en d of the day, as I have been mentioning always that it's a partnership. And the idea here is to serve the customer. If the customer is expecting a supply in a geography where Inalfa does not have a manufacturing presence or the customer from the sourcing o ffice is in a different country, these options are available for us to jointly discuss and agree. And that's what has happened in this particular case. It's a small volume, but needless to say, it's a good start.
Viraj: But if you look at globally for Inal fa also, we have a very healthy presence in China and other European setup. So in terms of opportunity or addressable set for us, when it comes to export sunroof , is that something one can see not immediately, but if I have to look at say, next 4, 5 years down the line, is that something can be material for the entity?
Rishi Luharuka : No, it will be largely India boun d business.
Viraj: Okay, understand. Sure. Thank you very much. Good luck.
Management: Thanks Viraj.
Moderator: Thank you. The next question is from the line of Punit Zaveri an Individual Investor. Please go ahead.

Punit Zaveri: Thanks for the opportunity. J ust one question on the sunroof side. So your Phase 1 line has about 1.5 lakh capacity. I just wanted to understand for t he industry because we are an underpenetrated market in terms of domestic volume and domestic production. Could you just talk to us about what is the current capacity for the industry? How many are currently imported within India? So just to get a sense o f how much is this current capacity of 1.5 lakh in terms of the industry? And once you are looking to add another 1.5 lakh, how would that be in terms of the total either import or the total production within the country or the use of sunroof within the co untry? Just wanted to understand on that, sir?
Rishi Luharuka : So it's a little difficult mathematics given that what is produced by the competition on which line is a little difficult information. But ballpark, we look -- if we take a 4.2 million kind of a production base, sunroof would be anywhere between 900,000 to 1.2 million. And currently, our fair estimate with Webasto ourselves and Mahindra Goldie close to 50% is imported and 50 % would be domestic.
Going forward, depending upon the volume and the mix, I would safely assume with new competition coming in, it would become 80% local supplies and 20% import.
Punit Zaveri: And -- but do you see that over the next -- because we have s een SUV -fication of the industry over the last 2 years. And based on the plans that companies like Mahindra and Tata have put out, the SUV content and SUV launches will be much more in the next 5 to 6 years and that they've given plans till 2030. So do you see this number of about 900,000 to 1.2 million going up dramatically over the next 5 to 6 years?
And if any kind of range you could provide? Do you see that roughly about 40% to 45% of the vehicles will have sunroofs over the next 5 to 6 years, which presents a very go od opportunity for someone like Gabriel?
Rishi

Luharuka : I'll try and give you a perspective here. If we assume 6 million, 6.5 million by 2030, 50% of that coming through SUV. My rough estimate of penetration would be in the range of 50% to 60%.
And in cas e of others hatchback and UVs and other things, you can roughly take 25%.
Punit Zaveri : Yes. Understood. Thanks so much for the opportunity and wish you the best.
Moderator: Thank you. T he next question is from the line of Jayesh Gandhi from Harshad Gandh i Securities . Please go ahead.
Jayesh Gandh i: Sir, just a clarification. Our sunroof business is accounted as subsidiary and 5% of the royalty is shared between Inalfa and Gabriel. And out of that, Gabriel accounts that part as other income.
Is that unders tanding correct?
Rishi Luharuka : That's true, Jayesh.
Jayesh Gandhi: Okay and that's all from my side. Good luck for future.
Moderator: Thank you. A s there are no further questions from the participants, I would now like to hand the conference over to Mr. Atul Jaggi for the closing comments.



Atul Jaggi : So thanks a lot. So I take this opportunity to thank everyone for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with us or Strategic Growth Advisors, our Investor Relationship Ad visors . Thank you so much.
Rishi Luharuka : Thank you very much.
Moderator: On behalf of Gabriel India, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

# Call: Jan 2025



“Gabriel India Limited Q3FY25 Earnings Conference
Call”

January 30, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th January 2025 will prevail.

MANAGEMENT : MR. ATUL JAGGI – MANAGING DIRECTOR – GABRIEL INDIA LIMITED
MR. RISHI LUHARUKA – CHIEF FINANCIAL OFFICER – GABRIEL INDIA LIMITED



Moderator : Ladies and gentlemen , good morning , and welcome to the Gabriel India Limited Q 3 FY '25 Earnings Conference Call.

This conference call may contain forward -looking statements abo ut the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder , all participant s’ lines will remain in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the “*” then “0” on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Atul Jaggi – Managing Director of Gabriel India Limited. Please go ahead, sir.

Atul Jaggi: Yes, thank you so much. Good morning , everyone and a very warm welcome to all the participants who are there on the call.

With me today we have Mr. Rishi – our CFO and SGA, our Strateg ic Growth Advisor s, our IR Relations Advisor .

We have uploaded our results and the presentation f or the quarter ended 31st of December on the stock exchange and the company website. I hope each one of you had a chance to go through the same .

I would like to begin by highlighting the Gabriel India's recent acquisition of assets from Motherson Marelli Auto Suspension Parts Private Limited , that is MMAS , through an asset purchase agreement :

So, MMAS is a Pun e-based joint venture between Mar elli Europe and Motherson International Limited, basically specializing in the design, production, and marketing of shock absorbers, front struts, and the gas springs for cars and commercial vehicles.

This acquisition helps us to improve our position in the suspension market , enhances our capabilities and expands the product portfolio , which will help us drive our growth trajectory.

With this move, we have also added an additional capacity of 3.2 million shock absorbers and 1 million gas spring units. A gas spring will actually be a new product line for us.

Additionally, we are also entering into a technology assi stance agreement with Marelli

Suspension Systems Italy, to further help in the advanced suspension offerings for the future OEM requirements.

Now I will provide a brief “Overview of the Operations ” and “Key Highlights ” for the automobile industry :



The standalone operating revenue for Q3 grew 14% year -on-year, reaching 924 crores driven primarily by higher volumes and improved sales in the two -wheeler and the passenger vehicle segments. EBITDA during this quarter stood at 8.6%.

In Q3, FY '2 5, Inalfa Gabriel Sunroof Systems Private Limited reported revenue from operations of 92 crores with PAT margins at 6.7%. The sunroof business continues to experience strong demand primarily by the rising volume , the customer preference for the sunroof product and t he new vehicle launches. Our well -timed entry has helped us strategically , and we are now set to double the capacity by the calendar year 25 to meet the growing customer demands.

Coming to the “Industry Highlights ”:

On the passenger vehicle s, in this qua rter, the last quarter, the sales volume grew by 6.6%, reaching 12.6 lakh units. The UV segment saw a very robust 16% Y-o-Y growth primarily driven by strong demand and aggressive launches in the SUV segment. We also saw some improvement in the passenger car segment.

The slowdown that we saw in the first half of the year in the PV segment has significantly improved post the festival season and we see that trend continuing even in the remaining part of the year.

On the CV side, the last quarter saw mute d

growth of 2.2%, primarily due to the retail volumes
declining Y-o-Y by 1.3%. This is primarily attributed to the delayed fund releases on the infrastructure projects from the government. Despite this, the OEM seems optimistic on the improvement in the de mand in this particular quarter.

On the two -wheeler side, we saw year -on-year growth of 7%. This was led primarily by the scooters at 13% and followed by motorcycles at 4.5%. The three -wheeler demand, however, saw a muted growth.

The trend in the two -wheeler continues to be strong while we saw a month -on-month decline in the month of December. But this seems to be a temporary phenomenon. We remain optimistic about this moving forward in this quarter and the further quarters coming up.

On the EV side , the industry is into the transition phase. While the penetration continues, the replacement of FAME with the PM E-Drive program has reduced the direct subsidies per vehicle, which has led to the decline in the overall two -wheeler volumes. While the volumes on an annualized basis have grown, but yes, we are seeing a month -on-month decline in the last couple of months.

However, in the increasing PLI incentives for battery production, which will impact on the lower battery cost , will significantly sort of reduce the battery cost and this will improve the EV affordability , and the demand hopefully would remain positive moving forward.



On this note, I come to the end of my opening remarks. I now request the moderator to begin the question -answer session.

Mode rator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and 1 on their touchstone telephone. If you wish to remove yourself from the question queue, you may press “*” and “2”. Participants are requested to use their handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Once again, a reminder . ladies and gentlemen, if you wish to ask a question, please press “*” and “1”. The first question comes from the line of Jay Kale from Elara Capital. Please go ahead.

Jay Kale: Yes, good morning , and thanks for taking my question and congratulations on a good set of numbers. So , my first question is regarding your Marelli Suspension acquisition. Just wanted to understand, you know, this entity has been in a kind of a bit of break -even and a marginal PAT loss as per their reported numbers. How are you seeing the turnaround of this entity? What are the kind of synergi es that you have with this entity? Where are the low -hanging fruits to improve profitability? And any timeline of when you could take this entity closer to your existing business margins ?

Atul Jaggi: Yes, thank you. Thank you so much. See, in terms of syn ergies, there are clear synergies on the product side. There is a very similar product line, very similar customer portfolio that is there, so there are clear synergies. As I mentioned earlier, the gas spring, the gas dampers is a new line

for us which we always wanted to enter into. So , this gives us a clear benefit there.
In terms of the customer portfolio, the customer portfolio is quite good with Tata, Maruti and obviously Renault being the top three customers , and some exports also would help. So, I think building these synergies is not a big challenge, to be honest with this. Yes, we also get access to the technologies that are available, and we also get access to better product range that is available there , so.
Rishi Luharuka: And Jay, on the margin profile, you are right in terms of what you noticed, but there are a lot of one-time adjustments which are required to look at the numbers on an ongoing basis. Second is obviously the operating leverage that will happen with the increased synergies.
In

terms of the timelines that you asked, well , we have a plan , which at this point in time we are not able to share. But we have clearly curated a plan in terms of improving the margins a nd bringing it to the levels that Gabriel will be at.
Jay Kale: Okay, underst ood. And just on the technology side, you know, what is t he kind of technology because you all have been in the suspension market for quite long and you are one of the leaders over there. But what is the kind of incremental technology that, you know, you could benefit from this acquisition? I understand you all are working on semi-active, and you all have, you know, made the semi-active suspension from your R&D globally as well. But any new products or any new global clients that you all can leverage from the Marelli relationship ?

Atul Jaggi: So, as I mentioned, Renault is a running client, which is a global client that is there. In terms of technologies, I just mentioned earlier, gas spring, gas dampers is one product where the technology is already available there, the product is running, and there are enough o pportunities in the market to ramp up that . So, that definitely helps.
And, again, within the shock absorbers, you know, every company uses a different technology. So, there are always some pros and cons of every technology there. So , some add -ons we see where we can utilize some of them , say, on the commercial vehicle side as an example.
Rishi Luharuka: Jay, on this particular point, a couple of things to note. One is , as Atul rightly mentioned, t he gas damper , that 's a new product. A good scope there . With increasing SUV population, the door balancer requirements are going up and up. That's one.
Second is that the territory is largely India and the exports that currently this entity was doing. So, in terms of synergic benefits, renovating added helps. In terms of the technology piece, there are designs which are different and have different or similar capabilities , which adds to the product basket in terms of what we can offer. And a s just right now Atul mentioned, on the CV side also, there are such o pportunities.
Jay Kale: Understood . And you know, you had mentioned historically that in the next two to three years, at least one or two more new products. I am assuming that this acquisition is seen more of as a consolidation from your side and not necessarily one of the two new products that you all maybe plan to do it in the next one or two more years. So , I think that trajectory is expected in the next one or two years. I am assuming that, if you can just clarify on that.
Atul Jaggi: Yes, so s ee, M&A is not an event, right? It's a journey. So , we are on that journey. We are certainly not saying that we are pausing. This is one of them which came across and we were able to conclude it. As we speak, there are other opportunities that we are evaluati ng and we will come back to the market a t an opportun e time .
Jay Kale: And this is just one last question, if I may squeeze. On the sunroof margins, if you could throw some light and, you know, how have they , if you see consol minus standalone, I am assuming that there is some dip on a Q-o-Q basis, while, you know, Q2 was substantially higher. What should be a sustainable margin on sunroof? And if you could also, you know, consistently kind of disclose those numbers, that will be really helpful for us to track the sunroofs.
Atul Jaggi: So, w ith one subsidiary, Jay, I don't think it's a simple math, right? Consol minus standalone . There are other reasons why we have taken it out of the investor's presentation directly. So, I request you all to bear w ith that.
As far as the numbers are concerned, it was a good quarter. The sales was as per the budget that we had anticipated. We are also in the process of now going SOP for the AY pr

ogram, which is the Kia platform. And with that, we are now anticipating to ramp -up the production .

We have already mentioned that we are looking at doubling the capacity and the orderbook for that is already in place. And very soon we will be in a position, maybe in two years of time, where we will be almost exh austing that capacity as well. So , in terms of the pipeline, it's looking as per the plan that we had casted out, in fact, a little more aggressive than what we had planned for.

Coming to the margin profile, you are very right. The last quarter was an ab normally high margin. This quarter , there has been some one -off costs to the extent of 22 million. But to answer your question on sustainable margin, it will depend upon the product mix and what plays out, how much TVS, how much BLDS, what is the proportion of that, which are the customers that we are going to add.

As we all know, competition is also heating up on that. And with localization, the prices ideally should go down, but we are clearly looking at a margin which is accretive to Gabriel i n the range of 12 % to 14% is what we had mentioned al ways . That's the endeavor to keep it at that level going forward.

Jay Kale: Thanks and all the best. I will come back in the queue for more questions. Thank you.

Moderator: Thank you. The next question comes from the line of Amit Hiranandani from Phillip Capital. Please go ahead.

Amit Hiranandani: Hi, team, thanks for the opportunity. Continuing on the ongoing acquisition, which is going on , so, by when we are going to have the technic al agreement signed with them? And secondly, continuing with that, what is the penetration of semi -active suspension in India? And where do you see it moving in the next five years? And presently what is the penetration level for the same in the developed market please ?

Atul Jaggi: I will take the first one, Amit. The Technology License Agreement and the Technology Assistance Agreement are all sort of clearly agreed between both the parties. Once we have finished the conditions which are required customarily for closing a transaction, we should be able to enter into that and make it effective. And again, we have already specified the long stop date in our disclosure. So , that's the timeline that we are working with.

On the semi -active, yes, see, on the semi -active, while it is too early to start giving a percentage to the penetration there because this is one product which is while I think a lot of discussions have happened in the past, but the EV that was launched, the BEV, one variant of that ha s come up with this particular suspension, the semi -active suspension , which is sort of locally assembled here. Yes, there are a couple of models, the top -end models, where as a CKD or a C BU, they have this suspension.

So, this is just starting. In terms of where this will go , again , very difficult at this time to put a percentage to the penetration. But yes, because Mahindra has launched a variant with this, there



are other customers also who have started discussion on this particular topic and they are quite interested in this.

Amit Hiranandani: Right, sir . Any idea of what is the penetration level of semi -active in the developed markets?

Rishi Luharuka: We can come back to you.

Atul Jaggi: We will come back to you on this.

Amit Hiranandani: And s ir, can you please help us with the basic financials of Marelli Motherson , like how much was the EBITDA margin and loss in FY '2 4 and current capacity utilization of this entity? And also, do we need to incur any CAPEX for the acquisition?

Atul Jaggi: So, Amit, past records we really cannot share given that we have an asset purchase. So , that is something that you will have to sort of find to yourself. The

second question is with regards to the asset utilization. Well, the entity has done 200 to 160 -odd cr ores in the past. You can check that from the RFC filing. And with that, broadly, the gas damper is fully utilized. And 60 -70% would be utilization for suspension. And as we have always mentioned, these numbers are subject to bottleneck and c apacity enhancement will depend upon what is the bottleneck.

And as regards to CAPEX , well, it will all depend upon what kind of program we are able to synergize and add to this entity or add to this asset. So , typically in Gabriel, we have done asset turnover o f five. We don't see any reason why it should be anything lower than that .

Amit Hiranandani: Right, sir. But, sir, are we on track to achieving the EBITDA margin for the standalone, even after the acquisition of this Motherson's entity?

Atul Jaggi: We wil l have to see. There will be some stress because of that for sure. But in terms of track, yes, we are pushing order.

Amit Hiranandani: Okay, sir, I will come back in the q ueue. Thank you so much.

Atul Jaggi: Thank you , Amit .

Moderator: Thank you. The next question comes from the line of Aditya Khetan from SMIFS Institutional Equities . Please go ahead.

Aditya Khetan: Yes, thank you, sir, for the opportunity. Sir, my first question was on to the sunroof business. I believe, sir, there is a drop in margins and even the top line has reduced on a quarter -on-quarter basis. I believe, sir, the volume, sir, so we were looking to ramp up the volume. So , any particular

reason, like, so why the top -line has dipped?
Atul Jaggi: Last quarter was the festive quarter, last to last quarter. So , there is a very, very marginal number.
So, from a revenue perspective, actually, it is poised to grow now that we are going to start the
SOP for the new program of Kia. And on the margin, we have already mentioned now that there



was a one -off in this quarter. But on a sustainable level, we are looking at anywhere between 12
to 14% of EBITDA .
Adity a Khetan: Okay. And in terms of competition, so do you see in the longer run, so many players have now
started to like expand into the sunroof business. Is there any number which you can put, so
whether the growth could be slower or the ROC Es could come down in the longer run into the
sunroof business?
Atul Jaggi: So, it is difficult to say, the competition that you are mentioning is still to pan out and see what
they are going to do. One of the competition is going to be up north, where we are not there yet.
We are in the South and most likely in west. But to that extent, we are competing with Webasto ,
who was already there in the space before Inalfa Gabriel came to India.
Well, on the ROC E, if you look at the steady -state margin. you can sort of assume that we will
be able to retain steady -state ROC E as well.
Aditya Khetan: So, the recent acquisition supports our ramping of the complete business. S ir, what is the peak
expected top line and EBITDA from this business?
Atul Jaggi: As of now we are not able to share those information. This is going to be as i t's an asset purchase ,
it is going to be a plant of Gabriel once we have completed the customary conditions. But you
can look at the past numbers and given that we have acquired full business, some assumptions
can be drawn .
Aditya Khetan: Got it. Sir, just one last question . Sir, on to the base business of our suspensions , is it possible to
share the volume growth on Y-o-Y and on quarter -on-quarter business and also the absolute
value, if you can share it?
Atul Jaggi: Absolute value obviously is there segment by segment in th e investors' presentation. On the
volume, we do not share that information given the sensitivity of the price and realization for
shock absorbers .
Aditya Khetan: So, sir, a t least at what ut

ilizations level we would be operating that plant as of now?
Rishi Luharuka: Which plant are you talking about?
Atul Jaggi: Are you talking about MMAS or?
Aditya Kh etan: Sir, the base business plant of suspensions.
Atul Jaggi: We have eight plants . So, see, again every segment has a different utilization, every plant has a
different utilization. It is very difficult to sort of put one number to that. But yes, 60 to 70 is the
number that we keep. Again, the logic being very different for every segment. Because if you
take a two -wheeler segment, the festive demands are so high that on a normal year level , we



keep it at around 65 to 70 % so that we are able to se rvice the customers well there , but mostly
on the assemblies we look at a two -shift kind of demand , working plan.
Aditya Khetan: Sir, just one last question, sir. Is there any scope for further increase in market share in the two -
wheeler and the passenger vehicle segment?
Atul Jaggi: Yes, definitely is.
Aditya Khetan: So, sir, in the next you can say , so two to three years , any numbers , sir, so we are targeting ?
Atul Jaggi: Yes, with some acquisitions, we are seeing some growth. There are some more businesses that
are there in the pipeline. So , say, in the case of two -wheeler, the share of business has been
continuously improving. We see that trend continu ing. Again, putting up a number also becomes
little difficult because it also depends upon becau se the penetration is very different with
different customers. So , it also sometimes depends upon how that customer sort of performs in
the market. But yes, there is a healthy business pipeline and even at a customer -to-customer level
also we are seeing a share of business improvement in most of the two -wheeler customers where
we are and again key customers like Maruti in the case of passenger car segment .
Rishi Luharuka: Yes, and Bajaj was, as we had disclosed in the past, Baja j was one of our endeavors in terms of
the SOP and with now two new programs , the Dominar and the Pulsar we are now there with
them, deeply entrenched. So , that will certainly help our share of business .
Atul Jaggi: And just to also share with you, like with Yamaha recently, we have won a new scooter business.
So that will again help us a little bit more on the Yamaha side. So similarly, again, this continues.
So, there is a good healthy pipeline that is there. And I think already shared with you, Maruti, I
think two launches are already planned this year.

Aditya Khetan: Got it , sir. Thank you, sir. That answers my question.
Moderator: Thank you. The next question comes from the line of Mumuksh Mandlesha from Anand Rat hi Institutional Equities . Please go ahead.
Mumuksh Mandlesha: Thank you , sir, for the opportunity and congratulations on the good growth and the recent acquisition , sir. Sir , continuing on the suspension new order wins , you have also mentioned some TVS order wins across the CNG, EV 4-wheeler and the electric 3 -wheeler. Can you talk about this opportunity , sir?
Atul Jaggi: On which customer you said?
Mumuksh Mandlesha: TVS Motor with the CNG and the electric four -wheeler, electric three -wheeler, which you mentioned in the presentatio n.
Atul Jaggi : Yes, so t hese are all the confirmed businesses under development. So, I don't know exactly what information you are looking at.

Rishi Luharuka : Mumuksh , can you elaborate the question for us to understand?
Mumuksh Mandlesha: Yes, I mean, just in terms of the size of the opportunity, if you can indicate what could be the opportunity size for this and when the business would start the SOP of this orders , sir.
Atul Jaggi: So these, again, Mumuksh , you are aware that we are bound by the contract not to share the SOP and neither the

volumes currently. But we can certainly share the order wins .
Mumuksh Mandlesha: Got it, sir. Sir, this quarter, exports have seen a very good growth. Can you elaborate what has led to the growth and what woul d the outlook rate for this?
Atul Jaggi: So, in this quarter, there are a couple of reasons for that. We saw better growth in the aftermarket orders and we also saw a much better pull from the Latin America market. So, these are the two primary reasons for that.
Mumuksh Mandlesha: And going ahead , sir, how do you see the growth pattern?
Atul Jaggi: We see reasonable numbers . Again , exact numbers will be very difficult to share, but yes, we see a good demand continu ing.
Rishi Luharuka: Mumuksh , we have been always saying that our endeavor is to achieve a 10% export of the total revenue. There have been unfortunate situations like the Ren ault and then the Russia issue. But we are getting more and more entrenched with DAF in terms of improving their export and looking at some other opportunities as well. And now with the asset purchase that we have done , some bit of export will happen from that acquisition as well . So, there are two or three sort of opportunities that we are exploring in addition to what comes with the MMAS. So, we are very hopeful of converting them into order.
Mumuksh Mandlesha: Got it. And sir, M &A exports part would be like in the PV and sir, which customer would be broadly , sir?
Atul Jaggi: It is Re nault. Renault is one customer and Stellantis is another customer. So, these are the two customers that are there.
Mumuksh Mandlesha: Got it, sir. Sir, on the sunroof, sir, for the recent additions with Syros and the Creta EV model, I mean, just can you indicate what kind of volumes could we see for these two models? And any update you want to share in terms of new order wins or any new orders in the RFQ stage which could be executed in the coming quarter, sir?
Atul Jaggi: Mumuksh , you are right with Creta EV as well as with the Syros EY, there is an uptick in the volumes which we are noticing now. And with that we will go into the fourth quarters. I n terms of order wins, we have spoken about BC4T and BC4I last time, the small export to Turkey as well. This quarter there has been no new wins in terms of programs. The RFQ discussion obviously is confidential and cannot be shared at this stage.

Mumuksh Mandlesha: And sir, the new capacity will b e ready by end of the calendar year. Right, sir?
Atul Jaggi: That is right. A little before that.
Mumuksh Mandlesha: Before that. And sir, on this M MA you mentioned about the gas spring suspensions . I just want to understand what kind of a size of this op portunity market is there in India . Can you just elaborate on this product , sir?
Atul Jaggi: So, the market size for this particular product in India is quite large and to be honest even globally also , there is a huge demand for this particular product. There are not too many players who are there in this product. So. In India, like SUSPA is one company which controls the maximum market share. I may not, but approximately it must be, say, maybe 90% plus are there. So, the opportunity definitely is huge th ere.
And as Rishi mentioned, with more and more SUVs, the product also gets upgraded, the opportunity size also improves, because again, the cost varies between sort of segment to

segment in this. And in terms of, moving forward, we also see export oppor tunities with this product .
Mumuksh Mandlesha: Got it, sir. Sir, in the presentation , you have mentioned about the e -bikes new traction there. Can you update what's the new opportunity there , sir?
Atul Jaggi: So, see, a s you are aware that we have been working on this product for quite some time , we have been able to , basically I think we are doing three things on that. One

is on the product side,
on the technology and the product side where we have a dedicated team sort of who is working to develop more product, product range here. We have a couple of experts from this industry whom we had hired. So that part is being done.
The second is on the customer side. We are again working with multiple customers to sort of explore opportunities and now we are quite hopeful with some product range already available with us and some good customer connect, we are quite hopeful. Or rather when I speak, the team is already in Europe right now, again, working on the same with multiple customers. So , we are quite hope ful of something materializing very soon in this particular segment. Again, the segment sort of offers good opportunity both in terms of product, in terms of technology, in terms of the size of the market that is available. So, we are quite optimistic abou t it.
Mumuksh Mandlesha: Got it, sir. Just last…
Moderator: Mr. Mandlesha , if you can please join back the queue.
Mumuksh Mandlesha: Sure.
Moderator: Thank you. The next question comes from the line of Viraj from SiMPL . Please go ahead.

Viraj: Hi, thank you for the opportunity , and congratulations on a good set of numbers in the challenging environment . Three to four specific questions. First is on the acquisition which we announced. So, just to clarify a few things which we would be having with Marelli, that would primarily b e covered the existing product range?
Atul Jaggi: As your voice is muffled, we are not able to hear you at all.
Viraj: Am I audible now?
Atul Jaggi: Yes, much better.
Viraj: Yes, hi. So, the first question is, the tech nical license agreement which we will be entering into with Marelli , that will primarily cover the existing product range or it will also cover much more, say, other advanced set of products in suspension .
Atul Jaggi: We cover both current as well as add-ons.
Viraj: And w ould that have a no compete outside of India?
Atul Jaggi: There is a territory restriction, but includes the current exports.
Viraj: Second question is in terms of the product which we will be adding to the portfolio in suspension, can you g ive some color in terms of the addressable opportunity it kind of adds to the existing suspension business?
Rishi Luharuka: Currently small , Viraj, and I will let Atul pitch in here. But as of now , we are obviously not sharing what is the potential that we have internalized the numbers with , but the current opportunity in terms of the overall percentage to Gabriel consolidated numbers is small.
Viraj: No, so basically where I was coming from is , if I look at the product and look at penetration , say, outside of India, just to get a flavor, you know, what kind of registration these product categories we see in mature markets ? Just to get a flavor, not doing exact numbers or , you know , just an indication.
Atul Jaggi : Viraj, these are primarily the shock absorbers, correct, which are there. In terms of penetration or in terms of opportunity, the entire world is open for us. I think we have been discussing about exports from Gabriel for quite some time.
Rishi Luharuka : But I think the question is on the d oor balancers.
Atul Jaggi : Oh, you are talking of the gas springs?
Viraj: Yes, I am just trying to understand, you know, the product which we added to the portfolio. What is the penetration?

Atul Jaggi: Viraj, I will give you the content per vehicle. There are two for the rear boot. There could be one for the front bonnet. So, that's the minimum that a vehicle can have.
Viraj: Okay. There is two more questions. One is , if you look at the said assets which we are purchasing, they have had issues in t erms of ramp up and quite a high rejection ra

te. Do you see
any possibility of higher provisions related to warranty or any product liability risk which we

would be facing once we take off ?
Atul Jaggi: Given that it's an asset purchase, we are not taking over any liabilities .
Rishi Luharuka: No, for the period which has belonged to this entity.
Atul Jaggi: So, there is no liability.
Viraj: Okay, and last question is on the suspension. You know, see , if you look at the contribution margins which we are earning right now , it's an environment where the prices are very benign and certain high margin segments are relatively doing well post aftermarket two-wheeler . Still in our contribution margin is still around 25 %-ish compare to the past where it has even gone to 27-28%. So, would it be right if that margins what we are earning in the business would still remain in that 8.5-9 given that , you know , in the past we have been slightly more aggressive ?
Atul Jaggi: Viraj, your voice was dropping, but if I have understood your question correctly, looking at my contribution margins, yes, obviously the product mix plays a big role. And as you rightly said, we have been working on the mixes which are of a higher contribution. 75% is raw material cost, as you are aware . So, that has to be factored into when we are looking at an increase in the EBITDA margins to a double digit . We are sort of short of 1.5% there at this point in time. So , some part of that will have to come from contribution , and some part of that will have to come from operating leverage , and we have already spoken about the Core 90 program. So , under that , all aspects of cost as well as revenue and income are sort of taken into consideration. So, you can sort of assume a fair split between cost element s and income elements.
Viraj: Okay. Thank you very much and wish you good luck and the team.
Atul Jaggi: Thank you , Viraj .
Moderator: Thank you. The next question comes from the line of Chetan Gindodia from PGIM Mutual Fund. Please go ahead. Chetan, please unmute your line from your end and ask your question.
Chetan Gindodia: Hello.
Moderator: Yes, Chetan, please go ahead.
Chetan Gindodia: Yes. Sir, firstly, congratulations on a great set of numbers. Firstly, sir, any new labels that you are added other than, say, Hyundai or Kia, which has been our base customers for the sunroof business , or any other OEMs we are in discussion with?

Rishi Luharuka: Yes, we are in discussions with other customers other than Hyundai and Kia. Can't share their name unfortunately , Chetan .
Chetan Gindodia: Okay, got it , sir. Sir, for the sunroof business, can you share any kind of revenue targets or any guidance you have for this business, especially given that we are doubling our capacity over here and you said that you already have the customers for the expanded capacity as well ? So, any guidance if you can share on that side.
Atul Jaggi: See, w hen we ha d gone live with this entity, we had mentioned that we are clearly looking at 800 to 1,000 crores in 5 years of time and that is the continued endeavor.
Chetan Gindodia: Okay . Great , sir. And sir, lastly , of that we have already done two sort of acquisitio ns, firstly with the sunroof business and now with the new plant that we have acquired . So, is there more to come for on the inorganic side going ahead as well ? Or is this more or less done for you now?
Rishi Luharuka: No, I think as we mentioned earlier also, see, this is an ongoing journey. So, there is no full stop to it. As we speak , again , one or two discussions are going on . How they materialize, we will see in the next sort of due course of time. But our focus rem ains there. Our efforts remain.
Chetan Gindodia: Okay . Great , sir. Thank you , and all the best.
Moderator: Thank you. The next question comes from the line of Abhishek

Jain from Alfaccurate Advisors .
Please go ahead.
Abhishek Jain: Thanks for opportunity and congrats for a strong set of numbers, sir . Sir, in this base business, we have seen a very impressive growth in the two -wheeler side, that is 19%. What is the muted growth in the industry? Is it because of the higher value from t he electric two -wheeler side, from the Ola and TVS ?
Rishi Luharuka: Sorry Abhishek, your voice is not clear , so.
Abhishek Jain: Are you able to hear me?
Atul Jaggi: Abhishek , you need to take the mic a little away from your mouth. It's very muffled.
Abhishek Jain: Hello sir.
Atul Jaggi: Yes.
Abhishek Jain: Is it fine?
Atul Jaggi: Yes. Better.
Abhishek Jain: So, in two -wheeler side , basically we have seen a 19% growth Y-on-Y, and we outperform the industry growth. So, is it because of higher revenue from EV side from Ola and TV S?

Rishi Luharuka: Again, it is not only from the EV side. It is also supported by the new launches that are there from TVS, better off -take from Bajaj and other customers and obviously the EV plays a role there.
Abhishek Jain: So, as you mentioned that you are winning new business from the TVS and plus Bajaj , also won the new business from the Yamaha and plus that there will be significant growth on the EV side where you have a market share of around 87%. In this case, how do you see 2 -wheelers growth in FY '2 6 if industry growth would be around 5 to 6%?
Atul Jaggi: Again, we will not be able to share the sort of projected numbers that we have. Industry growth, as you rightly said, we are also expecting around 6 -7% industr y growth in this, but the effort is to continue to be better than the industry.
Abhishek Jain: Okay, and in a four -wheeler side, basically, there is a 14% growth. Is it because of the higher revenue from the U V side where your market share is 29% ?
Atul Jaggi: Yes, you see the growth in the U.V. market anyway has been much better in this quarter. The overall growth has been at 16% in case of UV. So , that impacts us also positively.
Abhishek Jain: And how much is difference in the content per vehicle in t he four -wheeler UV versus Sedan?
Atul Jaggi: It's not a straight math here and unfortunately , those numbers cannot be shared. But to give you some help on that , usually , you can look at the proportion of the car cost also.
Abhishek Jain: Okay . And as you mentioned that you are going to double your capacity in the sunroof , so how much current capacity and capacity utilization?
Atul Jaggi: We are currently at 180,000 sunroofs per year capacity. That's the one line capacity. Currently with the new program we will be exhausting that capacity.
Abhishek Jain: Hello.
Atul Jaggi: Yes, did you hear me?
Abhishek Jain: Yes. Okay . And in a railway segment, what is your plan and what kind of the revenue projections for the medium term?
Rishi Luharuka : Again, projections , we don't share. This is a small part of our top line but a very important part given that the segment we want to be present as well as from a profitability perspective , it's a good margin product . Atul Jaggi: And we have the entire product ran ge. And Railway, as you know, it also depends upon how many coaches are finally built. And it is a tender business. So, it is never a single source business in railways , so.
Abhishek Jain: Okay . And my last question on the sunroof side , how much is the royalty payment you are doing at this point of time ?



Atul Jaggi: Both the parties taken to gether 5%.
Abhishek Jain: 5%
Atul Jaggi: Both the parties.
Abhishek Jain: Both parties. Okay . Thank you, sir.
Moderator: Thank you. The next question comes from the line of Jeetu Panjabi from Em Capital Advisors. Please go ahead.
Jeetu Panjabi: Hi

, Mr. Jag gi, thanks for answering all the questions. S ir, just one big question, right? You have taken over the mantle a few months ago. You have kind of seen this acquisition happen. You are also kind of working through the sunroof business. Can you articulate what's your vision for the business? Where do you want to take it over the next 2 -3-4-5 years? How do you plan to spend energy? Like what will be the focus and the energy focus going into different segments ? And is there anything different you intend to do from what Manoj was doing over the years?
Rishi Luharuka: Jeetu brother has always a good question.
Atul Jaggi: So, I think even in the last call also , while it was my first day, the second day rather, this question was asked. So, see, as you know, I was away from Gabriel only for 8 months there. So , even in the last strategic plan, I was a part working with Mr. Kolhatkar there.
I completely believe, I think, the four pillars that we have been talking about in terms of domestic dominance, in terms of focus on exports, focus on M&A and the technology. I think they remain intact. The vision is very, very clearly defined.
What I inten d to do and what the effort has been till now in this new role and which will continue or rather I will say, it will sort of I will try to bring more focus to that is bringing peace to these things.
So, like I think we have been talking about exports, we all understand export is very important because it helps in the better mix. So, how can we speed up some acquisitions that we have been working on, on the export side , how can we do more in terms of bridging any technology gap that is there I think has be en the focus and will continue to remain the focus.
Jeetu Panjabi: Okay, and a nything different you intend to do from where you are on status quo as you think through your vision for the business.

Atul Jaggi: So, as I mentioned, I think two things . One on the current four -pillars that I said, more renewed focus, better resource allocation to expedite these things. Another area that definitely I would like to focus would be to also see that can we have better synergies and get into some different, even in the suspension side, also into different products range , like we discussed some time back on the e -bikes.

Now , it is a different segment, but it presents a good opportunity. I think at some stage we spoke about some of the industrial products also. Can we bring more focus to that so that we have even a better mix both in terms of the customer , in terms of the market and the segment profile ? And yes, I think there will be more focus on how we can sort of get more product through M&A or through anything el se.
Jeetu Panjabi: Thank you so much. Hope to meet you in person at some point. Thank you.
Atul Jaggi: Looking forward.
Moderator: Thank you. The next question comes from the line of Alisha Mahawla from Envision Capital. Please go ahead.
Alisha Mahawla: Hi, sir, good morning. Sir, just couple of clarifications. Earlier we had a target for revenues for sunroof for the current financial year was 400 crores. Will we be able to meet that aspiration? And also you mentioned earlier in the call that the re was a one -off of about 22 million. If you could just maybe clarify what was this pertaining to?
Atul Jaggi: First question, yes, we will be able to meet our target for sure. Second question, these were one -time costs in terms of some price settlements with the customer.
Alisha Mahawla: Sorry, couldn't hear you very clearly.
Atul Jaggi: These were price settlements with the customer as well as some other costs which are non -recurring in nature.
Alisha Mahawla: Understood. Okay, sure. S ir, the next question is margins on the standalone business while you did spell out that , you know , there are a co

uple of steps that we can still take and like it was asked earlier the recent asset purchase that we have done , will this mean that the double -digit margi n that we have been working towards since the last multiple quarters will now probably be slightly more back -ended?
Atul Jaggi: One is that in terms of the total top line, it's not very significant compared to Gabriel . That's one. So, even if we do a weig hted average, it should not be impacting significantly. The idea here is not to find reason to delay the pursuit. We are still on the target and will continue to do so.
Alisha Mahawla: So, we still stand by FY '2 6 to hit double -digit margins in the standalone business.
Atul Jaggi: FY '2 6, we have said two years, so ye s.
Alisha Mahawla: Understood. And lastly, our net working capital cycle has been inching higher. It used to be 20 . It's up 20 days . Now it's 26 days. What is leading to this change and where is this number now expected to settle?

Atul Jaggi: 20 days was an aberration. I would safely assume it to be in the range of 21 -22 days. You are very right that this quarter we have a little higher working capital. That's largely owing to the holiday season in China. So , some amount of inventory built up was required to maintain supply chain on the imported inventory and some amount of increase in the finished goods. On a steady -state basis, we would always expect it to be in the range of 20.
Alisha Mahawla: 20 days.
Atul Jaggi: Yes, some part of that was planned. Yes.
Alisha Mahawla: Okay, and just one last question. The acquisition that we have done, you did mention that maybe, you know, at least they are operating at almost full capaci ty. So , are we looking at doing any incremental CAPEX there? Is there anything that we would maybe want to spell out currently?
Atul Jaggi: So, I think what was mentioned was that in terms of the gas damper, they are working at almost the full capacity. In terms of the other shock absorbers and the struts, it's available there. Definitely gas damper presents good opportunities. So , we will have t o look into the bottlenecks and then see what kind of CAPEX is needed to enhance , but yes, capacity enhancement would be needed in that particular segment and not on the other products.
Alisha Mahawla: Yes, shock absorber is at what capacity utilization?
Atul Jaggi: Should be around 60% . Maybe 55% to 60% should be the number.
Alisha Mahawla: Okay, great. Yes, thank you.
Moderator: Thank you. The next question comes from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead.
Jyoti Singh: Yes, thank you for the opportunity. Sir, I just wanted to clarify on the e -bike side as you keep

mentioning that it's very good demand. So , we are basically seeing for the Europe or any other region that we are targeting and what kind of opportunity we are seeing and margin contribution on that side, if you can explain ?

Atul Jaggi: The market that we are looking at is Europe. We are not looking at any other market as of now. We are looking at Europe as a market. Europe is the biggest e -bike market in th e world. And s o that is the market that we are looking at , and this is where we are working with multiple customers right now.

Jyoti Singh: And what kind of margin we are seeing , sir, from this segment ?

Atul Jaggi: Again, margin profile at this point in time cannot be shared. At this point in time, the idea is to enter the market and then to scale it up.



Jyoti Singh: Thank you sir. And sir, another question on the sunroof side, like earlier you mentioned you are in active discussion with the Indian OEM l ike M&M and other players. So, still it is in the pipeline or any, you know, active discussion on that side?

Atul Jaggi: No, active discus

sions are going on with I think 3 OEMs rather, I would say. But yes, as Rishi mentioned, there is no firm LOI as of now, but yes, technical discussions are going on.

Jyoti Singh: Okay . Thank you so much.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference over to Mr. Jaggi for his closing comments.

Atul Jaggi: So, I take this opportunity to thank everyone joining the call. I hope we have been able to address all the queries. For any further information, please get in touch with us or SGA, our IR Advisors .
Thank you so much for joining the call again. Thank you.

Rishi Luharuka: Thank you.

Moderator: Thank you. Ladies and gentlemen, that concludes the conference of Gabriel India Limited. Thank you for joining us. You may now disconnect your lines.

# Call: May 2025



"Gabriel India Limited
Q4 & FY25 Earnings Conference Call"

May 21, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 21st May 2025 will prevail.

MANAGEMENT :

- Mr. Rishi Luharuka – Chief Financial Officer – Gabriel India Limited
- Mr. Atul Jaggi – Managing Director – Gabriel India Limited
- Mr. Nilesh Jain – Company Secretary – Gabriel India Limited



Moderator: Ladies and gentlemen, good day, and welcome to the Gabriel India Limited Q4 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinion and expectations of the comp any as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Atul Jaggi. Thank you, and over to you, sir.

Atul Jaggi: Yes. Thank you. Good morning, and very warm welcome to everybody present on the call. With me today, we have Mr. Rishi Luharuka, our CFO; Nilesh Jain, our Company Secretary; and SGA, our Investor Relation s Advis or. We also have with us today, Mr. Mohit Srivastav a, who will be taking over from Rishi starting 26th of May.

So we have uploaded our results and investor presentation for the quarter ended 31st of March '25 on the stock exchange and the company website. I hope each one of you had a chance to go through the same.

I'm pleased to announce that in line with our commitment to creating shareholder value, the Board of Directors has recommended a final dividend of INR2.95 per equity share on the face value of INR1, along with an interim dividend of INR1.75 per equity share declared earlier in this year, the annual payout translates to 32%. Now I'll provide a brief overview of the company's operations and key highli ghts of the auto industry.

So Gabriel is stepping into the solar damper space, recognizing the growing importance of solar energy in the global push for sustainability. One of the key components in this entire set -up is the solar tracker, a device that keeps the panel aligned with the sun to capture the maximum amount of energy and improve the overall efficiency. So that's where the dampers come in, and that's where we come in.

So they help control the motion and also reduce the damage to the trackers an d ensure that the solar panels are more efficient. So solar dampers market is expected to reach around USD 326 million by calendar year '25. And the growth expected is around 15% annually till 2030. So as of now, Gabriel is working with 2 export clients an d 1 domestic customer, where the production is expected to start in FY '26.

Now coming to Q4 FY '25 performance. Our stand -alone operating revenue rose by 8.4% year - on-year to INR931 crores, supported by higher volumes and strong sales performance in all our segment, with 2 -wheeler growing by 10%, passenger vehicle segment growing by 6% and CV and railway combined by 3%. EBITDA grew by 13% Y -o-Y to INR87 crores with margin improvem ent to 9.3%.

We have achieved a 10.2% EBITDA margin in our consolidated business, fueled by Gabriel stand -alone performance and Inalfa. Our EBITDA margins have continuously been improving on the back of improved volumes and our Core 90 program.
Coming to the full year performance. The revenue from operations for the stand -alone business grew by 9% to INR3,643 crores. The 2 -wheeler segment growth was 12%. Passenger vehicle was 5% and overall CV was in line with the market where a degrowth of 4% was there. E BITDA stood at INR324 crores with margins at 8.9%. PAT at INR212 crores, a 14% increase over INR185 crores reported in FY '24.
In FY '25, Inalfa Gabriel Sunroof Systems Private Limited reported revenue from operations of INR420 crores and PAT margins at 8. 1%. The Sunroof business

continues to experience strong
demand, fueled by good performance of the UVs and new vehicle launches. So, our well -time entry has positioned us strategically, and we are now set to double our sunroof production capacity by second half of CY '25 to meet the growing demand. So on the consolidated basis, revenue stood at INR4,063 crore, which grew 19.4% Y -o-Y. EBITDA at INR392 crores with margin at 9.6%. PAT stood at INR245 crores.
Now coming to the industry. The 2 -wheeler volumes ha ve shown a upward trend in the quarter 4 period also, reflecting a 5.3% Y -o-Y growth, which was majorly backed by the strong scooter and the overall rural demand. In terms of passenger car, again, there was a growth of 4.1%, again, due to taking count to 1 3.5 lakhs for the quarter 4, and this was primarily led by the strong performance of the UV s, which again grew at impressive 11%.
In the last quarter, the commercial vehicle segment recovered, and we saw a growth of around 4.4%. We hope this trend continu es. Coming to the EVs, the EV registration reached 2 million units in FY '25, up from 1.7 million in the previous period. So, we continue to strengthen our position in this particular segment, which has been a strong point for us and with a few more LOIs r eceived in this particular quarter.
So on that note, I come to an end of my opening remarks. I now request the moderator to begin the question -and-answer session.
Moderator: The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institu tional Equities.
Mumuksh Mandlesha: Congratulation on the solid performance this quarter. Firstly, can you update on the orders for the sunroof and the solar damper, sir? Any new orders in sunroof? And what could be the size of the solar damper order size, sir?
Rishi Luharuka: So, Mumuksh. Good morning and thanks for asking that question. In the previous quarter, we have not won any new orders. So we already have a order pipeline for 2 lines in Chennai. And as MD already suggested that we are looking at dou bling the capacity in Chennai by the second quarter of this year. We are in advanced discussions for various programs, including some in the western part of India, but we will appraise the community once we have that in place.



Atul Jaggi: So, yes, thanks, Mumuksh. On the solar dampers, as I just mentioned, I think we have already won couple of export orders and one order with the domestic customer. So we are in the process of now submitting the part, and we are expecting the mass production to start later t his year. So there, we have 3 businesses which we have won.
Mumuksh Mandlesha: Is it possible to share what would be the size of this order and time line of the implementation, sir?
Atul Jaggi: So as I said, in sort of end of this calendar year, we are hop ing to start the production and then obviously, the ramp -up will happen. see, these are like open orders. So sharing the size of the business at this moment is little difficult. But definitely, I think as I had mentioned in the previous call also, we are l ooking at this business being a sort of a INR200 crore plus business in the next 2 years. So definitely, at this moment, I can share this. And as -- and get sort of more POs and other things, we will be updating you.
Mumuksh Mandlesha: Rishi, sir, for this quarter, there was a good improvement of stand -alone margin across the cost elements. Can you explain what drove the margin, sir?
Rishi Luharuka: So, Mumuksh , one is, obviously, we are built for volumes, and that's what we have been consistently telling t he market. This year, we had a Y -o-Y growth of 8.4% (in Q4 FY25) . That's one that drives the margin upwards. Second is that at a contribution level also, we've improved through our consistent efforts on the Core 90 program. Some of these programs do take e ffect in the books of accounts in th

ird and the fourth quarter, and that's what we are seeing here on.
Mumuksh Mandlesha: Sir, on the capex side for this year, FY '26 for the stand -alone suspension and MMAS, what could be capex for this year?
Rishi Luharuk a: Including MMAS, we are looking at anywhere between INR100 crores to INR140 crores, and that's what consistently we have been sort of utilizing, though we may have commitments which are of a bigger value. But in terms of outlays, that's the number we are looking at.
Mumuksh Mandlesha: This would be including sunroof, right, sir?
Rishi Luharuka: No, excluding Sunroof. For Inalfa, it depends actually on the Western facility that we had announced previously. But broadly, we are talking about anywhere between INR50 crores to INR100.
Mumuksh Mandlesha: Okay. So this basically planning for the next facility in Western area. This is what basically that would depend the number?
Rishi Luharuka: That's right.
Atul Jaggi: Yes.
Mumuksh Mandlesha: Got it, sir. And just on the Sunroof side, currently, localization levels are around 30%, where currently we do more of assembly and the BU line. Going ahead, if our plan to increase the localization. So, I understand what kind of capex investment that wou ld require to increase the localization level and which areas can be localized, sir?


Rishi Luharuka: So for FY '25 -'26, we are not looking at significant change in the localization pattern. However, our endeavor is to move towards 50% to 60% of localization in 3 to 5 years of time. This will all depend upon what component we end up localizing. But as of now, we are not in a position to share the numbers, which are corresponding to the localization impact.
Mumuksh Mandlesha: Got it, sir. And then finally, sir, this year, the target remains for one more opportunity, M&A side, sir?
Atul Jaggi: Yes. So as we mentioned earlier also, I think there are some discussions going on. So definitely, the target is intact. And as of now, we are on track.
Modera tor: Next question is from the line of Aditya Khetan from SMIFS Institutional Equities
Aditya Khetan: Sir, my first question is on the solar dampers. You have given this revenue potential of INR200 crores. So does this include the new facility which we are adding in the second half?
Atul Jaggi: No. So, no, we are not adding any facility for this. Obviously, for this, there is a line that would be added primarily to manufacture this, which will not be a very large capex . But a separate facility, we are not a dding for this. This will be manufactured in one of our plants.
Rishi Luharuka: Sir, just to clarify, they are not getting any addition of new facility in Gabriel standalone.
Aditya Khetan: Got it. So, sir, this INR200 crores is from the first line only, w hich we have right now?
Rishi Luharuka: I think what we mentioned, just to clarify we are looking at this line of next 2 years (13:50) , okay? This is what we had mentioned. Aditya, I think some confusion here. You are mixing Sunroof with solar damper. The first line that we mentioned is for the Sunroof. The line for the solar is yet to be put in place.
Aditya Khetan: Got it. And sir, any sort of volume guidance for the next 1 year in CV, PV and 2 -wheelers?
Atul Jaggi: See, obviously, market, the projections are there. 2 -wheeler is expected to grow at around say 6% to 7% . Monsoon predictions are quite positive. In terms of PV, again, we are looking at the number varies, but our expectation is 4% to 5% at least there. And CV has recovered. So we hope that tr end continues. I think last quarter, finally, the CV was positive. So we are hopeful that at least that continues in [inaudible 0:15:04] best case scenario.
Aditya Khetan: Got it. Sir, on the 2 -wheelers, so the Hero MotoCorp business will be added in this fiscal?
Atul Jaggi: I hope so.
Aditya Khetan: Okay. Oka

y. So sir, if suppose it is not added yet, so we are looking at a single -digit growth in volumes for 2 -wheeler?
Atul Jaggi: See, that effort is going on in a positive direction. But in the case of 2 -wheeler, for last many years, I think we have outgrown the market significantly. So with or without Hero, we believe the trend will continue.


Aditya Khetan: Got it. Sir, just one last question. Into the Sunroof business, sir, is it possible to share the FY ' 25 volume figure on the total capacity of 2 lakh?
Rishi Luharuka: So unfortunately, these are contractual obligations with the customers, so we are not in a position to do so. But you can take the vehicle population and use an estimate around it. We are a single source for Creta and for Alcazar at this point in time and for the Kia new car.

Aditya Khetan: Got it. And this new facility of Sunroof will be added in the later end of like FY '26? Or you think it will be added in the mid only?
Rishi Luharuka: At this point in time, it's difficult to comprehend when it will be happening. It is dependent on some discussions that are going along with the customer lines. So once that is clear, we'll let you know.
Moderator: Next question is from the line of Vatsal Des ai from HDFC Mutual Fund.
Vatsal Desai: Congrats on a great set of numbers. Firstly, your voice was a little muffled when you answered the question for stand -alone capex . So could you please state that number…
Rishi Luharuka: Vatsal, sorry, your question, you are not very clearly audible. You need to probably come closer to the mic.
Vatsal Desai: So my question was, I missed the stand -alone capex figure , so can you please repe at that one?
Atul Jaggi: Yes, can you hear us? If we are audible, then I think Ri shi said it is anywhere between INR100 crores and INR150 crores.
Vatsal Desai: Okay. Understood. And my second question is, on the European bicycle market. So could you please give the quantum of what the revenue and the margins will look like for the European bicycle, please?
Atul Jaggi: So Vatsal, while I think your voice was again cracking, but I think you were asking about the e - bike business, the European bicycle business. So, yes, I think we are in discussion. We are in advanced discussion with 3 to 4 customers there, OE customers, the manufacturers of the e - bikes, a few products now which are sort of already developed and being offered to the customer. So this is the current status there.
Now in terms of margins, obviously, the business has to get finalized and then only we can sort of commit on the margins. But yes, this product generally, globally has a reasonably good margin. So -- and it is an attractive product is what I can share with you today. But yes, once we have the firm LOIs in hand, I think we'll be better positioned to talk about the immediate top line and the bottom line, yes.
Moderator: Next question is from the line of Tushar Gupta from Sagun Capital.
Tushar Gupta: Sir, I wa nt to know the revenue potential from the asset acquisition current year from Marelli, MMAS?


Rishi Luharuka: Okay. So, we had already advised the market for it. We are looking at anywhere between INR100 crores to INR200 crores of top line.
Tushar Gupta: This year, sir?
Atul Jaggi: Starting this year, this year.
Tushar Gupta: What are the margins we can expect from this segment?
Rishi Luharuka: We do not share margin profiles.
Moderator: We'll take the next question from the line of Viraj from SiMPL.
Viraj: Just 3 specific questions. First is on Sunroof. If you can just elaborate on the contingencies provisions which you have taken of INR15 crore, what does it pertain to? And going forward, what kind of a impact it would have on financials? And related questi on is margins, if you adjust for this INR15 c

rores, margins in the Sunroof business even in this quarter is close to 20%. So if you can just give some more perspective on the drivers of margin?
Rishi Luharuka: So Viraj, I'll take the first 2 questions. Reg arding the provisions that we have taken on account of the classification issues with the imports that entity is doing. We are in discussions with our experts to understand whether the classification requires a change or not. As of now, we have provided fo r an amount, which is commensurate to the impact that we might have in a worst - case situation.
And this for one of the products was already understood by us that there might be some issue. So we were building on these numbers. As of now, we are sufficientl y and adequately provided for the year '24 -'25.
Your next question is with regards to going forward, well, this is something that we will be able to only appraise once we are clear on the outcome of the discussions and the analysis that we are doing on the adjacent classification. So once that is through, we will be in a position to tell the impact and how we will compensate the same. And that's also the reason why you see not a significant dip in the margin profile.
But as we have always been saying that the current margin profiles are higher on account of one of the programs getting localized. So that's a special price. Going forward, again, owing to competition, we have always suggested that anywhere between 10% to 14% is the margin profile at an EBITDA level for this entity.
Viraj: Okay. Just one follow -up on this. If I look at the consol minus stand -alone for the second half, we have something like around INR26 crores of operating expenses. And Q4 alone was INR16

crores. So this INR15 crores of provisio n is routed through P&L or , just trying to understand.
Rishi Luharuka: Yes, provision will be routed through P&L, and it's not an H2 phenomena. This has been being built up since inception.


Viraj: Okay. Got it. Just one last question. The acquisition of Ma relli asset, if I have to look at going forward in '26, any perspective you can give in terms of scalability and profitability as well? Will it be a drag on the P&L going into '26?
Atul Jaggi: Yes. So as I think Rishi already mentioned, so with sort of imm ediate or a short -term view, we are looking at a top line of, say, INR100 crores to INR200 crores in between there. So whatever be the drag on the profitability will not be too significant anyway considering the top line.
Now as I think we have been mentio ning earlier also, we see a good potential, both in the gas dampers and obviously, with the current customers on the regular products, the strut and the shock absorber. So we have already started working with some customers there. we sort of took over the operations from April. So it is only 45 days that have gone. So we are also getting a good hold of the operations and other things and the challenges.
So yes, we have started interacting with the customers to see how we can improve the top line there and a lso working on improving the bottom line. So we have already started on both the activity. Hopefully, I think in the coming quarters, we'll have some better orders in that segment also or that location also.
Moderator: Next question is from the line of Abh ishek Jain from AlfAccurate Advisors Private Limited.
Abhishek Jain: Congrats for a strong set of numbers. Sir, mix in the 2 -wheeler segment is including for the inverted forks & traditional forks (27:00) -- so, how do you see the revenue growth over there the next two years?
Atul Jaggi: Yes, as you rightly said, and I think we discussed it earlier also, the market has started moving towards the inverted forks where the sort of the price realization is def initely better. We have also started getting more orders from different customers on that an

d this is a fast -growing sub -
segment for us.
I think as we mentioned, we started supplying for TVS Apache and there's another LOI that we have received from TVS. We are working on couple of other projects with another OEMs. And then I think recently, we have won 2 more orders with one of the EV customers who want to use the inverted front forks there. So definitely, the growth here would support the overall 2 -wheeler growth. And as I said, the price realization is definitely better. So that will be an additional support.
Abhishek Jain: And how much the difference in the price realization?
Atul Jaggi: It is very difficult to say because the front forks works on sizes, and there are like -- there are at least 10 to 12 sizes and the price can vary significantly. But on a apple -to-apple basis, it can be, say, 2x, 2.5x. In certain cases, on a very top premium level, it can sometimes be also 3x. But that is not very common. Generally, it is around 2, 2.5x.
Abhishek Jain: And my last question on the -- you are going to add 2 products, solar damper and EV front forks . So what would be the incremental revenue for these 2 products in next 2 years?


Atul Jaggi: So yes, I think sola r damper, we discussed -- this question was asked earlier also because since we have started getting the firm orders from the customer. So I think we are looking at a revenue around INR200 crores in next couple of years.
On the e -bikes, as I mentioned, I t hink we are in advanced discussions because right now, the focus was more on the development of the product and sort of creating a basket. Now we are in discussion with a few OE customers in Europe. So I think once some progress happens, I'll be in a bette r position to talk about the expected revenues.
Moderator: Next question is from the line of Shashank Kanodia from ICICI Securities. The participant's line seems to have disconnected.
The next question is from the line of Amit Hiranandani from PhillipCapit al.
Amit Hiranandani: Congrats for the good set of performance. Just a small 2 questions. Sir, stand -alone revenue on Q-on-Q basis was flat, but EBITDA margin improvement was about 73 basis points. So any one-offs here? And secondly, how do you see the mar gin after merging Marelli Motherson, starting Q1 FY26?
Rishi Luharuka: I will take the first question, we have always been stating CORE90 is a program that sort of embodies the whole profit improvement plan and some of these impacts obviously start coming

in the later part of the year. Having said that, your question is regarding one -off. So there are no one-offs in this.
Atul Jaggi: Yes, and maybe on the second question, as I mentioned, I think there will be impact, but it is not going to be very significa nt looking at the stand -alone overall top line and the revenues that in the short -term, we are expecting from the entity. So yes and we have already started working on the margin improvement there also. So, there will be a little drag, but it will not be v ery significant is what we are expecting.
Amit Hiranandani: Sir purely, if we exclude the Marelli Motherson, so are we on track to achieve the double -digit level for the stand -alone by Q4?
Atul Jaggi: So I think we are moving in that direction is what I ca n say. The project in hand, the Core 90 sort of program, the revamped Core 90 is definitely supporting, and we are on track to sort of meet whatever we have committed on the margin. Yes, we have been consistently improving, which is a good sign, and we wan t to move in that particular direction.
Amit Hiranandani: Right. Just last one question, sir. Can Hero MotoCorp will be Gabriel' top 3 customer in the first year itself?
Atul Jaggi: No, not. Anyway, see, we don't have -- while we are discussing a few thing s there, but we don't have a firm LOI, I just want to clarify. The expectation from all of yo

u and all of us is that Hero should become a customer and our efforts are towards that. Becoming top 3 customer in the first year is not practically not possible b ecause obviously, the acquisition is there, then the development time is there, lead time is there. And obviously, you will start a business with one model. So it is always a gradual thought.



Moderator: Next question is from the line of Shashank Kanodia fr om ICICI Securities.
Shashank Kanodia: Congratulations for superlative performance. Sir, just wanted to check what will be the structure of Inalfa JV going forward, right? So right now, we are -- consolidation roughly 100% of the PAT to our consol numbers. So prudently, how do we project? So should we be building 49% of the PAT of the JV going forward? And what's the progress on that JV formation?
Rishi Luharuka: So, S hashank, thank you for asking that question. I can share what we can, which is that we are in advanced discussions to formalize the approach for the PN3 reapplication. It has got certain elements, which obviously because of confidentiality, we are not in a position to share. Once we have applied the same and have some guidance around it, we wil l be able to answer your pointed question in terms of 49%. But unfortunately, sorry, we will not be able to share that at this point in time.
hashank Kanodia: And secondly, sir, in your presentation, you mentioned this JV reaching INR1,000 crores of revenu e potential by 2030, right? And it's been an import substitution product and your ramp - up on the first bit has been excellent. So is it a conservative guidance? Or is it possible that we attain this INR1,000 crores in FY '28 itself?
Atul Jaggi: Would desire and wish, but it has too many moving parts, including the new competition that we are seeing in the market. If you ask me FY '28, it is very aggressive to take that number.
Shashank Kanodia: Okay. And sir, lastly, if you can help us pinpoint the opp ortunity serving of this e -bike business, sir. So I think what's the number of units sold in that particular market, the ASPs of the product? Some sort of flavor if you can give it, sir.
Atul Jaggi: So see, globally, it is a very large market. Obviously, t he global size of that market would be -- and just to clarify, you're talking of the e -bike business, correct?
Shashank Kanodia: Yes, yes.
Atul Jaggi: Okay. Yes. So see, globally, it is a very, very large business, both it is a B2B and B2C business. The gl obal market would be more than a sort of $1 billion kind of a market or beyond that size. What we are targeting is currently a part of that market where we are working with few OEMs. So the focus for us is B2B and the product development is happening accor dingly. We are also working with one of the OEMs to sort of co -create a product, which will be a very unique product for the market. In terms of the price realization, again, it all depends upon the kind of bike that is there. So very difficult to mention because the price may vary from, say, $30 to maybe $200 or EUR 200 or even sometimes more than that. But generally, it is anywhere between 30 to 70 is something where the majority of the market lies, this is for fork, I'm talking about.
Shashank Kanodia: Right. Okay. And sir lastly...

Atul Jaggi: Margins generally are reasonably good. But obviously, we will have to sign the LOIs to exactly pinpoint on what is the margin. But generally, the margins are attractive, the price I said, 30 to 70 is something whic h is the mass market.
Shashank Kanodia: Right, sir. And sir, lastly, you have been aspiring to become a top 5 shock absorber place globally, which eventually meant that company clocking $1 billion of sales. Initial target was obviously 2025. But now, sir, how do you foresee that time line? And is that th

e same aspiration till date also?
Atul Jaggi: So, the, yes, the aspiration to be one of the global top 5 is definitely there. Yes, in terms of the time line, as you rightly said, I think the difference betwe en, say, 7 and 5 is our difference than the $1 billion, okay? So how do we bridge that is something which we are working on. Obviously, there is a strategic plan in place to support that. But yes, we need to -- obviously, we need to look beyond India to ac hieve that number. So putting an immediate time line on this may not be possible. But yes, there is a plan to move -- continuously move towards that.
Moderator: Next question is from the line of Mahesh Bendre from LIC Mutual Fund.
Mahesh Bendre: Sir, if I look at a company level, I mean, the last 2 years has been phenomenal for us. We added multiple businesses. Sunroof is a one business. Then we did acquisition. Now we are talking of the e -bike. And in one of the interviews, our Chairman has also mentioned that adding more businesses probably this year and next year. So any view on this in terms of addition of new business over the next 2, 3 years?
Rishi Luharuka: So, see there are 2 aspects to it. One is the product line, which we sort of keep you posted li ke the solar or the e -bikes or the gas damper part, we have been updating you. On adding the new sort of product, yes, as I mentioned earlier, there are some discussions that are going on. We have shared in the past also that we would like to add at least one product this year. And as of now, I can share that we are on track. But sharing more details at this moment may not be possible.
Mahesh Bendre: So will this be organically? I mean, organic addition?
Rishi Luharuka: So, this -- adding new product would be inorganic.
Mahesh Bendre: Inorganic?
Rishi Luharuka: Yes. Organic is the product line that we have been talking about. This is something which we have been doing it, and we would continue to do and explore more opportunities like that. But this new prod uct would be inorganic.
Mahesh Bendre: Okay. Okay. And sir, Anand Group has set a time line for achieving 20 -- I think, INR30,000 crores of revenue by 2030 and Gabriel being a main company within the Anand Group. So what is our role in terms of achieving the group's target?
Rishi Luharuka: So a small correction. The group vision is to be INR50,000 crore by 2030, and that is what I think the group Chairperson and the group CEO had mentioned. So obviously, if the group has


to grow more than double, then Gabr iel also has to grow more than double. So being a flagship company, we -- our target also remains the same.
Moderator: Next question is from the line of Mrunmayee Jogalekar from Asit C Mehta Investment Interrmediates.
Mrunmayee Jogalekar: Sir, my question was related to the Sunroof business. So this quarter, we have seen a uptick. Would that largely be aided by Creta EV and Kia Syros?
Rishi Luharuka: So, Mrunmayee, the uptake was in line with the new program on -- for the Kia platform.
Mrunmayee Jogalekar: Okay. All right. And would it be fair to assume that the Sunroof business was almost close to, say, 90%, 95% utilization in the quarter?
Rishi Luharuka: Well, for the first line that we have as an installed capacity, the answer is yes. It's close to 75%, 78% utilization.
Mrunmayee Jogalekar: Okay. For the quarter?
Rishi Luharuka: Yes, for the quarter.
Mrunmayee Jogalekar: Okay. And the second line that we are planning to commercialize by end of this calendar, you mentioned. So you had mentioned previously t hat there are more modules in the pipeline, which will start contributing to the volume. So will that also align with the similar time line?
Rishi Luharuka: No, the line comes 8 months to 12 months before because then a lot of samplings and other things ne eds to happen. So by '28, '27 -'28, we are expecting

that line to get also utilized.
Mrunmayee Jogalekar: Okay. And sir, if I look at the difference between consol and stand -alone, this quarter, the employee costs were very low and depreciation cost went up significantly. So what kind of base should we look at for these 2 line items?
Rishi Luharuka: Depreciation largely is owing to some reclassification that we have done with Inalfa. So for the

quarter, you can take that as a reflection and take it for forward -looking guidance. And for the employee cost, my suggestion would be to look at the annualized numbers.
Moderator: Next question is from the line of Palak from MIV Investment Management.
Palak: Sir, what is the composition of Sunroof product this qu arter?
Rishi Luharuka: Composition of Sunroof?
Palak: Yes, revenue composition .
Rishi Luharuka: We are only manufacturing currently the BLT A Sunroof, which is the panoramic sunroof. So 100% of what we are producing is panoramic.
Moderator: Next question is from the line of Amit Agicha from HG Hawa.


Amit Agicha: Congratulations for good set of numbers, sir. Sir, in your presentation on Slide #46, the ambition is like the company aims to achieve 50% of energy needs, which are met by renewable sources by 2025. And the status shows that 17% is already achieved. So can I like, what are the major roadblocks to achieving 50% target?
Rishi Luharuka: So a couple of them, I'll help you understand, Amit. One is, obviously, there are some regulatory frameworks in couple of states, which do not allow us for a group captive that can significantly change the percentage. The other is that we are looking at some opportunities in terms of enhancing our rooftop solar as well and some energy changes in terms of the change in LPG to PNG.
Amit Agicha: And sir, may I know the total employee headcount at the consolidated?
Rishi Luharuka: I would suggest to wait for some while, while we release the annual report, we'll share the numbers there.
Moderator: Next question is from the line of Jayesh Gandhi from Harshad H. Gandhi Securities Private Limited.
Jayesh Gandhi: Yes. Sir, I have a question on damper only. You have given the market size of sola r damper. . Is it not possible to provide a market size of damper then?
Rishi Luharuka: Only damper market size.
Jayesh Gandhi: Or maybe you can just let us know...
Atul Jaggi: We will let you know.
Jayesh Gandhi: The cost of a damper in a tracker.
Atul Jaggi: See the cost of the damper, again, it is exactly the same challenge like what I have been mentioning about, say, the front forks and all. See the cost of the damper, just to again share with you, the cost can vary, say, from, say, $10 number to a $60, $70 number, okay?
Jayesh Gandhi: And what would be that as a percentage of the damper? I mean sorry tracker.
Atul Jaggi: Talking on the damper cost in the -- obviously, the solar tracker cost, I will have to check the -- because it also depends upon lot of other factor in the entire solar tracker, but I'm talking of the damper cost. So the dam per cost can vary between $10 to at least $60, $70.
Jayesh Gandhi: Okay. And though you don't share product -wise margin, but is this product going to -- I mean is it going to be a similar kind of a margin as the company is enjoying or is it going to be sup erior or inferior what you can say?
Rishi Luharuka: Our aspiration is to -- in this product to have a better margin than what the conventional products have.


Jayesh Gandhi: Okay. And one last thing. Sir, do you think this product can also be kind of INR1,000 crore kind of a product in, say, 5, 7 years?
Atul Jaggi: No. We -- as of now, we are not expecting that. We are working with very limited customers. We are in the process of developing good technologies for this and then we would li

ke to ramp
up. And as I mentioned, I think the first target that we have taken is to sort of take it to INR200-plus crores, anywhere between INR200 crores, INR300 crores in the next say 3 years' time. And then by the time we will also understand the product, the market, the te chnology in more detail.
Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments.
Vignesh Iyer: Congratulations on a g reat set of numbers. Sir two question from my side, firstly, Firstly, I want to know, our net working capital base is around 29 days, which seems to be highest in the last five years. . So could you help us understand, I mean, how it would be going forward? And my second question is wanted to know what would be the capex size in FY '26 and the breakup of growth capex and maintenance?
Rishi Luharuka: So, Vignesh, well, the first question is with regards to -- I'll take the second one. The capex ,

we've already given guidance of INR100 crores to INR150 crores, roughly INR40-odd crores remains as maintenance capex , rest of that could be either R&D or capacity announcement.
Vignesh Iyer: Working capital ?
Rishi Luharuka: Working capital is basically an impact owing to the change in the SAP. We've upgraded from ECC to SAP rise and owing to having some blackout days because of this migration, we had built up some inventory. And there were some other impacts on the current liability as well. So it was a quarter phenomena , to my understanding and best expectation, it should normalize in the first quarter itself.
Vignesh Iyer: Sir, can you share the mix of inventory receivable and payable?
Rishi Luharuka: We've released the balance sheet. So broad numbers are there effectively from that.
Moderator: Next question is from the line of Sanket Kelaskar from Ashika Stock Broking Limited.
Sanket Kelaskar: Congratulations on good set of numbers. Sir, my first question is on gas spring. So what is the revenue potential in gas spring going ahead? And what is the time line when we can fully utilize our gas spring capacity?
Rishi Luharu ka: Yes. So on the gas spring, see, currently, there are actually 2 players in the Indian market. One is the sort of the acquired entity that is now the Gabriel plant, where the market share is 5% and the competitor has 95% share. So if you ask me the oppo rtunity, there's a tremendous opportunity that is available to take this number from 5% to a much higher number.
So this is the opportunity that is there. And in terms of the capacity, the current capacity utilization is around 68% to 70%. So we have some capacities available. But yes, if we have to significantly change the market share, which we would like to do, then some capacities have to be added in the gas dampers .


Sanket Kelaskar: Okay, sir. Sir, my second question is on aftermarket. How do you plan to expand in aftermarket? Do you plan to increase your number of offerings? Or just your view on aftermarket, like how much contribution do you expect from it?
Rishi Luharuka: Yes, aftermarket is a very important lever for us, both in terms of bottom line, in terms of top line. So -- and I think we have been growing year -on-year in the aftermarket space. So again, in terms of the focus areas there, continuous addition of the new products, like as an example, we are now launching because of the MMAS acquisit ion, we have been able to add lot of these gas dampers and a few other products which are not in our portfolio.
So obviously, continuous launching of the new products, continuous focus on NPD in the aftermarket and also the new product lines in the afterma rket. In addition to that, we are also looking at some geographies like Latin America, etc, to focus on the exports, pure aftermarket exports. So yes, it continues to be a very significant lever for us moving forward.
Moderator: Next question is fro

m the l ine of Shubham Sehgal from Skill Ventures.
Shubham Sehgal: Yes. My question was on our Sunroof subsidiary. So what are the revised terms in terms of the tech license fee and royalty? And any revisit on the JV structure or it's done and dusted?
Rishi Luharu ka: So, Shubham, as of now, 5% is shared by both the partners, which is Inalfa and Gabriel. Till we apply for the P&C and we have further update on that, that will continue. On the JV, we've already stated our position. We are in advanced discussions to fo rmulate a way forward and do the reapplication. Once we have some more information to share, we'll happy to discuss.
Shubham Sehgal: So any time lines do we have for that?
Rishi Luharuka: Well, we were targeting, as we had mentioned last time March, but we want to be doubly sure of the approach that we are taking. So hopefully by end of this quarter, we should be in a position to reapply.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Atul Jaggi for closing comments.
Atul Jaggi: Yes. Thank you. So I take this opportunity to thank everyone for joining the call. I hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our Investor Relations Advisor. Thank you so much. Have a good day.
Rishi Luharuka: Thank you, everybody, for the support you guys have shown us. I hope that the same will continue going forward.
Moderator: On behalf of Gabriel India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Jul 2025



“Gabriel India Limited

Business Update Call ”
July 0 1, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1st July 2025 will prevail

MANAGEMENT : MRS. ANJALI SINGH – CHAIRPERSON – GABRIEL INDIA LIMITED
MR. ATUL JAGGI – MANAGING DIRECTOR – GABRIEL INDIA LIMITED
MR. MAHENDRA GOYAL – GROUP CEO



Moderator: Ladies and gentlemen, good day and welcome to the B usiness Update C all of Gabriel India Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. We request all the participants to restrict their questions only to the subject matter of the transaction announced yesterday by the company. I now hand the conference over to Mrs. Anjali Singh, Chairperson. Thank you and over to you, ma'am.
Anjali Singh: Thank you very much. Good morning and a warm welcome to everyone joining on this call today. I'm pleased to share that the Board of Directors of Gabriel India has approved a composite scheme of arrangement. The investor presenting detailing this developmen t is uploaded to the stock exchange and is also available on the company website. We hope you've had an opportunity to go through this.
This scheme of arrangement marks a meaningful step forward in realizing our group's strategic vision, realigning the corporate structure to unlock synergies and enhance our competitive edge. Gabriel India is set to play a pivotal role in this transformation, serving as our group's vehicle for future growth and the platform for long -term value creation.
With an ambitious group revenue target of INR50,000 crores by 2030, Gabriel India is poised to lead the charge, redefining its legacy and setting new benchmarks in innovation, agility and shareholder value. This scheme also represents a significant milestone in Gabriel India's evolution from a single product suspension manufacturer to a diversified technology -driven mobility solutions provider.
In 2023, we took the first step in this tra nsformation by partnering with Inalfa Roof Systems to enter into the sunroof business, signaling a strategic intent to become a multiproduct company. Through this scheme, we aim to enter new product segments to mitigate concentration risk for direct alliances with global partners to co -develop advanced tec hnologies and leverage synergies through scale and shared resources.
This arrangement will position Gabriel as a preferred global OEM partner, expand our customer base, embrace cutting -edge technologies and strengthen our aftermarket presence through a diverse product portfolio. By consolidating mature ventures under Gabriel's umbrella, we enhance scale without incurring additional debt, addressing investors expectations around diversification and M&A.
Ultimately, the scheme is expected to accelerate profitable growth with improved margins, deliver a very good earnings per share accretion and generate higher returns on equity, creating

substantial long -term value for our shareholders. With that, I now invite Mr. Mahendra Goyal and Mr. Atul Jaggi to provide an overview of the proposed scheme. Thank you very much.



Atul Jaggi: Thank you, Mrs. Singh. Good morning, everyone and thanks for joining the call. As you know that we have uploaded the investor presentation giving more details about the transaction. But for the benefit of everybody, I will take you through some of the highlights of the presentation. I'll also keep mentioning the slide numbers for the benefit of all of you.

So I'll straight away jump to Slide number 6, where we will give the overview of the proposed scheme. So as you are aware that we have bee

n actively evaluating organic and inorganic
opportunities. I think time to time we have been discussing about it in various forums and calls. Also, we have identified a few businesses and investments for potential acquisition through a scheme of arrangements, which have been held by the promoters of Gabriel. S o right now, we are looking at four entities An chemco, Dana Anand, Henkel ANAND and A NAND CY Myutec. So I will touch a little bit more about them in the subsequent slide.

So in terms of the proposed transaction, the next slide will give you more details of that. This is obviously subject to the key approvals from the creditors, NCLT, stock exchanges, shareholders, majority of minority and the time lines that we are looking at is 10 to 12 months subject to the regulatory approvals.

If you go to Slide number 7, it gives a more clear view of the transaction mechanics. So as a first step, the merger of Anchemco into AIPL happens, then demerger of the business undertaking, which means the business of Anchemco and investments in ACYM, Dana Anand, Henkel Anand from AIPL into Gabriel. And then as step 3, Gabriel, issue shares to AIPL's shareholders.

So Slide 8 shows the resultant structure post this entire transaction. So Anchemco gets merged into Gabriel. So in addition to the damper, shock absorbers, front forks business, we add the business of Anchemco. IGSS and the GEEC, which is the R&D, the European R&D tech center continues to be 100% subsidiaries of Gabriel and Gabriel acquires stake 25.1% in Dana Anand, 49% in Henkel Anand and 76 % in ACYM.

Now I'll go to the strategic rationale. So we'll jump on to Slide number 10. As also explained by the Chairperson, so we are basically looking at transformation of Gabriel through either itself or through its investment from a single product company into a diversified product company.

We are looking at enhanced collaboration with the foreign strategic partners and obviously, achieving synergies through economies of scale and shared resources. As you are aware, the domestic dominance and global presence has been a key pillar in the Gabri el strategy. So we look at expanding the customer base, we are looking at better supply chain synergies, leveraging the global relationships and obviously the larger product portfolio, wherein we are also able to enhance our aftermarket presence.

The third rationale is the simplification of the group structure. So this will consolidate the business of demerged undertaking of AIPL into automotive components making Gabriel the growth engine for the automotive business in the future. And this also add resses the repeated queries of investors on product diversification, M&A by br inging the existing mature JVs under Gabriel fold.



This helps Gabriel scale up without any leverage or cash outlay, accretion of EPS has been already explained by the Chairperson. We are looking at a 40% on a current scale basis and the enhanced ability to raise the funds for future organic and inorganic growth.

I'll touch quickly briefly on the entities. So Slide 12. If you look at Dana Anand was established in 1993. The current size of the business i s close to INR2, 700 crores with a healthy improving EBITDA margin of 16%. In terms of the product portfolio, axles and drive sha fts with supplies to all the key UVs and the commercial vehicle customers. The stake, as I already mentioned of AIPL is 25.1% current .

Coming to Henkel Anand, again, a joint venture with Henkel Germany a leading supplier of BIW and NVH product solutions to all the major OEMs in the country. Last year revenue was around INR900 crores, with again improv ing healthy EBITDA margin of 26 %. Customer base, I have already touched on and in terms of the return on investment and equity, I think we are looking at a very high number of about 60% in this particular case.

T

he shareholding here is 49% AIPL and 51% Henkel. Coming to the third entity, which is Anand CY Myutec again, a joint venture with the CY Myutec of Korea, the AIPL stake is 76% here, last year revenue was a little more than INR200 crores with an EBITDA margin of 12%. And again, we are looking at a 22% ROC E.

The product categories here have been the synchronizer rings both on the brass side and lately on the steel side and the aluminum forging, which is a very interesting product gets added to the kitty.

Last but not the least, coming to Anchemco India. This was incorporated in 2010 as a business unit of ANAND Group. Last year sale was around INR330 crores. Again, a good healthy EBITDA margin of around 12%. Key customers being Tata Motors, Daimler, Mahindra. And the product portfolio for this entity is brake fluids, radiator coolants, diesel exhaust fluids, which is ad-blue and PU and PVC adhesives.

Coming to the valuation and the emerging shareholding post the scheme. So we have the two independent valuers, KPMG and BDO India. The fairness opinion was given by the ICICI Securities. We are looking at EV EBITDA of a little less than 8x in the transaction with a mentioned swap ratio of 1,158 against 1,000 shares of AIPL. So post the merger, the promoter shareholding becomes 63.5% and public become 36.5%.

Slide 19 gives you a little more details on the -- who all were involved in the transaction as an adviser . JM Financials was the exclusive financial advisers a c atalyst helped in structuring and scheme implementation, ICICI Securities as I mentioned for fairness opinion, KPMG and BDO as independent registered valuer and Coortus as due diligence advisors.

Yes. So that is a brief of the transaction. I would now request you to ask the questions. Again, my request, again is that let us keep the question focused on the transaction and not get into the Q1 results because as you know, the Board meeting will be coming up in the next few weeks about Q1. Thank you so much. Over to you.



Moderator: Thank you very much. We will now begin the question and answer session. T he first question is from the line of Jay Kale from Elara Capital. Please go ahead.

Jay Kale: Yes, good morning and thanks for taking my questions and c ongratulations team for taking t his step, which has been a long standing wish of investors. My first question is if you could just walk us through some of the concentrations that were d iscussed in shortlisting these four entities to get into the consolidated listed entity.

Was it that these companies had better synergies with the existing company? And in that context, how should one view the other group entities and c ould that be in the offering, in the coming years?

Mahendra Goyal: Yes. Thank yo u. Thanks for your question. So, of course, our group size is right now INR20,000 crores and the companies which we are consolidating those itself around INR4,000 crores. And we consider the Gabriel size today, Gabriel itself INR 3,500 crores plus we have already a subsidiary company Inalfa.

So that itself, when we put together the Gabriel, INR4,000 crores plus additional INR4,000 crores, we are transferring through this transaction. So that takes care of almost 40% value of the group actually, which is being consolidated at the Gabriel level. So this is the first time, which was fit from the product point of view.

From the size point of view, enriching the shareholder value point of view, considering the JV, we have the joint venture, what is the joint venture strategy in future, considering all those things, I think this is something we found optimum at this stage. And later, of course, as all depends on how it is decided by the Gabriel Board or management. Those things will be answered at an appropriate time.

Jay Kale: Okay. So most likely, this should be probably like a starting step, ho

pefully. And my second question is you just -you've mentioned about group revenues close to INR20,000 crores currently, expected target of INR50,000 crores by FY '30. Is it fair to assume that Gabriel increme ntally should be having a higher growth trajectory given that incrementally a lot of new products will come into this entity? So is that a fair resumption for us to make?

Mahendra Goyal: Well, I think Chairperson made a comment and you have seen the investor presentation, which is already uploaded that there is a message very clear that our target is INR50,000 crores. And Gabriel is going to be our growth engine actually. So that is someth ing our strategy and which should answer the questions which you have in mind.

Jay Kale: Okay. And also just…

Moderator: I am sorry to interrupt sir. Mr. Jay can you please come back in the queue.

Jay Kale: Okay. I will come back in the queue. Thank you.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

Mumuksh Mandlesha : Yes. Thank you so much for the opportunity and s trong congratulations on the major move to start the consolidation and simplification of ANAND Group structure and with Gabriel as front face of the group. So first question to Anjali ma'am. Just can you share your thoughts at the promoter level behind this move of simplification of the group structure and with the Gabriel entity as front face of the group, is it to unlock more value for the group? What are t he benefits of having a listed company for the group ?

Anjali Singh: Yes. Thank you very much for your question. As a family, I think you can see with the change of guard and a far more aggressive outlook on the business n ow seeing where we are in India. We feel very strongly that we're in a great position to build value for the Gab riel shareholder and also to use Gabriel as our vehicle for growth going forward.

So I guess my answer very clearly is that, yes, Gabriel is the vehicle for growth and we see this as a first step on both looking at organic and inorganic opportunities for the company.

Mumuksh Mandlesha : Just on the group level, as we plan to grow 2.5 x, so earlier we had a plan to do one kind of M&A per year. Now since we are also doing a lot of ICE and EV products with this new acquisitions, will Gabriel also be seeing much higher pace of acquisition as a group , you always do two to three acquisitions per year? So should that also change with this new structure?

Anjali Singh: No. My only answer there to starting point and Mahendra you can take the rest of the question is, of course, with -- in conjunction with the Gabriel Board and the Gabriel strategy as it unfolds, we hope to have positive movement in the future as well on ne w opportunities, of course, based on each opportunity that we look at. Yes, Mahendra, please.

Mahendra Goyal: Yes, I think you have seen already that we started with Inalfa, 2 years back. And then we added another business very recently, one of the small acquisition, which is in the same product. So that's very clear for us. And the message, which is already share d with all of you that Gabriel is growth engine for us. And we continue to grow, whether it is acquisition or this kind of opportunities to Gabriel actually.

So Gabriel is a growth engine. That will continue for this kind of restructuring and also for the future investment, whatever we will examine whether it is a joint venture or merger or acquisitions basically.

Mumuksh Mandlesha : Got it, sir. S o there are very good JVs which have ad ded to Dana Anand, Henkel ANAND, but then we have a minority holding currently. Is there a potential over a period of time to increase the holding in this company and where can we have a more major shareholding?

Mahendra Goyal: So we cannot have an answer to this question because it is -- the

re is a JV partner and we have their holding. So it stays as it is, basically the way we have our agreements. And there's no change, which we are expecting anything in the current structure.

Mumuksh Mandlesha : Got it. Thank you so much for this opportunity.

Moderator: Thank you. Th e next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.



Aditya Khetan: Congratulations to the group for the recent acquisitions. Sir, just I have a couple of questions. First is, apart from the suspension and the sunroof business, what amount of market size opens up for Gabriel, considering all the entities, Dana, Henkel, Anc hemco consolidated entities?

Mahendra Goyal: Yes. I think there is a lot of space available. I think it is before entity to entity I think we have a lot of scope in Anchemco. We are not having too much of a market share. And that is the primary reason for bringing Anchemco into the Gabriel fold. So w e can use the OEM strength of Gabriel, we can use the aftermarket network, which is very, very relevant for business of Anchemco. So that is something which is, I think, a lot of opportunities from the market capturing point of view in futu re.

Similarly from the synchronizer ring point of view, that currently, we have fairly placed, but one of the recent business which we have started in synchronizer company ACYM, which is basically related to aluminum forging. And the Gabriel is very, very str ong in the 2 -wheeler, which everybody knows here.

And considering the Gabriel strength in the 2 -wheeler and that product of aluminum forging is directly adding synergy to the Gabriel business and of course, the company which is being -- will be subsidiary company. So that is what I think we intend to cap ture the market, and these other business will be directly attaching to the Gabriel sales as well.

Atul Jaggi: So I'll just add on one point to this. You know that I think we have been discussing about Gabriel very strong share in the EV space. And you know the kind of value addition that we can do on

the light weighting with our current EV customers.
So I think there are clear synergies, which we have mapped and we see these entities scaling up.
And if you also look at these entities, these are all very well -run entities. The growth in the previous year, the data is already available with you. I think they have all been growing double digit comfortably.
Aditya Khetan: Sir, my second question is, sir, in your presentation, you mentioned that in FY '25, there would have been accretion of EPS by INR7 per share. So this is considering if all entities would have consolidated today. So on base business, INR7 would have been a dded. Is it correct, sir?
Mahendra Goyal: Yes, yes.
Aditya Khetan: Okay. So sir, just a direct question, too, how you see like the growth trajectory like for the next 2 to 3 years? This INR7 can be INR9, INR9.5, INR10 per share?
Atul Jaggi: So, you know that I think we normally don't give any forward -looking guidance for that. But again, I think the data is available with you. You can see that these companies are all -- have been growing exceedingly well. They have been doing very well. So -- but anyway, we'll not be able to put a number to it. Aditya, you can understand.
Aditya Khetan: Yes. Sir, just one last question. Sir, into the presentation for the Anchemco business, the numbers which you have mentioned, the financial numbers, so they are the balances. So these numbers, we have to directly add to the Gabriel, and the remaining numbe r, sir, you've not mentioned that


whether they are the balances or it is the complete figure of that company. So how should we look at it, for other companies and for Anchemco?
Atul Jaggi: So it is, the numbers are all complete numbers. So obviou

sly, Anchemco gets added as it is and all the other 3 proportionate to the shareholding gets added.
Mahendra Goyal: So basically, you know that Anchemco is getting much. So that top line added directly to the Gabriel and ACYM becomes the subsidiary of the company. So we are able to consolidate like any other business. And rest of the business will be associates and their profit will be added to the Gabriel actually, directly to the Gabriel.
Aditya Khetan: Okay. So sir, just one last follow up…
Moderator: I'm sorry to interrupt. Mr. Aditya, please come back in the queue for further questions. The next question is from the line of Jeetendra Khatri from Tata Mutual Funds.
Jeetendra Khatri: Sir, my simple question is, what is your market share in each of these 4 entities in their respective markets? That I wanted to know?
Mahendra Goyal: Okay. So I think we are fairly covered like from the ACYM point of view, we are very well placed in the passenger car and the CV market. So this is something I would say, from a market point of view, we can say we are doing very, very good market share her e. Aluminum forging, we have to build up market for that. That's the opportunity which we want to encash with the Gabriel synergies.
Anchemco, I already shared, there is a lot of scope to improve our market share. So we have not so much of market share in this. And therefore, we want to use the synergy of Gabriel again to enhance the market share. And Dana, we are fairly, I would say, o ne of the leaders in this. And similarly, in the other business, Henkel Anand, we are one of the leader in this.
Jeetendra Khatri: So, Dana and ACYM, can you tell the number -- the exact number in market share since you are the leader there, Dana and ACYM?
Mahendra Goyal: Very difficult because of product wise. We have big deals with multiple products actually. So that's the reason I'm saying that we are the market leader. You can assume, if there are 3 player, we are having 30% to 40% market share. So that's what the marke t leader point of view, basically.
Moderator: The next question is from the line of Viraj Kacharia, an Individual Investor.
Viraj Kacharia: Yes. Sorry, this is Viraj from SiMPL. Just 3 questions. But before that, to Anjali, Mr. Mahendra and Mr. Jaggi as well, thanks for the opportunity and congratulations on this initiative. I think even before this, we had seen a very good consistent executio n playing out in Gabriel stand - alone. And with this new product, I'm sure it will further strengthen our flagship company in coming years. So congratulations to you and the team.


Couple of questions. First is on the broader path of which we have taken with this new product initiative, I think one of the earlier thinking was that Gabriel will be the play for any new fuel agnostic products.

But if you look at some of the products which we have added with this restructuring, we also have a play in the EV component value chain. So just trying to get some more perspective going forward, will Gabriel be the sole vehicle for any fuel -agnostic pro duct or we will also have a play in any EV product value chain?
And a related question is, see, if you see some of the other group auto component groups in India, there are few players who have gone more global in terms of product acquisition and trying to be more bigger in specific product chains. Experience of them has not been that accretive while a lot of other companies, successful companies have focused more local and played either in terms of premiumization or import substitution.
So for us, incrementally, where does the larger focus lie? So these are 2 questions on the part and then just add one more question, but I'll just come back after?
Atul Jaggi: So Viraj, thanks for kind words. And so maybe I'll start with the first question. So as you know, we have been talking abo

ut, obviously, the focus has been EV agnostic I would say, the agnostic product. And -- but again, there's nothing that is cast in sto ne.
So the reason why we have been -- we have been talking about some of the pure EV products is because you know that, one, the market itself has not matured. The market size itself, say, in the passenger car segment is quite small. 2 -wheeler has grown, but i t is also stagnant for quite some time.
The technologies that are coming up very rapidly changing. So a lot of, obviously, capital inflow is needed, the technologies are changing. So some of these entities have to take time to get mature. So obviously, we would also like to see a consistent performance of the product and the entities before we take any call.
That does not mean that, let's say, like an example, Mr. Goyal said that aluminum forging, now while yes, a bigger play can be there on the light weighting side. But again, it is not only restricted to the EV. It is applicable everywhere. Even there are g reat opportunities. I can say that available even for the backward integration when it gets with Gabriel .
So again, this is the thinking that is going behind it. Coming to the second point on local versus global, again there's no restriction per se. Yes, any opportunity that comes, whether in India or outside India, gets evaluated from multiple angles. If we see the value for all the stakeholders coming in, we are more than happy to even look at opportunities outside of India.
A couple of them, to be honest, we have explored. Unfortunately, we did not sort of -- they did not certify because of some challenges that we could see. But otherwise, we are completely open on both these sides.


Viraj Kacharia: Okay. Just one more question was on the synergies part, either in terms of margins or things, I think you've been taking a lot of initiatives at the parent level also, setting of the leadership team, restructuring of businesses and there's already some bit of sales interlink between Gabriel and some of those entities, which we talked about, either in aftermarket or other ways.
So I'm just trying to ask is, are there any low -hanging fruits either in terms of synergies you think, be it sales or costs, which can play out in the near term for you? And on a medium term, either in terms of qualitatively or quantitatively, you can talk a little bit more on the synergies, be it sales or capabilities or cost part?
Atul Jaggi: So I can give you a couple of examples, again of the synergies that we see in the, I would say, in the short run. And obviously, you would understand that I think as the time unfolds, a lot of these things will become more clear and we'll be able to share more.
But again, sort of aluminum forging, fantastic synergies that we see with our strong presence both in the 2 -wheeler side and also OEM, you know Gabriel has more than 70% share with the EV companies. So that relationship of last 10 years can very strongly s upport here.
Aftermarket business, again, the network that Gabriel has in the aftermarket, not only restricted to 2-wheelers, but also on the passenger cars aftermarket. A company like Anchemco, we can leverage any product that is available currently.
Ad-Blue, the diesel exhaust fluid is obviously one of their strengths, but whether it is brake fluids, whether it is coolants, whether it is the adhesive, we can use the Gabriel network, we can leverage the short -term and medium -term sort of synergies. And as the time unfolds, obviously, we will look at adding more technologies and other things as time progresses.
Viraj Kacharia: Just one request to Anjali -- yes, it is just a request to Anjali and Mr. Mahendra, maybe we can see more active presence from the parent promoters, not every quarter, but maybe once a year, it will also be very helpful to understand your perspective in fu t

ure as well. So that's one request,
yes, that's it?

Anjali Singh: Thank you. Appreciate your comment and well accepted.
Moderator: Thank you. Ladies and gentlemen, this will be our last question. It's from the line of Priya Ranjan from HDFC AMC.
Priya Ranjan: Thanks and congratulations to the both ANAND Group and the management of Gabriel India for doing all this exercise. So I just wanted to have one question how will be the mix change with all this between say 2 -wheeler, 4 -wheeler, I mean, pass car and CV, etc ., because that is one missing piece, which we are not able to see in the presentation?
Mahendra Goyal: So I think it's, again, a mix of the products, you can see that when we are talking about why we are bringing this to it, say adding many projects to Gabriel, so from single product to that multiple product portfolio actually. And from a market share point of view, it is adding now basically, whether it is CV, now Gabriel has been very strong in CV already.


Now from the Dana point of view, the Dana is, again, a very strong company from the CV point of view and Anchemco is also very strong in the CV segment. So you can see that the overall pie or overall strength of the Gabriel is increasing the CV segment.
Now look at differently from the other business point of view, the ACYM and of course, the Henkel, they are primarily doing good business in the Passenger Car segment actually. So that adds value to -- in the Passenger Car segment actually.
So it is enhancing the overall, I would say, the market share for Gabriel in these products, whether it is Passenger Car or it is commercial vehicle yes, right now, the business don't have any 2 -wheeler, much of the 2 -wheeler business, and that is what we said that we will be now using the Gabriel strength to develop more products for the 2 -wheeler through with the Anchemco and through the ACYM basically.
Priya Ranjan: Sure. So one way, I mean just to clarify, is it more balanced between, say, pass car, 2 -wheeler and commercial vehicle now rather than earlier it was more 2 -wheeler heavy?
Atul Jaggi: Yes, yes. So definitely, the -- especially the entities, which will get consolidated from the top line point of view. They would add to passenger cars and the commercial vehicle portfolio. And again, there would be places while they are very strong in both , there are opportunities on the 2 - wheeler side. But yes, you will look at a little more balanced portfolio, I would say that.
Moderator: Thank you. Ladies and gentlemen, this was the last question. I now hand the conference over to the management for their closing comments.
Atul Jaggi: Thank you all once again for your participation at such a short notice. As we mentioned earlier, we are truly excited about the future of the company. This step marks a significant milestone in our journey and is aimed at driving stronger, more sustainable value for our shareholders.
At the same time, our unwavering focus remains on our core business, suspension business where we continue to pursue our vision of being one of the top 5 globally. This initiative complement to that core, allowing us to expand our portfolio and derisk our overall business.
Thank you once again for joining the call. Thank you so much.
Anjali Singh: Thank you very much, everyone.
Moderator: Thank you. On behalf of Gabriel India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

# Call: Nov 2025



"Gabriel India Limited
Q2 FY26 Earnings Conference Call"
November 13, 202 5



MANAGEMENT : MR. MAHENDRA GOYAL – GROUP CHIEF EXECUTIVE OFFICE R – GABRIEL INDIA LIMITED
MR. ATUL JAGGI – MANAGING DIRECTOR – GABRIEL INDIA LIMITED
MR. MOHIT SRIVASTAVA – CHIEF FINANCIAL OFFICER – GABRIEL INDIA LIMITED
MR. NILESH JAIN – COMPANY SECRETARY – GABRIEL INDIA LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to Gabriel India Limited Q2 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company that are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks a nd uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Atul Jaggi , Managing Director from Gabriel India Limited. Thank you, and over to you, sir.
Atul Jaggi: Yes. Thank you. Thank you so much. Good morning, everyone. A warm welcome to everybody present on the call. And joining me today, we have Mr. Goyal, the Group CEO; Mohit, our CFO; Mr. Nilesh Jain, our Company Secretary; and SG A, our Investor Relation Adviso r.
We have uploaded our results and investor presentation for the quarter ended 30th September 2025 on the stock exchange and on the company's website. I hope each one of you had a chance to go through the same.
The company entered into a joint venture with SK Enmove Co., Ltd, a leading Korean corporation to undertake the business of engineering, manufacturing and marketing of comprehensive range of automotive and industrial lubricants, including engine oils, e -fluids, shock absorber oils, greases and thermal management fluids.
With Gabriel India holding a 49% stake in the new joint venture, this partnership marks a strategic step towards expanding our presence into newer product segments that complement our core business and support the evolving need of sustainable mobility. Thi s joint venture is in line with our ambition to transition from a suspension -centric company to a diversified and innovation -driven mobility solution provider.
Additionally, I would like to share an update on the revised joint venture agreement between Gabriel India and Inalfa Roof Systems. The earlier proposal, which had a shareholding of 49% by Gabriel India Limited and 51% by Inalfa was subject to PN3 approval . However, the application for PN3 approval filed by Inalfa was rejected by the Ministry of Heavy Industries, Govern ment of India in the year 2024.
Following this, both parties have agreed to revise the proposed shareholding structure to 65% by Gabriel India and 35% by Inalfa, subject to fresh PN3 approval. A revised joint venture agreement reflecting this structure will be installed in due course and its execution and implementation will proceed only after obtaining the necessary regulatory approval.

Now let me start with providing a brief overview of the company's operation and key highlights in the automotive industry. In Q2 FY '26, our standalone operating revenue grew by 15.4% year -on-year, reaching to R s. 1,066 crores, supported by higher volume and strong sales performance in all our segments with the 2, 3 -wheeler growing by 15%, passenger vehicle segment growing by 13% and commercial vehicle railway division growing by 35% year -on-year.
EBITDA grew by 19% Y -o-Y, reaching R s. 96 crores with margin improving from 8.7% to 9%. This improvement in margins is attributable to higher volumes and the continued impact of our operational excellence initiative under the CORE 90 program. In the quarter gone by, Inalfa Gabriel Sunroof Syst ems Private Limited reported revenues from operations of R s. 114 crores and EBITDA margins at 16.5%. The sunroof business continues to experience strong

demand
fueled by rising volumes and new vehicle launches.
On a consolidated basis, our quarterly revenue stood at R s. 1,180 crores, showcasing a growth of 15% on a Y -o-Y basis. And for the half year, revenue stood at R s. 2,279 crores, reflecting a growth of 15.5% as compared to H1 FY '25. EBITDA for the quarter stood at R s. 116 crores, reflecting growth of 18% on a Y -o-Y basis with margins standing at 9.8%.
And for the H1 FY '26, EBITDA stood at R s. 225 crores, marking a growth of 19% on a year -on-year basis with margins standing at 9.9%. PBT for the quarter was R s. 91 crores, showing an 11% growth year -on-year. And for the half year, our PBT stood at R s. 172 crores, marking a notable growth of 9%.
Quickly coming to the industry highlights. For the Q2 FY '26, the automobile industry delivered a healthy performance, growing by 9.5% Y -o-Y with volumes reaching 8.8 million units. This was supported by steady domestic demand and strong export growth, particularly for Africa, Latin America and Middle East. The early part of September saw some softness as the customers awaited clarity on GST 2.0, but demand rebounded sharply once the uncertainty lifted. Overall, Q2 FY '26 closed on a positive note. As we e nter the second half of the fiscal year, we see this demand momentum continuing with a positive consumer sentiment.
Coming to the 2 -wheeler. The 2 -wheeler segment delivered a 10% year -on-year growth, reaching 6.8 million units, supported by very good rural demand and revised GST structure. Scooters led with 12% growth, while motorcycle growth was 10%. Export was really good. It hit a wonderful 1.3 million units, rising 25% year -on-year. Overall, the segment remains a key driver for the industry recovery.
3-wheeler, again, the segment continued to post a healthy growth, 21% year -on-year growth in this particular quarter. This was driven by easier financing and rising adoption of last -mile mobility solution. Export in 3 -wheelers reached to 1.23 lakh units, u p by 51% on a Y -o-Y basis.
On the passenger vehicle side, in the Q2 FY '26, the passenger vehicle segment demonstrated a gradual recovery with volumes rising by 2.4% Y -o-Y, reaching 1.3 million units. The quarter started on a softer note, but gained traction towards the end, support ed by the GST 2.0 rate reduction, improving customer sentiment and the onset of the festival season. A key highlight


for the quarter was the sharp rebound in exports. EV export shipment rose to 2.4 lakh units, marking a 23% year -on-year increase.
On the CV side, the commercial vehicle this quarter delivered a healthy 9.4% Y -o-Y growth with sales reaching approximately 2.6 lakh units. The growth was 10.1% in the M&HCV segment and while the LCV segment grew by 9%. Exports also grew by 22%, reaching 2 .24 lakh units.
Quickly on the EV side, the electric vehicle segment recorded a strong Y -o-Y growth of 13% with volumes now reaching 5.8 lakh units. This is being driven by expanding product portfolio across the segment and improving charging infrastructure, showing a shi ft in the consumer preference towards cleaner and more cost -efficient solution.
Looking ahead, the Indian automotive industry enters the second half of FY '26 on a strong footing, supported by festive momentum, stable macroeconomic conditions and the positive impact of GST 2.0. On that note, I come to the end of my opening remarks.
I'll now request the moderator to begin the Q&A session. Over to you.
Moderator: Thank you very much. We take the first question from the line of Jay Kale from Elara Securities. Please go ahead.
Jay Kale: Sir, my first question is on SK Enmove. If you could just outline some of the details of the

transaction in terms of what is the size of revenues that you're expecting initially, when could we start seeing this? And also, as SK Group has m

any products globally. So, is there any thought process of eventually localizing some of these products or getting those products over here? If you can just elaborate a little bit of this transaction and your outlook on this?
Atul Jaggi: Thank you, Jay, for the question. We have our Group CEO, Mr. Goyal. Sir, if you are there, you can answer, give your perspective.
Mahendra Goyal: It is a very large group which you have seen probably on the press note also and whatever social media information was available. So, they are in the different product line. But for business which we have entered into a joint venture with SK Group, it is for the lubricant, which Mr. Jaggi already covered in his initial briefing. So that is what our initial joint venture with SK Group. A nd we have not discussed anything about any other products so far. So let us restrict our discussion with r espect to the lubricant business only.
And from the business point of view, I think we made a business plan, and we expect this company to grow. It's a highly competitive market. It is a big market. Again, it is a very, very big market. So there is a lot of scope to put our business as one of t he better player in the market, and we expect to grow this business I mean, based on our business plan, whatever we have made, I think our aim is that R s. 500 crores business in the next 5 to 6 years' time basically.
Jay Kale: Okay. R s. 500 crores in the next 5 to 6 years' time. Understood. And this will largely be in the replacement market business, right? So is it fair to -- sorry, aftermarket. So, is it fair to assume that this would fetch higher margins than the current company average margins ?


Mahendra Goyal: So, it is -- of course, our idea is not to have a different margins. Of course, it is the initial period. So initial period will start with maybe 1 or 2 years with a slightly negative numbers. But of course, the margin will gradually will go up actually. That is what we have to see because any business will take time to go. And it is not only replacement market, it is also an OE market business basically.
Jay Kale: Understood. Understood. And my second question is on your reported numbers. If we see our margin profile, while it has been healthy above 9% on a consol basis and on a consistent basis. But last couple of quarters, maybe this kind of plateauing out despite you seeing strong traction on the revenue side on a quarter -on-quarter basis also. So just wanted to pick your thoughts on how are you seeing the pulls and pushes on the margin side? And what should happen going forward for this to further move on?
Atul Jaggi: So maybe, Jay, I'll take this question. So as I think we discussed even in the last call also, with the MMAS acquisition, I had mentioned earlier that even in this quarter, now we have realized a full quarter sale, coming from MMAS. But yes, the margins th ere, as discussed earlier, have been under stress, where we shared that we are looking at a positive PBT by the end of the year. So definitely, I think a little bit of impact in pulling down the overall margins is coming from there. But there's a clear plan which is available to sort of breakeven and then take the margins to a similar level as the overall Gabriel number. But yes, th at impact is definitely coming in the last quarter also and this quarter also.
Jay Kale: Understood. And that's around R s. 50 crores, R s. 60 crores revenues, that's on a quarterly run rate basis?
Atul Jaggi: A little less, little less than that.
Jay Kale: Okay. Okay. And just on your market share on 2 -wheelers and passenger vehicle suspension side. While we see the 2 -wheeler suspension market share is pretty steady at 30%, 32% since the last many quarters. Passenger vehicles, if you could just highlight how are you seeing the market? There has been some plateauing out or ma

rgin reduction in market share that we've seen. How are you seeing the competitive pressures over there?
Atul Jaggi: See, again, maybe I'll speak about the new businesses here for, say, both the segments. On the passenger car side, as you rightly said, I think the market share has been hovering around this number. But in this last quarter, we have been able to secure 3 new platforms all coming from Maruti. So definitely, and we have just launched one model with Maruti Suzuki Victoris. So with this business acquisitions, we are now looking at improving the market share.
So by next year, we are looking at another model which coming into SOP and then in the next further 2 years, another 2, 3 models coming into SOP. This is all secured business. So we can easily expect a 4% to 5% increase in the market share in the PC side a lso starting from the next year. So this is one.

Even on the 2 -wheeler side also, I think the market share has been growing steadily. I have one good news to share that there also, we have secured a couple of good businesses, one of them with Yamaha for the inverted front forks, upside down front forks, which will come into production by the end of next year. So there also, we are expecting to see a slight improvement there.

Jay Kale: Understood. And just last couple of questions. One is on your EV 2 -wheeler market share as well. How are you seeing that evolve? Earlier used to be 100% share of business in most of the new models, except Bajaj, but now with the market settling down, how a re you seeing the split of business between various players incrementally? And where do you see this market share settling? Of course, it's at very elevated levels currently.

And last one is on export side. It's currently 2%, 3% of your revenues. Now with this restructuring, et cetera, taking place, reorganization, how are you seeing export opportunities? Are you seeing green shoots over there to increase that share?

Atul Jaggi: Yes. So on the EV side, Jay, again, I think we -- while the market share has been historically high because we all -- we got that first -mover advantage working with most of the EV players. We continue to enjoy a healthy market share there. But with all the competition around in the long run, continuing to enjoy a 65%, 70% market share in such a competitive industry may not be possible. But we would still like to continue to be a dominant player there. As of now, we have not lost any platform. Th e new businesses continue to flow like the recent River model which is basically branded for Yamaha, which was just launched showcased, again, it has a Gabriel suspension in it.

The latest launches of Ultraviolette has the Gabriel suspension. But we are looking at the target is to continue to have more than 50% share in this particular segment. So we continue to put our efforts towards that. Even the last launch of TVS Orbiter has a Gabriel suspension. So we have maintained that we'll continue to target more than 50% share, and I think the actions are aligned with that.

Your second question was on the exports. Yes, exports, I think while we have always been targeting new businesses towards the export side. And as I shared, I think, a couple of calls back, we have sort of added some resources also in the organization, put up a structure to start working on the exports. We have not got any significant success. There are 1 or 2 discussions at an advanced stage, one on the commercial vehicle side, one on the PC side, which is going on. But yes, definitely, I think I hope something will materialize from there. But just to add to that, the efforts on the e -bike and the solar side also will support our export journey. So overall, maybe I think another year or so, we may look at a better num ber once these 2 products also come into regular production, I would say.

Moderator: We take

the next question from the line of Viraj from SiMPL.

Viraj: Congratulations on good set of numbers. I just have a couple of questions. First is, if you can give sales, EBITDA, PAT of the 4 group companies for H1 and the similar trend for last year? And any broader mix you can give in terms of and sector exposure li ke CV, PV? That is one.



Atul Jaggi: Yes, Viraj. Maybe just to share with you, I think the presentation that we had shared had very clearly has all the numbers, the distribution of the top line, bottom line of all these 3 companies. The 4 companies that I think what you are mentioning is basi cally the part of the restructuring. I presume you are talking about the Dana, Henkel, Anchemco and ACYM numbers. So they are all part of the presentation that was uploaded. All the business distribution segment -wise also was shared earlier. Ma ybe any specific query is there we may explain.

Viraj: Any H1 numbers you can share, sir?

Atul Jaggi: This year, we will not be able because we're still going through all the regulatory approvals. We will not be able to share the latest numbers for that. But as we had mentioned, I think all the 4 entities continue to grow, continue to do very well in line w ith what we had discussed in the previous calls post the 30th June approval. So nothing has changed there. They continue to sort of outperform the market. They continue to do really well.

Viraj: Okay. Two, 3 questions on that. See, if you look at the management fee and the royalty, especially in the 3 JV, post the transfer of ownership to Gabriel, the management fee or royalty, does that also get transferred to Gabriel? Or how will the distributio n be like? And the same applies for the sunroof business post the shareholding structure we have arrived at. So that is one. If you can give some more clarity, how will that be distributed? And will that also flow to

Gabriel, so that is one.
Atul Jaggi: Maybe you can just ask. Okay. We have noted, Viraj, you can ask if you have other question also.
Viraj: Yes. Second is on the Dana JV. See, if you look at Dana play in India, they have multiple entities. I think there are 3, 4 different entities. And if you look at the portfolio globally, they have a wide set of products other than drivetrain products. So wh at will be the part of this JV and what will not? And they recently also set up this Dana India CV, which is a 100% subsidiary, which is also cater to axle and driveshafts to the CV sector. So how will that affect the JV?
Mahendra Goyal: You want me to answer, Atul?
Atul Jaggi: Yes. Mr. Goyal you can go ahead.
Mahendra Goyal: Okay. So I think one, I'll take the latest first question on the Dana side. So Dana, overall, so let's not confuse with our joint venture, which is part of restructuring with Gabriel. So that has not changed anything with respect to the joint venture. That continues. The way it has been continuing and it is growing the way it has been growing ahead of market. And as Atul mentioned, all companies are part of the restructuring, they are maintaining the way they have been performing in the past in the same way actually basically.
And Dana has reduced its presence in India. They have sold the off -highway business. So accordingly, whatever business they left out, there's nothing new, which they started and they were having this businesses already, which was 100% for Dana. So that con tinues. It means our JV has not changed anything. It is continuing so our JV is for 100% for the driveshaft business.


And for axles, we are for up to, say, small commercial vehicle axle actually business, but driveshafts for car and terrain, whether it is car or it is SUV or it is commercial vehicle, any kind of a commercial vehicle or trailer or tractor, anything actuall y. And whatever they'

re doing axle
business, it is already there for the last 15 years, which is primarily in a segment, which is not -
- is with joint venture actually. Nothing has changed. In fact, Dana has reduced its size in India actually.
Viraj: Yes. On the management fee royalty post the ownership transfer to Gabriel, that will also get transferred? Or how will the distribution be like?
Mahendra Goyal: Gabriel is a manufacturing company. Gabriel is a business company, so nothing is changing for the Gabriel. And ANAND has a separate wing for providing services. That continues to provide services to Gabriel or to its entire companies, whether they are part of the restructuring or otherwise actually. Nothing is changing for G abriel as such at present.
Viraj: Okay. Last query. See, for the Dana business JV, they have a very sizable exports to U.S. So post this tariff, which is there, how does it affect their business? So who bears the tariff? And how does it affect the relatively competitive position? Because m ost of the exports are to the group entities globally.
Mahendra Goyal: Yes. So nothing has impacted tariff actually. We continue to do same, which means that any tariff impact, partially it is applicable, partially it is not applicable, 25% was applicable, other 25% was not applicable. On exports, Dana, we are exporting back to Dana. So Dana is in fact recovering -- Dana Global, I'm saying. Dana Global is recovering from its customer.
Viraj: Okay. And in terms of incremental competitive position, does it affect in terms of new business pipeline given the tariff which is there?
Mahendra Goyal: So far, it is not impacted. In fact, we continue to do well. Our business line is growing as well basically. So we have not seen any impact on the new business also.
Viraj: Okay. Last question. See, next 2 to 3 years, focus for us will largely be on consolidating these 4 entities and the 2 JVs, which we announced? Or you think there's enough pipeline in terms of new product additions? How should we understand next 2, 3 years focus for us?
Mahendra Goyal: I think initially earlier also, we made a statement and we continue to maintain the same statement that Gabriel is a growth future for the ANAND Group, and that strategy continue basically.
Atul Jaggi: So Viraj, just to add to it, I think with the -- you have seen that even post the 30th June sort of restructuring discussion that we had, I think there have been 2 more sort of entities that have been created now. So the growth journey continues basis the -- we continue to explore opportunities. And whenever the right comes, I think we go and take the next step.
Viraj: Okay. But is there a pipeline in place for I mean, do you still have...


Atul Jaggi: Yes. So while not possible to share anything there, but I think at any time, we continue to explore multiple opportunities whenever it fits into our sort of strategy into our aspiration, into our direction, we take the next step.

Moderator: We take the next question from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Yes, sir. Sir, my question was on to the Inalfa restructuring. So they are getting a lower shareholding compared to Gabriel. And since they were the technology provider, what are your initial discussions with them suggesting?

Atul Jaggi: Regarding the lower shareholding? Aditya, the question is discussions related to the lower shareholding?

Aditya Khetan: Sir, the question is regarding the restructuring, which is happening right now. So what is the discussion with them suggesting?

Atul Jaggi: So the discussion is exactly what we just shared. Obviously, when we are looking at the PN3 initially was not approved. So I think subsequent to that, there have been continuous discussions between both the organizations. And the current structure that we just shared with the 65 -35

has

been sort of approved by the Inalfa Board also and has been approved by the Gabriel Board also. So every discussion has been in line with what we had just shared with them. Post the approval of both the Board, it has been shared by us.

Aditya Khetan: Sir, this H1 capex of Rs. 108 crores, if you can share what would be the full year capex and divide it into segments like your second phase of sunroof and other businesses?

Mohit Srivastava The H1 capex had MMAS asset acquisition and that was disclosed also. So that was the major number. And I think we anticipate about R s. 150-odd crores as we've been doing regularly. And in case of any -- there are some upgradation of assets. So maybe we might hit R s. 180-odd crores of capex this year.

Aditya Khetan: Okay. Sir, our Phase 1 of sunroof has been operating at full utilization level. So this Phase 2 would be largely catering to the Kia model?

Atul Jaggi: No, you said -- can you repeat the last line? Phase 2 would be catering to?

Aditya Khetan: Catering to newer models like Kia and other players.

Atul Jaggi: So I think while we have already shared that we had installed additional capacity, so in the sunroof business, but I think the current Kia model unfortunately continues to not do so well. So that is why even you have been seeing sort of a more, I would say , a flatter trajectory in the overall sales of Inalfa. So I think the capacity is available there for any future model coming in. But the current trend looks to continue even for the next year also.

Moderator: We take the next question from the line of Shubham Sehgal from SiMPL. Mr. Shubham your voice is not audible. It is breaking. Could you please fix that?

Shubham Sehgal: Yes, is it better?



Atul Jaggi: Much better, Shubham.

Shubham Sehgal: Yes. My first question was, so our railway business grew by almost 57% in H1. So could you give some more color? And is sustainable?

Atul Jaggi: Yes. So see, I think one, the overall number is both CV and railways put together, okay? So the growth that you see is basically in the CVR side, so it is CV and railway put together. The railway, yes, the growth has been quite good, but the -- you know the railway -- the top line is generally very small contributor there. So it basically depend s upon the number of coaches that are planned to be added per year.

So basis that, yes, we continue to enjoy a good market share there. It is mostly a distributed business, a tender -based business, but we continue to enjoy a good share especially on the Vande Bharat coaches and the Train 18 coaches, which are the latest ones . So with focus of the government continuing on the railways, we believe that I think this trend should continue. It may not be at that level. Again, it will purely depend upon the plan for the next year and the plan for the years ahead. But yes, we antici pate a continued growth in this segment.

Shubham Sehgal: Okay. Okay. Got it. My next question was that our 2 JVs with JINOS and SK Enmove. Firstly, what would be -- when would the commercialization begin for both of them? And in our SK Enmove JV, so we are into lubricating and functional fluid. So, I just wanted to know, does it in any way conflict with our Liqui Moly agreement?

Mahendra Goyal: Shall I answer...

Atul Jaggi: Yes. So maybe I think yes, you can answer, sir.

Mahendra Goyal: Liqui Moly is no more any arrangements actually. That was already finished almost 3 years back. So, there's no conflict because of that.

Shubham Sehgal: And the commercialization for the 2 JV?

Mahendra Goyal: Go ahead.

Atul Jaggi: FY '27 is when we are expecting. And obviously, something will start because for JINHAP , we need to set up a sort of a manufacturing location. So, we are expecting that to happen by somewhere, I think the second half of the next year. And post that, it will start

.
Shubham Sehgal: Okay. So, for both JVs, we can expect the commercialization to start in FY '27 then?
Atul Jaggi: Yes so some -- see significant numbers would start flowing in by, say, start of '28 kind of a number, but something will say, start at the end of '27, but we can practically assume that in FY '28, I think we'll start seeing some reasonable numbers coming.
Shubham Sehgal: Okay. Got it. Just a question from my side. So, in our Anchemco , so we have a major aftermarket products , which we are selling in India. So, what would be the export scale up for this? Would we be eligible to sell these products in global aftermarket? Could you just provide some color?


Atul Jaggi: This question is related to Anchemco?
Shubham Sehgal: Yes.
Atul Jaggi: Anchemco. So Anchemco, there is no sort of restriction on selling anything for exports. Yes, the business is a mix of OE, OES and aftermarket business, and there's no restriction to sort of move out and start the supply on both...
Shubham Sehgal: So, we would be eligible to sell those products in the global aftermarket as well as well?
Atul Jaggi: Yes, we can, we can. The only thing is like a product like the diesel exhaust fluid now the transportation because you know it is a water -based product. So it is a very competitive product. So, the transportation plays a very, very important role in that. But theoretically, there's no stoppage o n that.
But yes, generally, you have to be closer to the sort of usage point. That is why in this particular case, for this product, you see smaller plants, but much closer to the customer locations and distributed across the country. So, because this cost plays a very important role. On the coolant and the other PU or the PVC kind of products, there's no restriction. We can do any export.
Moderator: We take the next question from the line of Amit Hiranandani from PhillipCapital.
Amit Hiranandani: Sir, my question is related to the sunroof business. So, I wanted to understand how is the traction present in the sunroof business? Any new order wins from key clients? Also, now the capacity is ramped up to around 400,000 units annually. So, what is the present utilization level?
Atul Jaggi: Yes. Okay. So, thank you, Amit. So, on the sunroof, I'll give you a little update now. In terms of the current capacity utilization, I think, as I said earlier, because the Kia Syros and the Alcazar have not sort of performed up to the desired level, while they are -- obviously Kia is now planning some updates, some exports for that particular model. We'll have to see how they pan out in the second half of the year or the start of next year.
The capacity utilization continues to be exactly at the same level, and we have practically sort of idle capacity available, almost, I would say, a line, the second line is not utilized currently because of these 2 models not doing so well. So currently, w e are at a much lesser utilization.
In terms of new businesses, I think we have got a few RFQs, a few additional RFQs, which we are working on now, both with the local customers and the other customers, the Japanese customers there. One challenge that we have is that the current Creta busine ss, which is the main business there, we have not been able to win the new platform that will come into the production in 2027.
So now it becomes all the more important for us to sort of work and work on the new RFQs and win certain new businesses to fill up the gaps that may come the second half of 2027, assuming the model starts as per the timelines there. So, we are expecting sort of a flatter trajectory for the next couple of years, and we need to fill the pipeline moving forward.


Amit Hiranandani: Right. Sir so is it any kind of -- you have some R s. 1,000 crores target reven

ue, right, by FY '30.
So, any changes here?
Atul Jaggi: I think looking at the current situation, I think we may not be able to achieve that number by 2030. While as I said, I think there are multiple RFQs in the pipeline under discussion. But I think a more realistic number is that -- the aspiration continues to be the same, but I think we may see a year or a two -year delay into achieving that number. We are reworking those numbers, but maybe the 2030 number of R s. 1,000 crores may not happen in 2030. There can be a delay of one or two years.
Amit Hiranandani: Just a follow -up question that's it...
Atul Jaggi: Amit, if you asked something after I spoke, we could not hear you.

Amit Hiranandani: Sorry, I was just saying that any kind of margin pressure you are seeing here, in the sunroof business?
Atul Jaggi: Not on the current products that are there, okay, because some work on the localization, et cetera, is also happening. So not in the immediate term. But yes, obviously, with multiple players now competing for the sunroof business with many new players gett ing added, yes, the business finally would -- any new business would come at a competitive price. So that we will have to wait and watch to see once we get the new businesses, but nothing on the current.
Moderator: We'll proceed with the next question. The next question is from the line of Sucrit Patil from Eyesight Fintrade Private Limited.
Sucrit Patil: I have 2 forward -looking questions. You have given good guidance about the margins and everything. I just want to understand, looking beyond this quarter's strong numbers, what is the bigger plan for Gabriel as the auto industry shifts towards electrificat ion and premium suspension module and global supply chain integration. How are you planning to build the lasting edge for the company? Beyond just segment growth or joint ventures, is there something deeper planned in like IT tech platforms o r any innovation pipeline? Something that gives you the edge over your competitors?
Atul Jaggi: Yes. There's a lot of background noise, Sucrit.
Sucrit Patil: I will just mute myself, one second.
Atul Jaggi: Thank you so much. So yes, so I'll come to technology. On the premium models, yes, we see a clear market shift towards premiumization, while the overall numbers are increasing. So, the market is moving towards premiumization. And so is sort of our product portfolio also moving towards that because I just also shared, I will share an example of 2 -wheeler, I think the market is clearly moving towards the inverted front forks, the upsi de down front forks, mono shocks, where the products are far su perior in terms of performance.
Obviously, the realization is also much better there. So, the market is moving towards that. Gabriel has also been significantly moving towards that. As I said, we recently won another



order from Yamaha for one of the platforms of inverted front forks. Our new business acquisitions with the other customers, including TVS being the largest customer for us continues there. And there are multiple discussions going on for that.
Now especially on the technology piece, as I think most of you are aware that 3 years back, we had set up a tech center in Europe. We have been investing a significant amount of money towards the technology upgradation, whether it is the next -generation pr oducts on the passive side or whether the -- on the electronic suspension side, I'm also happy to share that today, we are working on multiple POCs with customers, both on the 2 -wheeler side, also on the passenger car side, on the technologies that I have shared.
And there's a clear tech road map available there. And we have been filing continuous patents on the new technologies that we have been developing, as I said, whether on the passive side, also on the active side there. So th

at journey continues. The invest ment continues. We have been continuously strengthening the team in Europe, both in Europe and India, especially with a focus on being ready for the future also in India, but also for the global market. So, I hope I have been able to answer. If any specifi c point is there, I can.
Sucrit Patil: My second question to Mr. Mohit is again, a forward -looking one. When costs rise, whether it's raw materials, logistics or compliance issues, how do you make sure the margins stay steady without putting any pressure on the profits? Is there any system that you have built or you have put into place that quietly helps you keep the profits up even when things are getting sometimes out of control or something -- so yes, I just want to hear your view on this?
Atul Jaggi: I think you have asked this question to Mohit, so I'll allow Mohit to answer. But before that, I'll just add 2 points, and then Mohit would add on to it. See, one is on the compliance part of it. So, on the compliance part, there is no -- it has nothing to do with the profitability per se. Compliance is something which is sacrosanct, which is mandatory. It has to happen, okay? So that is one.
Second, I think we have been mentioning about the Core 90 program where we look at all the aspects of the cost, and we continue to -- obviously, we continue to face various challenges. We continue to find some solutions to sort of handle those challenge an d continue our journey. Rest, I think Mohit can add.
Mohit Srivastava I think you have already covered compliance, no negotiations. And this is something which is being talked about in the town halls, in the induction program, in the very periodic reviews which we have. That is a very essential part of doing business within Gabriel. In terms of the profitability and of course, the couple of jerks which we face, we talked about MMAS turnaround strategy and the program which we have is CORE 90.
There, I think all the Gabriel leadership participates in terms of taking a certain target, factoring

in the contingencies which might land during the way and then track the progress on a periodic basis.
And that has been the key in terms of sustaining the margins over the period of time, despite having now putting up a significant money in MMAS and also the kind of restructuring we are


doing also leads to certain expenses, but we are ensuring that through a very sustainable structured Core 90 program, we should be able to meet the expectations of the investors.
Atul Jaggi: See like any business, some expected, unexpected challenges keep coming, right? Like if you see -- take an example of Maharashtra, suddenly, there's a lot of pressure on the power tariff, which for a short term would be seen in the sort of variable cost be cause now the banking is not allowed for the renewable energy. So automatically, the tariffs go up, your electricity bills go up. But then you through the Core 90 program, you come up with certain more ideas and initiatives to sort of bring thi s back to a normal thing. So I think there's a good systematic approach that is available in the organization.
Moderator: We take the next question from the line of Suraj Chheda from 3P Investment Managers.
Suraj Chheda: Am I audible?
Atul Jaggi: Yes.
Suraj Chheda: Sure. Sir, my question is on the new Creta platform, which you mentioned, right? What is the timeline for this? Is it second half of CY '27 or FY '27?
Atul Jaggi: This is FY '27 -- '28. The second half of...
Suraj Chheda: 2H of FY '28?
Atul Jaggi: FY '28, yes.
Suraj Chheda: Okay. And so, this will be a 100% share of business for competition? Or how does it work in...
Atul Jaggi: So, there are 2 variants to it. One is the EV variant and second is the ICE variant. We continue on the EV variant, but we lost the ICE variant of this. Now EV numbers a

s of now are not as
strong as the ICE variants. Let us see how it pans out in the next cou ple of years.
Suraj Chheda: Understood. And what is the key rationale for OEMs to switch because you are a very strong existing supplier for them. Is there pricing a key rationale for them? If you can highlight some color on those?
Atul Jaggi: It's very difficult to say because in a lot of these cases, sometimes the decisions happen more looking at the global businesses. Sometimes the decision happens at a very local level. So, it is not only -- sometimes it can be only competitiveness. Sometimes it is a combination of multiple other things there. So very, very difficult to pinpoint exactly what happens. But again, case -to-case basis, it may vary.
Suraj Chheda: Understood. And how is -- are you close to a breakthrough with any Japanese OEMs for sunroof business? So, if you can give some color in terms of over next 2, 3 years, are you expecting any good new high -volume models in terms of your sunroof business?
Atul Jaggi: No, definitely, as I said, I think there are multiple RFQs that are there. We have also made a sort of a separate team to work on the new business acquisition to create a business pipeline for this


business. Definitely, I think we expect to fill up. Now when it happens, which is the first customer that happens, we will have to wait and watch, whether it is the Indian customer or Japanese customer or any other customer. But we'll keep sharing the upda tes on a quarterly basis.
Suraj Chheda: Sure, sure. The second question was on your stand -alone margin, right? So, before MMAS acquisition, you are targeting a double -digit margin, say, over a span of 1 or 2 years, right? I understand that with integration of MMAS, the margin profile has come off. So, what is the realistic target for you, say, by FY '28 in terms of stand -alone margin? Any ballpark range which you can give, maybe somewhere between 9% to 9.5% or you still hold on to that 10% target for you over the next 2, 3 years?
Atul Jaggi: See, again, as we always have said that the aspiration, the target has been to go to a double -digit margin. We continue the journey towards that, on and off, some challenges would come, maybe some time needed for the growth of the organization because wit h MMAS, obviously, we add some customers, we add capacities, we add a new product there. And as we mentioned on it, the target is to sort of make it to a positive profitability by the end of the year. But looking at the next couple of years, th ere's no change in the target that we have set for ourselves.
Moderator: Ladies and gentlemen, due to time constraints, which was the last question for the day. I would now like to hand the conference over to Mr. Atul Jaggi for closing comments. Over to you, sir.

Atul Jaggi: Yes. Thank you. Thank you. So, I take this opportunity to thank everyone for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with any of u s or our Strategic Growth Advisors, our IR adviso rs. Thank you so much.

Moderator: Thank you. On behalf of Gabriel India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Feb 2026



“Gabriel India Limited
Q3 FY26 Earnings Conference Call”
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Moderator: Ladies and gentlemen, good day, and welcome to Gabriel India Limited Q3 FY '26 Earnings Conference Call. This call may contain forward -looking statements about the company that are based on the beliefs, opinions and expectations of the company as on date o f this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participants' lines will be a listen -only mode and there will be an opportunity for you to ask que stion after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note this conference call is being recorded.
I now hand over the call to Mr. Atul Jaggi, Managing Director from Gabriel India Limited. Thank you. And over to you, sir.
Atul Jaggi: Thank you. Good evening, and a very warm welcome to everyone on the call. Although it's a bit late as this is our first interaction in the new year, I would first like to extend my warm new year wishes to all the participants. Wishing everyone a very happy New Year joining the call today.
With me today, we have Mr. Mahendra Goyal, our Group CEO; Mr. Mohit Srivastava, our CFO; Mr. Nilesh Jain, our Compa ny Secretary; and SG A, our Investor Relations Adviso r.
We have uploaded our results and investor presentation for the quarter ended 31st of December 2025, on the stock exchanges and on the company's website. Hope each one of you had a chance to go through the same.
Let me start by highlighting a few recent developments. The conclusion of long -pending India - EU free trade agreement after nearly 2 decades of negotiation. For the auto components, it creates opportunities in exports, technology partnerships an d investments, positioning India as a trusted manufacturing and sourcing partner for European OEMs amid di versifying global supply chain.
Additionally, U.S. -India trade deal announced yesterday reduces reciprocal tariffs from 25% to 18% with the agreement expected to be finalized soon. Together, these deals are a major boost for the Indian economy, driving capacity expansion, greater MSME involvement and a growth of industrial clusters in key states.
Union Budget '26 -'27 arrives at a great time with stron g growth, low inflation and robust capex as the country aims to become the world's third largest economy. The auto sector already number one in 2-wheeler, 3 -wheeler and number three in car, trucks, received strong support through increased PLI funding, ele ctronic incentives, duty cuts on EV materials and new mineral corridors to lower cost and accelerate local manufacturing.
Let me now turn to our company's performance and share a brief overview of our operations and key highlights. In Q3 FY '26, our stand -alone operating revenue grew by 16% Y -o-Y, reaching to INR1,072 crores, supported by higher volumes and strong sales performance in all our segments. EBITDA grew by 21% year -on-year, reaching INR96 crores, with margins improving

from 8.6% i n Q3 FY '25 to 9% in Q3 FY '26.


This improvement in margin is attributable to higher volumes and the continued impact of our operational excellence initiative under the C ORE 90 program. As per the new Labor Code Act, the one -time impact of INR13 crores has been accounted as an exceptional item. This impact has been optimized pursuant to our conscious efforts in the past to streamline the components of salary in line with the wage code.
Moving on to the business wins. This quarter has seen really good progress be ing made in the stand -alone business with wins flowing in CV, 2 -wheeler, solar and e -bike segment. Specifically, in the 2 -wheeler, I'm very happy to announce that we have made inro ads into He

ro
Moto Corporation.
I think this has been a point of discussion for quite some time. And we also have additional business wins on inverted front forks with multiple customers. On the e -bike segment, again, happy to share that we have received our first development order from a customer in Europe. With respect to solar dampers, we are progressing well on multiple fronts with samples submitted for validation to 2 customers and feedback being awaited from them. Additionally, there are 2 more developments under progress.
In Q3 FY '26, Inalfa Gabriel Sunroof Systems Privat e Limited reported revenue from operations of INR107 crores and EBITDA margins at 13.5%. With respect to the business wins in the sunroof segment, I'm very happy to share that IGSS won new business with Hyundai for 3 model variants. This is in addition to already shared models under develop ment with both Kia and Hyundai.
On a consolidated basis, our quarterly revenue stood at INR1,179 crores, showcasing an impressive growth of 16% on Y -o-Y basis. EBITDA for the quarter stood at INR111 crores with margins s tanding at 9.4%. Adjusted PAT after excluding one -time exceptional expenses of INR13 crores for the quarter was INR68 crores, marking a 13% Y -o-Y growth.
Coming to 9 months performance for FY '26 , the consolidated revenue stood at INR3,457 crores, reflect ing a growth of 16% as compared to 9 months period for FY '25. EBITDA stood at INR335 crores, marking a growth of 19% on a Y -o-Y basis with margins standing at 9.7%. PAT after excluding one -time exceptional expenses of INR13 crores stood at INR199 crores, marking a notable growth of 10%.
Coming to the industry highlights. The auto industry delivered a strong Q3 FY '26 performance with total sales up 18.9%, while the production volumes were up by 16% to 9.2 million units. This was driven by broad -based grow th across segments, festive demand, GST cuts. Export surged 24.7% to 1.7 million units, reinforcing India's growing role as a global manufacturing and export hub.
Q3 FY '26 2 -wheeler segment posted a strong 18% growth, reaching 7 million units, one of the best quarterly performance in the recent few years. On 3 -wheelers, the segment grew by 29.9% to 3.4 lakh units, driven by higher demand in passenger and goods segment, a better supply chain and exports surging 70% year -on-year to 1.3 lakh units.


Coming to the passenger vehicle, the segment achieved a historic high with total sales reaching 1.5 million units, up 19% year -on-year, driven by sustained SUV/UV demand. A meaningful revival in the entry level / small cars, strong festive momentum, GST ra tionalization and easier financing.
The commercial vehicle segment, again, staged a strong recovery with -- around 21% year -on-year growth to nearly 3.1 lakh units, making one of the best quarterly performance recently, led by higher freight movement and rising infrastructure activity. The Indian auto industry is expected to keep up the strong double -digit growth momentum in the quarter 4 also.
On that note, I come to the end of my opening remarks. I now request the moderator to begin the question -and-answer session. Thank you.
Moderator: Thank you very much. The first question is from the line of Mumuksh from Anand Rathi Institutional Equities. Please go ahead.
Mumuksh: Yes. New year wishes to the management and good to hear new sunroof and Hero orders. Sir, firstly, you can give more flavor on these new orders. It seems major orders. If you can help us understand what kind of time line would be there in the sunroof side, these 3 variants, is it half sunroof, full sunroof? And when the business starts ? If you can also give more flavor on the

business side potential for these 2 orders?
Atul Jaggi: Okay. Sure, Mumuksh. So this is -- as I said, this is Hyundai order win with 3 variants. This is a TVS type of

sunroof. The total volume expected is 130,000 with an annual turnover of roughly around INR120 crores. The start of production is expected to be by December of 2027.
Mumuksh: Great. Great. And for the Hero order, sir?
Atul Jaggi: We are already developing one model with them. We are working on the SOP date. I think I'm expecting the start of production by end of quarter 1 financial year or maybe start of quarter 2 . And then there are a couple of models under discussion. So as of no w, there is one win. But then now since the account is open, I think we are expecting more orders to flow. And we are already in discussion on a couple of new further model.
Mumuksh: Great to hear that, sir. So on the sunroof second line expansion, has tha t started now? And how is the ramp -up planned up for that capacity?
Atul Jaggi: Yes. So as I've shared earlier, while the second line investment has happened, but because of one of the models, the Syros, which was not doing well, the second line utilizatio n was not great. So one, I think we are waiting for a refresh of that model around March or April, which would improve the utilization of the second line, but we intend to make that line as hybrid. And with the recent wins, the few models under development that I had already shared with you. And then this -- the recent business acquisition, we are looking at a very good utilization of the second line moving forward there. So the second line will get converted into hybrid line to ensure that we can make BLT as well as the TVS type sunroof. And so utilization will not be a major issue moving forward once this model come into the play.


Mumuksh: Got it, sir. Finally, sir, just on the financial part. This quarter, other expenses increased by INR8 crores Q -on-Q. Nature of the increase, sir? And any one -offs as per se on M&A part, which are we doing in the numbers, sir?
Atul Jaggi: Yes. So yes, so the increase is primarily in the other cost is for 2 reasons. One is the enhanced technical support from the partner wh ere we would like to expedite the new business supports and localization support to improve the localization in India to reduce the RMC percentage on the sunroof business. This is also evident from the recent business wins and our increased customer engage ment with the other OEMs. And second, on the account of the restructuring cost basis the milestones. So these are the 2 reasons why we see an increase in the cost.
Mumuksh: So broadly, these are one -time, sir?
Atul Jaggi: It is a mix of one -time and recurr ing technical support.
Moderator: The next question is from the line of Nikhil from SIMPL.
Nikhil Upadhyay: Congrats on good set of numbers. I hope I'm audible.
Atul Jaggi: Yes. Yes, Nikhil.
Nikhil Upadhyay: Yes. Two questions, sir. One is, if we look at the 2 -wheeler industry and map it against our growth in the 2 -wheeler and same in the passenger vehicle, it seems we've lost some share. If you can just share your thoughts on what has led to a lower growth versus the industry growth or the production grow th for both 2 -wheeler and PV for us?
Atul Jaggi: So Nikhil, thanks. So in terms of the loss in share, there's no loss in the market share that is there. If you look at the production numbers, yes, this quarter, we see against the 2 -wheeler, if you see the -- the production, while the sales number are different, but obviously, we go with the production numbers. So the market has grown between 15% to 16%. The Gabriel growth is around 13% is primarily because of 2 reasons. One, this quarter, the Hero growth ha s been much higher than in the previous quarters.
And secondly, I think it is a mix of the -- it is more to do with the model mix factor that is there, but there's nothing abnormal. Rather in this segment, as I mentioned, I think we had further business w ins with multiple cust

omers, including TVS, Bajaj, Kawasaki and a couple of other customers. So we have a solid business pipeline that is there in the 2 -wheeler, especially on the inverted front folks.
On the passenger car side, I think, again, our share of business with MSIL continues to improve. But again, as you see in this particular quarter, the growth with Tata and Mahindra is there, and it is, again, a model mix issue. If we take out the MMAS part because if we take out the models that we are supplying from the Chakan 2 facility, then we are obviously in line with the market.
Nikhil Upadhyay: So MMAS is broadly on the EV side?
Atul Jaggi: There are some models that we are supplying in the passenger car side from there, like Tata Harrier is there, Safari is there, Nexon is there, both for EV and ICE.

Nikhil Upadhyay: Okay. Secondly, on this -- the new initiatives on dampers and e -bikes, like what is the progress? And when do you see commercialization ?
Atul Jaggi: So as I shared, again, finally, I think we were always discussing about development of the e - bike forks. As I mentioned in the opening remarks that I'm happy to share that we have secured our first order win. Currently, the sort of the develo pment orders are being released by the customer.
This is for an e -bike in Europe for an upside down front foot, a good technology product and we are looking forward. The start of production expected is around, I think, the quarter 3 because now the develo pment will start and around quarter 3 of the next year, we will be seeing the start of production. There are certain other businesses under discussion, but the LOI is not received for them. I will keep sharing the progress.
Nikhil Upadhyay: And the solar d ampers?
Atul Jaggi: Solar, as I said, there are 3 business wins already, 2 products are under validation with the customer. One is under development. So once the validation happens, we will get into the mass production time line.
Nikhil Upadhyay: So I think in last call, we mentioned commercial should start in FY '27 first quarter or second quarter. So are those time lines still meeting? Or is there a delay there?
Atul Jaggi: Sorry, Nikhil, I think your voice cracked. Can you repeat?
Nikhil Upadhya y: So I think our last call, our idea was that we should see commercialization of solar dampers in FY '27. I think first half. Is there some delay there or...
Atul Jaggi: No, we are on track. As I said, I think the validation is ON for a couple of the mode ls. Once it is done, we will get into the mass production time line. So as of now, there is no delay. Rather, I would say that with the tariff being changed for the U.S. market, I'm really positive about -- because North America is a big market. I'm very o ptimistic about more traction from the customers on this.
Nikhil Upadhyay: Okay. Just last request, sir. See, we are merging all the entities. And like in Q1, we had shared their pro forma numbers. I think if we can share the pro forma numbers on a quarter ly basis, it will be really helpful to the investors. That's the request and if you can just think about it.
Atul Jaggi: Yes. taken the point. We are -- as you know, we are progressing very well on the restructuring part. I'm sure we'll start disclosing th e numbers in all the quarterly sort of calls moving forward once we go through the entire process. I think we are quite close to it.
Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities.
Aditya Khetan: Sir, just a couple of questions. Sir, on to the sunroof, as you had mentioned earlier, so last quarter, we had mentioned that -- so Syros is not picking up, which is why we were facing some volume losses. Now you're saying like with these new order wins, it would la rgely offset and you are using that line as a hybrid. So any guidance you can give like

how much we could recoup the


volumes which were earlier lost because of Syros? And what sort of numbers should we be building for FY '27 and FY '28?
Atul Jaggi: See, I will not be able to give you the numbers for FY '27 because forward -looking projections normally we don't give. I think 2 things are there. We have always mentioned that by, say, 2030, '31 around that number, we are -- now with the wins that we have seen r ecently, I think the -- one thing I can confirm that we are on track on the projected number in the long run.
In the short run, since there has always been a discussion on the utilization of the second line with this recent win on the TVS side, we are -- because the first line is completely utilized. Now we have 3 variants coming in and then 2 models under development. So we are looking at a more -- comfortably more than around 60% to 70% utilization on the second line also moving forward.
Aditya Khetan: Got it. Sir, the new order wins into the sunroof, is it superior in terms of margins, in terms of pricing or EBITDA per sunroof compared to the base business, what we have in Phase 1?
Atul Jaggi: I will not be able to share the margin profile because obvio usly, as you know, when the model is under development, it goes through multiple changes, iteration. But obviously, any business win when it meets our threshold, then only we go for the acceptance of the LOI. So that is generally as per the policy.
Aditya Khetan: Got it. Sir, in this quarter -- so the 2 -wheeler segment share has dropped to 61% versus 6 4% last quarter. Is there any change?
Atul Jaggi: Aditya, I think we lost you. Can you hear me? See, obviously, because the MMAS numbers also

come into the pl ay, which is primarily on the PC side means that would change the -- I would say, the overall distribution . So those numbers are much higher, and they are all in the passenger car.

That is why you see there. And as I mentioned earlier, the market in the 2 -wheeler has grown by 15% because of the model mix and the Hero extra growth of 13%. So maybe 1 -odd percent int this quarter is coming from the model mix and 2% is coming primarily from the increased passenger car and commercial vehicle portfolio.

Aditya K hetan: Got it. Sir, just one last question. So during the quarter, other expenses have also gone up. Is there some one -off into that?

Atul Jaggi: So I have already answered this question in detail when Mumuksh asked this. So it is basically a mix of both, and it is on account of 2 things. One is on the increased technology support from the partner on localization on design and development on the sunroof. And second is on the restructuring. So that is how you see an increase in the cost.

Moderator: The next question is from the line of Amit Hiranandani from PhillipCapital.

Amit Hiranandani: Basically, how best the company will be able to utilize these ongoing FTAs because we have a target to increase our exports. So your take on this, please?



Atul Jaggi: Yes. So 2 parts of it. One is when we look at the deal with Europe, FTA with Europe, we already have our tech center there. We have an entity where we are working on various technologies. I think this would help us enhance the technology support there, definit ely find more avenues on the technology front, number one.

Number two, definitely, the -- because of the change in the duty, the FTA coming in, clearly, you compensate on the transportation cost of it. So you're -- the competitiveness goes up. So we are looking at building on it. Just to share with you, while it is too early, but just after this has announced, I think we already have got a couple of meeting requests from customers in Eu rope to have discussions on it.

So clearly, not only us, but the cust omers in Europe are also looking p

ositively at India. This is on one part. Secondly, because of the additional tariffs, the whole -- the solar damper thing that we were quite optimistic about, slowed down in North America and then we started focusing more in Europe. Now with the yesterday's announcement, I'm again quite optimistic on this. So I think moving forward, hopefully, we will see this supporting the export journey.

Amit Hiranandani: Yes, this is good to hear, sir. Sir, secondly, any kind of cost we have incurred for the SK Enmove entity in quarter 3?

Mohit Srivastava: We are concluding the CPs, and we have formed the company. So we are expecting to contribute equity during this quarter, and we expect the start of operations from quarter 1 of FY '27, a small operation to begin with. There are costs related to forming a company and initial expenditure are being incurred, but we do not see any substantial expenditures.

Amit Hiranandani: Okay. Noted. And sir, just on the basic question on the sunroof Q3 numbers, if you can share the revenue EBITDA, please?

Atul Jaggi: Q3, I just shared the numbers. Yes. So the revenue in the quarter 3 was INR107 crores with an EBITDA margin of 13.5%. I shared this during the opening remarks.

Amit Hiranandani: Okay. And in Q2, basically, the margins were higher, right, on the sunroof?

Atul Jaggi: Yes. So that is what I think a couple of times I mentioned when Aditya and Mumuksh asked this question, I think we have had some additional expenses on account of more technology s upport and localization support for some new business wins. So I just shared that.

Amit Hiranandani: Sure, noted. Yes. Sir, lastly, just last one question. These 3 new variants of Hyundai, which we have received for the sunroof. So are they able to offset the Creta business, which we are going to exit from FY '28?

Atul Jaggi: Comfortably because I think I've been clarifying this quite frequently because there are 2 models and 3 variants already under development. These business wins have been shared with yo u earlier. And I think what we are looking at with this business win is to build on that. So we are not looking at this compensating. We are looking at this building on the further growth.

Moderator: The nex t question is from the line of M runma yee from Asi t C. Mehta Investments Intermediates.



Mrunmayee : Okay. So a couple of questions on the sunroof side. Firstly, the new Hyundai models that we have received, are these existing models or new models that the company would be launching?

Atul Jaggi: See, there are model codes that are available generally because the model names are normally not sort of announced before earlier. They are a combination of new as well as refreshed as per my understanding. But hope the developments will be new in any case.

Mrunmayee : Sure. Okay. And sir, one thing with regards to the realizations of the per unit realization of sunroof. Has that seen some kind of pressure since the time that we have started since we are seeing more players also entering this segment?

Atul Jaggi: That is very normal and very natural for any product because when there is an increased competition, the pressure both on the margins as well as on more localization requirements, et cetera, keep increasing. So definitely, the answer -- I will not say the answe r is no. The answer is yes.

As I mentioned earlier, we also need to -- like any other organization, we also need to find ways and means and different avenues to keep maintaining a healthy profitability. And that is how we are looking at more support from the Inalfa global team on localization and fast localization there. So to ensure that the pressure on the margin is reduced. But yes, with multiple players coming, it is very natural to have more competition.

Mrunmayee : Okay. Okay. And sir, on the stand -alone financials, there's a very high other in

come in this
quarter. Any one -off there?

Atul Jaggi: So I think the other income is the -- Mohit, do you want to?

Mohit Srivastava: Yes. So other income includes this time a dividend received from the subsidiary Inalfa.

Mrunmayee : Okay. Okay. And sir, just one last question. If you can indicate the revenue of MMAS in the quarter?

Atul Jaggi: Normally, plant -wise breakup, we don't share because it is one of the plants. So normally, we don't share the plant -wise bre akup. It's doing a little better than what it was doing, I can only share.

Moderator: The nex t question is from the line of Puneet Javeri from Zaveri & Company.

Puneet Javeri : You mentioned about the line 2 utilization plan to go about 60% to 70%. Are you at the liberty to share what is -- where is it right now?

Atul Jaggi: So the second line is not utilized at all. Currently, we are utilizing only one line.

Puneet Javeri : Okay. And in terms of your sunroof also, you mentioned tha t you want to increase the localization effect. So is there any way that you can qualify how much is it already done? And what is the expectations in terms of increasing localization, if not percentage, any qualitative highlight?



Atul Jaggi: Yes. So curren t status of the localization is around 33%. It used to be around 26%, I think when we first started, if I'm not wrong. And we are -- the target is to take it to 60%.

Puneet Javeri : And is the target for 60%, is it till 2030 or any -- is it next couple of years or something?

Atul Jaggi: Within the next 1, 1.5 years, I think, yes. We are now working -- I think while we are having this call, there are already workshops going on. The entire global team is there, and we are looking at expediting this process. S o by end of '26, '27, we intend to do that. And for -- obviously, for the new developments, the localization will be much faster. For the existing ones, you have to go through a lot of validation, et cetera. So that is generally a slower process. But when we are launching, we intend to launch with much higher localization.

Puneet Javeri : Got it, sir. And in terms of realization for sunroof, I think you mentioned that the competition has increased and it's a natural state of how the business is. So is it fai r to assume that the realization has dipped a little bit compared to, say, a year ago and that is expected to increase once the localization increases as well? So is there anything -- how should we look at this?

Atul Jaggi: See obviously, there are 2 aspec ts to it. One is the existing business, it is not a product which anybody comes and you develop it tomorrow. So it doesn't impact the existing product. Obviously, the model mix there, something may have a higher profitability, something may have a lower pr ofitability because every model doesn't have.

So model mix can play a role. On the -- I think the discussion point was more on the new RFQs and new discussions with multiple customers. So there, if the RFQ goes to 3 players, then obviously, you compete in an environment. So there, extra localization, et cetera, would help, but nothing on the running business.

Puneet Javeri : And just one final question because you do provide a really honest assessment of things on FTAs, both U.S. and Europe. Is it that the existing competitors who already have plants there, you will be able to better compete with them? And hence, you feel that it's just that the road is upwards from where you are right now? Is it that your existing products can have and find a market there m uch quicker now basis of cost amongst other key factors?

Atul Jaggi: Sorry, I've not been able to hear you well. Maybe Puneet, if you can repeat some part of it. I think I was not able to clearly hear it.

Puneet Javeri : Am I audible now, sir?

Atul Jaggi: Yes, you're audible, maybe a little shorter question may be help

ful.
Puneet Javeri : So I was just asking on FTAs, if you can provide some feedback if -- how will you better compete with the existing players, both Indian and local, who already have their pl ants there? Is it largely just cost? Or is there any other factors that you're considering?
Atul Jaggi: So one thing is all the competition that we are talking about are in the process of coming in. It is not before -- currently, before IGSS, there was one competitor who had a full -fledged facility



here in India. All the others are coming in with different joint ventures, different configuration. I think none of them have been able to, as of now, win a business.
Moving forward, the competition would not on ly be on, I would say, on price. I think technology will also play a role. There, definitely, I think Inalfa being very strong in technology, we are also trying to offer some newer technology products to customers. So it will be -- I think moving forward, not in the immediate run, but long term, it will be a combination of standard products and a new technology product where obviously, the margin profile would be different in both. The idea is to bring more technology.
Moderator: The next question is from t he line of Ananya Khanna from Alpha Alternatives.
Ananya Khanna: So my question is, when can we expect the statutory approvals to start rolling in for the scheme of arrangement?
Mohit Srivastava: So on the scheme of arrangement, we received the NOC from st ock exchange and post that, we filed our application to NCLT. I'm happy to share that the first motion hearing happened in early January. And the scheme has been admitted and the order has been announced by the end of January. Now the soft copy of the orde r is available on the NCLT website.
We expect a certified copy to be received in this week, and we will follow the due course of action coming from that order. So we are very much on track what original time we had planned for this scheme and we've been p rogressing very well on this front.
Moderator: The next question is from the line of Avadhoot Joshi from Trivantage Capital.
Avadhoot Joshi: Considering the inroads we have made into Hero, do we -- of course, we will see rise in the volumes. I just wanted to know about the capacity, our capacity. Do we intend to add capacity in line to that and what our current utilization?
Atul Jaggi: See, in the 2 -wheeler, I think if you look at the market growth in the last few years, if you look at the Gabriel growth, w e are continuously adding capacity. So obviously, with new businesses coming in not only from Hero, but from all the other customers also, I think the share of business has been continuously improving.
In line with that, we have been adding capacities in the existing plants also, and we are looking forward to maybe adding a location specifically in the coming some time. So capacity enhancement in 2 -wheeler is, to be honest, is a continuous affair. Even today also, we have cleared 2 more lines in our Board meeting there. So we continue to invest.
Avadhoot Joshi: Okay. So currently, we are operating at around 70% capacity utilization?
Atul Jaggi: Yes. So normally, the way the 2 -wheeler works is there is a normal demand and then there is a festival season dema nd. So we try to operate at around 70% during these times so that we have some idle capacity to meet the festival season demand. So the utilization is in line with that.
Avadhoot Joshi: Understood. So there is no change into the -- or larger capex expected into the next year. Is that correct understanding?



Atul Jaggi: Yes, yes. We are looking -- we are anticipating that for the next year.
Moderator: The next question is from the line of Mumuksh from Anand Rathi Institutional Equities.
Mumuksh: Sir, Mahendra

Sir is available? Just want to hear his thoughts, sir, how are you seeing the progress on your 2030 ambitious plan. Just want to understand how are you seeing the M&A opportunities? What kind of areas are there Gabriel, Anand Group can expand? And secondl y, with the 4 companies completion happening very soon, how do you see the further group structuring happening , say, next year?
Atul Jaggi: Okay. Thanks, Mumuksh. Maybe Mr. Goyal is there. So you would like to address this, sir?
Moderator: Sorry to interrupt, sir. The line for Mr. Goyal has been disconnected.
Atul Jaggi: Okay. Okay. So maybe I'll take this question. So yes, as far as the bigger target for the group is concerned, multiple opportunities are being evaluated in line with the expectations there. As and

when something materializes, we will definitely come back to and share the updates on that.
But yes, there is a -- just to share with you, there is a proper review mechanism for that. There is a proper monitoring for that in terms of the pr ogress , in terms of what are the opportunities that are being evaluated, both on the organic as well as on the inorganic side. So I think hopefully, we should be able to share some updates in the coming time. What was the second question, sorry?
Mumuksh: So with the 4 companies consideration happening now, very soon now, how do you see the plans ahead for the further group?
Atul Jaggi: So Mumuksh, I think as we have discussed multiple times, so we are completely on track on this. Hopefully, I think as of to day, we are completely meeting the time lines. We would like to go through this process and then surely come back to all of you on the next update.
Moderator: The next question is from the line of Viraj from SIMPL.
Viraj: Sir, just 2 questions. On the stan d-alone, see the Marelli acquisition, we started consolidating from Q1. And if the run rate in Q3 is better than Q2, then we would basically be seeing a flat growth for us in 2 -wheeler segment in this quarter, which we got unde rstanding that HERO has grown better and there might be more of it, but the deviation is still quite large.
Atul Jaggi: So Viraj, I don't know if you were there because I think a couple of times I have tried to answer this question. Again, see you also understand that sometimes it can be a model mix issue. I just mentioned that I think there's no business impact that is there because the production numbers -- while the sales number are more, but the production growth is 16% against that, we are looking at a 13% number.
One impact is coming from Hero. Second, maybe because of the model mix part that is there.
Rather, I shared that I think we have further very strong wins in the 2 -wheeler side on the inverted front forks and on the normal front forks, and we have a very healthy pipeline there. So I'm not seeing a challenge on this front at all.


Viraj: Okay. Just a clarification. When you say Marelli acquisition, will the concentration be largely 2-wheeler or it's again spread out between 2 -wheelers, 4 -wheelers and...
Atul Jaggi: It is mo stly a combination of, I would say, maybe 70%, 80% would be passenger car and then balance would be commercial vehicle. There's no 2 -wheeler. So that is the reason you would see a 63%, 64% normal coming down with some businesses getting increased there or some volume changes happening there. So the overall percentage of the 2 -wheeler would come down. That is on account of increase in the other segment and not because of any loss in the share.
Viraj: Understood, sir. If I move to subsidiary. Any color you ca n give in terms of revised terms in terms of like license fee, service fee? How would that now be? And related question is also, since we have the second line now commissioned, is there an opportunity for exports to make up the shortfall?
Atul Jaggi: So I do

n't know if you were there, Viraj, maybe you joined late. I think we discussed that and we shared that there is a good business win for 3 variants of TVS type of sunroof, where we would be now getting into a very healthy utilization once the SOP happens on the second line also. As far as the export is concerned, one of the variants that we had -- I think if you remember, I had shared earlier that there are 2 models an d 3 variants under development.
One of the model is also for export. This is called as a BC4i. So -- but this is not a product -- one, this entity obviously is set up to service the local customers. Second, this is not a product which is so easy to transport and handle. So any opportunity that keeps coming in on export, we'll be very happy to sort of engage on this. But primarily, we are looking at increasing the domestic share of business.
Viraj: And on Tech Life, what is the new arrangement now?
Atul Jaggi: Yes, there is an -- I think I had explained on the increased cost because of the 2 re asons. But yes, in terms of the new arrangement, I think the royalty numbers have changed, and we are seeing an increase of around 1.9% there.
Viraj: So this will be a permanent?
Atul Jaggi: Yes, this will be permanent as of now because a lot of other acti vities and technical support is needed to expedite the wins and localization activities there. So additional resources are being made.
Moderator: The next question is from the line of Amit Hiranandani from PhillipCapital.
Amit Hiranandani: Sir, one strateg ic question I wanted to understand how do you see this semi -active shocks industry in the next 5 years and Gabriel's readiness for this product. Also, if you can touch base whether this Marelli at least open tech partnership and the KYB tech agreement we h ave, how best they can support Gabriel in faster development for this product?
Atul Jaggi: So, just one second. See on the -- first, I'll answer on the semi -active part. The semi -active

product is completely ready with us now. We just -- I think in the last 2, 3 months, we have done



a complete tuning on 2 vehicles. Now the 2 POCs have been done on different customer vehicles, one independently and one with a potential customer.

And the product is completely ready as far as the technology proving is concerned. Obviously, it all depends upon the new opportunity that comes to bring it to the mass m arket. But yes, we are ready. So we are not looking at any support coming in from outside for this because we -- as you know, we have invested quite a bit in the European tech center, and we have enough expertise available there.

As fa r as the agreement w ith KYB, et c., is concerned, I think that is all working fine on the existing businesses depending upon the customer requirements and the kind of valving and the kind of technology that is needed. So it is always a combination of what -- if it is a standar d platform coming in from some global or being developed in India. So it is a combination of both with the local developed technology and one of the partners. But for the -- specifically on the electronic suspension, we are not looking at any support that is needed as of now.

Amit Hiranandani: But do you see this industry evolving in the next 5 years?

Atul Jaggi: See the industry will evolve. One variant has come into the market. As I said, I think we have been working with one customer as a proof of concep t to demonstrate the technology. The penetration will be slow. Obviously, the cost impact is also significant. Even today also, whatever is being made is not made locally, they're all imported.

So you need an ecosystem on the electronics, on the assembly, on the dampers, et c. So it will be a slow progress there on the passenger car side. While it's one -odd variants will keep coming, I think maybe as you ask 5 years down the

line, my estimate is that maybe top -end variants of some models may have this.

I'm looking at some opportunity coming in, in the 2 -wheelers much faster because there are a couple of customers with POC has already happened. We have already done that. That may happen much faster than the passenger car, but we'll have to wait and watch. Bu t mass production may not happen looking at the cost pressures normally on the vehicles there.

Amit Hiranandani: So I think then frequency selected damping would be the best looking at the Indian condition and the cost angle, right?

Atul Jaggi: So it will be obviously different kind of valves The passive valves would be -- would keep improving. That is number one. Number two, FSD or HRS or dual -- double FSD kind of can be an interim solution to this, where we see more traction currently and then maybe at some stage, semi -active, but I don't see it happening in the immediate term on this.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand over the conference to Mr. Atul Jaggi for closing comments. Over to you, sir.

Atul Jaggi: Yes. Thank you. So I take this opportunity to thank everyone for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with any of us or SGA, our Investor Relati ons Advis or. Thank you so much.



Moderator: Thank you. On behalf of Gabriel India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

# Call: May 2026



"Gabriel India Limited
Q4 FY26 Earnings Conference Call "
May 28, 202 6

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Moderator: Ladies and gentlemen, good day, and welcome to the Gabriel India Limited Q4 FY26 Earnings Conference Call. This call may contain forward -looking statements about the company that are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance an d involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch tone phone. Please note this conference call is being recorded.

I now hand over the call to Mr. Atul Jaggi, Managing Director from Gabriel India Limited. Thank you, and over to you, sir.

Atul Jaggi: Thank you. Good afternoon, and a very warm welcome to everyone on the call. I hope everybody is doing well. So joining me today, we have Mr. Mahendra Goyal, our Group CEO; Mr. Mohit Srivastava, our CFO; Mr. Nilesh Jain, our Company Secretary; and SGA, our Investor Relations Advisor.

We have uploaded our results and presentation for the quarter ended 31st March 2026 on the stock exchanges and on the company's website. I hope each one of you had a chance to go through the same.

Turning to the Indian automotive industry. I think the industry witnessed a strong recovery and a healthy demand momentum during the last quarter, which continued even in the month of April also, with most of the vehicle segments reporting record sales. Co ming to 2 -wheelers, production grew 21% Y-o-Y in the quarter Q4 FY26. This growth was 12% overall for the year FY26.While the overall growth was 12%, the scooter segments saw 17 % growth in FY26 . This was aided by the recovery post the GST, finance availability, infrastructure and rural cash flow impact also helped the strong recovery in the 2 -wheeler segment.

Coming to the passenger vehicle, production grew 11% Y-o-Y in the quarter Q4 FY26. If you look at the overall year FY26 , it was 9% with UVs outperforming overall industry and growing 12% Y-o-Y. The consumer sentiment post the GST -related benefits flowing in and the lower interest rates helped with this growth momentum.

Commercial vehicle production also grew a healthy 19.5% in Q4 FY26. This growth was 13% Y-o-Y with M&HCV Y-o-Y growth at 16% for FY26. So, this overall growth highlights the resilient domestic demand and improving customer sentiment despite the global uncertainties and fuel prices and commodity related issues that are going on.

The ongoing West Asia conflict remains a key event under monitoring for the entire sector, with sharp changes in the crude oil prices can impact the affordability negatively. It can also impact the consumer sentiment which prolongs for a long period of time. We are already seeing sharp increases in the commodities currently. But overall, if you look at the long -term outlook for the Indian automotive industry, it remains very positive. It is supported by -- the policy reforms, infrastructure development that we see all around . Lots of localization initiatives are taken across and then the rising consumer demand.

Before going to the company's performance, I would like to share a quick update on the restructuring post which we'll take you through a brief overview of our operations and key highlights. So, I would like to update you all that the composite scheme involving the amalgamation of Anchemco India Private Limited into Asia Investment Private Limited followed by the demerger of automotive undertaking into Gabriel India has now received key shareholder and NCLT approvals. The scheme is becoming effective from 2 2

nd May 2026.

Speaking on the performance of the company, I'm pleased to announce that the Board of Directors have recommended a final dividend of INR3.1 per equity share of face value of INR1 each is subject to shareholders' approval at the coming AGM. Including the interim dividend of INR1.9 per equity share declared earlier during the year. The total dividend for FY26 stands at INR5 per equity share compared to INR4.7 per equity share declared in FY25.

Now talking about the stand -alone performance in Q4 FY26, our stand -alone operating revenue grew by 19% Y-o-Y, reaching revenue of INR 1,111 crores, supported by higher volumes and strong sales performance, including aftermarket in all our segments. For FY26, stood at INR 4,223 crores, growing 16% Y-o-Y. All segments showed healthy double -digit growth outperforming the underlying industry growth.

Q4FY26, stand -alone adjusted EBITDA grew by 16% Y-o-Y, reaching INR101 crores with margin at 9.1%. For FY26, this stood at INR383 crores, growth of 18% Y -o-Y with EBITDA margin at 9%. The Q4FY26 PBT before exceptional items grew 15% Y -o-Y to INR86 crores with a margin of 7.7%. For FY26, this stood at INR335 crore s, growth of 18% Y -o-Y with PBT margin of 7.9%.

Coming to the consolidated performance. In Q4 FY26, our consolidated operating revenue grew by 13% Y-o-Y, reaching INR1,210 crores. For FY26, this stood at INR4,667 crores, growing 15% Y -o-Y. Q4FY26, the consolidated adjusted EBITDA grew by 6.5% Y -o-Y, reaching INR117 crores with margin at 9.7%. For FY26, we stood at INR452 crores, growth of 15% Y -o-Y with EBITDA margin at 9.7%.

Q4 FY26 consolidated PBT before exceptional items grew 5.5% Y -o-Y to INR92 crores with a margin of 7.6%. For FY26, it stood at INR350 crores, growth of 8% Y -o-Y and PBT margin of 7.5%. Coming to the subsidiary performance , in Q4 FY26 Inalfa Gabriel Sunr oof Systems Private Limited reported revenue from operations of INR99 crores and EBITDA of INR14.5 crores with a margin at 14.6%. FY26 revenue stood at INR434 crores and EBITDA of INR65.4 crores with a margin at 15.1%.

On that note, I come to the end of my opening remarks. I now request the moderator to begin the Q&A session.

Moderator: We will take the first question from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.



Mumuksh Mandlesha: Yes. Thank you for the opportunity. And congrats on the results and the NCLT approval. Sir, firstly, to Mahendra, Sir. Just on the ANAND Group ha d earlier shared about the 2030 target of INR50,000 crores and with Gabriel as an automotive growth engine for the group. Just wanted to check, would you like to share an update on the progress on this milestone? And what are the opportunities or areas you're seeing , inorganic areas and how Gabriel is expected to play a role in this target?

Mahendra Goyal: Yes. Thanks for the question. And I think the way we have been discussing in past over a year, I think the same continues from the Gabriel perspective. I think we discussed it very well, which is of course that Gabriel is a growth engine for the group . Therefore, all the businesses, the new businesses which we are entering into, form part of Gabriel. And of course, whatever new initiative we are taking, those will form part of the Gabriel business.

So that is our overall objective from the Gabriel role in INR50,000 crores. And how do we see Gabriel in this growth journey basically. So that's very clear. And that math has not changed from the past communication. And as for INR50,000 crores, I think the target very much remains with us, and we are very hopeful that as we are progressing in this journey , we should be able to achieve this target in 2030. And of course, it's too early to say anything on this, but we are making good progress in the current year, and we are moving ahea

d in this journey. So I think
we will update you soon on this, but it's too early to comment anything on this specifically .
Mumuksh Mandlesha: Got it, Sir and just, sir, continuing with you, sir, I mean on the -- with the NCLT approvals done now for the four companies, I just want to understand how is the progress for the next companies, which can be brought to Gabriel ? And just want to understand if there are any challenges from the partner side? And how should one look at the timelines ?
Mahendra Goyal: I think the good thing is that NCLT has approved after the shareholders' approval. So, thanks to all the shareholders for their approval. And now in the process of doing the rest of the formalities, I think which should be taking another 1 month or 3 weeks from now, we hope that this entire restructuring, which we did, we should be able to accomplish by end of June or mid of June or maybe third week of June, actually.
So that is the first thing we want to conclude now. And as far as with respect to bringing other businesses into the Gabriel fold, as I said in the past, there is a complete intention to bring all those businesses into the Gabriel brand and again, I can't commit any timeline because it's too early to comment on a ny transaction. But as far as the challenges with someone else, there are no challenges. The way we look at the next part of exercise.
Mumuksh Mandlesha: Got it. So great to hear this. Sir, coming to Atul sir. Can you just provide an update on new opportunities like with the Jinos JV on the fastener , solar dampers and lubricant JV, sir?
Atul Jaggi: Yes. So, I mean, all the new opportunities are progressing as per the timeline that we have defined. I think to start with the solar dampers, as I said, I think there is a business pipeline that is being created. It takes, obviously, products are in various stages of either development or testing or validation -- there are certain assured businesses, one from Europe. There's a local business; there's a North America business also.


But yes, as you know, they have to all go through the approval process, the validation process there and the entire development cycles we have to go through. So that is going well. Even on the bike side also, as I mentioned last time, I think we have got the first order from a European customer, just to share with you news which has just come . There was a Eurobike going on. Currently, there's Eurobike going on in Germany. Yesterday night itself I have just got a news that Gabriel has got an innovation awar d for our integrated dropper post that we have created along with a European company, biggest light maker, which is called Supernova. So we will be getting that recognition . We have already patented that product. So I think the progress has been good and at different stages. Now coming to the SK part of it.
Mahendra Goyal: The SK, I think we have, in course, we started the operations in this quarter already, and the company started generating sales. We should be moving the good in this direction, whatever business plan we made, I think we should be achieving that number in the first year, but it's something on course now.
People are there. We are recruiting the team. I think everything is going as per the plan. And as far as the Jinhap is concerned, Jinhap construction is going on of the building. That should be -- we are expecting that to end sometime in September, and then we will start commercial production by Q4 of the calendar year or Q3 of the financial year in the current year. And that will also start generating sales in the current year. So that is what the update on these two joint ventures.
Atul Jaggi: Just to only add there is, again, some good information. I think while they are small wins starting up, but a couple of wins already with two of the customers in the case of SK and w

e have also
one business win in the Jinhap . So I think that work has started. And as I said, I think as per the timeline .
Mumuksh Mandlesha: Got it, sir. Yes. Got it. So this customer new wins would be on the OEM side?
Atul Jaggi: Yes, they are on the OEM side. Just to share with you, one is with the Mahindra through the American Axle, and one is the Mobis, which is finally on the EV battery f luid side. As I said, and Jinhap , it is obviously with the Korean customer.
Mumuksh Mandlesha: Got it. Anything to share, sir, in terms of numbers? How do you see the revenues for the next few years?
Atul Jaggi: Yes. See, we have already shared the business plan with you as Mr. Goyal also mentioned, I think the Jinhap start of production is expected in quarter 3. What we are seeing is there, we are in the process of creating the timeline and obviously, the factory is coming up. It is too early to put bigger numbers there. But yes, every business win adds up to the number.
So here we are also creating SK, we are creating a complete distribution network. Some small sales have started happening even in April also. I think, obviously, in the coming months, we will be sharing, but to build block by block.
Mumuksh Mandlesha: Got it, sir. Great to hear this, sir. Last…

Moderator: Sorry to interrupt in between, Mumuksh, request you to join back in the queue. Thank you. We will take the next question from the line of Amit Hiranandani from Phillip Capital. Please go ahead.
Amit Hiranandani: Thanks for the opportunity and congrats for good set of numbers , sir. Sir, my question is revolving only on the sunroof business. So , if you can help us understand the reason for YoY decline in the revenues. As well as Q-on-Q also, there is some decline we observed. Even your top key customers have reported some volume growth .
Secondly, EBITDA margin for sunroof has improved on a Q -on-Q basis. So I want ed to understand the reason and sustainability of the same ? Continu ing with the sunroof only, any new order wins apart from the Korean customers? And finally, on the book keeping like how many sunroof s total units sold in FY26 and the penetration level we wanted to understand for the 2 fiscal s, FY25 and '26?
Atul Jaggi: Mohit, do you want to take the margin part first and then I come in ?
Mohit Srivastava: I think, sir, I'll take a couple of questions in terms of replying . So, we sold close to 170,000 sunroofs in the year FY25 -'26. And the quarter -on-quarter drop you see because of the Kia Syros . The anticipation was that this will do well. And in the last quarter, the buildup and ramp -up was happening, which we could not see in this quarter, hence the drop in revenue happened.
With respect to the margin, which has improved from the quarter -on-quarter, I think last quarter, we announced the additional royalty impact being taken into the P&L along with the measures being taken to mitigate that impact through operational efficiency and our sourcing efficiency. So some work has happen ed, which is also reflected in this quarter's results. And we expect that momentum to continue going forward . Having said that, we continue to maintain our position that some new business margin at EBITD A level remains between 12% to 14%. Sir, you can comment on the next part of...
Atul Jaggi: Yes. On the new business side, again, like in last call, I mentioned 3 business wins with the Korean customers. We have quoted for one of the local customers, which I said that we were in advanced discussions. So some progress has happened, but the decision is yet to be made there. As soon as it is ma de, we will be sharing with you. And there are some other RFQs also. We are working with both current customers also.
Amit Hiranandani: On the penetration sunroof -- penetration level for FY25 and '26, if you can highlight, please ?
Atul Jaggi: It is somewhere around 24%, 25% , the final number variant to variant changes there, but I think anywhere around that number is the penetratio n.
Amit Hiranandani: Right. And sir, secondly, in the passenger vehicle shock absorber , any new program wins, especially in the FSD? And secondly, within the 2 -wheeler business, any timelines to start the business with Hero MotoCorp? This is it from my side.
Atul Jaggi: On the passenger car, since you have asked specifically on the FSD, there's one development that is going on currently with Tata Motors on that. So that is one. And then secondly, I mean,



1 or 2 discussions with different customers on offering this technology is going on. But yes, in the development, it is currently one model.
On the Hero side, the first launch, we are expecting start -up production , we are expecting in quarter 2 there. And that is the first business that we had won and there are a couple of other businesses, which are under discussion and negotiation with them, which we would hopefully be closing soon. But quarter 2, you can assume t he start of production.
Amit Hiranandani: Sure. Thank you, sir. I'll come back in the queue. Thank you.
Atul Jaggi: Sure, Amit. Thank you.
Moderator: Thank you. W e will take the next question from the line of Jay Kale from Elara Capital. Please go ahead.
Jay Kale: Thanks for taking my question and c ongratulations on a steady state of numbers amid a challenging environment. My first question is on the subsidiaries, the four subsidiaries that you had announced from a merger perspective.
While you could progressively disclos e the financial s, but just an indication of how have they performed in this fiscal? Your stand -alone revenues grew by 16 % broadly. How have they performed as a combination of 4 entities ? Have they outperformed the stand -alone revenue growth? And just some color on how the integration is going on?
And the second question is on SK Enmove . Of course, we started off with one product, but they have a global suite of many products. How are we seeing discussions of further expanding the

product portfolio over here? And any incremental information or headways that we've made on that side?

Mohit Srivastava: So, Jay, if I may come in. Mohit here. For the first question, so with respect to the scheme entities, the annual financial audit is ongoing, and we expect that audit conclusion to happen by the middle of June. And as informed earlier, from quarter 1 onwards, we will consolidate the numbers. Hence, we will be able to share the better outlook with the numbers for FY25 -'26 and the Q1 numbers as well. At this point in time, since the audit is going on, we may not be able to share the specific s about these entities.

Mahendra Goyal: So, in general, these companies are performing as per the market. And so I think we don't see anything which is to be highlighted to alarming anything which needs to be highlighted. I think everything is going as per the plan and as per the market, actually. So that is on these associates and subsidiary companies. And as far as the SK group is concerned, our relationship is right now for the lubricant business. So that we want to first make sure for at least for a year. And then maybe later we will see what could be the other opportunity with the SK Group to work on other products.

Jay Kale: Okay. And the second question is on the MMAS financials. We have targeted a turnaround or at least PBT breakeven by Q4. Now how are we in that journey? Of course, with commodity costs increasing, how the pa ss through is happening for that entity as well as the overall business?



Atul Jaggi: Okay. So, on the MMAS, again, progress has been good from where we started and where we ended the year. I think there has been significan

t progress. I would surely say I think we have crossed the EBITDA positive mark, almost close to breakeven there, not through that, but yes, almost there on that part.

Now, we have also been able to stabilize that plant because that had a lot of challenges which I think we have discussed earlier also. We have also now, since the operations have stabilized and obviously the technology piece is taken care of, the basic fun damentals are taken care of, we have now started working on new RFQs also there in that particular plant.

Now, it is not specific to MMAS. On the commodity side, you know the escalations are there and I think every effort is being put to have a back -to-back recovery for that, which is definitely mandatory. So, the escalations are being worked out with all the customers, all the commodities there because they are all steep increases and principally, I would say the customers are aligned to pay there and I think that is the current status.

I have not seen a customer which indicates that they will not pay. So, yes, we continue that recovery because the prices are also changing on a monthly basis, I would say. But it is not specific to -- Jay, it is not specific to MMAS, it is across the business, across the group.

Jay Kale: Understood. Just one last in that light, any updated targets about your margin trajectory closer to 10% going ahead, especially in this current scenario? That 's all from my side .

Atul Jaggi: Jay, I think what we have all learned from COVID is that every quarter, every six months, every year brings a new challenge , okay . So, our targets, whether margin improvement or whether it is going to INR50,000 crores or whether it is continuing the acquisition journey, I think they cannot get derailed, I would say, in the mind also because of certain happenings. So, I think we have all learned to live with these and we have all learned to overcome these c hallenges.

Yes, a month here and there can happen, but the fundamental targets do n't change. And I am sure the kind of steep increase that is there, the moment things streamline, I think this will come back to normal. It may take a quarter here and there, but it will be there. So, that does n't change the target that we have taken.

Jay Kale: Great . Thanks . And I will come back in the queue. Thank you.

Atul Jaggi: Thank s, Jay .

Moderator: Thank you. W e will take the next question from the line of Radha from Motilal Oswal Financial Services Limited. Please go ahead.

Radha: Hello s ir. Thank you for the opportunity. Sir, my question is with regards to Dana. Sir, the exports from Dana Indian entity to the global company has gone up from about 30% in 2019 to 40% in 2025. So, can you please highlight the growth opportunity in the exports market over and above the respective industry growth in those regions?



I mean, are there any geographies which is rethinking strategies with respect to shifting manufacturing to India or if you could talk about any new product introductions or any new

business plans apart from the Mahindra SUV that you mentioned? So, basicall y, I wanted to understand where do you see the scale of this business in the next 2 , 3 years?
Mahendra Goyal: So, I think export business has been priority in Dana and the export going back to the partner, basically, the global location. So, I think from that point of view, we continue to grow this business the way it has been growing in past. So, we do n't see any hurdle, anything on this, but I can 't comment on any number specifically or any geography, but the strategy is to shift the global operations as it is the appropriate time for them also to India. So, that continues. I think we are doing go od an d continue to do good basically .
Radha: Okay, sir. Thanks. And second is, if you look at the historical financials of Dana India and the asset turns , it see

ms like there is still a lot of scope to ramp up the production with the current gross block and hence, there could be a scope for further operating leve rage. So, your current margin in that business is already higher than all the other peers in India as well as global. So, is it a fair understanding that there is a potential for further margin expansion in the Dana business, or do you think this is the peak ?
Mahendra Goyal: No. As I said, it is going well. So, it continues. You know all challenges, very difficult to comment on margin, sometimes exchange going up, going down, there are commodity impact, there is volume changes many times. So, I think at least whatever visibility we have today, based on that we do n't see any challenge. Things are going fine and they continue to go like that.
Atul Jaggi: Again, I would only add that I think till the time the fundamentals of the company are strong, okay, one little challenge here and there on some impact that comes should not worry us, correct? And commodities, etc etera , are all taken care back to back there and I think Dana has proven, has a fantastic proven record of continual improvement in operations, in profitability and there is no reason why it should not continue.
Radha: Sir, last question is on Henkel. The margins in the Henkel business has been quite volatile. So, if you can highlight, what is the major base raw material that Henkel uses and where do you think the sustainable margins are for this company?
Mahendra Goyal: It's basically -- sometime commodity fluctuation is happening very strongly, especially in the current quarter. I do n't know really for which number you are talking about from the Henkel perspective, which year you are talking about . So, I have no idea because as Mohit said that our audit is going on for the current year's numbers, those results will be out. So, our numbers are only available from 2024 -'25. After that, we have not declared any number on this. But yes, I think the margins con tinue the way it is.
Of course, some challenges with respect to the commodity on the quarter -to-quarter could be there because there is a recovery lag many times. But yes, otherwise, there is no specific regions of change in the margins because I really do n't know which quarter you are comparing or which year you are comparing.
Radha: I was talking on the last 10 years, sir.


Mahendra Goyal: Last 10 years, yes, there have been a lot of changes also in the business. Sometimes the product mix is changing, new technologies are coming . So of course, manufacturing facilities are shifted in-between , where we have a cumulative production going on at Pune. Of course, in those years when we had a large investment, probably had impact on the margins. But yes, for the last couple of years, the company has been doing good, and that's what we look at it.
Radha: All right, sir. Thanks, and all the best.
Moderator: Thank you. W e have the next question from the line of Dishant Jain from Anand Rathi. Please go ahead.
Dishant Jain: Thank you for the opportunity. My question is regarding stand -alone results. The gross margin was lowered by 90 bps Q-on-Q. So, what was the reason? Is it mainly due to higher input cost or mix of higher four -wheeler or lower exports? And any one -offs to call in stand -alone and sunroof margins and any other line item as well?
Mohit Srivastava: Yes, thanks for the question. So, yes, quarter 4 compared to quarter 3 saw a drop in the gross margin, mainly due to material cost impact. And of course, the material cost impact due to strained supply chain, we have to prioritize.
And then the mix also had an impact where aftermarket and export volume took a backseat, and the focus was to cater the OEM line. War impact also saw a couple of inflations being asked by suppliers, which we had to incorporate to

cater the lines. We have lost the claim to the customers, but due to the timing difference, we had to take that impact into our hands. I think that has been the main reason for the increase in material costs , which is leading to the drop in margin.
Dishant Jain: Okay. S o what would be the inflation range in terms of like mid -single or high -single digit

moving forward?
Atul Jaggi: It is impossible to decide because every day, the commodity prices are changing. Because just to share with you, even the settlements also, which used to happen quarterly, six -monthly, I think on certain commodities, the settlements are also happening now on a monthly basis and customers are also releasing the purchase orders. So, it is part to part, there is a huge difference. Like if you take aluminum, and then you take plastics, and then you take steel, there is a huge difference in terms of inflation. So, very difficult to say where it will go and how it will change. Because in March rates were completely different than April. The April rates were completely different than May. If the war stops tomorrow , June may be much better. Escalate, June may again see an increase. So that continues. So putting a number is -- I think most important is to ensure recovery.
Dishant Jain: Okay. And my next question will be regarding sunroofs. So when should we see the next model ramp -up for sunroof ? And are there any wins in the last quarter or revenue last quarter?
Atul Jaggi: Yes, the previous quarter, I shared that 3 wins were there . This quarter, while the RFQs have been addressed, there is no decision that has happened. In terms of -- in terms of the new models coming into production, I think I have already given the date earlier, one of the EV models of


Syros varia nt because you know Syros almos t became zero. They have started pr oducing in the last few months.
Now EV for domestic and export is starting now. So that is going to be there. But all the new models that are under development, there are 5 of them, they start coming in from the different quarters in the -- this year and then next year. I have already shared the dates in the past months when just starting at quarter 3, if I remember correctly, but I can check and again share also .
Moderator: We will take the next question from the line of Anurag Gaikwad from Shree Bahubali Stock Broking.
Anurag Gaikwad: Congrats on a great set of numbers. Could you tell how much capex are you planning in FY27?
Mohit Srivastava: The capex, this year, we did about INR190-odd crores and the range which we take is about INR160 crores to INR180 crores of capex and endeavor is to keep the asset turn in line with what we have done in past. About INR150 crores, to INR180 crores of capex to cater the growth which we are targeting .
Anurag Gaikwad: Okay, understood. Another question was on the semi -active products that we talked about last quarter. So have you onboarded any customer for the commercialization of the semi -active product?
Atul Jaggi: So two parts to this question. One is on the 2 -wheeler side, on e on the car side. On the 2 -wheeler side, the 2 developments with 2 customers have started. There sort of -- so the LOIs are there and the development has started. They will start coming in as per the timelines , as per the development timeline .
On the passenger car side, while some collaborative work is happening with the customer, but there is no formal LOI as of now. Yes. POC has been done with one of the customers , and the POC is being planned with another customer. But as of now, there is no formal LOI which is available.
Anurag Gaikwad: And what would be the margin share?
Atul Jaggi: You want me to tell the margins so that OEs start asking the discounts from there on. But anyways margin will be better than the current products. I can't put a number on

this.
Moderator: We will take the next follow -up question from the line of Amit Hiranandani from Phillip Capital.
Amit Hiranandani: Sir, anything to read on in the aftermarket side because the growth has tapered down in Q4, despite we have added some new touch points. Also, anything on the exports as well?
Atul Jaggi: So I think Mohit has touched on this point. Aftermarket, it is, I think, the opportunity is there, the growth was there. Yes, I think in the month of March, there were certain challenges that were there primarily on the supply chain side owing to , there was a huge shortage of aluminum and gas in the month of March.


So it was a -- I think the priority was to run the OEM line there because there was some commitments there. I think that was the reason why you see a little dip in the numbers. Otherwise, I think the aftermarket continues to grow. It has been growing for the last so many years, and we see good opportunities.
In terms of exports also, I think last year, we had overall better numbers than the previous year ,

that journey would continue. One or two new platforms are being discussed. Yes, they take their own time to sort of realize but yes, we are very, very focused on -- so on the aftermarket, there's nothing to worry about there. It is more on the supply chain side also.
Amit Hiranandani: And this export Q4 drop was temporary because shipping challenges and all?
Atul Jaggi: Again, there were certain delays there. As I said, I think because March a huge pressure from the OEMs. Everybody was closing the year, everybody wanted to have new record , you know how the commercial vehicle performed in the last quarter. So -- and because of the acute gas shortages, the Tier 2s had major impacts to run their plants. So it was -- there was a calculated conscious decision to prioritize certain products on the OEM sid e.
Amit Hiranandani: Understood. Sir, second question to Mohit. Sir, if you can help us, the total capex outlook considering all the new entities as well? And if you can give so me bifurcation between the stand alone and sunroof and the new entities, please?
Mohit Srivastava: So, for stand -alone, I just clarify that for this year, we did approximately INR190 crores of capex. Next year outlook is looking between INR160 crores to INR190 -odd crores for stand alone business. For consolidated entity level, as I mentioned that currently, we are still under the last leg of conclusion and Mr. Goyal informed by middle of Jun e, we will conclude everything.
So, from Q1 onwards, I think I will be in better position to give the outlook of the entities coming on the -- through project Rise. So just wait for 1 more quarter to get the consolidated outlook of capex.
Amit Hiranandani: Sure, sir. Sir, if I can squeeze one last question. Can you help us the broad numbers of these 4 entities, the Revenue , EBITDA, PAT number for the full year?
Mohit Srivastava: I think as our group CEO mentioned that the entities have done in line with what market has done. You've seen the number of Gabriel, and you have the FY24-25 numbers of all these entities. So we do not expect any significant delta, but all these entities are undergoing financial audit for FY26, which we expect to close by middle of June and once we complete our audit along with the Q1 business, we will come up with a number for FY25 -26 as well .
Moderator: We will take the next question from the line of Avadhoot Joshi from Trivantage Capital.
Avadhoot Joshi: So, on the 2 -wheeler side, we have multiple SOPs in Q4, as you have mentioned in the PPT, Suzuki Access , Greaves . In addition to that, we have SOP of Hero in Q2. Considering that, how do you look at the volume growth for this year FY27?



And the second part is on the -- our major revenue comes from

2 -wheelers, how we are seeing the trends maybe on the scheduled side? Even this month, we have seen that Vahan data indicate our major customer, TVS is still doing well. But going forward, how are the trends we are looking at the 2 -wheeler industry? And anything to read into the next schedules that indicate that there could be a slowdown in demand . If you can throw some l ight on that, would that be great ?
Atul Jaggi: So yes, there are 2 parts to your question. One is on the new product. Generally, on the 2 -wheeler side, the new launches start coming in around the festival season. This is how all the 2 -wheeler new models or refresh or the thing happens. So, this is how the industry works in the 2 -wheeler. We continue to develop and then starting from the Ganesh festival till Diwali. I think you'll see multiple launches coming in. I don't see anything specifically changing. Yes, in the last quarter, we started the ABS versions of certain mode ls like Suzuki, we started ABS, et c. But major new models should start flowing in as always, in these particular months.
Second, coming to the volumes. If we go with the projection s, the projections are really, really strong from all the customers, which in the name of one customer, but I can tell you that the projections are strong from all the customers.
Currently, it is all about streamlining the supplies to maximize the output, but the OEMs are all quite bullish on the number. We will have to wait and watch. Even the numbers for May have been good, June, July projections are good, and then obviously you get into the festival season. But if the war continues for a very long time, then we will have to wait and watch. Otherwise, as we stand today, the projections are good.
Avadhoot Joshi: And same is on the CV side as well?
Atul Jaggi: CV also yes, CV numbers are, they we are doing well. Everybody is doing well. I think we had Maruti conference, they are quite positive about the numbers. We had Mahindra conference ; they are very positive about the numbers. So yes.
Avadhoot Joshi: And just a bookkeeping question on the other costs. There seems to be some increase in that. If you can give details about why it has gone up o n that part , would it be helpful?
Atul Jaggi: No, sorry, I could not get your question. Which cost?
Avadhoot Joshi: Other costs, that has gone up?
Mohit Srivastava: You are referring for quarter -on-quarter or the last …?
Avadhoot Joshi: Quarter -on-quarter ?

Atul Jaggi: Quarter -on-quarter, I think we disclosed on the gross ma rgin part. I don't think that…
Avadhoot Joshi: Yes, gross m argin, you have already clarified. Okay. I w ill take it offline . No problem.
Atul Jaggi: Any way you check because I don't think that the other costs have gone up. But anyway, you can check and then revert on this. We have noted this, we will come back.



Moderator: We will take the next follow -up question from the line of Radha from Motilal Oswal Financial Services Limited.
Radha : Sir, Dana global entity earlier had a 49% stake in a company called Axles India , which was sold to SFL Group in 2025. So just wanted to understand, are there any product overlap or any o ther relations of Dana India with these entities?
Mahendra Goyal : Nothing has changed to our position. So the way our joint venture is with Dana, that continues without any impact .
Radha : Sir, any product overlaps , sir?
Mahendra Goyal : As I said, no change basically. Nothing is changing from our perspective.
Radha : Since they make axle housing , I wanted to understand whether the product h as changed between the entities?
Mahendra Goyal : They were making earlier also axle housing; they continue to do that. And what we do -- what we make , this company is making axle, complete axle, not axle housing for the LV category. So, we continue to do that. So, for us, nothing has changed. And I can't comment on rest of the Dana, if anything changes for them. But for us, nothing has changed.
Radha : So they are making entire axle, and this company is only making axle housing. Is that the right understanding?
Mahendra Goyal : Axle is complete axle we are making, and axle housing is bought actually …
Atul Jaggi: This is what Mr. Goyal said. So, we make the complete products. Yes, we make the full product.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Atul Jaggi for the closing comments. Thank you and over to you, sir.
Atul Jaggi: Thank you. So, thanks for all the questions. So, I take this opportunity to thank everyone for joining the call. I hope we have been able to address all the queries. For any further information, please get in touch with any one of us or SGA, our Investor Relations Advisors . Thank you so much again for joining the call. Thank you.
Moderator: Thank you, members of the management. On behalf of Gabriel India Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.
Thank you.